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The European Bathroom & Kitchen Product Markets

- 2020 Edition -

Spain

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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SPAIN

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Spain, officially the Kingdom of Spain, is a country located in south-western Europe on the Iberian Peninsula. It is bordered on the north and north-east by France, Andorra and the Bay of Biscay, by Portugal and the Atlantic Ocean on the west and north-west, and by the Mediterranean Sea to the south and south-east. The official language is Spanish, but a number of local languages are also spoken (e.g. Basque, Catalan and Galician).

Spain covers a surface area of 505,900 km², of which the Balearic Islands and Canary Islands account for 2.4%. It is notable for its much dispersed geography, and for the long distances between the major centres of population. These long distances have been significantly overcome in recent years, with transport (high speed trains and larger motorway networks) and communication links between the major cities now much improved and far more efficient.

The climate differs greatly across the country, and Spain is one of the warmest countries in Europe. Three different climates can be distinguished: the Mediterranean, Oceanic and Semiarid climates. Its main climate, however, is the Mediterranean climate, with dry and warm summers and rather mild, yet wet, winters affecting the demand for heating appliances. In the inland areas of the country, temperatures in the summers often exceed 35 degrees Celsius, with low temperatures in the winter.

In 2019, the total population of Spain was 46.9 million, a slight growth from the 2018 figure. Following data from the INE (*Instituto Nacional de Estadística*), the reason for the population increase is mainly due to immigration acquisition of Spanish citizenship. In addition to this, the increasing number of young people immigrating to Spain is higher than the Spaniard emigration to other European countries. Further decreases are expected over the coming years, along with a gradual ageing of the population; those aged between 25 and 49 years should decrease by more than four million between 2014 and 2024. The population over 65 years old has also been increasing through the years.

The 92.5 average number of inhabitants per square kilometre is one of the lowest of the European Union. Native Spaniards account for the majority of the population, at 88%, although Spain also consists of a number of immigrant groups from European countries, and North Africa, Latin America and Asia as well. According to the INE, the number of households has been increasing over the last few years due to the increasing share of one-person and single-family households. Even though an increasing number of Spaniards are emigrating, often to find work abroad, or moving back into their parents' homes to save costs, the number of households is growing. However, the number of people per household has decreased, as well as the share of households with children.

Macroeconomic Overview

After 2000, Spain had enjoyed steady and healthy GDP growth rates thanks to a good combination of factors. Growth was stimulated before the crisis by a strong local industry, high domestic demand, declining unemployment rates, the national economy shifting increasingly towards services, and sustained construction activity. The GDP growth rates were consistently over 3% per year during this period. However, this came abruptly to an end and, since 2008, Spain has been strongly affected by the international financial crisis; in 2008 Spain's economy contracted for the first time in 15 years.

Construction, which represented up to 16% of the national GDP during the peak years, has suffered an unprecedented crisis and the number of housing completions in 2016 does not even equal 6% of those in 2006. As a result, the Spanish unemployment rate has risen sharply since 2007, reaching 26.1% in December 2013, whereas private consumption has experienced large drops year by year. Since 2014, the indicators that show the evolution of private consumption have illustrated a dynamic behaviour and householder confidence is growing moderately, leading to an increase in domestic demand.

The economy has shown positive growth since 2014 and the GDP grew by over 3% between 2015 and 2017. In October 2017, the Catalonia referendum led to an uncertain economic situation. If there was no political adversity, the economy could have ended the year with remarkable resilience and a steady GDP growth, and this could also be true for the following years. The past economy reforms, however, have made Spain more competitive – which should have a positive effect on the economy. In 2018, the Spanish economy continued to show signs of stabilisation and the unemployment rate continued to decrease, although it still represents a large percentage of the active population. In May 2018, the Socialist Party filed a no-confidence motion against Mariano Rajoy and Pedro Sanchez from the Socialist Party replaced him as the prime minister. There is no clear majority in the Spanish parliament and after the government budget was rejected in February 2019, a snap election was called which was due to take place in April 2019. With no clear majority in parliament the existing political crisis similar to the one after the 2016 election continued. With no clear agreement, September 2019 was the deadline for constituting a government, and without success new general election was called. In November 2019 was held the second general election in the year, which Pedro Sanchez kept the leadership. This political instability had an impact in the economy with many investments being put on hold.

The growth in the Spanish economy in 2019 was led by domestic demand, stimulated by factors such as lower taxes, interest rates and increasing tourism, which have been boosting consumption levels. Changes in inflation have been moderated as the unemployment rate continues to be high, despite its declining trend. The level of youth unemployment, which refers to the proportion of 18 to 25 year-old people out of work, dropped in 2019 compared to 2018. However, it is still too high. It is expected that new market and re-skilling policies will be created to address this issue. Consumer spending and business investment continues to rise,

and industries like tourism are showing a very positive performance.

At present, the COVID-19 pandemic represents a huge challenge to the overall economy in Spain and globally. Spain was growing at a good pace over the past five years and had a positive forecast for 2019 although at a slower pace. Now for 2020, due to the health crisis the country is dealing with high difficulties and uncertain with the impact in the economy still not clear since the situation is current. According to IMF, the disruption to supply chains, trade, tourism, and domestic consumption are most likely to slow down the economy growth. The magnitude of the impact in the market is linked to the duration of the lockdown due to the outbreak. The negative effect is expected to cause real damage in the economy and unemployment should increase.

Other risks for the foreseeable future are the ageing of the Spanish population (as this could pose a risk to future labour market supply) and how vulnerable Spain could be to the uncertainty given by the issues affecting the Eurozone, such as Brexit, immigration policies or currency performance.

Residential Construction

Overview

Before the start of the economic crisis, the Spanish market for both flats and houses boomed across different cities in Spain, and people used to invest in a second home or a holiday home. However, the effects of the economic crisis, extremely high unemployment rates and lower disposable incomes have affected negatively the demand for new dwellings. However, the construction sector has returned to grow in line with the country's improved macroeconomic outlook. The positive construction outlook is a result of the economic recovery, a return of business confidence, increased foreign investments, and good financing conditions due to better interest rates and the performance in the banking industry. Although during 2019, specially towards the end of the year, the sector started to feel a slowdown.

New Housing

Housing construction had been characterised by an increase in apartment buildings built in cities, where space is scarce, and by the construction of thousands of secondary homes all along the country's coast. Since 2008, Spain's housing construction market has been terribly affected by the international crisis. Due to the economic squeeze and very low levels of construction over the past few years, dwelling completions are believed to have dropped by over 94% from their level in 2006 to that in 2016. In 2016, dwelling completions ended the year negatively, but in contrast the amount of building permits had grown. As anticipated, dwelling completions in 2017 increased and building permits had positive figures, reflecting the economic recovery. Growth in completions continued in 2018.

However, the expected growth is far behind the tremendous increase in the years up to 2007, which showed very high continuous growth rates in terms of residential construction output. Building permits after five consecutive years of strong growth had reduced its dynamism for the first time after the crises. At the first trimester construction was doing well but moving to the second trimester the sector already started to feel a slowdown and the last semester it was negative, impacting negatively the annual overall growth. In 2019, new housing construction kept positive, although at a slower rate of growth, and for 2020 are expected to decline.

The global COVID-19 outbreak has so far had a massive impact on the Spanish market, and the full extent of the actual impact remains to be seen. During the lockdown in Spain the construction sector operated in two phases. First, the first half of March 2020 new construction was still active as the focus was on closing some schools and encouraging home working where possible. From the second half of March total lockdown had taken place and construction stopped fully from March 16th until April 13th of 2020. At the time of writing it is still unknown where a return to full activity will take place, as the authorities are still analysing the preventive measures and devising the next steps regarding the safety procedures companies will have to follow in the short term.

At one time, new construction was strongly related to the sales market; however, lately it has changed. On the one hand, we have high unemployment rates influencing a poor demand for buying new homes, and prices have already begun to rise due to the economic recovery. Yet on the other hand, we have an important factor that is the rental market, where there is more demand.

Housing RMI

RMI activity continued to grow in 2019, although growth kept the slow down trend from last year. The rising consumer confidence and higher levels of disposable income have been stimulated by the positive signs of recovery of the Spanish economy; however, there are already some signs of less dynamism given the political instability in the country. Furthermore, many renovation works took place after the crisis in the 2015-2017 period and it is inevitable that the housing RMI market should go back to more sustainable levels. The renovation sector in new build dwellings in Spain represented an important share of total activity in 2019, as it is very common for Spaniards and foreigners to improve their dwellings as they like before they move in, or place them on the market to rent.

The Spanish RMI end-use segment had tough times during the financial crisis, as both private and public renovations fell due to the severe economic conditions and a lack of confidence in the economy, but the years of recession are passing by – and now the performance of the RMI sector has already felt the economic reactivation effect. It is expected that the share of RMI should continue to grow, but at a lower rate than before during the forecast period.

Non-Residential Construction

The economic and construction crisis also had a significant effect on non-residential construction activity, which has been in constant decline since 2008. The construction of shops and industrial buildings have been the most affected by the crisis.

The non-housing end-use segment is driven by levels of both public and private investment, and, since private investments have been increasing in Spain, an increase of the stock of non-residential buildings has been generated. There has been an increase mainly in hotels and the tourism sector, but at a slower pace than during the peak years of construction.

With the end of the crisis, many investments started to take place and the output of this sector has been especially high over the 2016-2018 period, with many renovations and new construction of hotels and other touristic facilities. This was a key contributor to the performance in this segment in 2018, mainly due to the slight decrease in new construction but also due to real growth in non-housing renovation and refurbishment work, as many firms in the tourism sector renovate their premises regularly to keep offering designs that are aligned with new market characteristics and tendencies. During 2019 the non-housing end-use segment started to show a lower dynamism of renovation as most of demand already took place in previous years as mentioned above. There is still some demand for renovation, although, at a much lower pace. Nonetheless, good performance in non-housing new construction has been noticed for offices, miscellaneous and commercial buildings.

II.2 Key Figures

ES - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

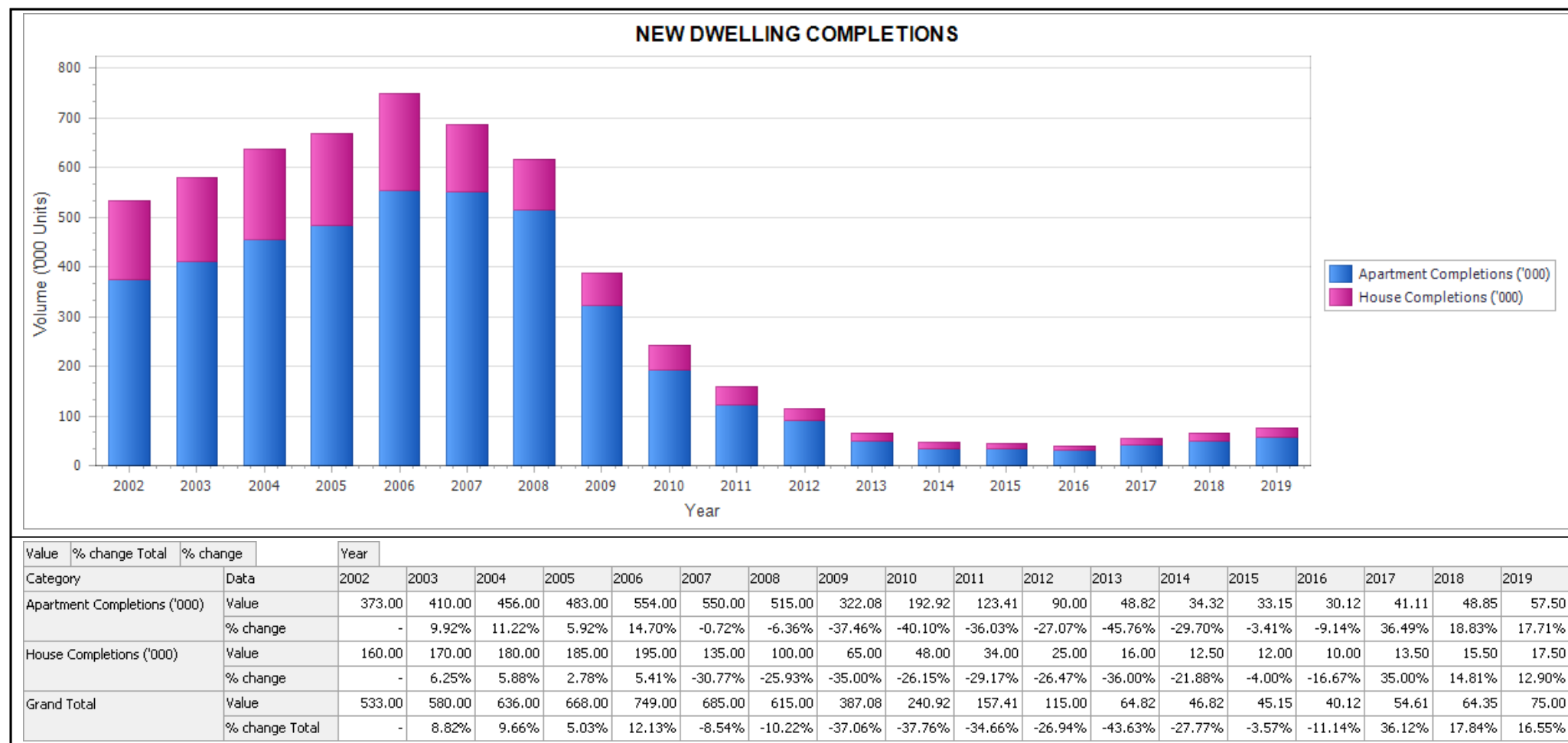
ES - MACROECONOMIC KEY INDICATORS

Value	Year																			
Category	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	3.54	3.04	3.04	3.37	3.52	2.79	4.08	- 0.29	1.80	3.20	2.45	1.41	- 0.15	- 0.50	- 0.20	1.96	1.68	0.70	- 0.30	0.65
GDP (% change)	2.88	2.98	3.12	3.66	4.10	3.60	0.89	- 3.77	0.17	- 0.81	- 2.96	- 1.44	1.38	3.84	3.03	2.90	2.35	1.98	- 8.00	4.28
Government Balance (% of GDP)	- 0.42	- 0.38	- 0.10	1.23	2.12	1.89	- 4.57	- 11.28	- 9.53	- 9.74	- 10.74	- 7.04	- 5.92	- 5.18	- 4.31	- 3.02	- 2.54	- 2.64	- 9.51	- 6.66
Household Saving Rate (% of Disposable Income)	5.97	7.02	4.99	4.18	2.27	0.67	2.96	6.83	4.94	5.78	2.10	3.86	2.14	3.03	2.83	1.15	1.52	2.32	2.56	3.00
Private Consumption (% change)	3.00	2.37	4.06	4.13	3.98	3.39	- 0.70	- 3.59	0.37	- 2.46	- 3.32	- 2.89	1.69	2.95	2.69	2.98	1.85	1.23	1.81	1.32
Unemployment Rate (%)	11.48	11.49	10.97	9.15	8.45	8.23	11.25	17.86	19.86	21.39	24.79	26.10	24.44	22.06	19.64	17.23	15.26	14.11	20.80	17.48

Source : IMF and OECD. N.B. No data available beyond 2021 at the time of publication.

II.4 New Dwelling Construction

ES - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.5 Dwelling Stock by Type and Tenure
ES - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	69.01
	Apartments ('000)	17 749.00
	Houses : Rural (%)	13.97
	Houses : Rural ('000)	3 594.00
	Houses : Urban (%)	17.02
	Houses : Urban ('000)	4 377.00
Dwelling Stock by Tenure	Primary Owned (%)	59.45
	Primary Owned ('000)	15 290.00
	Primary Rented : Private (%)	11.92
	Primary Rented : Private ('000)	3 065.00
	Secondary (%)	14.52
	Secondary ('000)	3 735.00
	Vacant (%)	14.11
	Vacant ('000)	3 630.00

Source: BRG based on Country Statistics.

II.6 Overview of Impact of COVID-19 on Forecasts

ES – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	Officially the lockdown came into force on 15 th March 2020. From 13 th April some selective reopening of individual sectors. Expected easing from 26 th April – possible extension until 27 th May.
Number of officially confirmed cases	Population: 47 million. Confirmed cases: 213,000; deaths: 24,275 (as of 28 th April)
General measures in place to support the economy	In mid-March, the government of Pedro Sánchez announced a drastic plan to tackle the unprecedented health and economic challenges posed by the coronavirus pandemic. This package means an injection of liquidity of €200,000 million, about 20% of GDP. Specific areas of targeted support include: rents, domestic employees and temporary workers, moratorium on mortgages, self-employed, control and prohibition of online gaming advertising, payment moratorium on consumer loans and travel reimbursement, pension plans, suspension of telephone portability, gender-based violence
Statistics on affected individuals (unemployed or temporarily off work)	Outlook is for a dramatic spike in unemployment; to date, more than 900,000 employees have lost their jobs. Around 600,000 employees are under ERTE (Temporary Employment Regulation File).
Measures in place to mitigate economic impact on INDIVIDUALS	Employees will be paid 75% of their average salary from the last six months under the ERTE scheme. Discount of up to 40% on energy bills. Employees that have lost their jobs can apply for a benefit of €950 per month.
Statistics on affected companies (% of total forced to suspend activities)	During March more than 85,000 business suspended activities, with a decline of 6.5% overall. Tourism and construction are the sectors most affected.
Specific measures affecting BUILDING CONSTRUCTION and RMI	Construction represents 10% of GDP. Construction activity was suspended on 30 th March and resumed on 13 th April, although with the mandatory prevention and safety measures recommended by the health authorities in place to avoid the spread of the virus. DIYs are adapting in order to deliver products ordered through online purchases and by telephone to domestic and professional customers. Activity is at a minimum, and delivery times could be affected.
Measures in place to mitigate economic impact on COMPANIES	Government announced a plan to help companies that have lost more than 75% of their income; only those affected can apply for benefits.
Support measures from international organisations (EU, IMF, World Bank, other)	Suspension of the EU's deficit limits , so member states can boost spending. Up to €800 million available for European countries in 2020 to cover public health emergencies (from the extension of the EU Solidarity Fund). The Corona Response Investment Initiative : €37 billion from EU funds is available for citizens, regions and countries hit the hardest by the pandemic.

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SPAIN

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

In Spain, the majority of bathroom products are distributed via wholesalers with well-established partnerships with manufacturers. Direct sales to big installers are also an established part of the distribution structure, but it is very unusual to see direct sales to small installers. Besides the traditional distribution model, the market in Spain has seen an increase in DIY stores but internet distribution is still residual. Specialist retailers continue to distribute bathroom products in their shops, but they have been experiencing a difficult time due to their lack of product range compared to generalists.

The overall structure of the building products distribution in Spain remains regional and fragmented, with a large number of wholesaler companies. Most of them are united under the trade association AMASCAL (*Asociación de Mayoristas de Saneamiento, Calefacción, Fontanería, Gas, Aire Acondicionado y Afines*). The distribution of both bathroom and kitchen products in Spain is heavily dominated by wholesalers.

Wholesalers continue to play an important role in Spain, as some of the large manufacturers sell most of their products through this channel and they are very loyal to their wholesale channel; some manufacturers sell nearly 100% of their products using this type of distribution. Wholesale is the most traditional channel and it is still the preferred one in the country. Some of the large manufacturers usually do not sell directly to developers; hence, transactions are most likely to be executed between wholesalers and developers.

Another key link between the manufacturers and consumers are installers, who in Spain can be very powerful as they advise consumers on products and usually suggest the best products consumers should acquire depending on brands, prices, convenience, etc.

Likewise, wholesalers could also sell to the installers directly or the installer could buy the products online or from DIY stores. DIY is a channel that has been growing in Spain, mainly due to new marketing strategies. Recently, DIY stores have been working with installers directly in order to target this market, as companies are very aware of the importance of installers. In Spain, people prefer to use the service of an installer rather than assemble the products at home or do any renovations themselves. This is mainly because there is no DIY culture in the country. As this channel continues to adapt to the Spanish culture, it is believed that it could continue to grow in the next few years due to the different recent marketing strategies and their increasing relevance in Spain.

Internet sales are still not as common in Spain as in some other European countries, where this channel is more developed. It is expected that the internet channel could increase during the next few years when people get more familiar with it. Currently, the main products sold through this channel are taps and mixers.

Regarding Specialists/Other Retailers (*minoristas*), usually they have small and medium sized shops. Recently, they have been experiencing a difficult time because more people are buying products in stores that offer wider product ranges and better prices. Nevertheless, specialist bathroom retailers still play a relevant role in the distribution of bathroom products in Spain as some of the traditional buyers still buy some products through this channel. It is believed that within the next few years the presence of this channel should continue to decline.

Wholesale Level

The wholesale level continues to hold the majority of building products distribution in Spain, enabling manufacturers to reach customers nationwide. The products offered by this channel can range from heavy and lightside building products through specialist sanitary, plumbing products to plumbing pipes, fittings and other metal products.

The wholesale trade varies per sector, subsector and company and the wholesale distribution is considered one of the traditional channels for material products which include bathrooms, kitchens and other general materials for construction and manufacturers continue to be very loyal to this distribution channel.

The importance of wholesalers is particularly strong for the traditional bathroom products, such as sanitary ware and taps and mixers and, to a certain extent, baths and shower trays. A large number of manufacturers, such as ROCA, GROHE and IDEAL STANDARD, sell the majority of their products via leading wholesalers, which are then distributed to DIY and specialist retailers or via the online segment. These manufacturers, when they bid for a project, always involve the wholesaler and the sale is done through this channel.

Some of the largest heating or bathroom manufacturers have their own network of distributors, such as ROCA which has a whole network of distributors for its bathroom products all around Spain. These distributors also sell white goods, air conditioning and ceramics and, therefore, can be considered *mayoristas* (distributors that sell bathroom and kitchen and heating products at the same time, and other metallic goods). Some of the main distribution companies are LAGUARDIA & MOREIRA, CALVO Y MUNAR and MANAU.

Virtually all leading brands can also be found in online shops, but people prefer to buy in shops after having observed the products in a store, feeling the quality of the materials and having the option to compare the different products available. Wholesalers often have a wider reach compared to manufacturers that supply direct. This is a very important factor that can explain the importance of these distributors in the country. New small manufacturers are often the ones that choose to supply their products directly using other channels.

A very large number of installers are available across the country, from the largest cities to the smallest villages, and they are well respected in the industry as they

can highly influence consumers' preferences between products.

In addition, buying groups (*Centrales de Compras y Servicios*) have also taken an important role in the distribution of building products in Spain. These buying groups include companies such as ALMAGRUPO, GRUP GAMMA, BIG MAT, GC TECLISA, CEALCO, GRUPO AMACO, GRUPO MADRID, GRUPO IBRICKS, TERMOCLUB and COARCO. Some of these groups have a national representation (BIG MAT) and some are mainly regional (GRUPO AMACO in Andalusia and COARCO in the Canary Islands). These buying groups can be classified as part of the mixed merchants/wholesalers category as they offer a wide range of building products. These groups are usually formed after a union of wholesalers, their aim is to regroup and provide installers with an affordable range of products. They also offer OEM products through their channel.

International players are also very important in the Spanish market such as POINT.P which acquired many companies (COMERCIAL URGELL, AGUSTIN CANALS, DESEA, SANIGRIF, and DISCESUR). Another international group GC TECLISA bought part of THISA, and the other part was divided by NOVOLEC and SALTOKI. Spanish companies have also expanded, such as CALVO Y MUNAR when they bought BARRERO E HIJOS.

Mixed merchants are companies providing a range of products such as construction materials, cements, machinery, air conditioning, coatings and white goods. Heating and bathroom products are also part of the catalogue. Mixed merchants provide all goods necessary for the construction of buildings and dwellings, from the heavy products to piping and radiator valves. Mixed merchant groups include companies such as GRUPO MANAU or POINT.P (SAINT-GOBAIN). GRUPO MANAU is based in Catalonia and offers a wide range of services in addition to the sale of building products. The company owns a transport fleet to deliver goods. POINT.P offers a range of landscaping products for gardens and swimming pools, as well as a similar range of services to GRUPO MANAU.

The main difference between the mixed merchants, the specialists and the distributors is that the distributors specialise in building products (plumbing, pipes and metal products) and also offer a range of heating and bathroom products. These include companies such as METALES Y DERIVADOS, and THISA which had some of their stores acquired by GC TECLISA, NOVELEC and SALTOKI because of the financial problems that resulted in them being involved in an insolvency procedure.

These products may be manufactured either in Spain or some of them could be imported. Other companies include, for example, TUCLIMA, MACRO-TUBO, GRUPO RADISA and CECOEX. These companies have a rather regional field of activity. In Spain, national manufacturers operate through '*delegaciones*', equivalent to regional sales representation centres.

The distribution of building products in Spain is affected by numerous factors, such as the geography of the country, affecting the possibilities of economies of scale

because of the distances between cities and the strong regionalism within the country,

Also, the Spanish way of doing business and the attachment to personal relations leads to local initiatives and has prevented mergers that would have been economically rational in other countries.

For this reason, the Spanish identify easily with the region or autonomous community (*comunidad autónoma*) they live in, which reduces the horizon of the distributors. Consequently, they prefer to focus on their local area. Only a few distributors operate at national level (SALTOKI, LA GUARDIA, etc.).

There are positive expectations about the housing market in Spain. Also, it is expected that manufacturers will continue to depend on the traditional distribution channels to sell their products and that the wholesaler channel will continue to dominate the distribution of bathroom and heating products, since they are still highly respected by manufacturers and they have developed long-term agreements.

Retail Level

DIY Retailers

The Spanish DIY retail trade is a combination of a number of different store types, including DIY chains, hardware stores, paint and wallpaper shops and other DIY stores. The larger DIY chains are often located outside the built-up areas, such as industrial areas or along motorways, whereas the other stores are often located in shopping areas. The core activities of the Spanish DIY channel are renovations and extensions of existing dwellings.

DIY stores offer a wide range of products, but usually they sell more bathroom furniture products since people prefer to buy them through this channel as they offer a good range of products.

Historically, DIY retailing was in the hands of several thousand small *ferreterías* (hardware stores) and *droguerías* (selling paint and various small articles).

DIY continues to grow in Spain; however, Spanish culture is not very inclined towards DIY. People in Spain are very traditional, and they are also into the design of their bathrooms and finding trendy pieces. For this reason, people continue to use mainly traditional channels to buy bathroom products. It is expected that DIY should continue to grow, but the growth could be less around some products such as shower trays and baths, with this last product being very small in this channel.

Nevertheless, the strategy of DIY stores working directly with installers can open new doors for this channel as they can offer the service of installation at the point of sale. Another important trend in this market is the increasing importance of working with European manufacturers to offer better quality products instead of mainly

cheap imported products.

After the financial crisis, Spanish people prefer to pay slightly higher prices for better quality products that include warranties and that also have a longer lifespan.

International groups are also represented in Spain through this channel, most of them being from France. One of the largest groups in DIY is the French company, AUCHAN, with its DIY stores LEROY MERLIN and AKI. LEROY MERLIN offers a wide range of products and they have some of the largest national coverage of all the DIY chains. AKI sells products from ROCA, GROHE and COINTRA. Another important group is the Spanish BRICOR from the EL CORTE INGLES, BRICO GROUP, which have a cooperative composed of members and associate companies.

The BRICO GROUP has its own buying group supplying its members. The BRICO GROUP is a member of the European buying group BRICOALLIANCE. Other increasingly important Spanish players are ATB and BAUHAUS. ATB (*ASOCIACIÓN DE TIENDAS DE BRICOLAJE*) is a franchise of DIY centres under the name BRICO CENTRO. The franchise has a nationwide coverage.

BAUHAUS is not as big as the other DIY store chains, but it also has national coverage offering a range of garden products, paints, windows, heating controls and tools. The British KINGFISHER is also present on the Spanish market, with its BRICO DEPOT but announced in November 2018 it intends to sell its stores and leave Spain and Portugal. HABITACLE is another player in the Spanish DIY market and MR BRICOLAGE, the French DIY retailers.

DIY stores are often directly competing with other distribution channels such as wholesalers and specialists.

DIY is particularly relevant for the distribution of shower and bathroom accessories, taps and mixers and furniture. The importance of the DIY sector is expected to increase in the coming years, taking some market share from specialists, as consumers get more comfortable with this channel and installers continue working with them more closely.

Specialist Retailers

Specialist bathroom retailers, often referred to as *minoristas*, historically have always played an important role in the distribution of bathroom products in Spain. Specialist retailers are traditional Spanish shops. They are present in almost every city, town and village in Spain. They operate as local shops and open during normal working hours. The range of products they usually offer is quite wide in terms of products but may not be as wide in terms of brands offered. As the shop's size is usually relatively small, the shop owner tends to have as much as they can in stock, but from just one brand. The types of products they offer include bathroom accessories, hardware (tools and nails), cables and piping, washing machines, heating and cooling (radiators, air conditioning and fans), and all electrical goods.

Within this sector, there are several small and medium sized retailers which access their products from wholesalers directly. The number of these shops is decreasing with more people living in bigger cities where larger DIY stores and cheaper shops are available; however, some Spanish people remain very much attached to their local shops and amenities and there will always be *minoristas* supplying local installers or end consumers in the country.

Specialists, as defined by BRG, include the distributors of bathroom products, excluding building products. In Spain, these distributors also supply other products. Some of the largest specialists in Spain are SANITARIOS BOSCO and TECLISA. Some of these larger specialists are part of a purchasing group such as ALMAGRUPO.

Also, the Swedish furniture giant IKEA offers a wide range of bathroom products, such as shower and bathroom accessories and bathroom furniture or taps and mixers mainly sourced from domestic producers. As a strongly growing and convenient store offering a whole range of products for the home, it has become a preferable choice over traditional furniture retailers.

Some bathroom accessories and the electro-domestic channel have products being distributed by generalists. Probably the largest generalist in Spain is EL CORTE INGLES.

Recently, these *minoristas* have been experiencing difficulties, mainly losing share against DIY stores, and it is expected that they could continue to decrease their market share.

Internet Retailers

Nowadays, internet retailers provide an increasingly appealing route to market for manufacturers as well as for the final consumer around the world. There is evidence of some bathroom products, mainly accessories and taps and mixers, being sold through the Internet to the better informed final users in Spain, who find the same product or a similar one with a better price, warranty or conditions; however, this part of the market continues to be residual in the country.

Sales of taps and mixers and shower and bathroom accessories, in particular via internet retailers have increased during the last few years. It is believed that internet sales should also increase in the coming years as taps and mixers are relatively easy for homeowners to do the installations, without the need for an installer, as well as commanding lower retail prices compared to high street retailers.

The Internet is selling hardly any ceramic products, however, since consumers and installers prefer to buy those products after seeing them in the shops to compare sizes, quality, materials, designs, etc. This is mainly because traditional consumers in Spain prefer to buy offline, despite browsing online, especially because the

construction and building products are more expensive than other articles that can be bought online. Also, there are some luxury products that have a higher price and buyers prefer to touch and see them in stores before paying for the products.

In addition, many bathroom products need to be installed by a specialist and people in Spain prefer to hire an installer than do it by themselves. Nevertheless, the Internet is a channel that is increasing slightly year-on-year and which is expected to increase further in years to come. BANIUM.COM is an online marketplace specialised in bathroom products that sells well-known brands through the website and also analyses the behaviour of the consumer. According to BANIUM.COM, the main factor which influences that decision maker is the knowledge about the brand and mobile phones are the principal devices for the research.

Most online retailers source their products from wholesalers and supply products to end users as well as installers. Prices are often lower than when bought from high street retailers. The biggest online marketplace AMAZON opened a distribution centre in EL PRAT (Barcelona) at the end of 2017.

Currently most wholesalers, DIY stores and specialist retailers also have an online channel of some kind. But there are no online web shops that only sell bathroom products yet, as there are companies in Spain for heating, such GASFRIOCALOR.COM.

Regarding 'click and collect' services, there are a few companies that offer this facility. For instance, LEROY MERLIN, BRICOMART and others have a platform available for consumers to buy online and you can pick the items in the store.

Likewise, manufacturers are now directly developing online marketing strategies, while previously this was kept fairly separate from the manufacturers and solely went through the wholesale channel, but since this portion of the market is very small, it is still unknown how much it is growing year-on-year. It is expected that this particular market should continue to evolve and could increase strongly in the next years.

Buyer Level

Installers

Installers are part of the professional channel and they usually work closely with purchasing groups, associates and points of sale. In Spain installers are split into big installers, professional installers (small), plumbers or very small installers that do not have a company, but they do have a license to operate.

Usually consumers pay for the product and the installation and this is the amount that the installer charges. In the country installers play a very important role in building products and they interact at different levels of the distribution flow.

In some cases, there is also a direct sell from some manufacturers to big installers as they can be quite powerful within the distribution channels. On the other hand, the purchasing group requires conditions of the group such as incentives, bonus, etc.

The direct channel that goes directly to the big installer asks for larger discounts from manufacturers, so the margins and the structure changes and it can be different.

It is expected that installers will continue to play an important role in the sale of building products in Spain as manufacturers, wholesalers, DIY stores and specialists are aware of installers' capabilities of having an impact on the decisions of consumers at the point of acquiring a brand-new product or replacing an existing one.

III.2 Summary of Leading Distributors
ES - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation													Buying Group Affiliation
				Year End	Million Euros	No. of Depots	Geographical Coverage	Specialist						Specialist					Other		
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify	
ADEO	AKI BRICOLAJE ESPAÑA	DIY Retailer	DIY Assortment	31/12/2017	0.25	51	National	XX	XX	XX		XX	X		X	XX			XX	DIY Assortment	
ADEO	LEROY MERLIN	DIY Retailer	DIY Assortment	31/12/2018	2.23	81	National	XX	XX	XX	XX	XX	XX	XX	XX	XX	XX	XX	XX	DIY Assortment	
ALMACENISTAS AGRUPADOS SL	AUNA	Buying Group	Heating and Sanitary/Plumbing	31/12/2018	4.15	150	National	XXX	XXX	XX	XXX	XXX									
ATB NORTE S.L.	ATB	DIY Retailer	DIY Assortment	31/12/2018	3.14	17	National	XX	X	X	X	X	X	XX	X	X			XX	DIY Assortment	
BIGMAT IBERIA S.A.	BIGMAT PROMAESPAÑA	Buying Group	Mixed Merchant	31/12/2018	42.6	260	National	XX	X	XX					XX						
CALVO Y MUNAR S.A.	CALVO Y MUNAR	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air Con	31/12/2018	18.50	6	Madrid	XXX	X	XX	XX	X	X					X	Kitchen	ALMAGRUP	
CEALCO CENTRAL DE COMPRAS Y SERVICIOS	CEALCO	Buying Group	Heating and Sanitary/Plumbing	31/12/2018	24.40	200	National	XXX	XX	XX	XX	X						X	Kitchen		
CENTRAL ALMACENES SANEAMIENTO S.L.	CEALSA	Buying Group	Heating and Sanitary/Plumbing	31/12/2018	1.78	70	National	XXX	XX	XX	XX							X	Kitchen		
GRUPO MANAU	MANAU S.A.	Mixed Merchant	Mixed Merchant	31/12/2018	16.30	4	Cataluña	XX	X	XX	X		X	XX	X			XX	Kitchen, Electrics		
HAGALO S.A.	BAUHAUS	DIY Retailer	DIY Assortment	31/12/2018	156.00	11	National	X	X	X		X		XX	XX			X	DIY Assortment		
IBERICA DEL CALOR	IBERICA DEL CALOR	Specialist Merchant	Heating, Sanitary/Plumbing, Tiles & Vent/Air Con	31/12/2018	1.02	2	Madrid	XXX	XX	XX	X	X	X					X	Kitchen		
LAGUARDIA	SOMINISTROS LAGUARDIA/MOREIRA Y COMPAÑIA	Specialist Merchant	Heating, Sanitary/Plumbing, Tiles & Vent/Air Con	31/12/2018	24.60	14	Madrid, Galicia	XXX	X	XX	X		X					X	Kitchen		
PEREDA	EUGENIO PEREDA SA	Specialist Merchant	Heating, Sanitary/Plumbing & Tiles	31/12/2018	44.20	3	Madrid	XXX	X	XX	X		X					XX	Kitchen		
SAINT-GOBAIN	SAINT-GOBAIN POINT P ESPAÑA	Mixed Merchant	Mixed Merchant	31/12/2018	188.00	38	National	XX	X	XX		X		XX	XX			X	Kitchen		
SALTOKI	SALTOKI	Specialist Merchant	Heating and Sanitary/Plumbing	31/12/2018	45.80	64	Centre and North Spain	XXX	X	X	X	X						X	Kitchen, Electrics		
TERMOCLUB	TERMOCLUB	Buying Group	Heating	31/12/2018	19.5	49	Cataluña	XXX	XXX												
ADEO	BRICOMART	DIY Retailer	DIY Assortment	31/12/2017	595.00	21	National	XX	X	X	X	X	X	XX	X	X			XX	DIY Assortment	
EL CORTE INGLES SA	BRICOR	DIY Retailer	DY Assortment	31/12/2017	110.00	15	National	XXX	XX	XX	XX	X						XX	DIY Assortment		
SALVADOR ESCODA S.A.	SALVADOR ESCODA	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air Con	31/12/2018	160.00	70	National	XXX	XX	XX	XX	XXX						XX	DIY Assortment		
IBRICKS SL	CENTRAL DE COMPRAS Y SERVICIOS	Wholesaler	Heating	31/12/2018	2.39	400	National	XX		X			XX	XX	XXX						

Source : BRG Based on Company Financials

SPAIN

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower tray market has been developing in the last few years and it has taken the lead in the traditional Spanish market. This is mainly due to a very strong growth of shower tray sales from the late 1980s until 2006, with a parallel stagnation of bath sales due to the substitution of baths with trays, in particular in newly constructed dwellings, but also residential RMI. This trend has been developed as people in Spain would prefer to have the extra space used for a bath in a different way in the households, mainly in flats in urban areas. Holiday apartments, built mainly in the southern coastal regions, also have boosted the growth in the shower tray market over recent years. Another important factor is the ease of access that showers provide for older people. Hydromassage baths, for instance, in the 1990s were still regarded as premium products and offered by the traditional brands. Most Spanish manufacturers have positioned themselves in the middle to upper luxury segments. This segment is also occupied by Italian and Chinese imports, whereby the Italian ones are positioned as luxury and high-end products and the Chinese are the cheapest option in the market.

In terms of product mix, a trend away from steel/cast iron, in both the private and contract sectors, to synthetic materials has been observed. The availability of different materials, colours, shapes and sizes has increased the penetration of this type of product. Furthermore, most installers prefer to install these lighter models instead of ceramic and, because they play an important role in Spain, they can affect the decision-making process of consumers. Sales of ceramic shower trays remained relatively untouched by this trend until 2007, but since have also suffered from the increasing popularity of synthetic trays, even more so as the prices for these have become competitive. In 2007, Spanish the hydromassage bath market showed consistent underlying growth and hydrotherapy products substituted some sales of conventional baths, shower trays and shower sets. Hydromassage baths have been losing their appeal as luxury products, instead being heavily substituted for the more high-end baths, such as cast iron or steel without any hydro functions.

As a result of the collapse of the Spanish construction sector, the market size decreased dramatically. Since 2008, sales have declined due to years of falling new construction and shrinking discretionary income, but also due to environmental issues – as hydromassage and bath products use large amounts of water.

Within the synthetic segment, the share of resin shower trays has been increasing in the last few years. On the other hand, ceramic shower trays are considered more resistant to scratches and, therefore, more durable than synthetic models. This continues to make them the preferred type for new construction, even though synthetic is gaining share. However, the significant reduction in the construction of new social housing, due to the economic crisis, has affected negatively the ceramic shower tray as it used to be one of their main drivers. Currently, an important factor of development is the RMI of old dwellings, from which tenants were evicted at the time by the lack of payment of mortgages, and rental flats in upmarket areas that

are now being refurbished for new rentals.

In addition, there has been a market of wet room installations due to some substitution of shower trays by tiled wet shower areas, since the late 2000s. They are mainly being installed in hospitals, gyms, some luxury new construction, and have been seen as substitution for the bath tub. Usually a special material is used on the floor or tiles and the installation is made by the installer. Wet showers should be growing at a faster pace, as there has been a decline in sales of ceramic shower trays and the growth of synthetic shower trays does not cover the new construction demand.

Recent Market Trends

In 2019, overall sales of baths and shower trays continued to grow with most product categories enjoying positive sales. The longstanding trend of shower tray sales decreasing and bath sales increasing in new housing has changed. The main driver was the positive new construction activity and the penetration of shower trays in this sector. The share of shower trays is still much greater in renovations than for new construction, but the increasing penetration in new construction starts to be noticed. Despite the positive growth for shower trays, baths also experienced a similar growth evolution, especially in new housing. There is still an important amount of RMI activity.

Baths continue to lose out to shower trays and wet rooms for space-saving, and the increasing demand for synthetic products over ceramic and other steel/cast iron models is now a long-term trend. However, when a dwelling has two bathrooms, in the main bathroom a bath will still be installed. Hydromassage baths are still residual when compared to steel or synthetic bath for residential end use, but bigger than cast iron baths. Hydromassage baths have a higher share for the RMI sector, due to the economic reactivation and an increase in consumer spending. Also, the hydromassage evolution in new housing recorded growth due to increased activity in this sector. There are two main factors for that switch. First, the positive new construction evolution and, second, the demand from consumers. Sales of hydromassage in terms of volume is residual compared to synthetic or steel baths but the increase in new residential construction was enough to push up sales of hydromassage baths in 2019.

Regarding the change in materials for shower trays, among the synthetic materials are included three different types: acrylic, mineral cast and solid surface. Sales of mineral cast models are the main categories responsible for the overall increase in synthetic shower tray sales, and the strong growth in this segment has encouraged several players in the shower wall market to enter the shower tray market. Mineral cast is responsible for the biggest share, since the raw material to produce it is much cheaper compared to solid surface. Acrylic models are currently losing share in the Spanish shower tray market, despite being much cheaper than mineral cast and solid surface ones. The mineral cast and solid surface material is characterised by being able to reproduce any measure, texture, material, colour and shape. Ceramic shower tray sales have declined slightly overall, but a positive new

construction activity prevented sales to decrease any further. Manufacturers are offering these with different shapes, personalised measures and much thinner than before. Sales of ceramic shower trays have always been dependant on new housing due to their low price and durability, and the fact that they are extremely popular in social housing.

Wet showers have been gaining popularity in new housing, and this is one of the reasons ceramic shower trays have been losing share – on top of the increasing synthetic shower tray demand.

Prices and Market Values

Overall prices of most products increased slightly in 2019, led by increasing demand for higher quality products, as disposable income is increasing. The majority of baths and shower trays are sold into the economy and middle categories. The share of products sold to the luxury price segment has increased, both for baths and shower trays, as most product categories become increasingly more popular in the middle and luxury market due to higher levels of consumer spending. These slight price increases are partly a result of the stability of the market and low levels of inflation and are highly stimulated by a greater demand for products with better warranties and materials. Prices did not increase significantly, mainly because of the high competition in this segment which slows down price increases. Ultimately, higher levels of employment in the country, increases in wages and higher disposable incomes have been driving Spanish consumers to prefer more expensive products than they did before 2007, pushing up average prices to some extent.

Among the synthetic products, a slight increase in the shower tray average price was registered, mainly due to the volume sold of this type of product and price range preferences towards the economic and middle segments.

Regarding the baths segment, most of the price pressure comes from demand – supply interaction and prices are provided mainly by the strong competition in the new build sector. For cast iron baths, the dominance of one or two manufacturers in this market allows them to have more flexibility with price setting, which is affected negatively by the lack of demand – so affecting the long-term cast iron price increase, as this market performs less freely.

Hydromassage baths' average price is high, given that if a consumer is prepared to spend money on hydrotherapy. However, average prices for a hydromassage bath decreased slightly in 2019 compared with 2018. The main reason for this was that the market experienced more sales into the economy price segment. Sales volume has grown, but the average product price has decreased due to the high share of economy products. Some manufacturers are struggling to remain in the market.

Regarding shower trays, new installation companies have been focusing on replacing baths with shower trays, satisfying the demand for this new trend. In fact, these companies offer both the replacement of the bath and the installation of the

shower tray in a short period of time, and some shower tray manufacturers have agreements with those new companies, even conducting joint marketing activities. Sometimes, they also have stands in DIY stores to make consumers aware of the advantages of replacing their bath and to inform them about the different products in their portfolio. Steel and cast-iron shower trays average prices increased slightly, mainly due to a switch towards the middle and upper/luxury price segments.

New Housing

New dwelling completions increased in 2019. This affected sales of baths, shower trays and hydromassage baths in a positive way. A high number of shower trays and baths are installed in residential new construction, although the increasing share of wet rooms has prevented installations from growing further.

Until a few years ago, most new dwellings were fitted with two baths; however, in Spain now there is a clear preference for showers. Also, with the share of new build flats increasing, the average size of bathrooms is reducing. This has negatively affected the average number of baths sold in new dwellings, and this market has been dropping significantly until 2016. The growing numbers of dwelling completions since 2017 reverted that trend. Despite the trend of installing one bath per dwelling, sales to the new housing sector increased significantly across almost all product segments in 2019. The fact is that a bath is usually installed in one bathroom, and in the second bathroom a shower tray would be installed. The most common typology for houses and apartments in Spain includes two bathrooms.

Nonetheless, the penetration of wet showers has become an important factor and this market is growing faster than expected, preventing sales of ceramic shower trays and synthetic shower trays from growing further. For hydromassage baths, only a marginal amount of sales went to the new housing end-use sector.

Housing RMI

The housing RMI segment has been an important driver for the bath and shower tray market (this is a mature market in Spain), principally because of the substitution trend away from baths and towards showers, as well as the growth in RMI expenditure. For baths and shower trays, the RMI segment represents the bulk of sales. Synthetic baths being installed in the RMI segment continued to increase due to the continuing popularity of light, cheap, flexible synthetic baths, as it is a product highly preferred by installers due to its lighter weight. Also, consumers have shown preference for the free-standing bath and its modern shapes which helped it increase in popularity. Therefore, steel baths have been losing share towards synthetic baths. However, steel baths still account for a high number of installations in the RMI sector. RMI demand accounts for a vast majority of sales for hydromassage baths and, surprisingly, constant demand has led to a relatively stable volume of units being sold to this sector. The reason behind this is that the main demand is coming from households that are replacing either a hydromassage bath or a traditional bath.

Volume sales of baths and shower trays are expected to decline in 2020 due to the COVID-19 pandemic. At the time of writing it is difficult to predict how profound the impact will be. During the first quarter, the market was relatively stable, but from March onwards the market in Spain (and globally) suffered. It will be necessary to follow the economy activity during the remainder of 2020 to forecast the overall impact and how it will develop in the coming years.

Non-Housing

The majority of demand for both baths and shower trays is from hotels, despite non-housing demand accounting for just a small share of sales of baths and shower trays in Spain in 2019. Although the increasing RMI activity in non-housing facilities boosted sales of baths, on the other hand, sales of shower trays declined in this segment. RMI investments delayed due to the economic crisis were reported to have grown, mostly in hotel refurbishments. The tourism sector is an important industry in Spain and according to the World Travel & Tourism Council (WTTC) the tourism sector in Spain represented in total 14.3% of the country's GDP. This was a key contributor to the performance in this segment in 2019; despite the slight decrease in new construction the real growth was in non-housing renovation and refurbishment works, as many firms in the tourism sector renovate their premises regularly to keep offering designs that are aligned with new market characteristics and tendencies.

Ceramic shower trays have been losing ground to synthetic shower trays which have gained market share in 2019. An increasing trend of installations of walk-in showers should prevent shower tray sales from increasing further in the non-housing sector.

The non-housing sector is an important source of demand for hydromassage baths, as uptake has come from hotels, care homes, spas and other wellness facilities. However, the share of hydromassage baths decreased over the years, due to improved levels of commercial construction activity and demand for accommodation in luxury hotels towards shower panels and shower heads with especially the waterfall option that could impact negatively sales of hydromassage baths in the non-housing segment.

Supply Structure

The domestic producer ROCA maintained its position as clear market leader in cast iron and steel baths; however, in synthetic baths ROCA has lost the first position to PORCELANOSA. ROCA is the sole Spanish producer of cast iron baths, imported from Portugal, and it is just one of a rapidly dwindling number of European producers. KOHLER and RECOR are the other manufacturers of cast iron baths in the Spanish market.

In the synthetic bath market PORCELANOSA kept the leadership with the brand NOKEN. SANYCCES, a Spanish manufacturer has grown fast over the last few

years and has a considerable share of the synthetic baths market, being the second market leader. ROCA remained at the third position. The rest of the market mainly consists of Spanish manufacturers, largely based in the Levante region (and also the Barcelona area to some extent), and hydrotherapy product specialists, which produce both conventional baths and hydromassage baths.

The structure of supply in the hydromassage bath segment remains approximately the same as in the last couple of years. The markets for hydromassage baths are characterised by imported products from Asia. PORCELANOSA is the market leader followed by SANYCCES. Due to the declined popularity of hydromassage baths in the Spanish market, a few players have stopped commercialising this product and others have reduced largely their presence in the market in recent years.

Italian imports have had a growing importance in the Spanish ceramic shower tray market in the past, both on their own and on an OEM basis. There are many imports of ceramic shower trays into the Spanish market (mainly from China) that are included in the category of 'Others'. ROCA remains the most important player in this sector with its brands ROCA, GALA and SANITANA, followed by IDEAL STANDARD and UNISAN.

In the synthetic shower tray market, FIORA remains the market leader, followed by MASCO and with mineral cast shower trays and GME LORENTE in third position. SANYCCES, MCBATH and ROCA are also important players in this market. The other market players include a number of Spanish companies, mostly based in the Castellón area. There is an important share for imports in the category of 'Others', which mainly come from China, Portugal and Egypt.

For steel shower trays, KALDEWEI was the market leader followed by PRACTIC and ROCA.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The outlook for new construction for 2020 it is uncertain. The first quarter started positively, although, due to the outbreak of the COVID-19 pandemic the market in general stopped for over a month. Experts are still studying and analysing the real impact in the Spanish market. The lockdown of the country by the government came into force after the first two weeks of March and by the end of April the measures were still taking place. The full impact of the pandemic on bathroom

product sales is still uncertain, but the market is expected to be severely affected in 2020.

Sales of baths and shower trays are predicted to experience a positive trend from 2021 due to the increasing number of new dwelling completions and thanks to an economic situation somewhat returning to normal after the sanitary crisis. However, sales are expected to increase due the positive performance of RMI activity, which is responsible for the large majority of sales. In addition to this, an increase in the new housing segment is expected to have a positive impact on the bath market from 2021 onwards. It is expected that sales of synthetic baths and shower trays should experience a higher increase; this is due to the significant improvement of new housing and to the continuing increase of RMI activity. RMI expenditure and preference are for a lighter, more durable product, such as the mineral cast and solid surface models (included in the synthetic category).

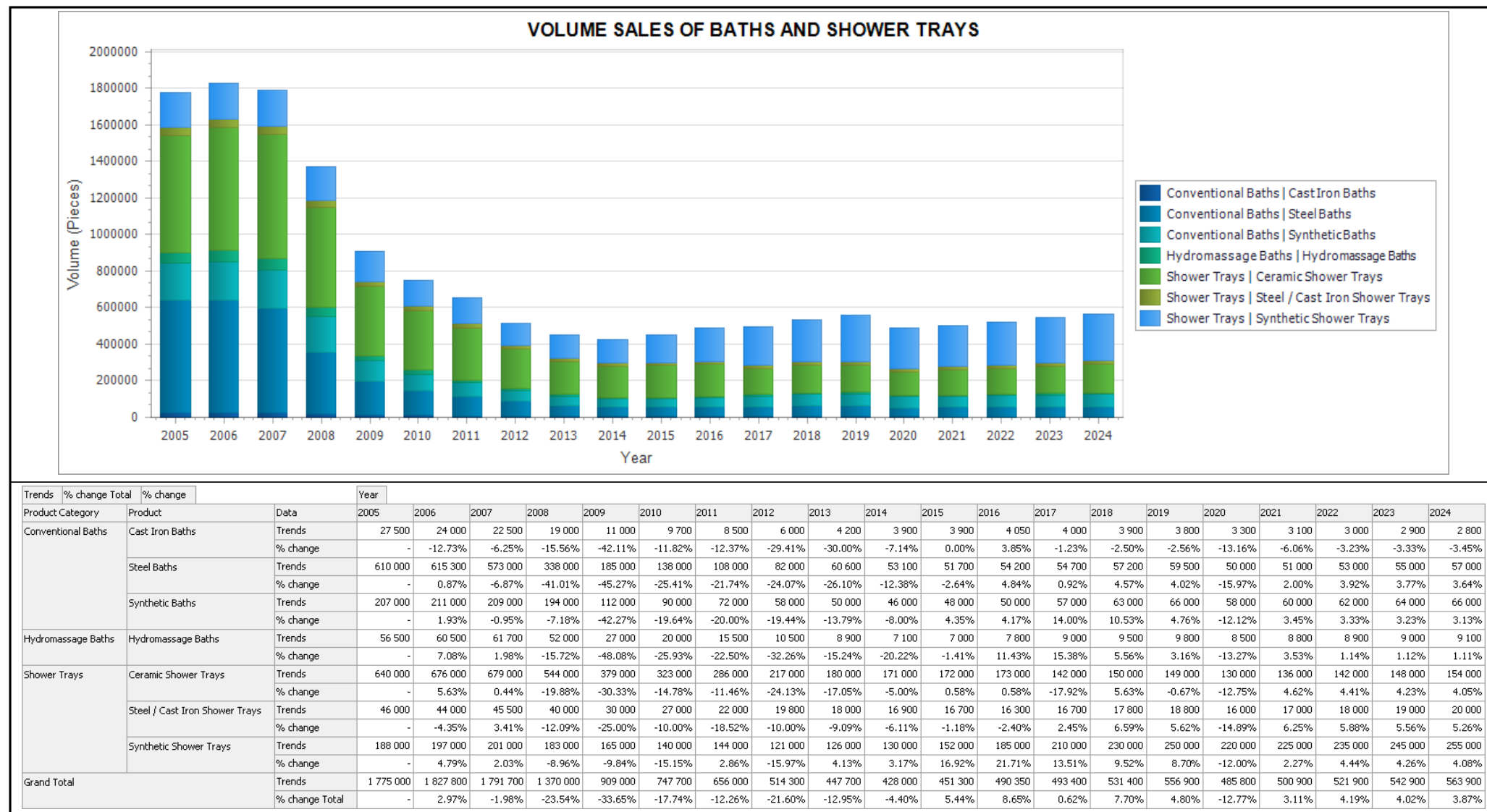
Sales of steel products are expected to decline for shower trays and baths in 2020 and recover from 2021 onwards. Ceramic shower trays should register a positive trend from 2021 onwards, due to the increase in new dwelling completions expected for these years. RMI should remain growing but at a slower pace each year during the forecast period.

Sales of shower trays should grow at a similar rate to baths, although with less volume due to the growing trend of replacing baths with shower trays. This leads to the continued loss of share of baths to shower trays. In addition, walk-in showers are expected to grow, mainly in new construction and the non-housing sector, which should hinder the growth of the baths and shower trays market.

After experiencing a prolonged recession and a governmental crisis the past years, Spain started the year with positive growth, although, due to the global outbreak due to the COVID-19, the IMF projects that the Spanish GDP should decline in 2020, and then grow again in 2021 onwards. This political, health and economic instability might have an impact on the economy with many investments potentially being put on hold.

1.2 Historical Trends and Forecasts

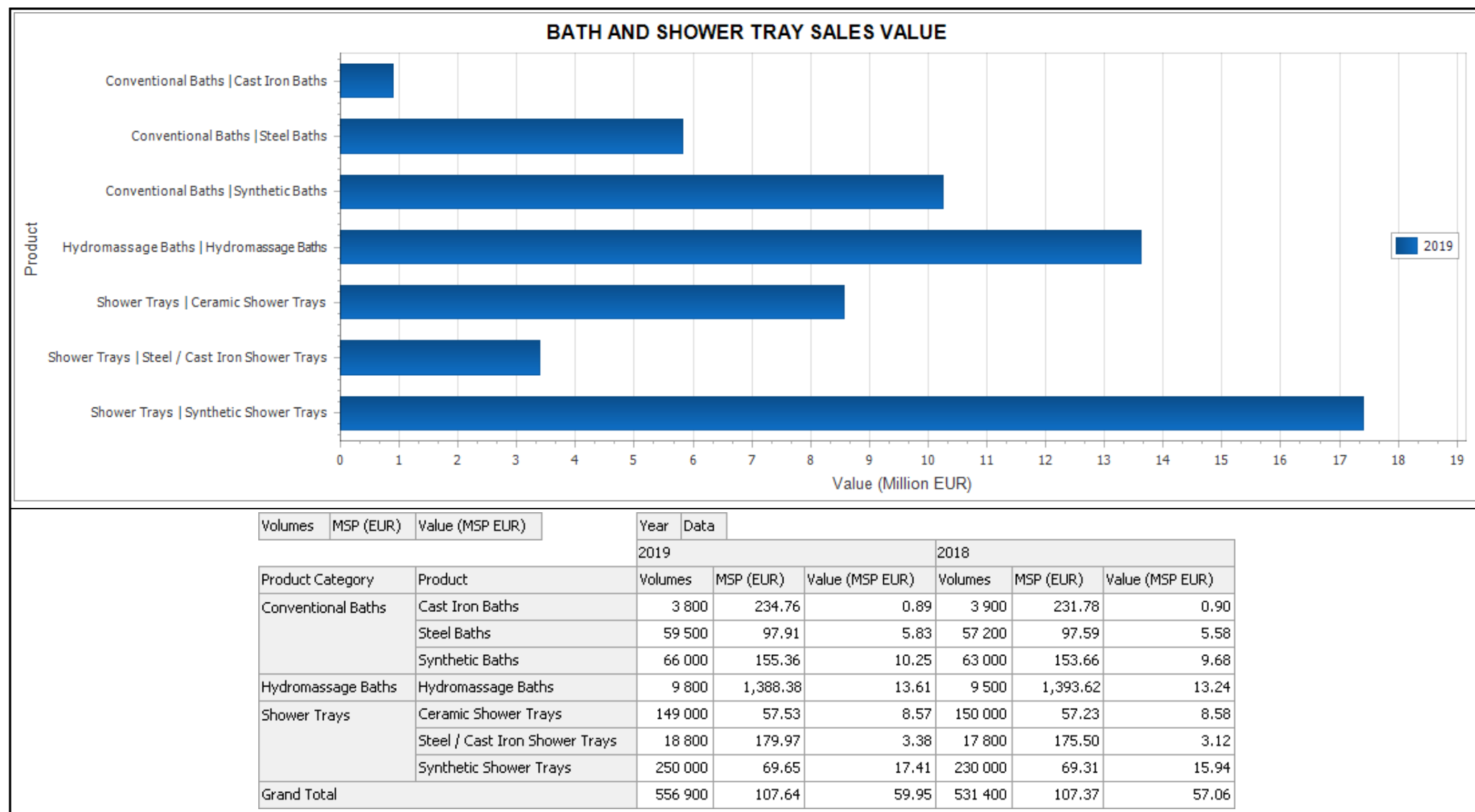
ES - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

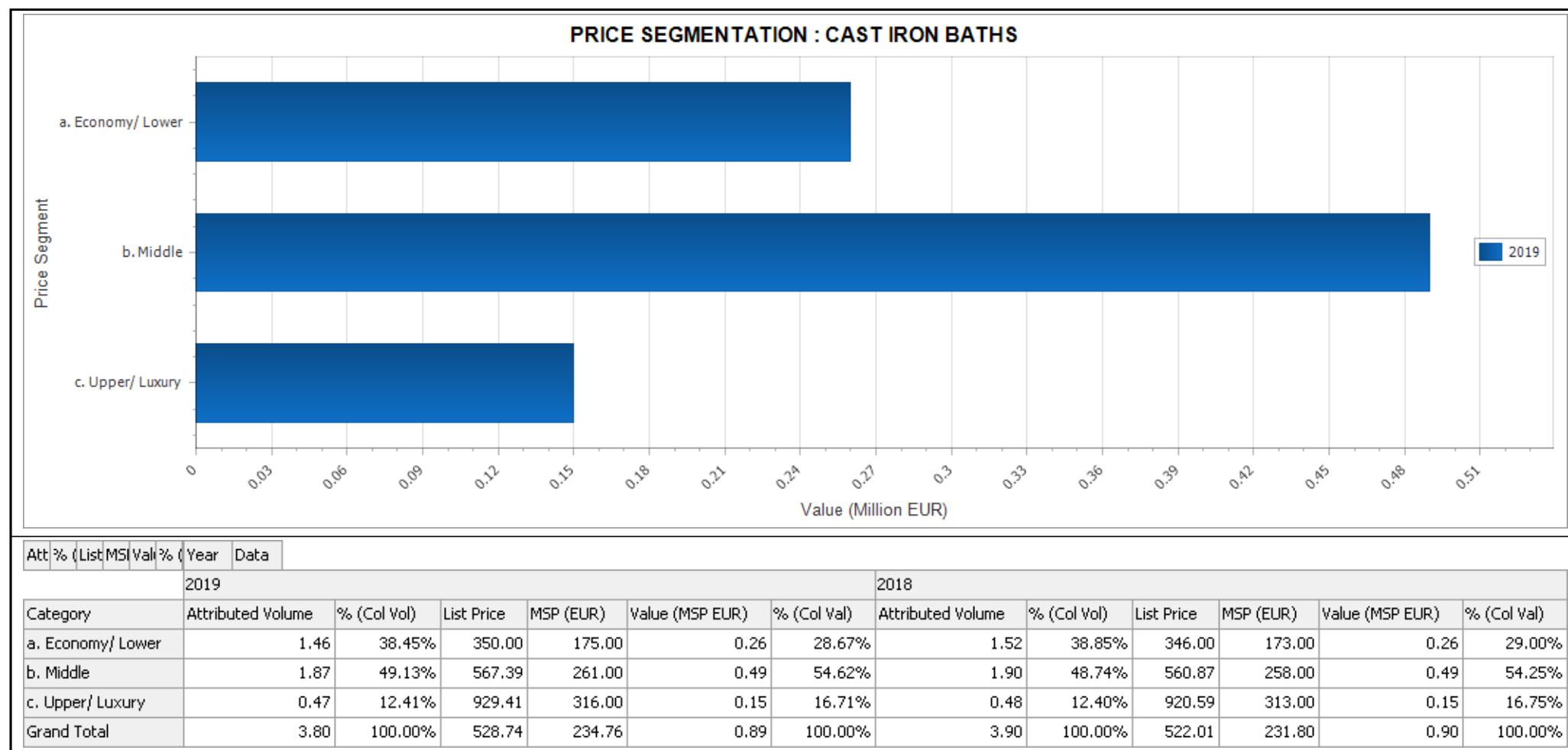
ES - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

ES - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

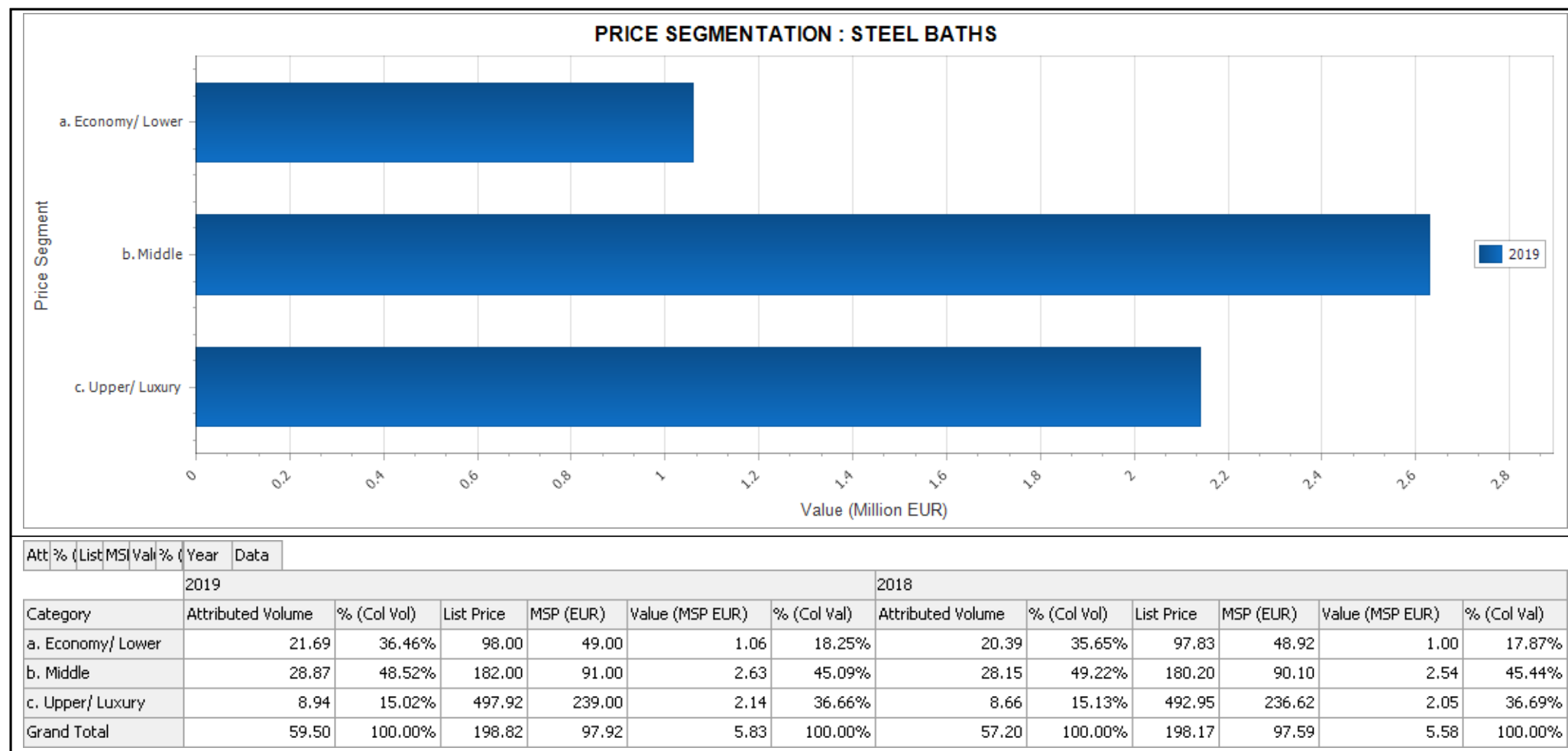


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

1.3.3 Price Segmentation : Steel Baths

ES - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

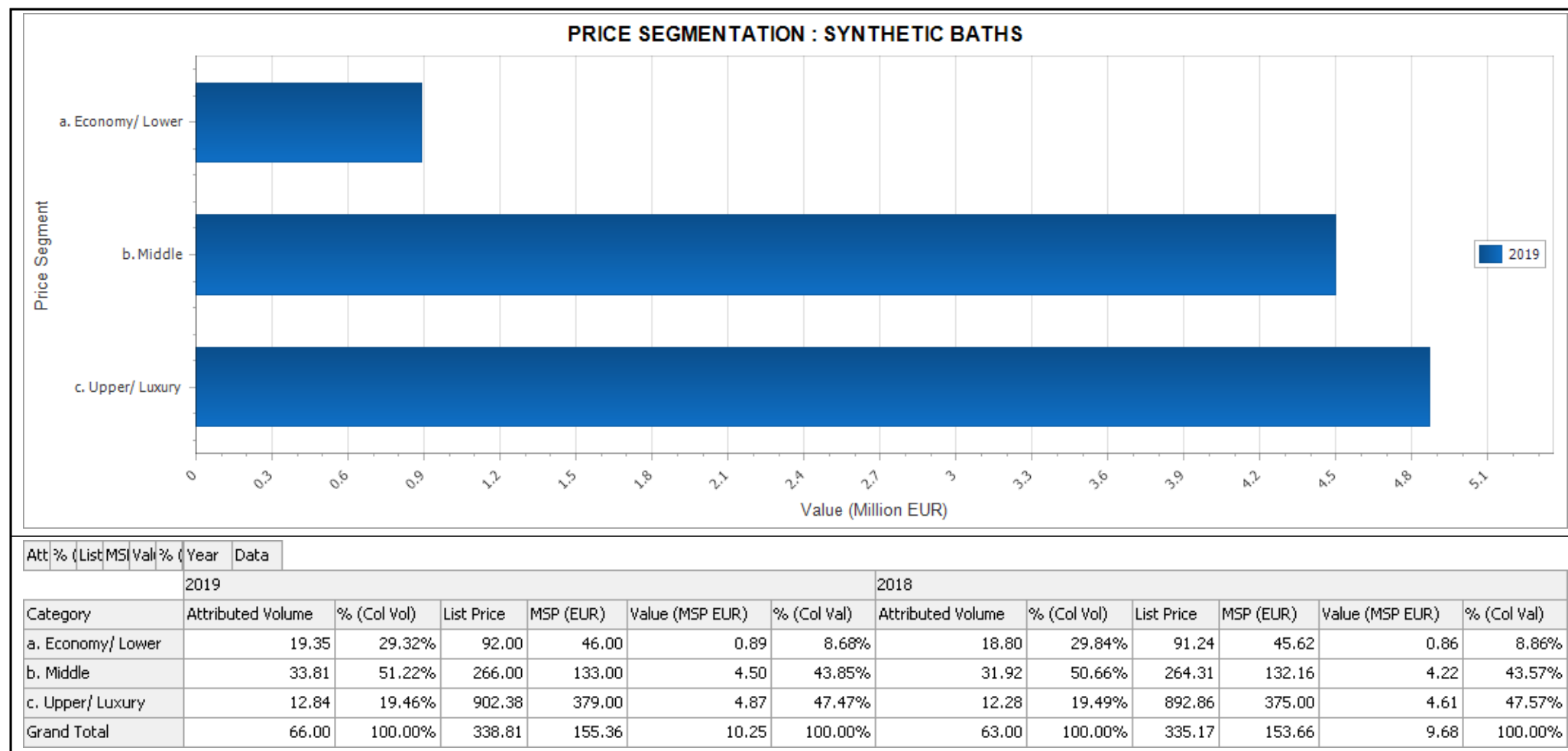


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€200, Upper/ Luxury >€200

1.3.4 Price Segmentation : Synthetic Baths

ES - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

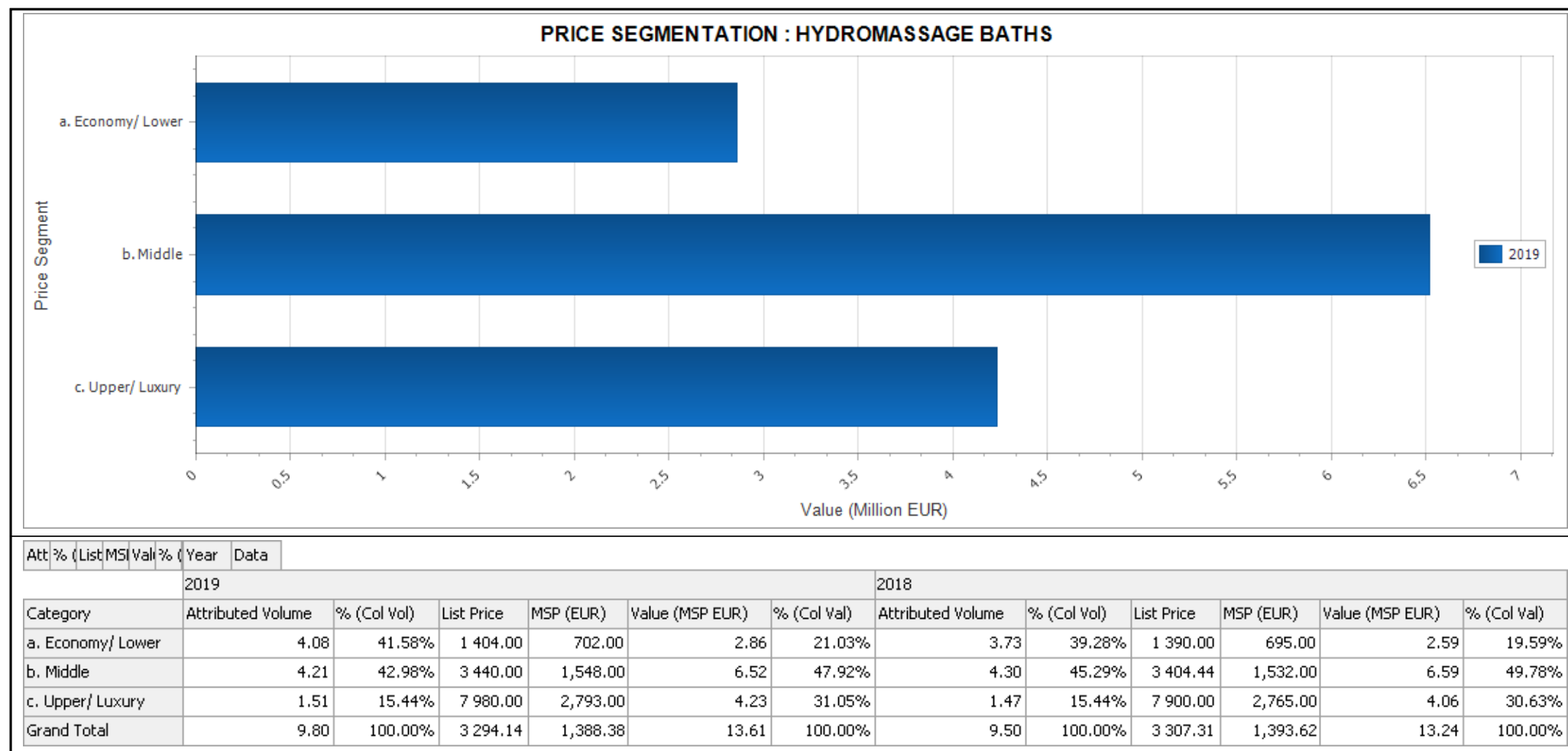


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€300, Upper/ Luxury >€300

1.3.5 Price Segmentation : Hydromassage Baths

ES - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

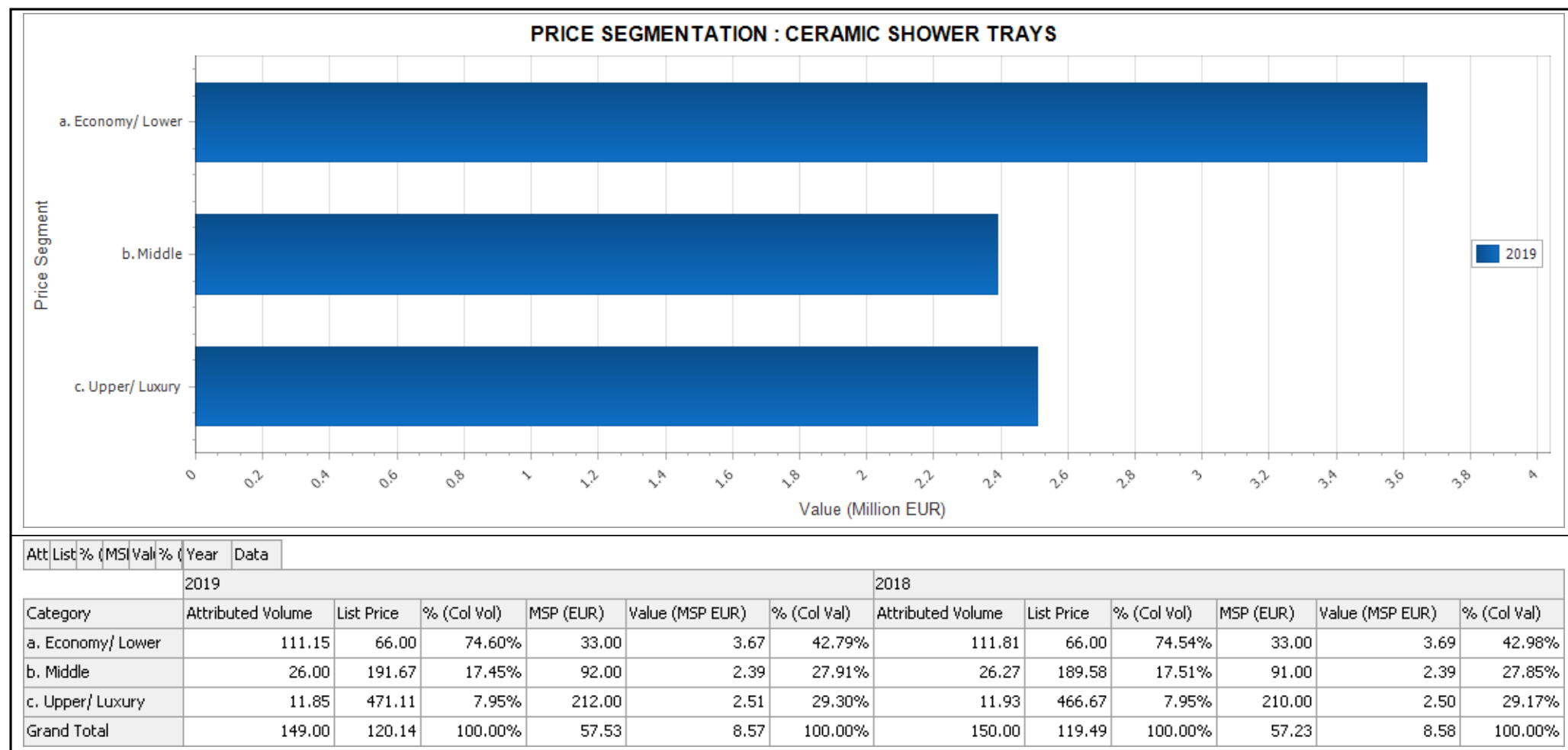


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€800, Middle €800-€1,800, Upper/ Luxury >€1,800

1.3.6 Price Segmentation : Ceramic Shower Trays

ES - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

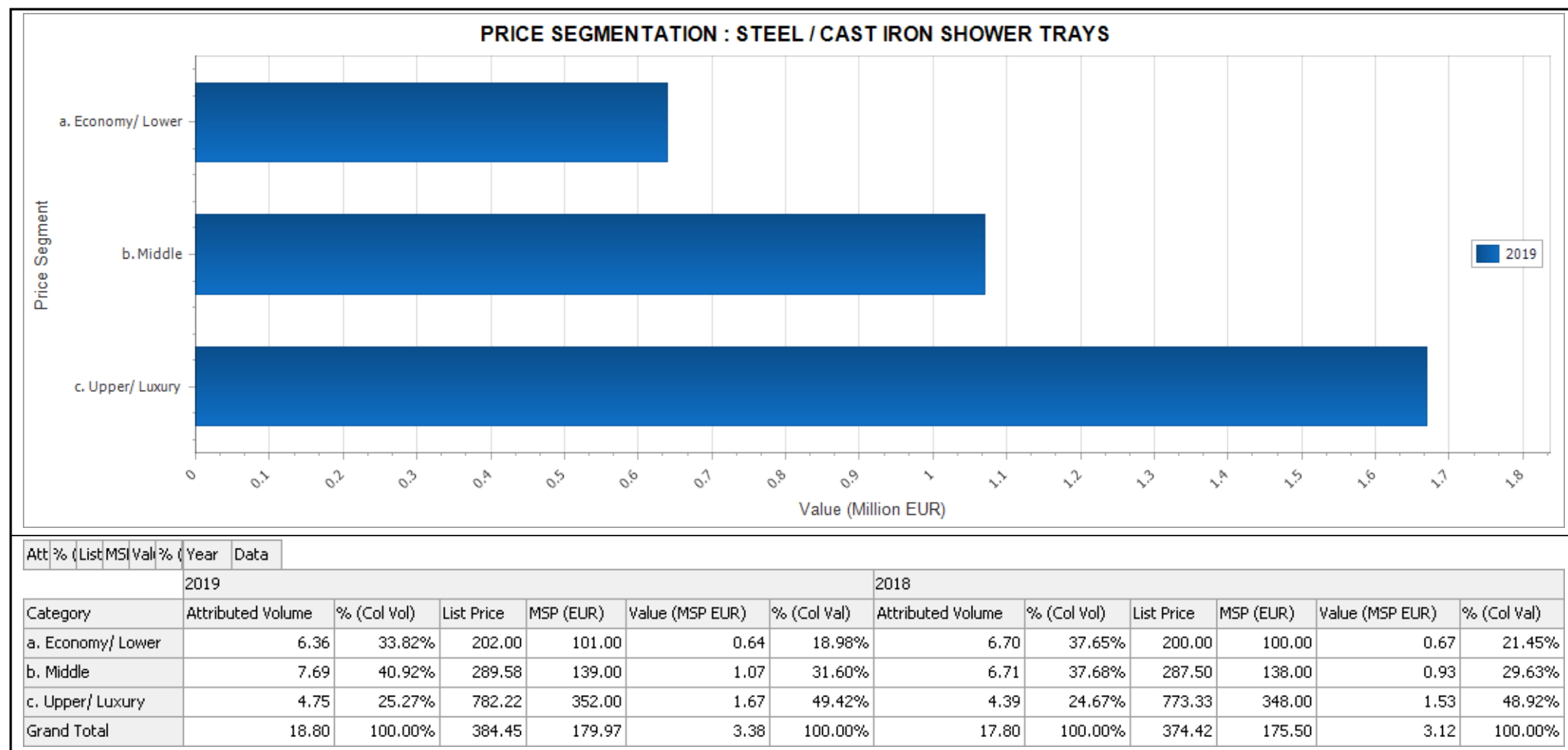


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€120, Upper/ Luxury >€120

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

ES - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

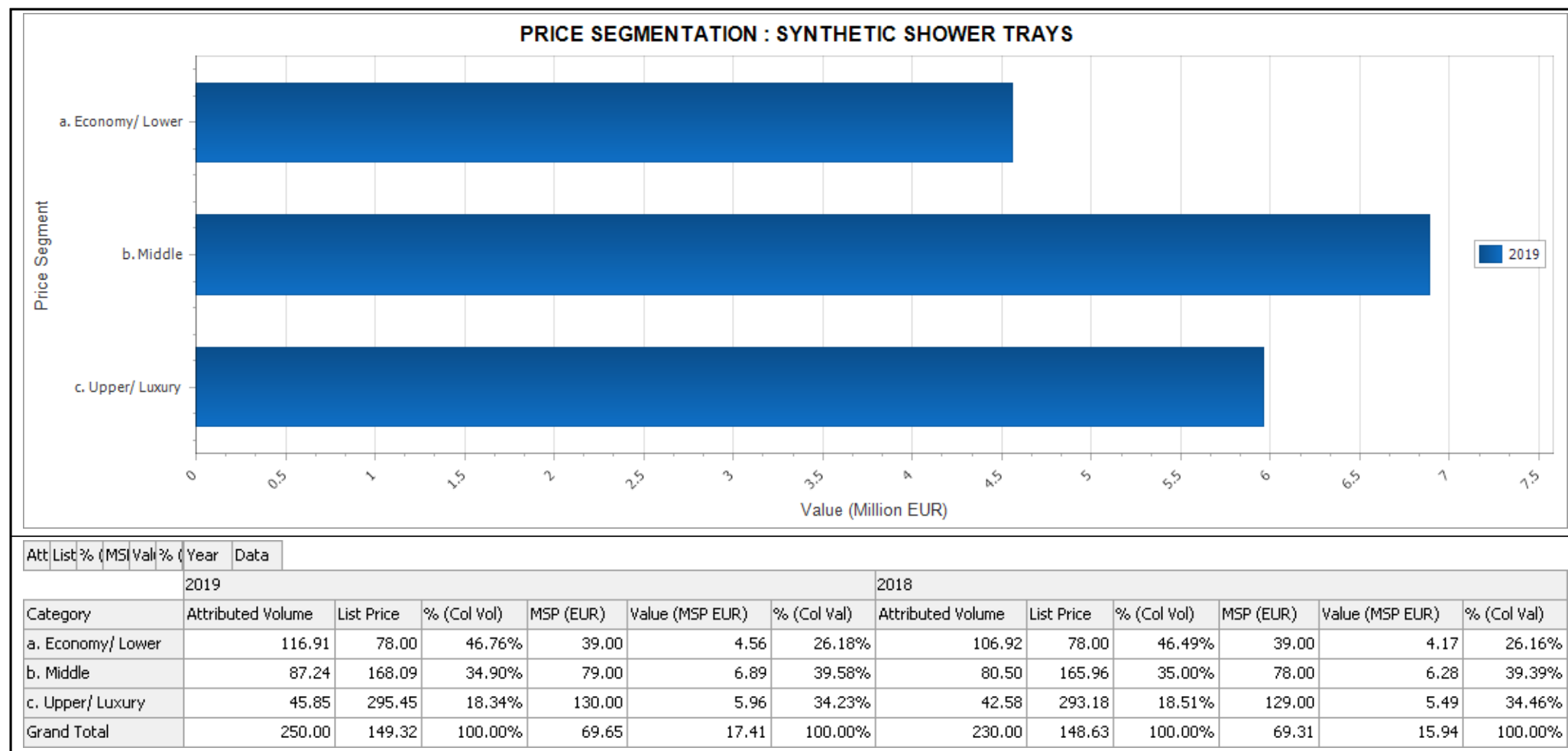


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€120, Middle €120-€250, Upper/ Luxury >€250

1.3.8 Price Segmentation : Synthetic Shower Trays

ES - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

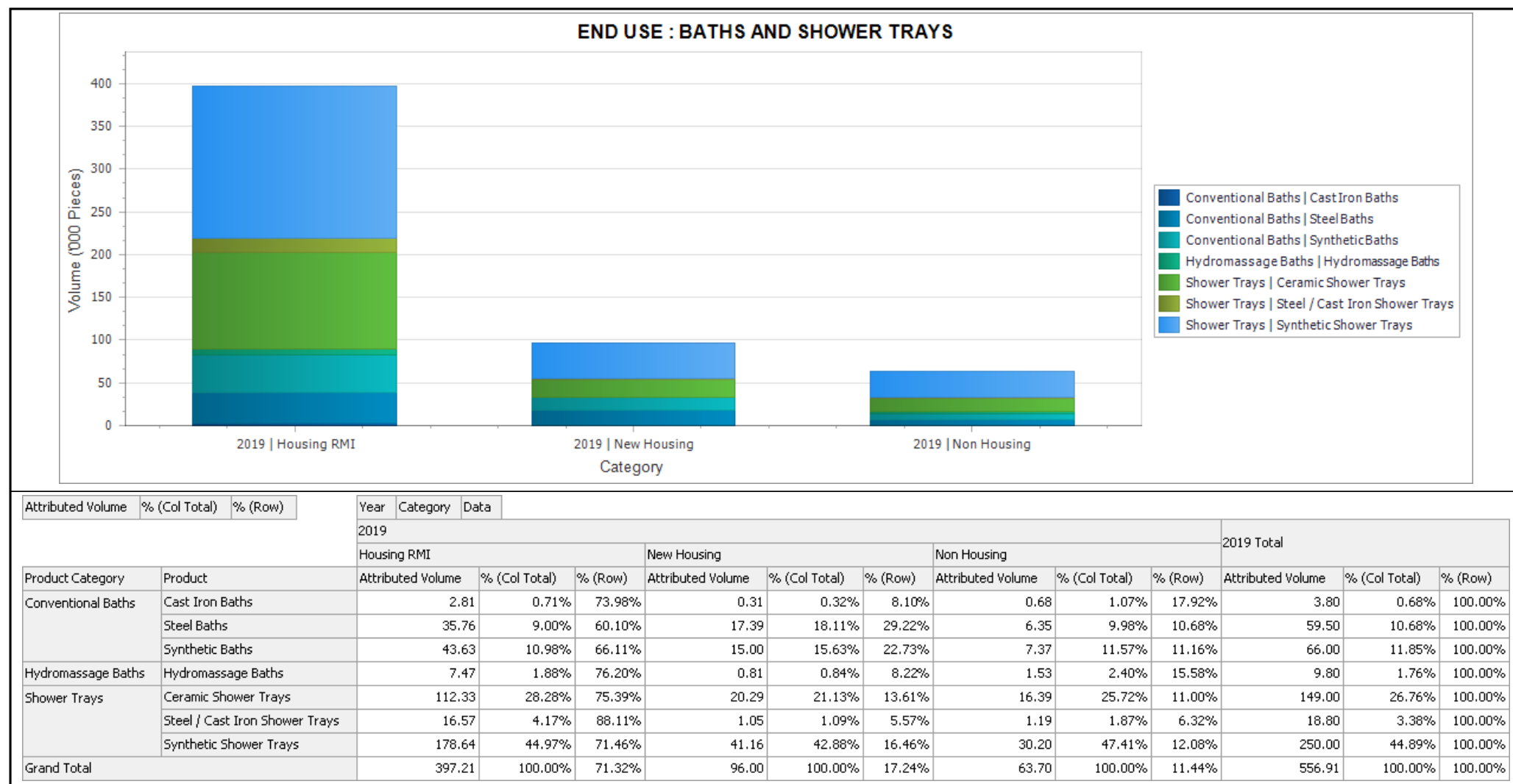


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.4.1 End Use : Base Year

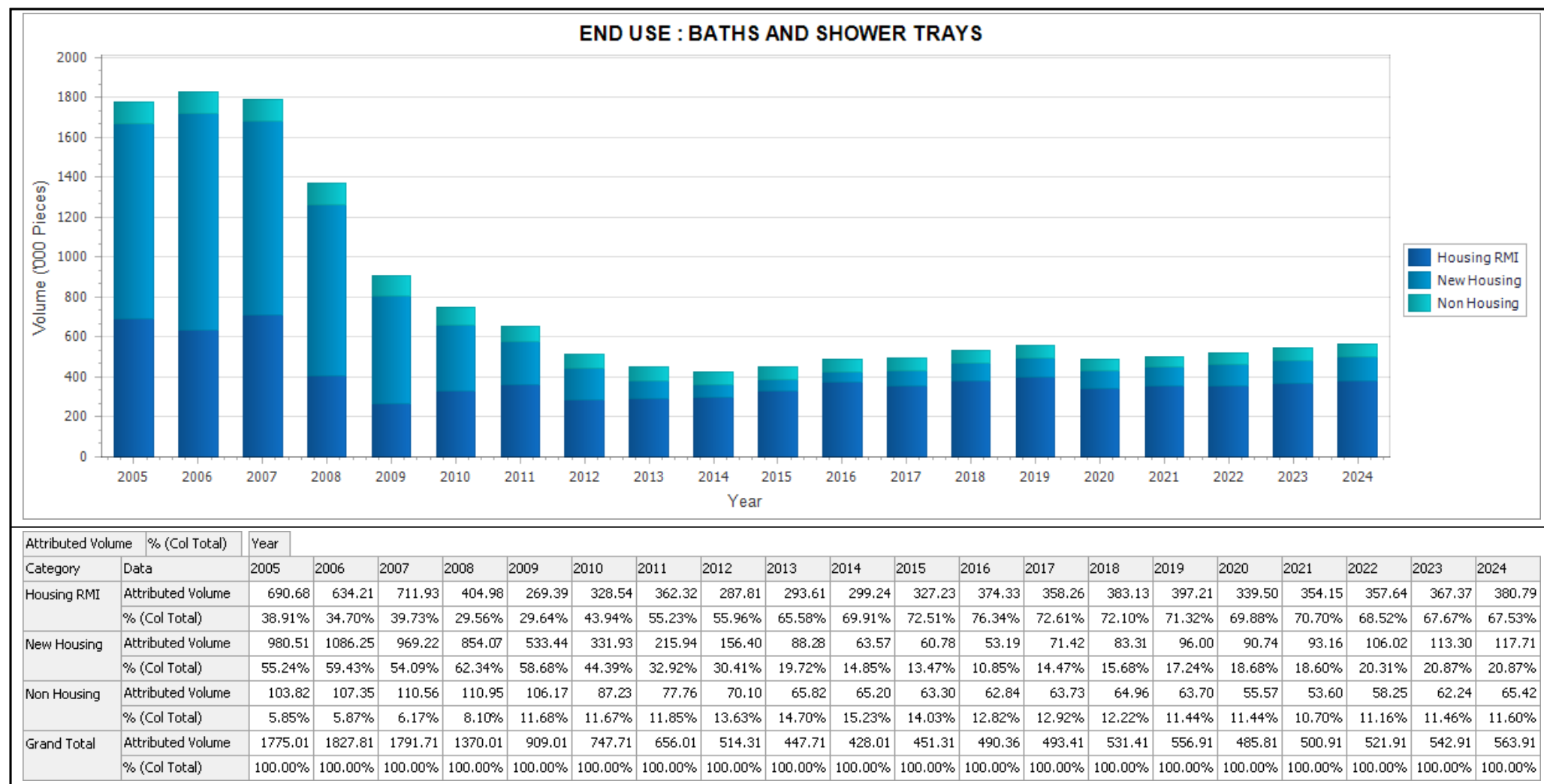
ES - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

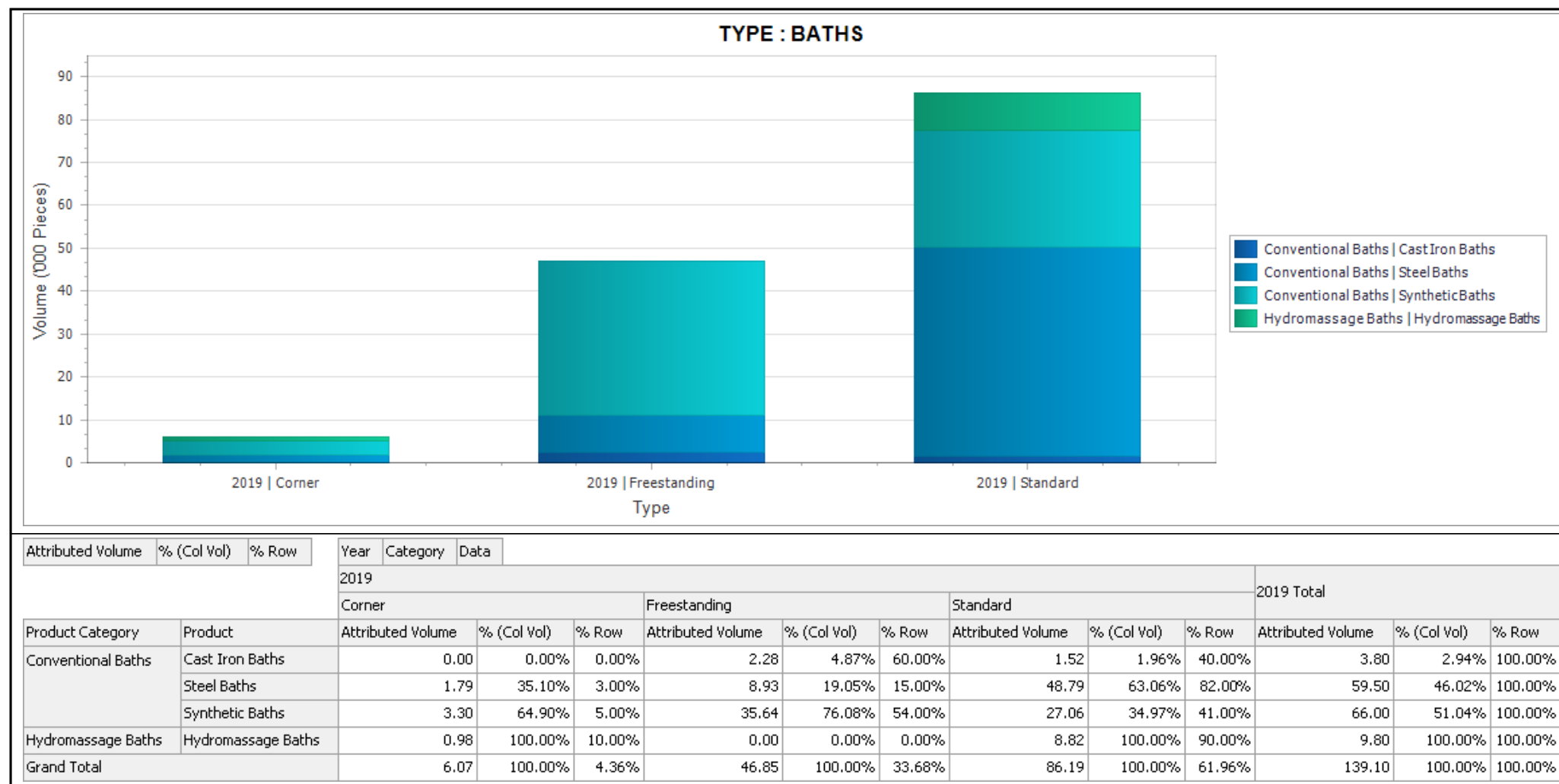
ES - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

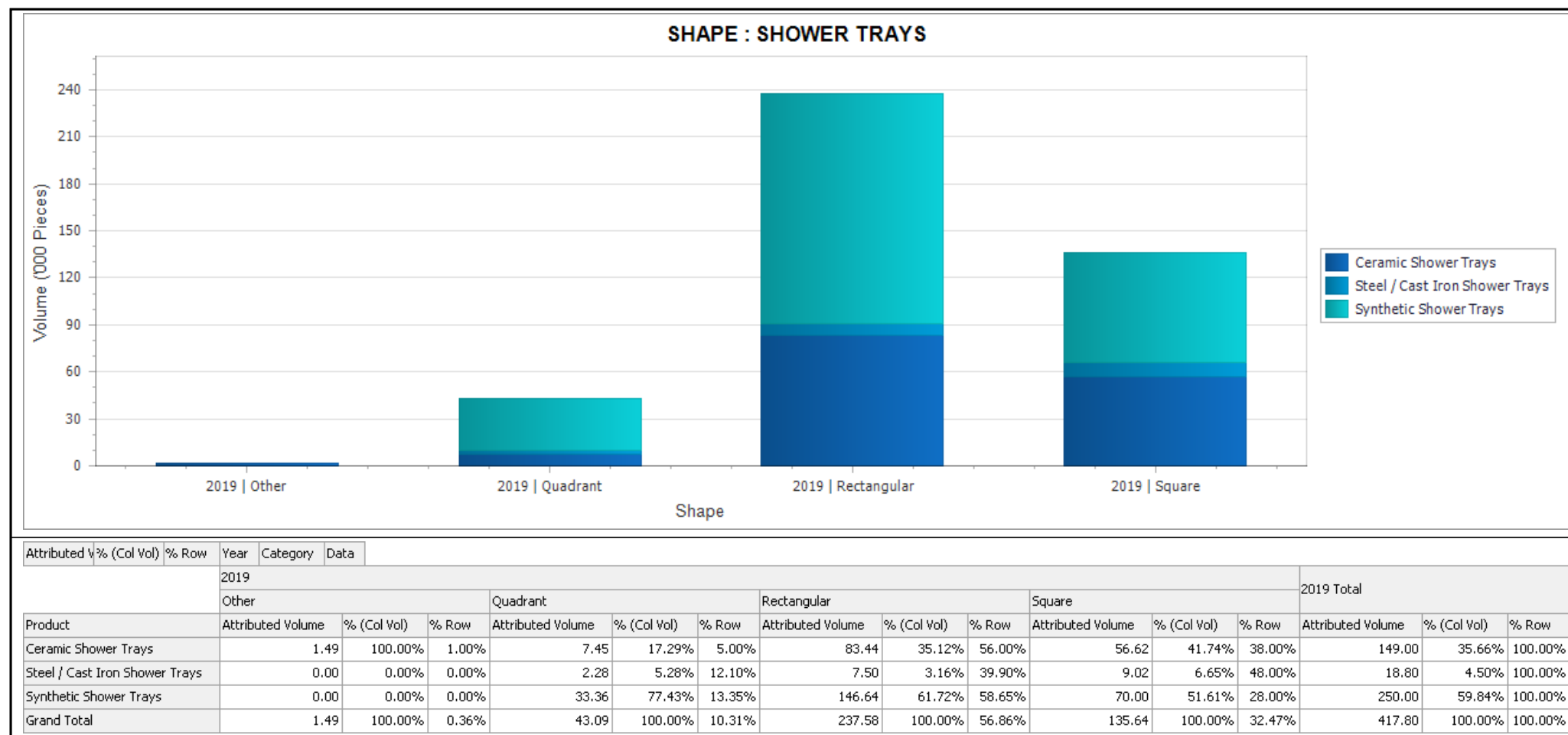
ES - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

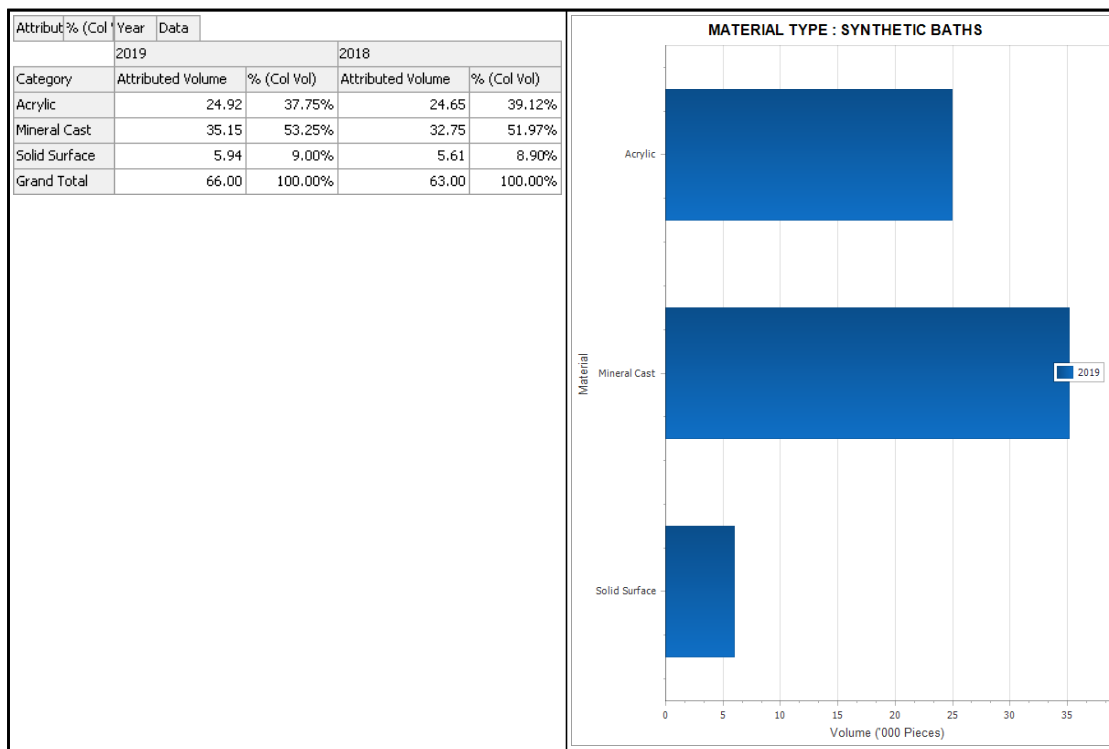
ES - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

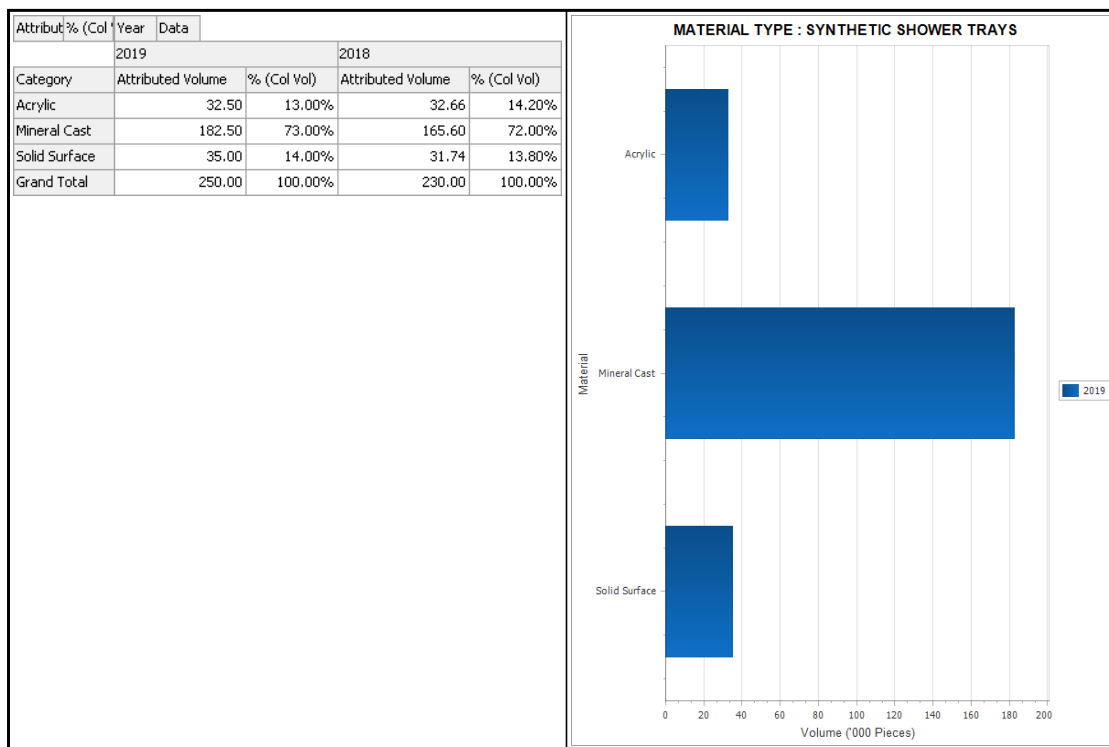
1.4.5 Sales by Material : Synthetic Baths

ES - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



1.4.6 Sales by Material : Synthetic Shower Trays

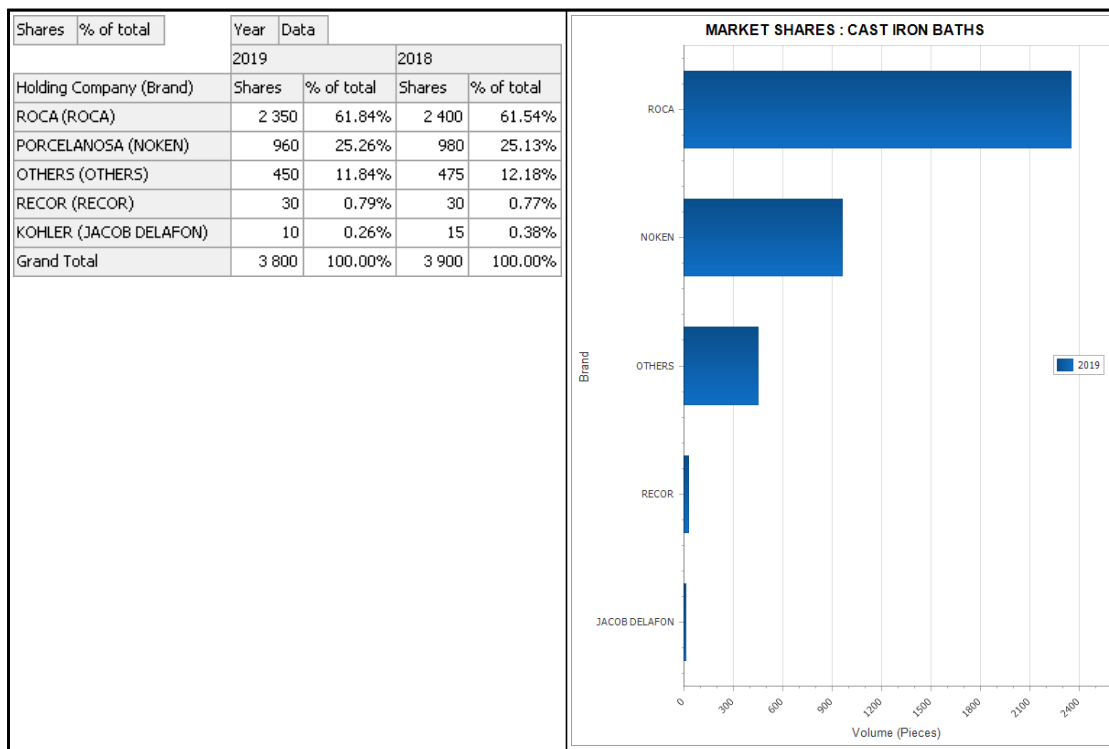
ES - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

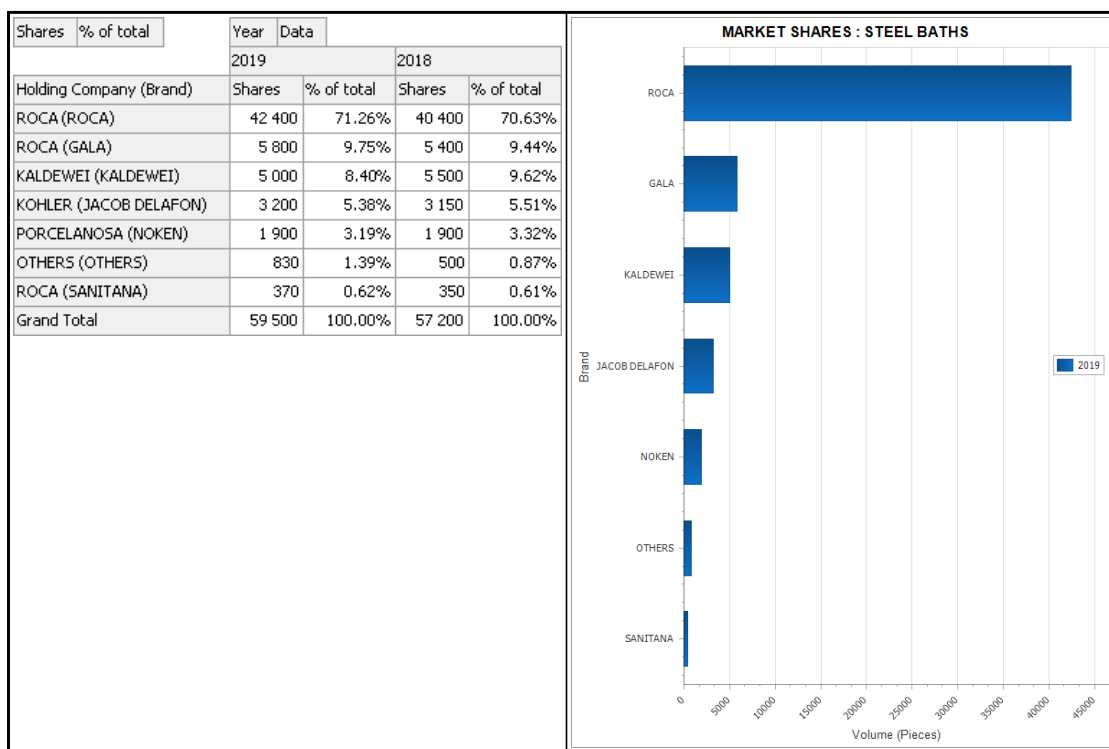
ES - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

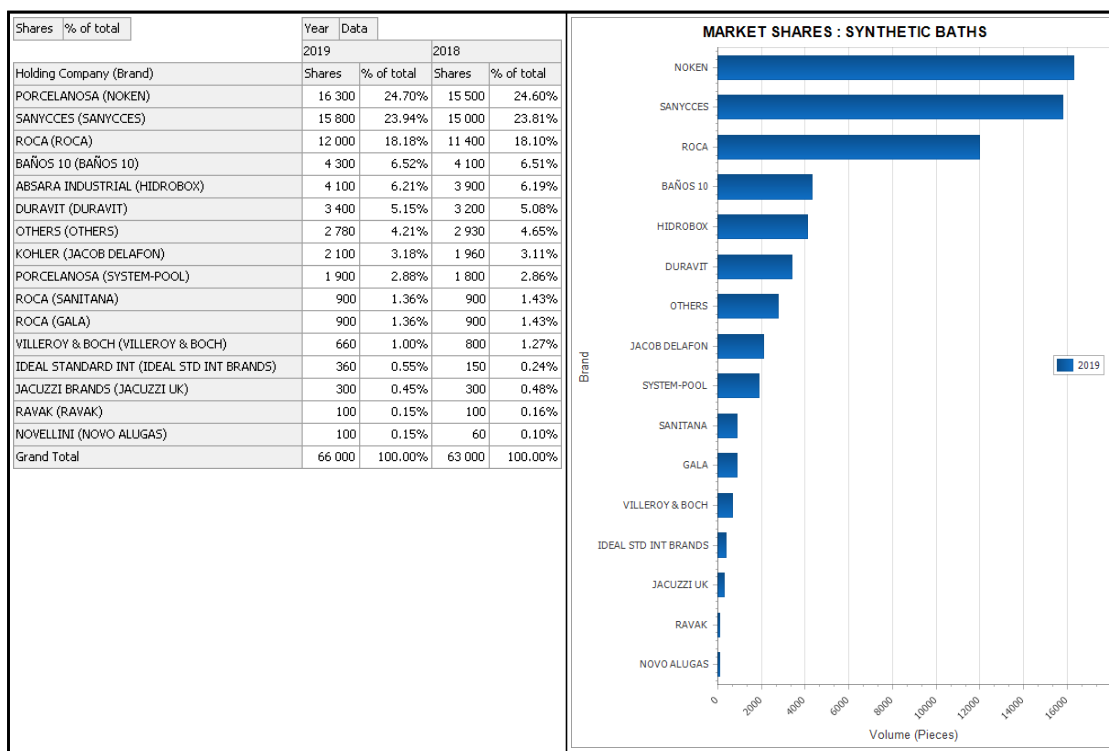
ES - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

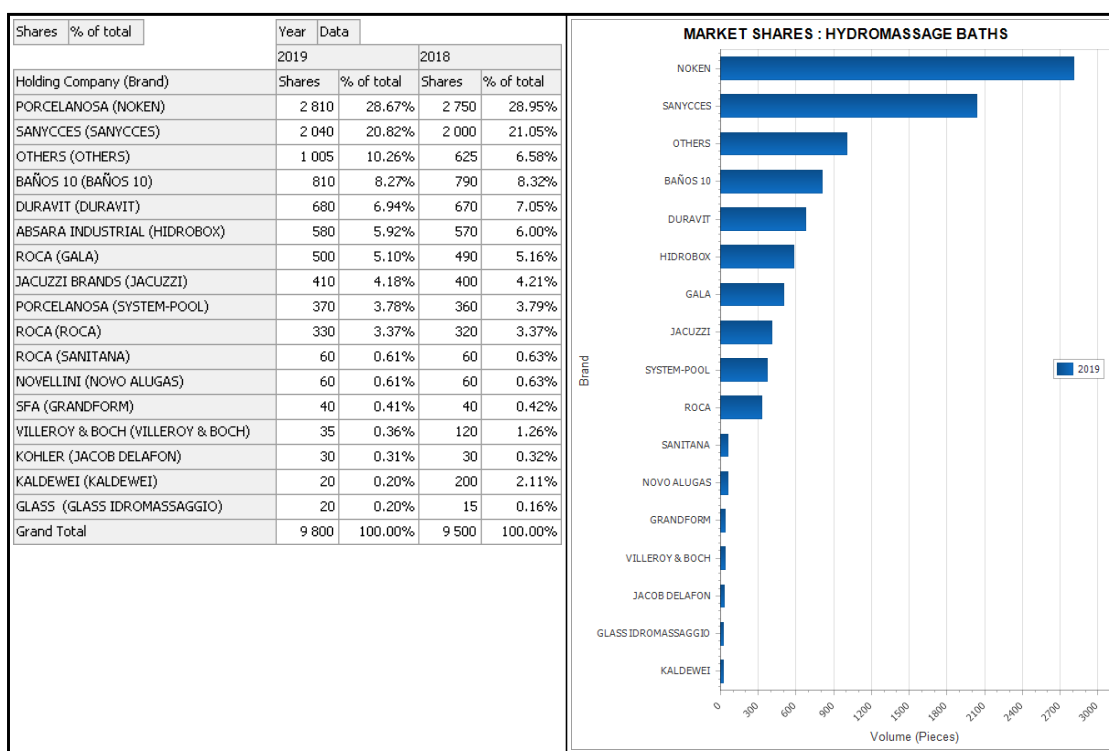
ES - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

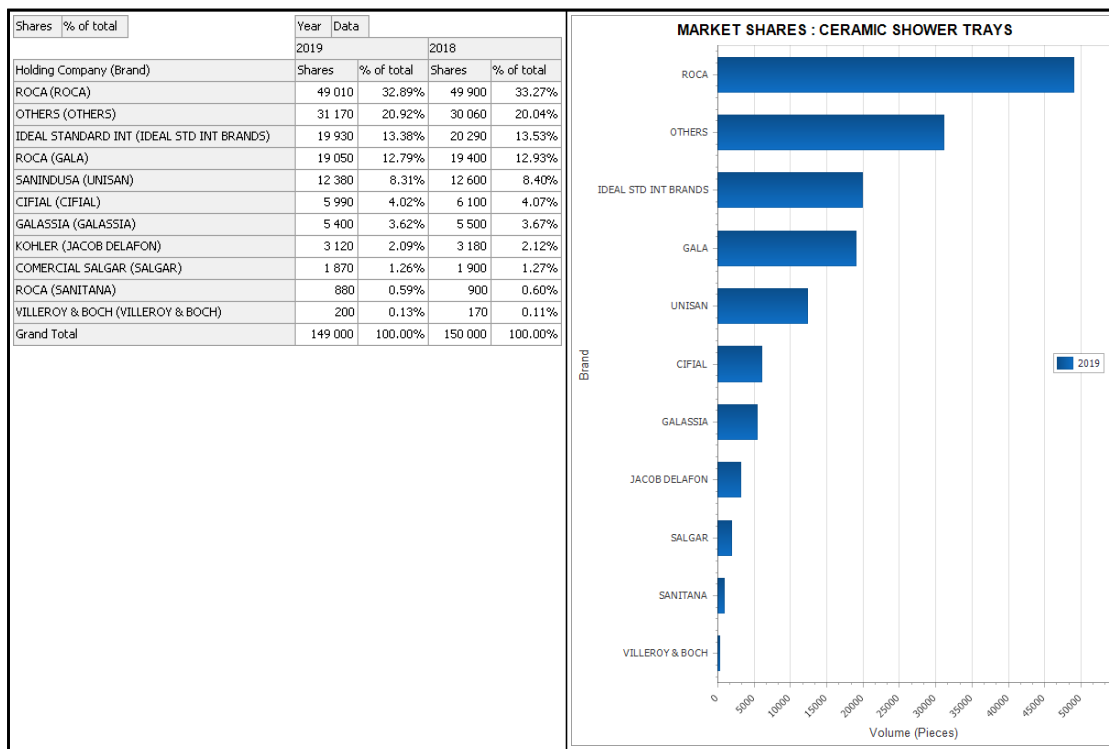
ES - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

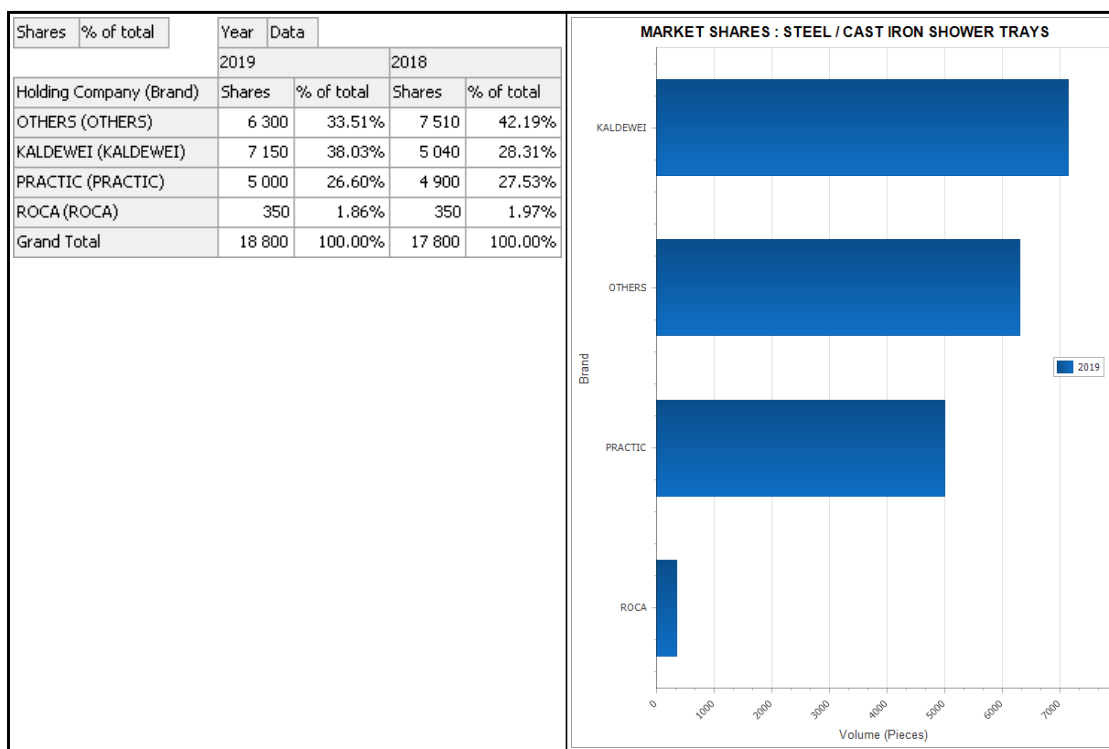
ES - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

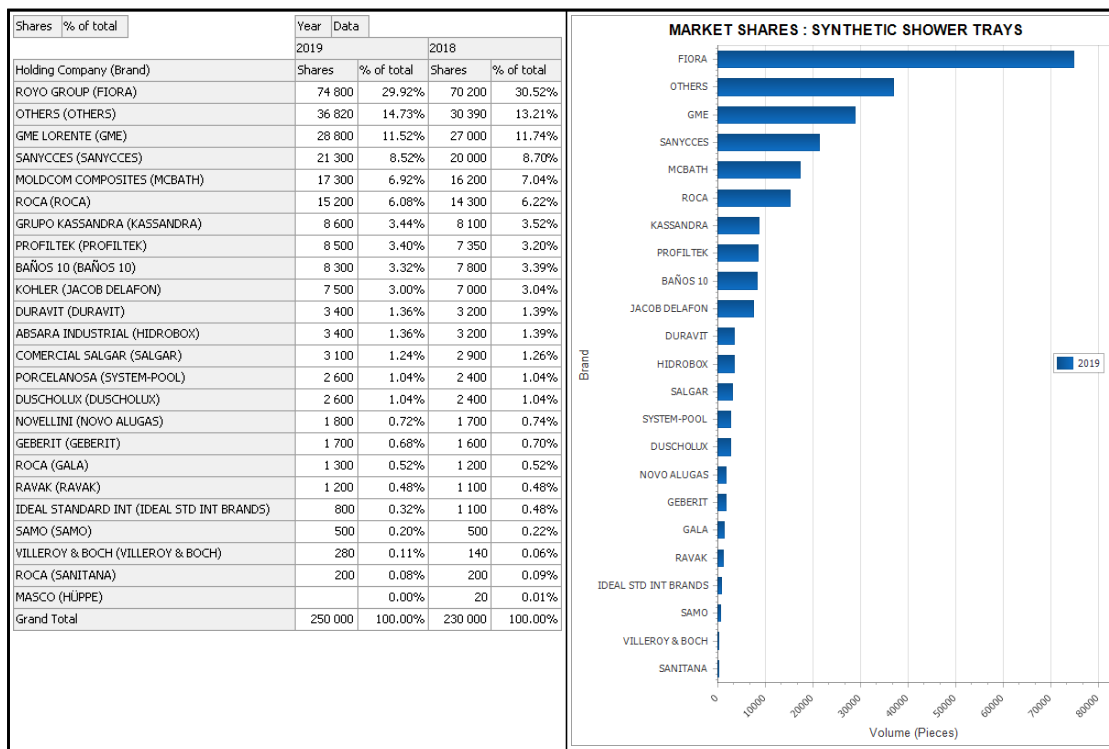
ES - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

ES - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 ES - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	21	71.8%	60	50.0%	26	84.3%	75	68.8%
China	4	13.0%	25	20.8%	4	11.8%	18	16.5%
France	3	11.3%	15	12.5%	0	1.4%	2	1.8%
Italy	1	3.6%	15	12.5%	0	1.5%	5	4.6%
OTHERS	0	0.4%	5	4.2%	0	1.0%	9	8.3%
Total	30	100.0%	120	100.0%	31	100.0%	109	100.0%

Source : Trademap

1.6.2 ES - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Russian Federation	2 925	83.1%	5 748	79.0%	3 559	82.0%	7 009	82.5%
Hong Kong, China	190	5.4%	429	5.9%	139	3.2%	300	3.5%
Portugal	100	2.8%	259	3.6%	50	1.2%	109	1.3%
Poland	75	2.1%	160	2.2%	26	0.6%	60	0.7%
Bulgaria	71	2.0%	160	2.2%	74	1.7%	152	1.8%
OTHERS	162	4.6%	519	7.1%	491	11.3%	868	10.2%
Total	3 522	100.0%	7 275	100.0%	4 339	100.0%	8 498	100.0%

Source : Trademap

1.6.3 ES - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	852	80.1%	1 487	59.9%	906	78.4%	1 605	57.6%
Italy	129	12.1%	311	12.5%	155	13.4%	367	13.2%
France	29	2.7%	211	8.5%	26	2.3%	191	6.9%
Germany	26	2.5%	274	11.0%	46	3.9%	260	9.3%
OTHERS	26	2.5%	200	8.1%	23	2.0%	362	13.0%
Total	1 063	100.0%	2 483	100.0%	1 156	100.0%	2 785	100.0%

Source : Trademap

1.6.4 ES - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	2 509	55.1%	4 770	51.5%	2 300	48.5%	4 189	46.6%
Russian Federation	766	16.8%	1 368	14.8%	898	19.0%	1 536	17.1%
United Kingdom	222	4.9%	411	4.4%	487	10.3%	873	9.7%
Switzerland	218	4.8%	348	3.8%	225	4.8%	366	4.1%
Chile	172	3.8%	336	3.6%	160	3.4%	309	3.4%
Portugal	159	3.5%	479	5.2%	161	3.4%	420	4.7%
China	99	2.2%	151	1.6%	126	2.7%	224	2.5%
Israel	86	1.9%	166	1.8%	73	1.5%	141	1.6%
Poland	80	1.8%	182	2.0%	76	1.6%	169	1.9%
Algeria	46	1.0%	113	1.2%	20	0.4%	50	0.6%
OTHERS	201	4.4%	940	10.1%	211	4.5%	718	8.0%
Total	4 558	100.0%	9 264	100.0%	4 738	100.0%	8 995	100.0%

Source : Trademap

1.6.5 ES - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	3 054	28.5%	7 428	20.7%	3 684	34.7%	8 231	23.2%
China	2 054	19.2%	7 283	20.3%	2 192	20.6%	7 093	20.0%
Egypt	2 049	19.2%	5 047	14.0%	2 293	21.6%	5 850	16.5%
Poland	1 647	15.4%	3 425	9.5%	287	2.7%	1 012	2.8%
France	463	4.3%	2 871	8.0%	427	4.0%	2 758	7.8%
Italy	453	4.2%	3 791	10.5%	651	6.1%	4 008	11.3%
Germany	213	2.0%	2 127	5.9%	179	1.7%	1 979	5.6%
United Kingdom	173	1.6%	818	2.3%	170	1.6%	834	2.3%
Bulgaria	155	1.4%	758	2.1%	198	1.9%	826	2.3%
Turkey	109	1.0%	331	0.9%	193	1.8%	636	1.8%
OTHERS	328	3.1%	2 084	5.8%	348	3.3%	2 298	6.5%
Total	10 697	100.0%	35 963	100.0%	10 622	100.0%	35 525	100.0%

Source : Trademap

1.6.6 ES - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	15 711	59.3%	54 030	54.4%	11 431	58.6%	43 966	55.7%
Italy	4 910	18.5%	17 250	17.4%	3 648	18.7%	12 502	15.8%
Portugal	1 507	5.7%	7 250	7.3%	1 141	5.8%	5 701	7.2%
Belgium	832	3.1%	2 838	2.9%	344	1.8%	1 460	1.9%
United Kingdom	743	2.8%	3 272	3.3%	429	2.2%	2 273	2.9%
Poland	379	1.4%	933	0.9%	15	0.1%	213	0.3%
Germany	286	1.1%	1 737	1.7%	212	1.1%	1 481	1.9%
OTHERS	2 118	8.0%	12 077	12.2%	2 292	11.7%	11 308	14.3%
Total	26 486	100.0%	99 387	100.0%	19 512	100.0%	78 904	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	84.1%
	Wholesalers / Merchants
	84.1%

Retail Level	Manufacturer 0.0%	Wholesaler 1.0%	Manufacturer 6.0%	Wholesaler 7.0%	Manufacturer 9.9%	Wholesaler 18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.0%		13.0%		27.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	10.0%	0.0%	1.9%	2.8%
Installers				
14.7%				

End Use Level	Manufacturer 0.0%	Wholesaler 44.1%	Internet 1.0%	DIY 11.0%	Specialist 25.1%	Installer 7.3%
	Residential					
	88.5%					
	New Build		Residential RMI			
	24.1%		64.5%			
	Project	Non-Project	Project	Non-Project		
	19.0%	5.1%	0.1%	64.3%		
	Non-Residential					
	11.5%					
	New Build		Non-Residential RMI			
	3.0%		8.5%			
	Project	Non-Project	Project	Non-Project		
	2.2%	0.8%	6.3%	2.1%		

1.7.2

Route to Market: Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.5%
	Wholesalers / Merchants
	78.5%

Retail Level	Manufacturer 0.0%	Wholesaler 1.0%	Manufacturer 7.0%	Wholesaler 8.0%	Manufacturer 14.5%	Wholesaler 18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.0%		15.0%		32.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	11.0%	0.0%	2.3%	26.5%
Installers				
39.8%				

End Use Level	Manufacturer 0.0%	Wholesaler 35.5%	Internet 1.0%	DIY 12.8%	Specialist 6.0%	Installer 32.0%
	Residential					
	87.2%					
	New Build		Residential RMI			
	29.7%		57.5%			
	Project	Non-Project	Project	Non-Project		
	25.3%	4.5%	2.9%	54.6%		
	Non-Residential					
	12.8%					
	New Build		Non-Residential RMI			
	3.0%		9.8%			
	Project	Non-Project	Project	Non-Project		
	2.6%	0.5%	8.3%	1.5%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

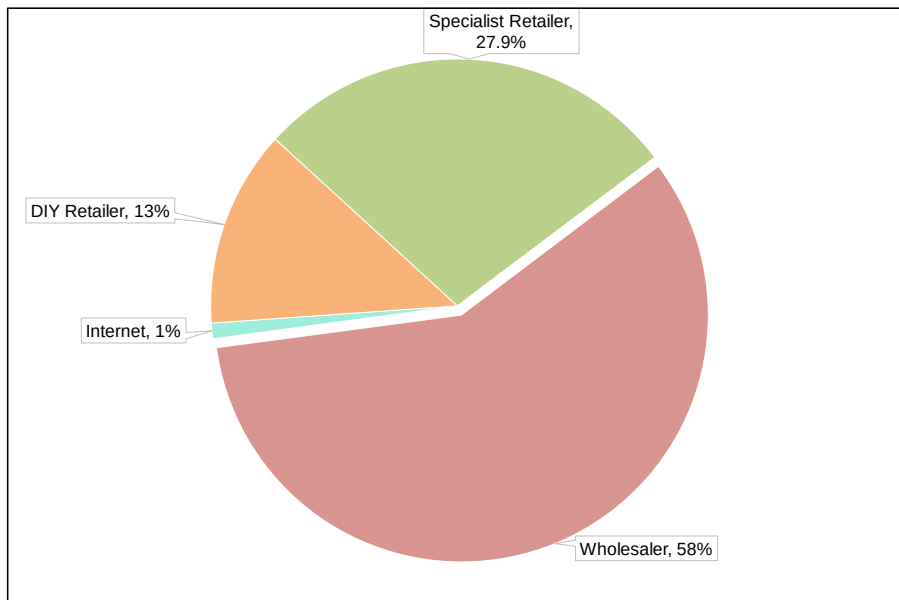
1.7.3 Route to Market - Consolidated View : Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
58.2%	1.0%	12.9%	27.9%	0.0%	19.1%	8.5%	69.4%	2.9%
100%					27.6%		72.4%	

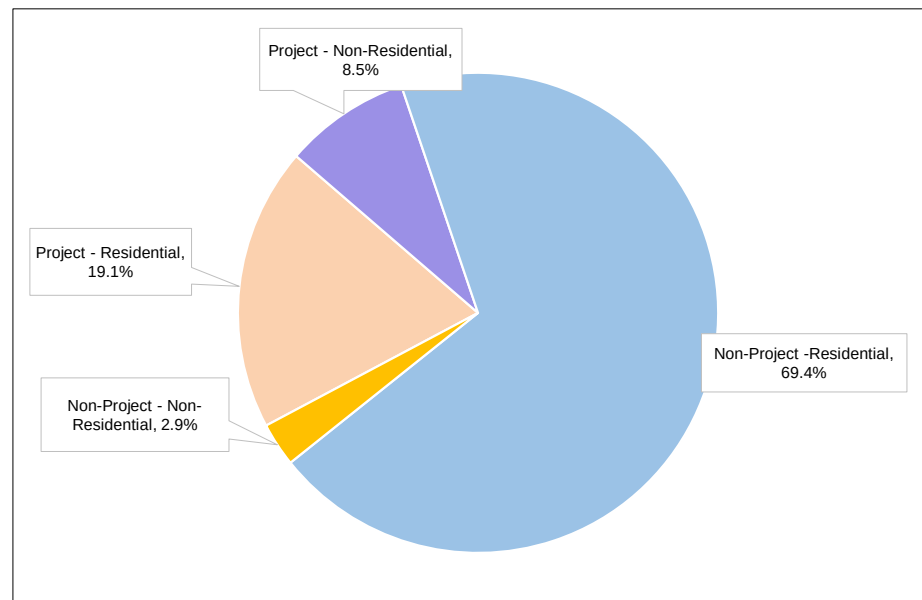
1.7.4 Route to Market - Consolidated View : Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.5%	1.0%	15.0%	32.5%	0.0%	28.2%	10.8%	59.1%	1.9%
100%					39.0%		61.0%	

ES - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.2%
	Wholesalers / Merchants
	79.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.4%	2.1%	7.6%	11.0%	8.2%	10.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.5%		18.6%		18.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.7%	43.0%	1.0%	1.9%	13.3%
Installers				
62.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	8.1%	2.5%	14.7%	3.3%	60.0%	0.0%	5.0%	0.0%	2.0%	1.6%	2.8%
	Residential						Non-Residential					
	88.6%						11.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.0%			73.6%			3.0%			8.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.2%		3.7%	3.7%		69.9%	2.6%		0.5%	6.3%		2.1%

1.7.6

Route to Market: Shower Trays
ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.0%
	Wholesalers / Merchants
	73.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.6%	2.6%	10.0%	12.0%	11.0%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.2%		22.0%		20.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.0%	42.0%	1.0%	2.2%	15.6%
Installers				
64.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.4%	1.9%	3.2%	17.3%	3.0%	63.0%	0.0%	5.5%	0.0%	2.5%	1.4%	1.8%
	Residential						Non-Residential					
	88.8%						11.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	18.1%			70.7%			3.0%			8.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	13.6%		4.5%	3.5%		67.1%	2.6%		0.5%	6.2%		2.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

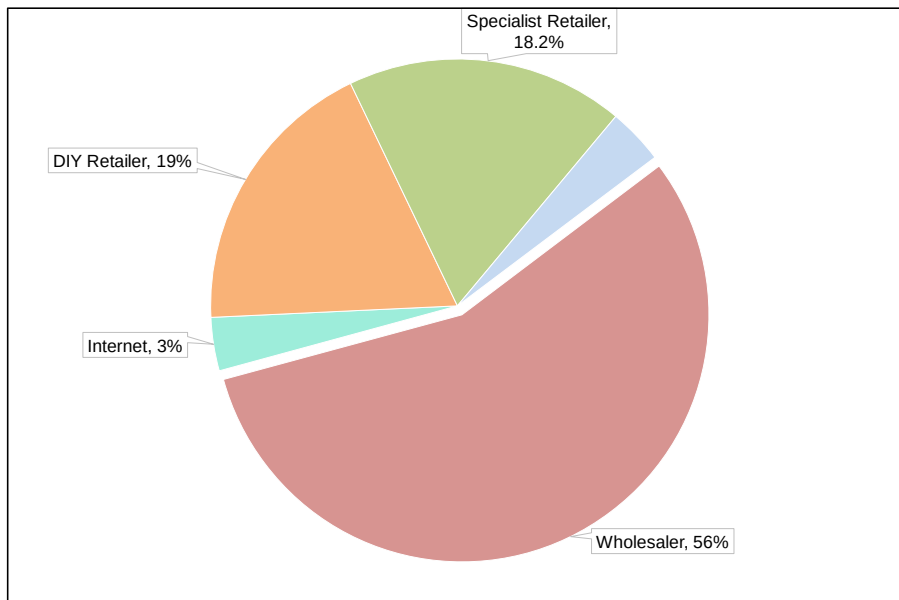
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
56.1%	3.5%	18.6%	18.2%	3.7%	14.9%	8.9%	73.7%	2.6%
100%					23.8%		76.2%	

1.7.8 Route to Market - Consolidated View : Shower Trays

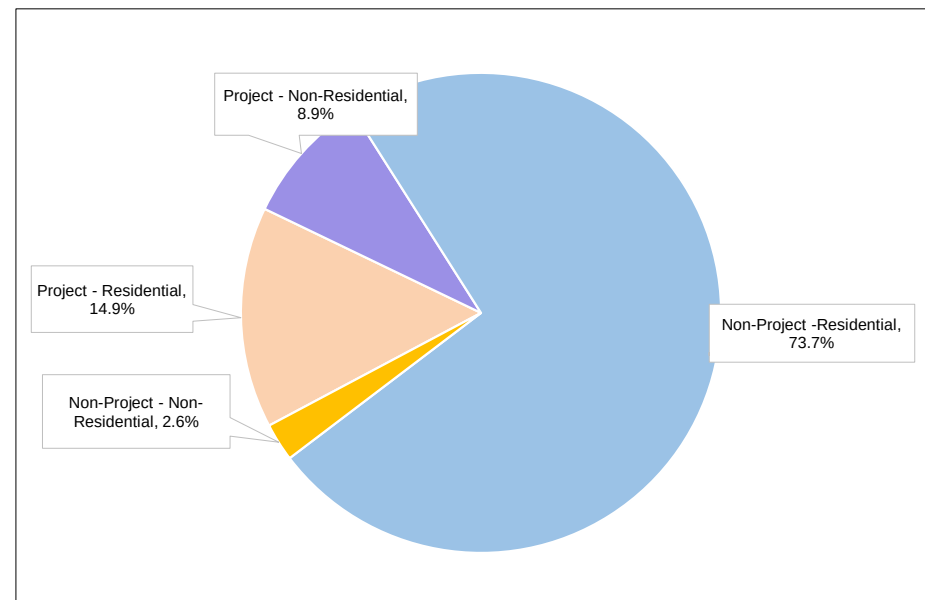
ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.4%	4.2%	22.0%	20.0%	4.4%	17.1%	8.7%	71.7%	2.5%
100%					25.8%		74.2%	

ES - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Spanish Baths and Shower Trays Market (April 2020)

ES - REVISIONS IN THE SPANISH BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

SPAIN

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The sanitary ware market is one of the most mature bathroom markets in Spain, incorporating ceramic sanitary ware (CSW) and alternatives. As for any mature market, sanitary ware has an important share of the market coming from RMI sales. New construction is also a key driver, as some products within these markets are a basic necessity in new dwellings.

After growing rapidly during the construction boom of the late 1980s, sales of sanitary ware fell back sharply in the early 1990s, before growing strongly up until 2006 when the market reached its peak – mainly due to new construction. Since 2007, it has suffered drastically from the decline in new housing, as with the other products in Spain, resulting in unprecedented decreases.

The penetration of ceramics in the total sanitary ware market is high in Spain. A large proportion of water closet (WC) cisterns are still ceramic, with sales of plastic cisterns only increasing slowly, and exposed plastic cisterns are not regarded as attractive alternatives to ceramic solutions for private homes. Floor standing WCs account for the majority of total WC sales, although wall hung WCs are increasing in popularity, especially in the non-housing segment and the Mediterranean area.

Historically, bidets used to be a popular product, but the gap between WCs and bidets has been widening considerably since space has become limited. In renovation there is a declining trend, since consumers want to get rid of the bidet in order to gain more space.

In addition, concealed plastic cisterns are much more popular than exposed plastic cisterns, mainly for aesthetic and hygienic reasons. Most of the plastic cisterns are installed in the CII (commercial, institutional and industrial) sector in Spain, although penetration in the new housing sector has been increasing. The vast majority of plastic cisterns are concealed models, which are typically installed with a dry installation module. Compared with other European countries, such as France for example, exposed plastic cisterns do not have a market in social housing, which means that sales opportunities for these products are very limited. The only market for exposed plastic cisterns at present is through replacement in some tourist areas and local bars. Moreover, exposed plastic cisterns still suffer from a stereotype of lower product quality when compared with ceramic cisterns, which makes replacement sales in the domestic sector very unlikely. In general, when renovations are made and it is not possible to carry out the installation of a concealed cistern, especially in old buildings, it is common for Spaniards to continue installing the ceramic cisterns instead of the exposed ones.

With regards to washbasins, the majority of sales are made up of countertop washbasins. People in Spain mainly prefer to install washbasins with furniture. Monobloc countertops should also gain market share in the future, in line with demand for bathroom furniture.

Recent Market Trends

In 2019, the overall ceramic sanitary ware market continued to show an increase in sales volumes, although at a much slower pace than 2018. This increase was partly driven by the increase in demand from the new residential construction segment. The RMI sector, which accounts for the bulk of sales, performed at a slower but positive pace pushing CSW sales up.

Sales of washbasins and 'Other CSW' showed the largest increase among all ceramic sanitary ware categories in 2019. The improvement of the new construction segment pushed bathroom sales up and had the greatest impact in the CSW segment. Sales of washbasins recorded a strong increase, with DIY brands from LEROY MERLIN and BRICOMART having a substantial share of the market as many of their Chinese imports have reached a quality and design that is able to compete with European manufacturers. This also impacted sales of 'Other CSW', as the large majority of these WCs are sold with the cistern. RMI household spending has increased largely from 2010 to 2017 and has reached its peak for the postponed refurbishments. Also, the reported number of elements replaced in a refurbishment has declined and instead of completely refurbishing the bathroom, a significant number of homeowners are just replacing a few pieces, leading to a slowdown of RMI growth.

The main trends in the country have been consistent, such as the share of sales of pedestals and bidets continuing to decline at a faster rate than other products. Pedestals continue to lose share due to a continuing rise in popularity of base units, whereas bidets are going out of fashion as new bathrooms are more compact than they used to be. However, bidets should not completely disappear from the market since culturally a 'complete Spanish bathroom' often includes this item, although the number of bidets being installed in new construction has reduced considerably.

It is important to highlight the introduction of a new technology - bidet seats. This trend is relatively strong and is expected to grow, mainly due to the features of these new products such as lid washes, auto washing, heated seats, lighting, etc. These new products may replace the need for the bidet. These innovative products are substantially more expensive than the traditional ones, but any future drop in prices should make them more accessible. Nonetheless, the most common substitute of the bidet for now is the hand spray tap, which uses the water outlet using a flexible hose and a support attached to the wall, as it is considered one of the cheapest and practical solutions.

Stable activity in the non-housing segment has also helped sales of wall hung WCs and urinals, especially in tourist areas, to grow steadily. BRG has also observed other non-ceramic washbasins such as acrylic, glass, steel, mineral cast and others (including solid surface, wood, concrete, etc.). These products compete directly with the traditional ceramic washbasins and prevent them from growing further.

As far as plastic cisterns are concerned, the market remained small in 2019 in comparison with the ceramic cisterns market in Spain. This is mainly because Spanish consumers are traditionally used to installing an exposed ceramic cistern instead of plastic, especially in the residential sector, due to its durability compared to an exposed plastic cistern. The RMI sector has been the main driver for concealed cistern sales because when a complete bathroom refurbishment takes place a concealed plastic cistern with a wall hung WC is usually installed. The trend of increasing space and having a more functional and minimalist bathroom has been growing in Spain. New housing demand also had an important impact on the market due to its strong preference for concealed plastic cisterns pushing the market up.

Prices and Market Values

The overall MSP for sanitary ware remained stable in 2019 compared to the previous year. This was due to the change in the price segments, which was influenced by increasing new construction activity and boosted by RMI in the upper and high segment because of higher disposable incomes and consumers buying more expensive products. The average price has not increased at a greater pace, mainly due to the large share of DIY brands sold in Spain and the high competition – mainly occurring in the new housing segment.

New Housing

New dwelling construction activity experienced a significant increase in 2019, which has been the main reason for the market growth. Due to the growing number of building permits attributed in 2017 and 2018, new construction was significantly responsible for the greater performance in CSW across all product segments.

The average bathroom size is decreasing in terms of square metres. Consequently, this affects what can be installed. The standard new dwelling in Spain has one or two bathrooms.

When there is only one main bathroom, the typical new bathroom suite would consist of a shower, one countertop washbasin on a base unit, and a WC with a ceramic cistern, although the penetration of concealed cisterns is increasing. If space allows, then double washbasins or two washbasins are popular in Spain, typically in-set countertop models. However, in a dwelling with two bathrooms it would be the same for the main bathroom, but perhaps instead of a shower tray a bath will be installed and in the small bathroom you would have a shower, WC with a ceramic or concealed cistern, and a countertop or pedestal washbasin. In some cases, the second bathroom would not have space for a shower, having only a washbasin and WC.

Housing RMI

Sales in the RMI segment account for the large majority of sales for ceramic sanitary ware. This share has grown quite quickly, given the sharp drop in new residential construction since 2006. Macroeconomic figures in Spain, such as consumer expenditure and confidence, experienced a continued growth from 2014 to 2017, leading to a large increase in RMI expenditure in the country. In 2019, with the postponed refurbishment from the crisis years already having taken place over the last few years, growth in the RMI segment slowed down. The replacement market for CSW in Spain is mainly focused on WC and 'Other CSW' sales.

BRG believes that overall sales of sanitary ware products to housing RMI should continue to play a vital role in the sanitary ware market in Spain. However, sales are expected to decrease during 2020 due to the COVID-19 pandemic and should grow again at a slower pace over the forecast period.

Non-Housing

Overall sales to the non-residential sector declined in 2019. Typically, the non-housing segment is the sole market for commercial products such as urinals, and accounts for the large majority of sales for wall hung WCs. For this reason, its performance is highly correlated with this end use. In Spain, the non-housing segment depends mainly on investment in leisure and tourism buildings, with an increasing share of foreign investment in this segment. Investment in both leisure and tourism has shown positive developments in the last few years, leading to an increase of RMI expenditure in the tourism sector. However, the number of installations of ceramic sanitary ware has declined in the non-housing segment throughout 2019, mainly due to the slowdown of RMI expenditure into this segment. Furthermore, the main market for concealed plastic cisterns is the hotel industry, where hygiene and aesthetic concerns are important competitive advantages. The peak of RMI and new non-housing demand for ceramic sanitary ware happened during the previous years.

Supply Structure

The Spanish ceramic sanitary ware market remains characterised by domestic suppliers, above all ROCA.

In the 'Other CSW' market ROCA remains the leader, followed by PORCELANOSA's brand NOKEN. GROHE, the well-known bathroom manufacturer, increased the new product range of ceramic sanitary ware in the Spanish market. There are a large number of cheap products from China that are sold through DIYs, which account for the large share of 'Others'. LEROY MERLIN is believed to sell more than half of this amount with its own brand SENSEA, but also with other unbranded products they have available. BRICOMART is also very strong, and accounts for a considerable amount of these unbranded sales.

The washbasin market remains almost the same, with ROCA leading the market, followed by PORCELANOSA and DURAVIT. There is also an addition of two market players, SANYCCES and GROHE with its new product range. The share of 'Others' is also big, with brands from LEROY MERLIN and BRICOMART accounting for a large share of the unbranded products in the market. The washbasin market has many sales of washbasins together with the base unit, which helps sales of branded products in the market. Non-ceramic washbasins, for instance, have been gaining share in this product category with the main players in this segment being KALDEWEI and SANYCCES,

In the WCs/toilets market ROCA remains the market leader, followed by PORCELANOSA's brand NOKEN. The share of 'Others' is significant, given the fact that many unbranded sales imported from China have gained a substantially large share – with LEROY MERLIN accounting for the largest share of these.

GEBERIT remains the market leader in Spain in terms of sales of plastic cisterns, which has been dominating the market for many years, followed by PORCELANOSA and GROHE. VILLEROY & BOCH has been introduced as a new market player with residual sales.

Many of the new build sales are directed through wholesalers, which then sell to the contract market. These merchants handle plumbing product ranges as well as a full range of heavy and light building products (examples are SAINT-GOBAIN and MANAU). Some are also specialist sanitary and plumbing wholesalers.

ROCA, with its strong network of distributors, follows the same strategy as for all other bathroom products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The ceramic sanitary ware market was negatively affected by the COVID-19 outbreak, as all bathroom products segments, in the beginning of 2020. It is believed that the overall 2020 development should be negative. The market had stopped due to the lockdown and manufactures had reduced their production and demand has declined too. Installers at the beginning were not allowed to enter the dwelling, but it has changed, considering that some maintenance was considered essential. Construction was also affected by the pandemic, and it was forbidden for two weeks. New housing should continue the activity, although, at a much slower

pace due to the number of employees allowed to work in order to comply with social-distancing measures. Nonetheless, not all the civil construction is allowed to take place during the lockdown as some are restricted by the amount of open space. For instance, RMI works are only permitted when it is urgent. It is still unknown how RMI activity will evolve for the remainder of 2020 since household income and unemployment rates are likely to be affected, which will probably decrease demand for refurbishment projects.

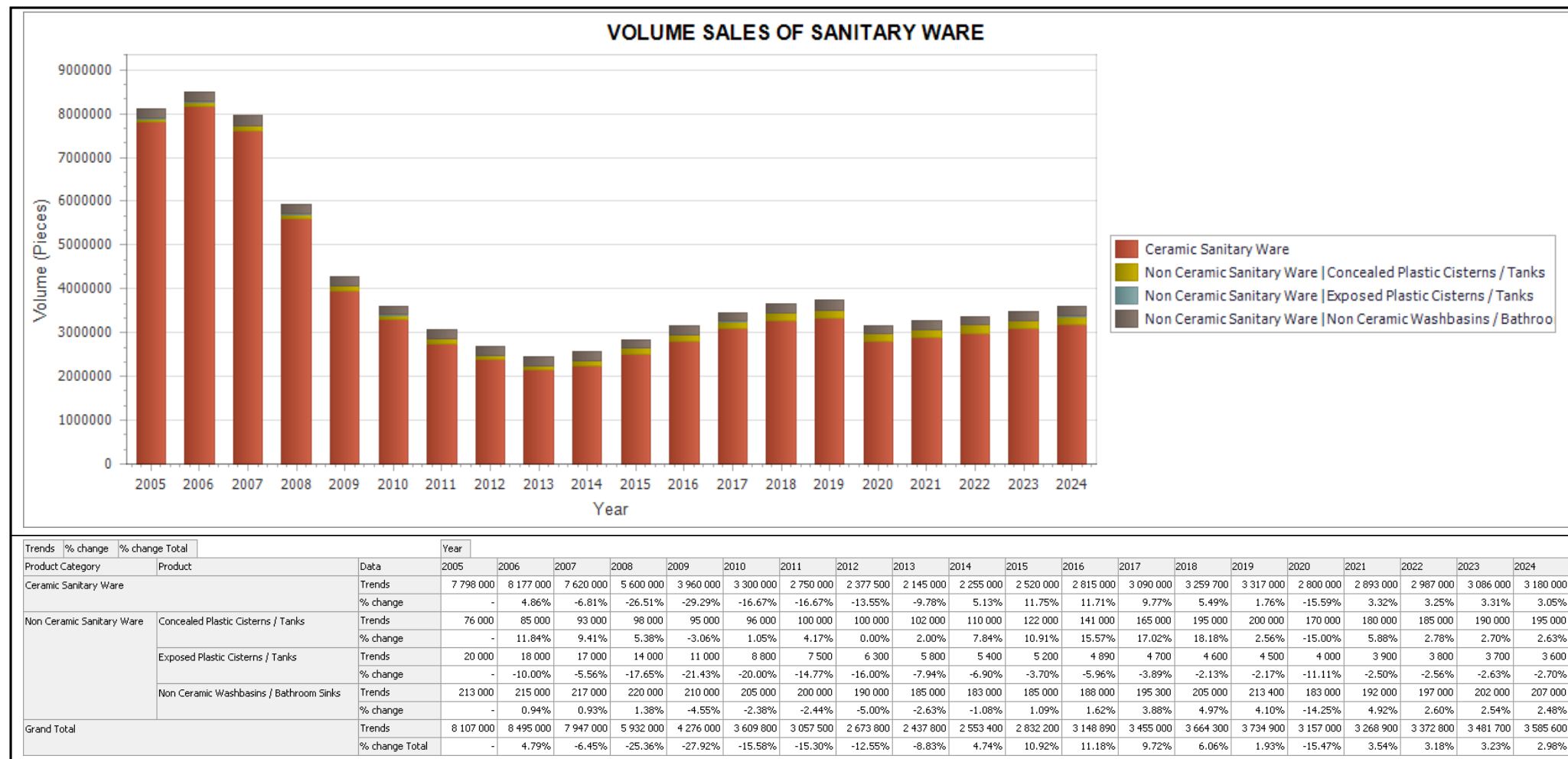
Sales for sanitary ware are predicted to resume growth in 2021, mainly recovering slightly from the postponed demand during the country's lockdown. The rate of growth is expected to be positive, due to the increasing number of RMI for this period, but at a slower pace. However, the residential sector is expected to grow in 2022 and demand for new housing should be positive. The market growth is expected to slow down in 2023 and 2024. RMI demand should also stabilise and grow at a steady pace. Non-housing demand should help sales of ceramic sanitary ware to not drop any further.

The trend towards concealed plastic cisterns over exposed models is expected to continue. However, both product categories should register negative growth during 2020 due to COVID-19 outbreak. From 2021 onwards sales of concealed models are directly related to sales of wall hung WCs, which are expected to continue growing throughout the forecast period, especially as a consequence of increasing new construction and non-housing demand.

After experiencing a prolonged recession and a governmental crisis in the past few years, Spain started the year with a steady growth. However, the global outbreak of COVID-19 has resulted in the IMF projecting a decline in Spain's GDP in 2020, but this should grow again from 2021 onwards. This political, health and economic instability might have an impact on the economy with many investments potentially being put on hold as a result of the lack of direction and clarity.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

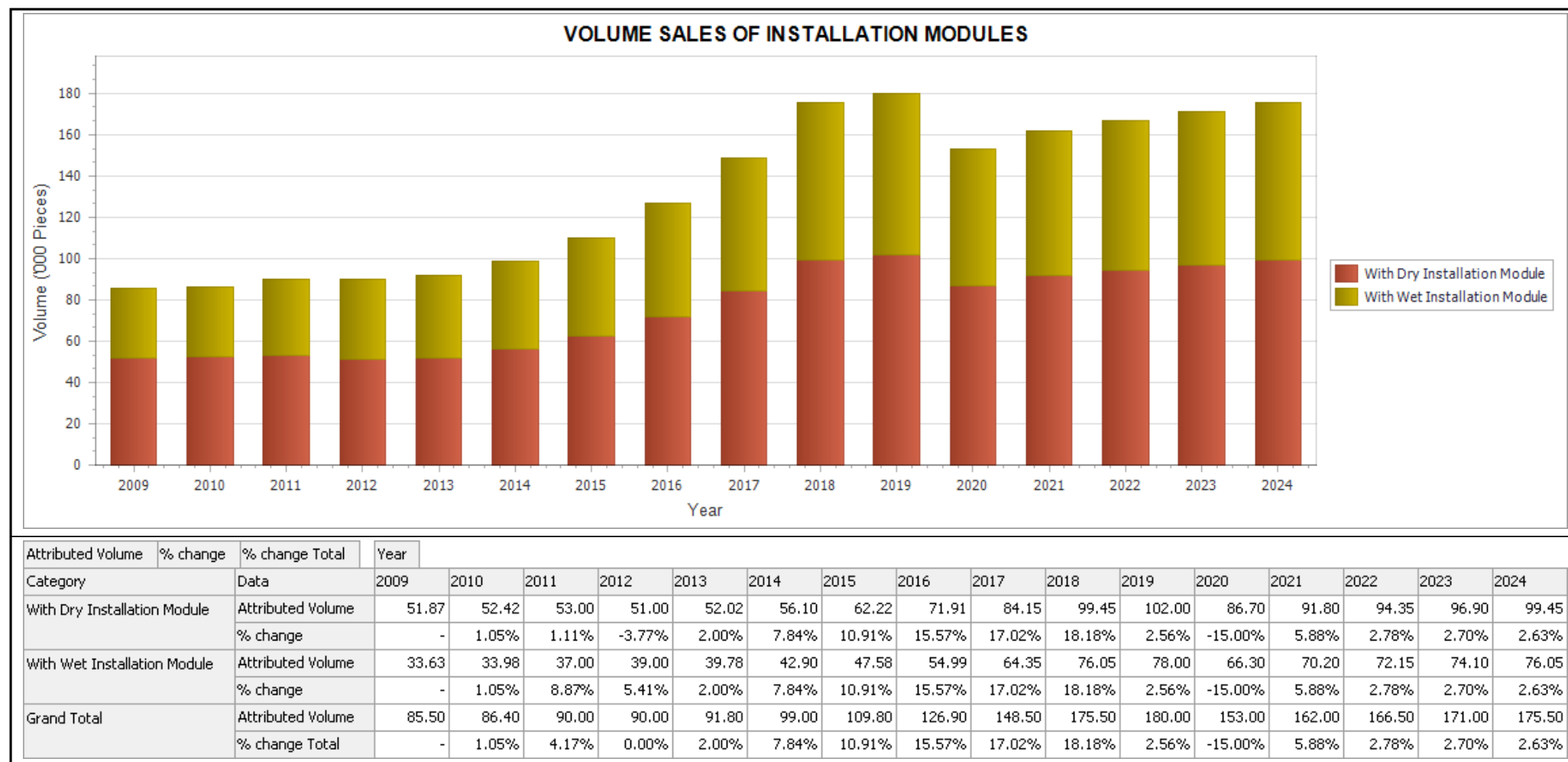
ES - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

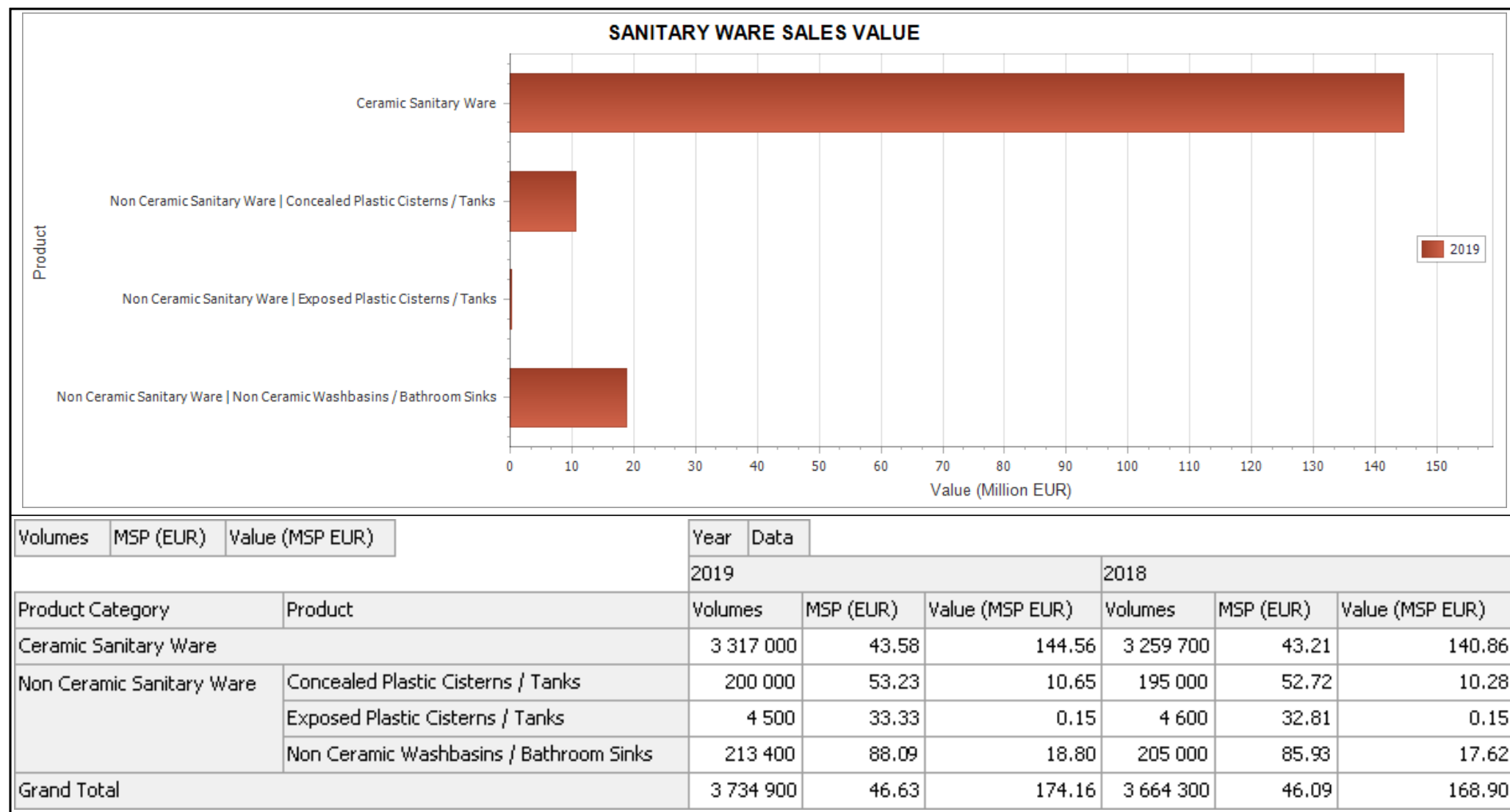
ES - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

ES - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

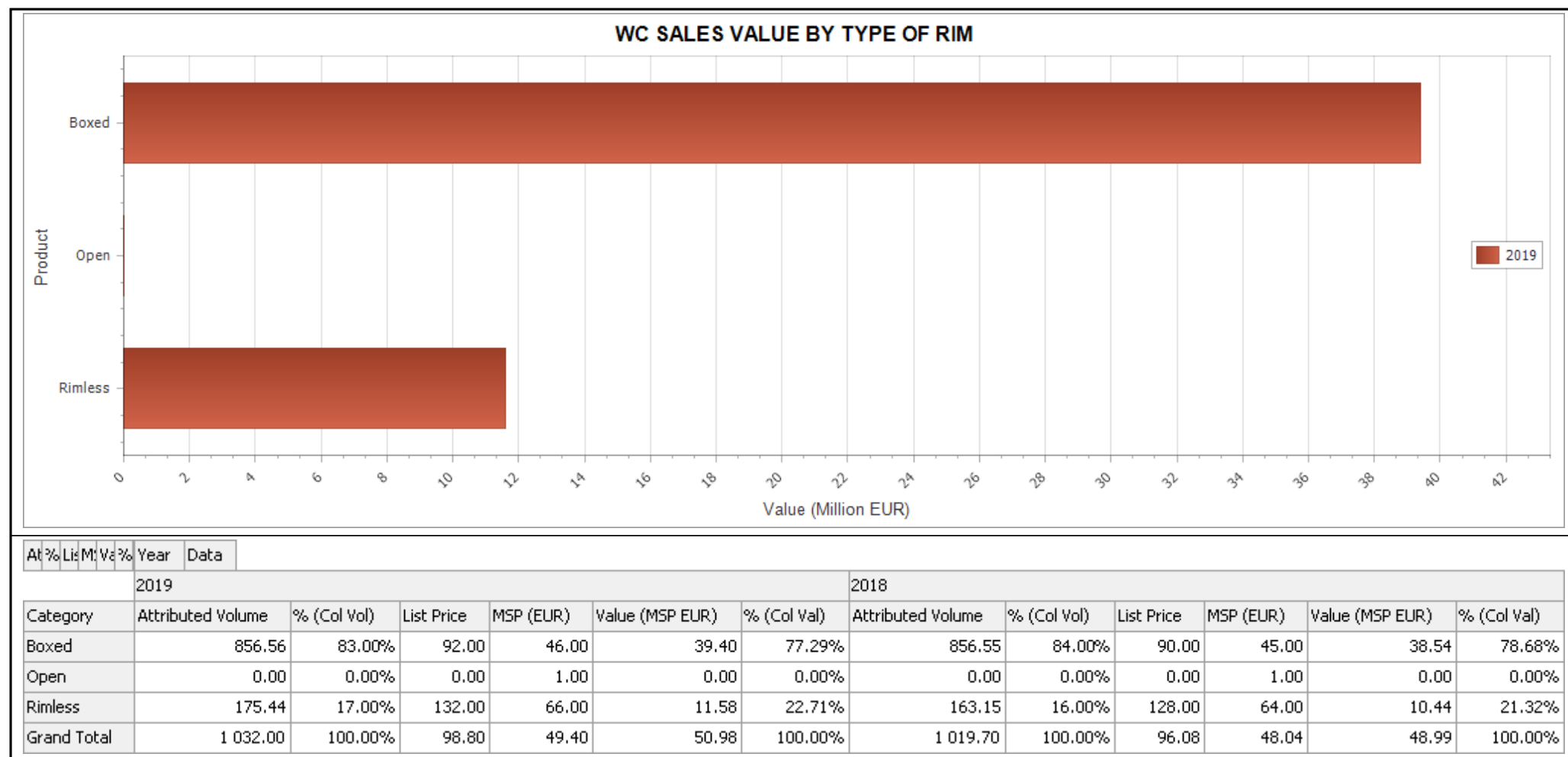
ES - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Vol)	List Price	MSP (EUR)	Value (MSP	% (Col Val)	Year	Data						
2019								2018					
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	469.01	46.90%	162.50	78.00	36.58	77.64%	456.69	46.60%	161.46	77.50	35.39	77.35%
	Hand Washbasins	12.99	1.30%	49.09	27.00	0.35	0.74%	12.73	1.30%	48.36	26.60	0.34	0.74%
	Inset Washbasins	87.00	8.70%	66.00	33.00	2.87	6.09%	84.28	8.60%	66.00	33.00	2.78	6.08%
	Pedestal Washbasins	130.00	13.00%	20.00	10.00	1.30	2.76%	128.38	13.10%	20.00	10.00	1.28	2.81%
	Semi-Recessed Washbasins	10.00	1.00%	70.00	35.00	0.35	0.74%	9.80	1.00%	70.00	35.00	0.34	0.75%
	Undermount Washbasins	118.00	11.80%	52.00	26.00	3.07	6.51%	117.60	12.00%	52.00	26.00	3.06	6.68%
	Wall Hung Washbasins	173.00	17.30%	30.00	15.00	2.60	5.51%	170.52	17.40%	30.00	15.00	2.56	5.59%
Other CSW	Bidets	82.84	6.45%	91.50	36.60	3.03	6.63%	85.27	6.77%	89.75	35.90	3.06	6.87%
	Close-Coupled Cisterns	725.85	56.49%	68.40	34.20	24.82	54.31%	700.77	55.62%	67.55	33.78	23.67	53.12%
	Kitchen Sinks	4.33	0.34%	307.63	163.97	0.71	1.55%	4.40	0.35%	306.81	163.53	0.72	1.61%
	Others	43.78	3.41%	57.56	28.20	1.23	2.70%	42.82	3.40%	57.94	28.39	1.22	2.73%
	Pedestals & Half Pedestals	161.91	12.60%	17.90	8.95	1.45	3.17%	161.28	12.80%	18.91	9.46	1.52	3.42%
	Shower Trays	149.00	11.60%	122.55	58.70	8.75	19.14%	150.00	11.90%	124.64	59.69	8.95	20.10%
	Urinals	117.30	9.13%	103.60	48.69	5.71	12.50%	115.46	9.16%	99.70	46.86	5.41	12.14%
WCs / Toilets	Utility / Laundry Sinks	0.00	0.00%	0.00	1.00	0.00	0.00%	0.00	0.00%	0.00	1.00	0.00	0.00%
	Close-Coupled WC Bowls	529.63	51.32%	90.00	45.00	23.83	46.07%	527.01	51.68%	90.00	45.00	23.72	46.92%
	Floor Standing WC Bowls	302.38	29.30%	88.00	44.00	13.30	25.72%	297.75	29.20%	86.20	43.10	12.83	25.39%
Grand Total	Wall Hung WC Bowls	200.00	19.38%	182.50	73.00	14.60	28.22%	194.94	19.12%	179.50	71.80	14.00	27.69%
		3 317.01	100.00%	91.16	43.58	144.56	100.00%	3 259.71	100.00%	90.37	43.21	140.85	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

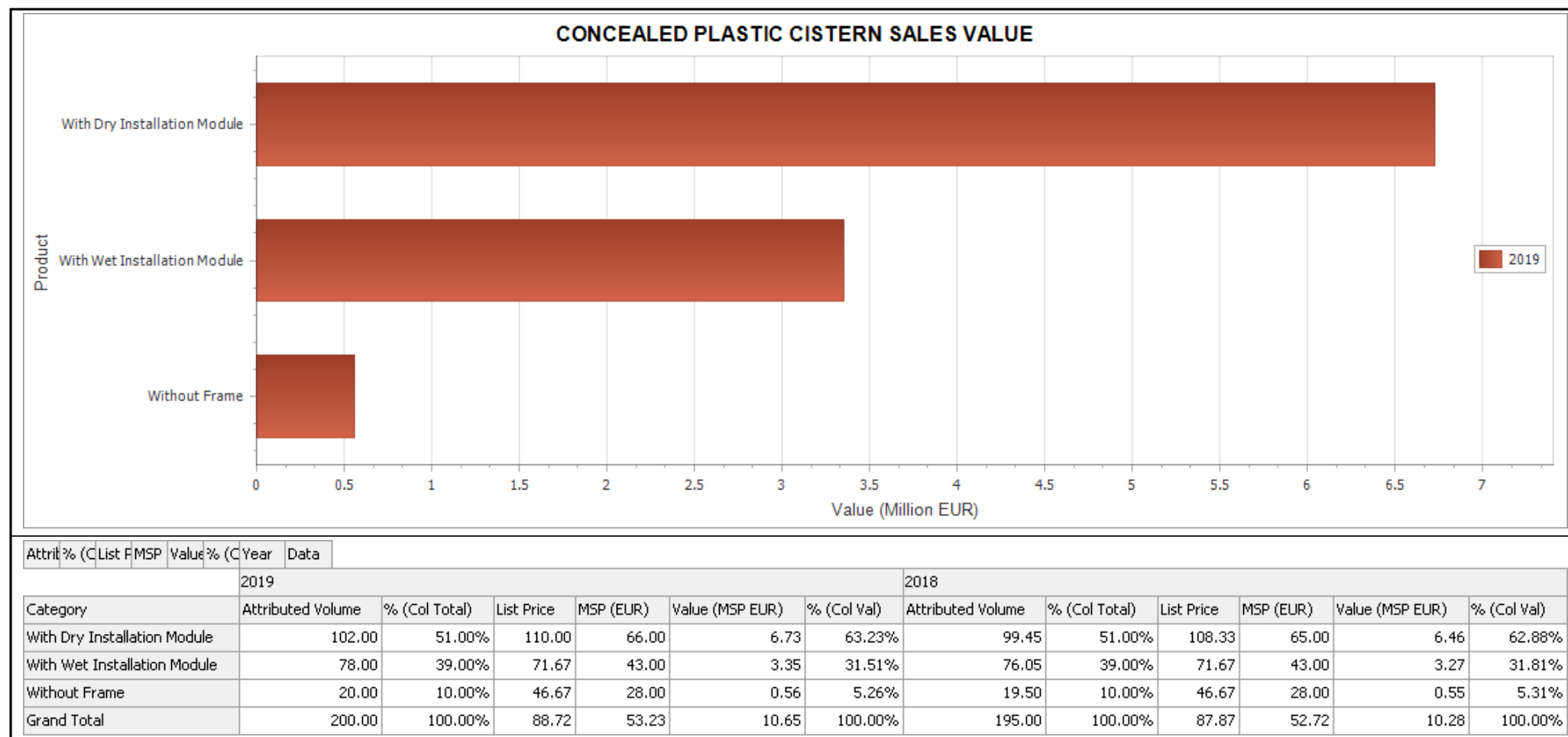
ES - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

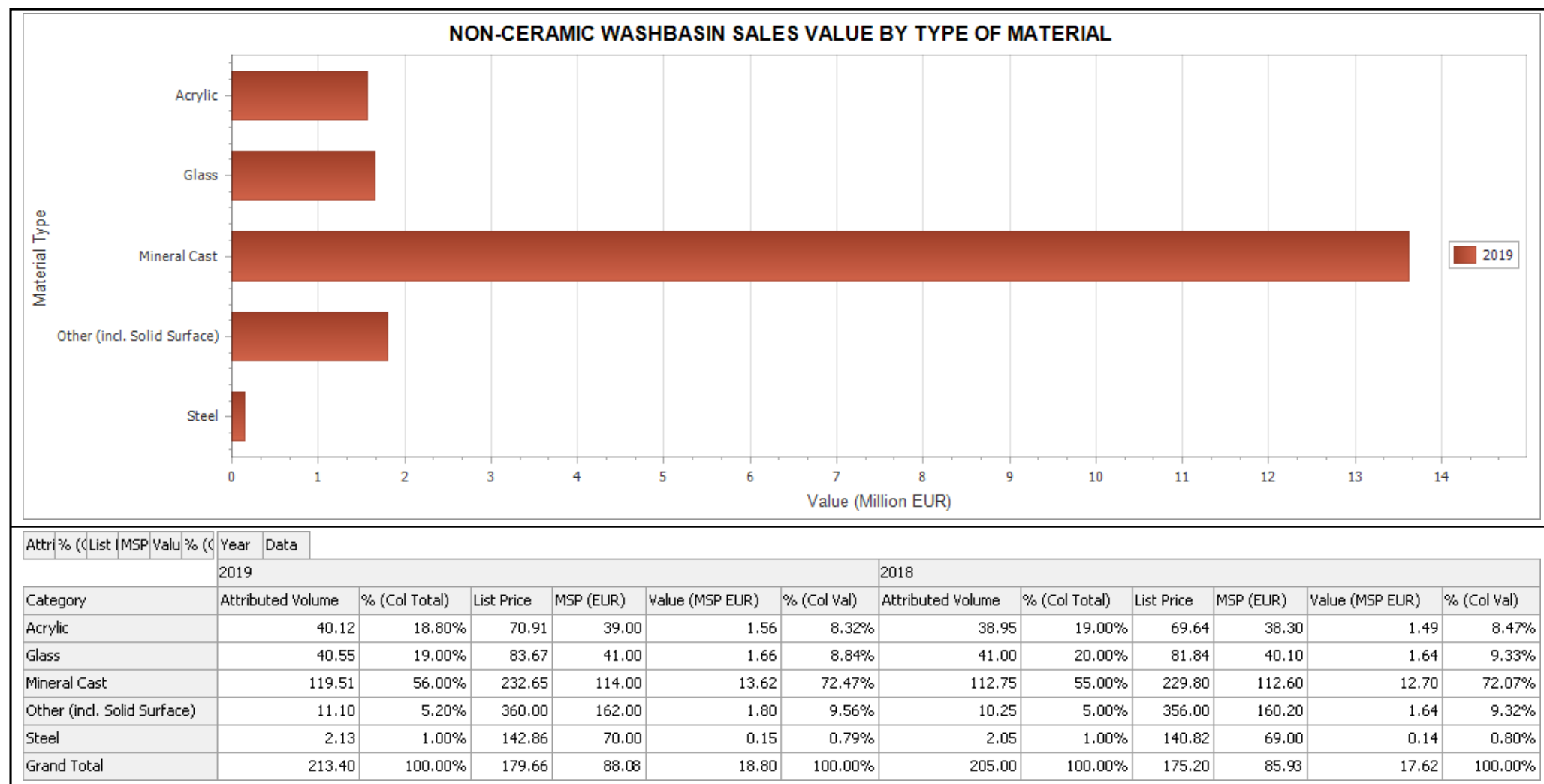
ES - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

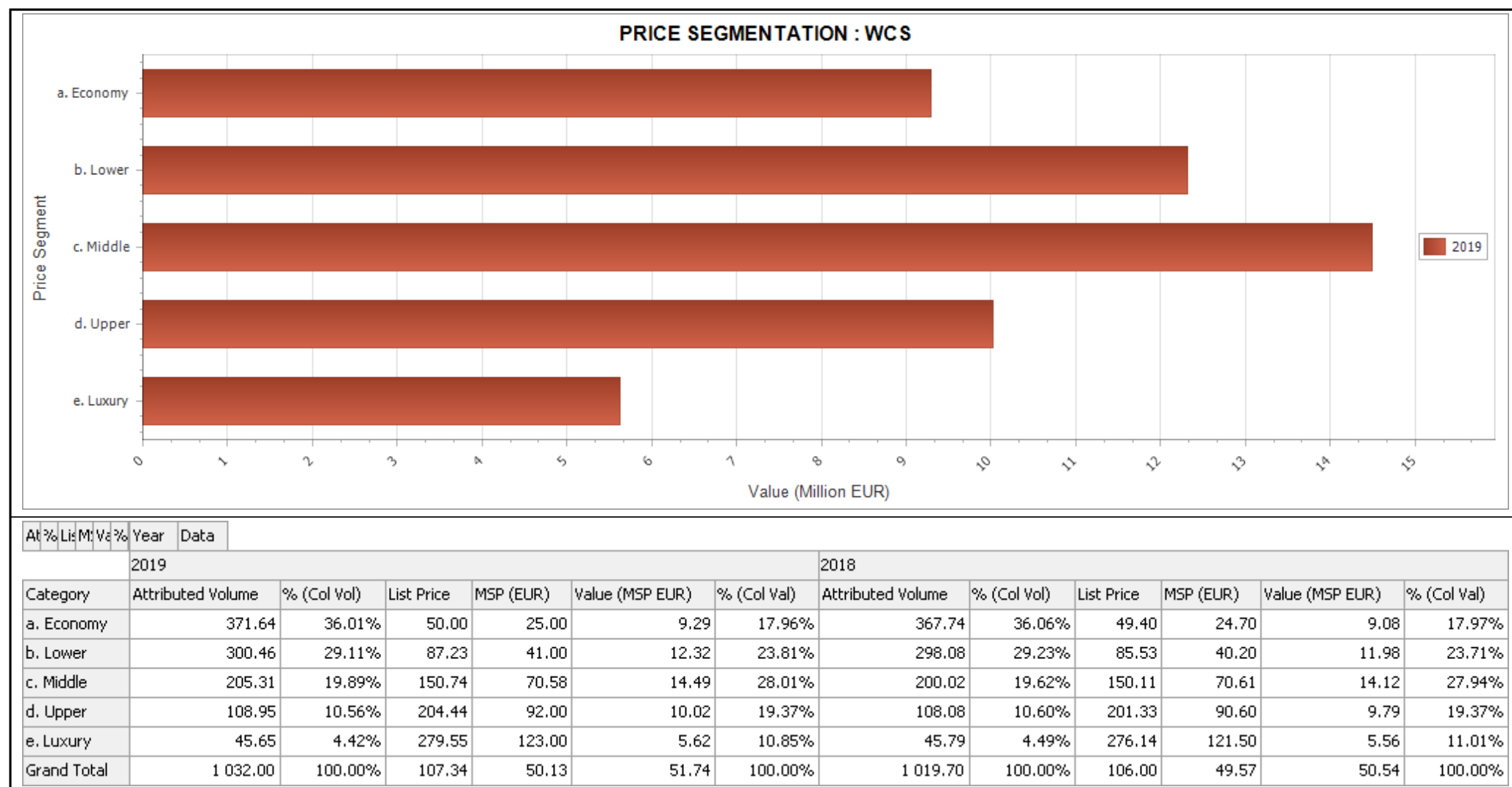
ES - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

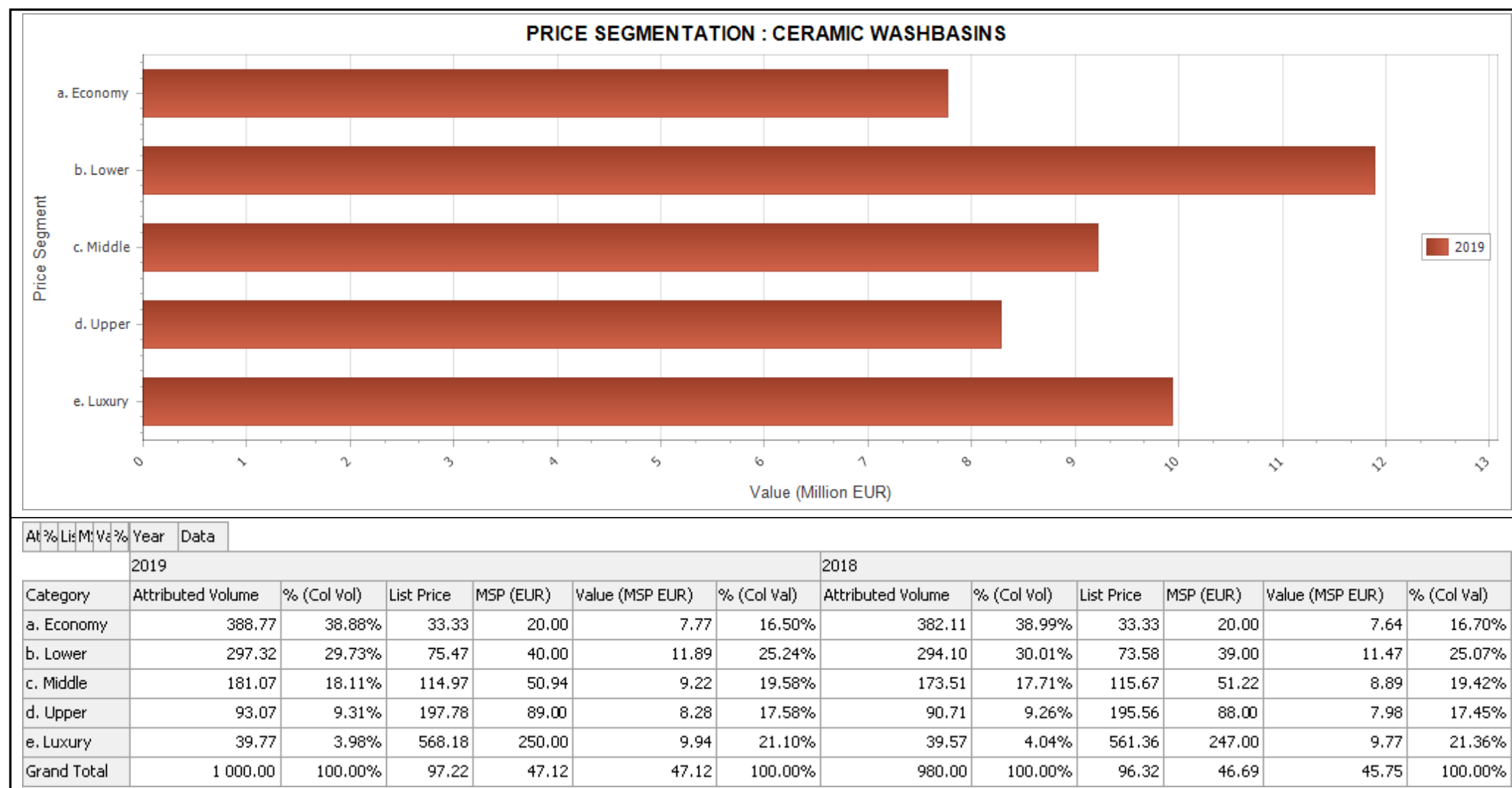
ES - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€100, Luxury >€100

2.3.7 Price Segmentation : Ceramic Washbasins

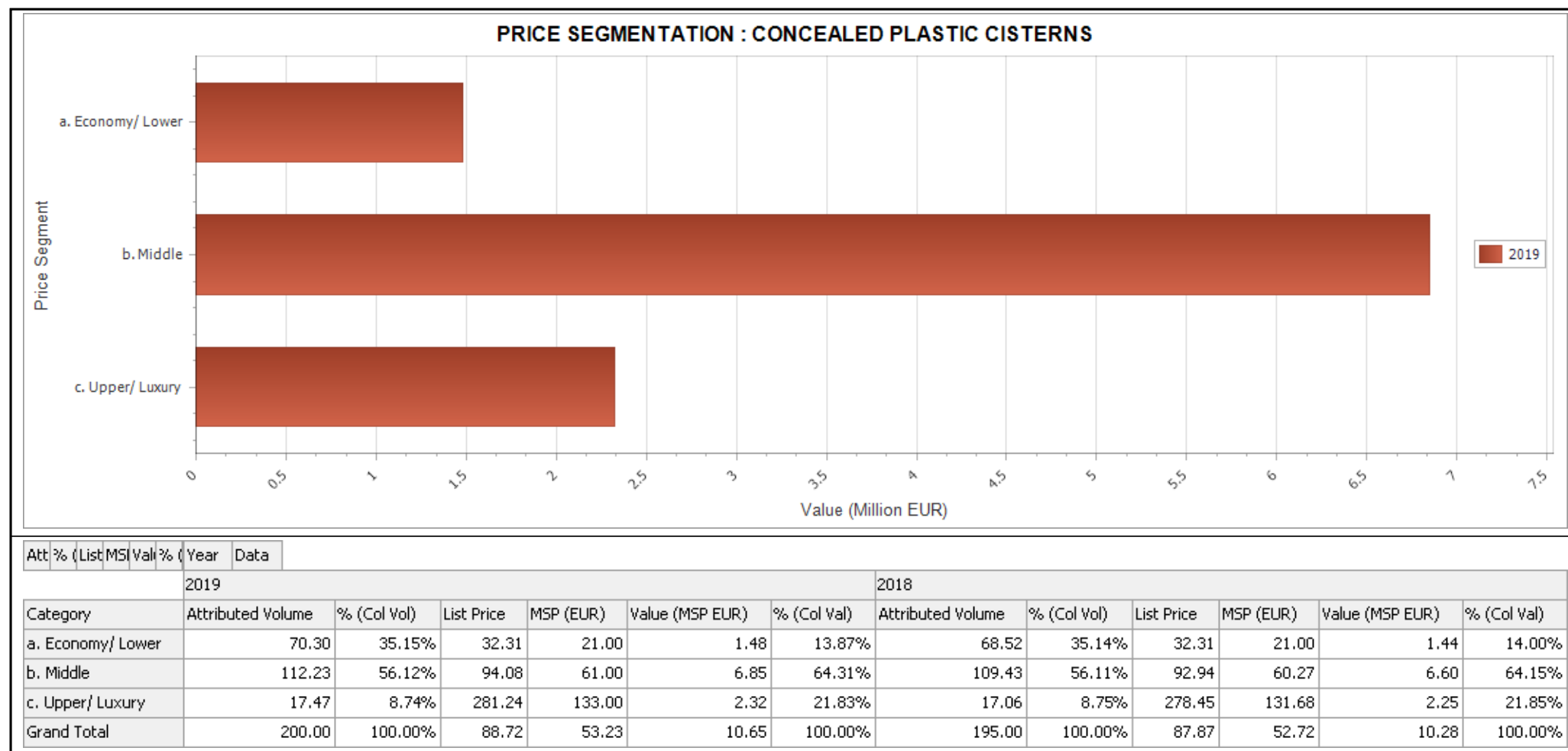
ES - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€30, Lower €30-€45, Middle €45-€60, Upper €60-€100, Luxury >€100

2.3.8 Price Segmentation : Concealed Plastic Cisterns

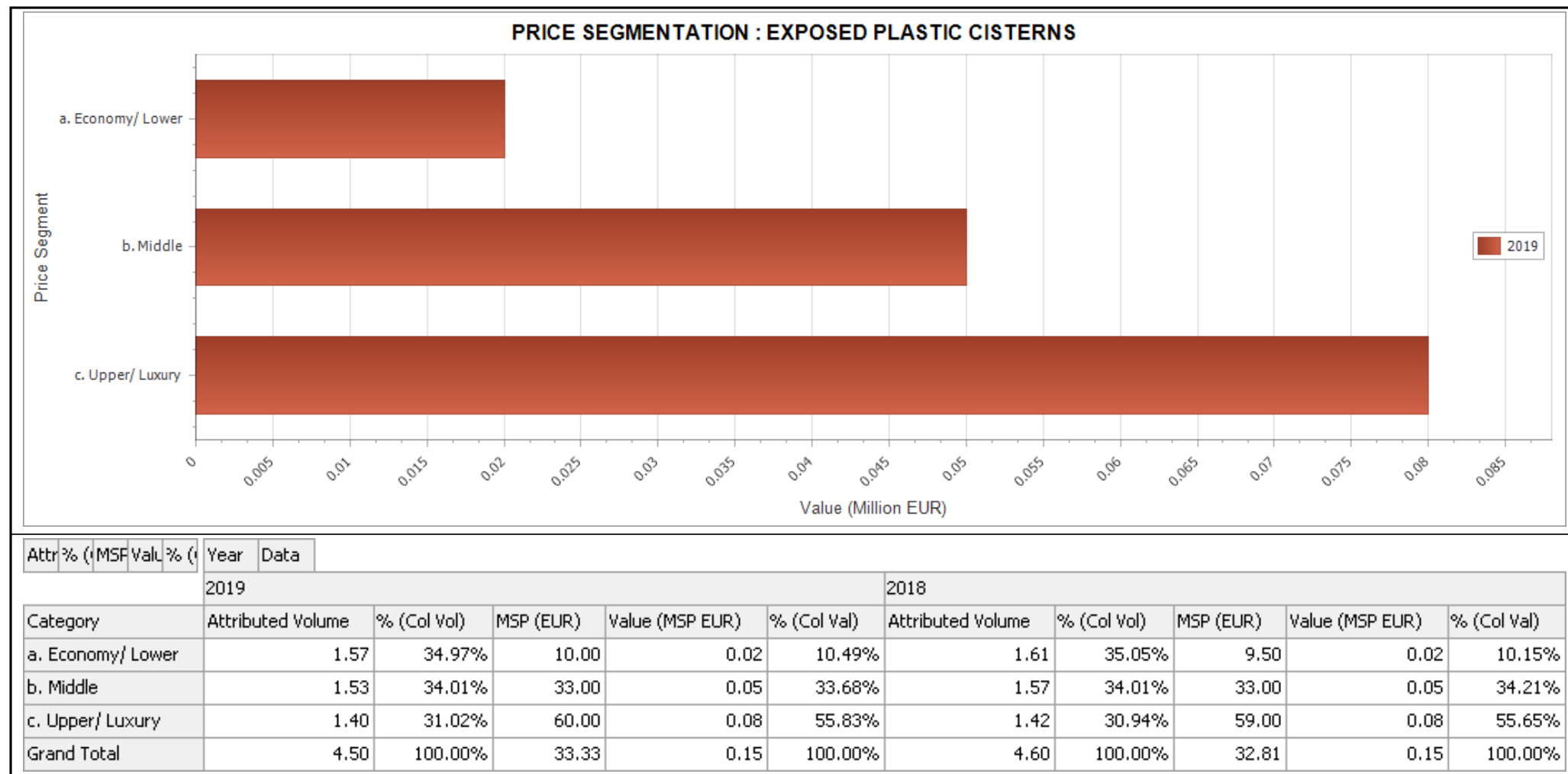
ES - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

2.3.9 Price Segmentation : Exposed Plastic Cisterns

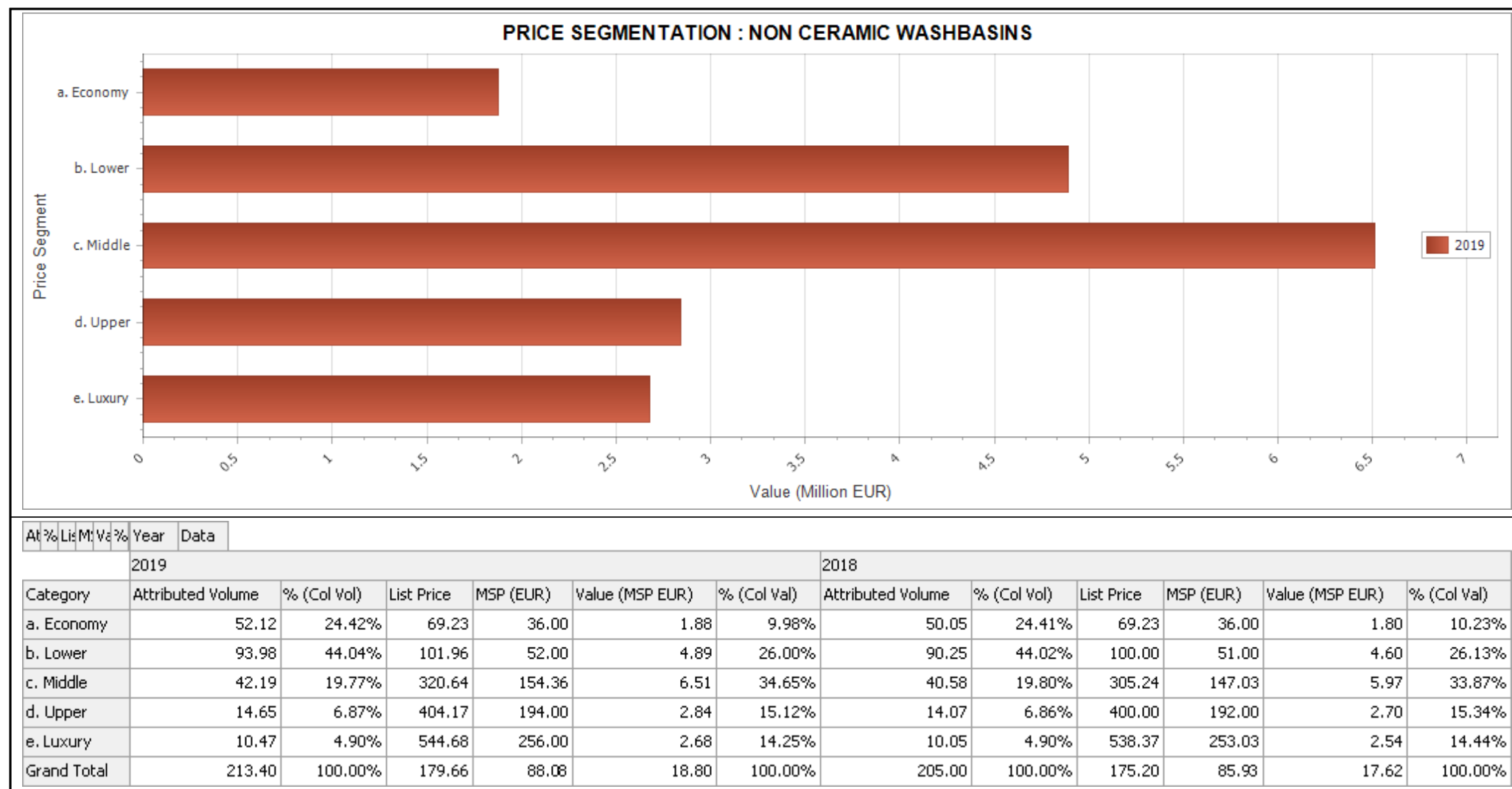
ES - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

2.3.10 Price Segmentation : Non Ceramic Washbasins

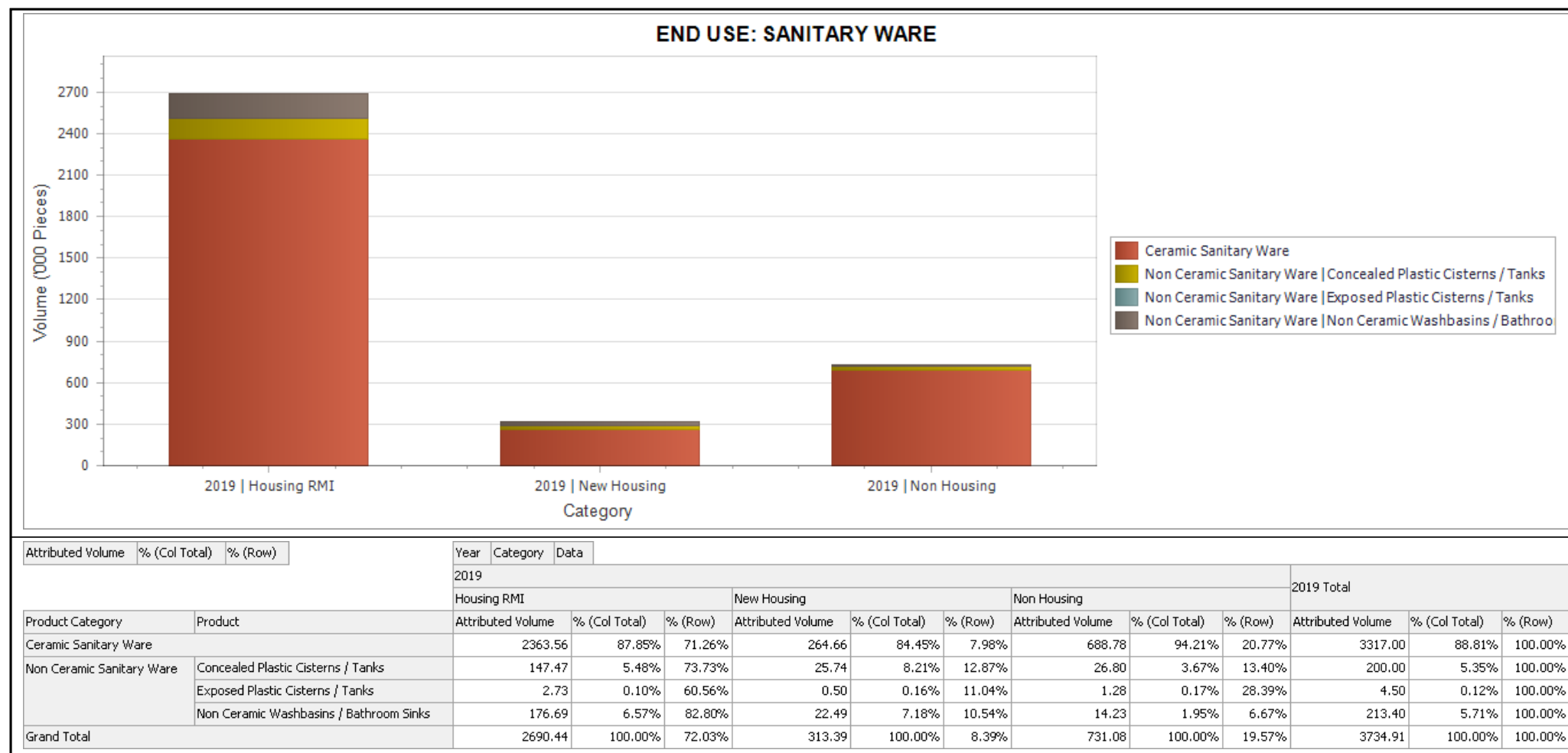
ES - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€100, Middle €100-€180, Upper €180-€220, Luxury >€220

2.4.1 End Use : Base Year

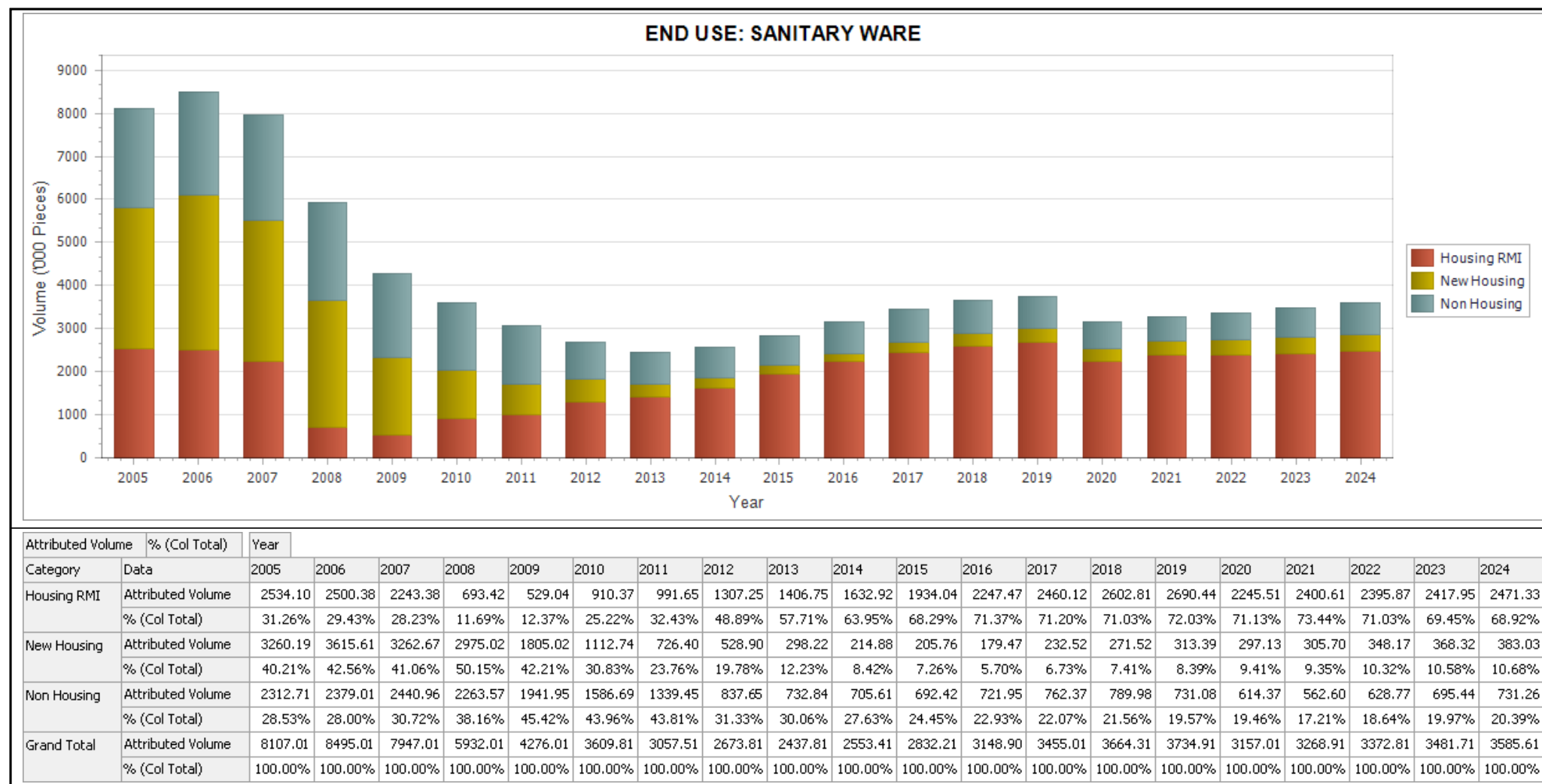
ES - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

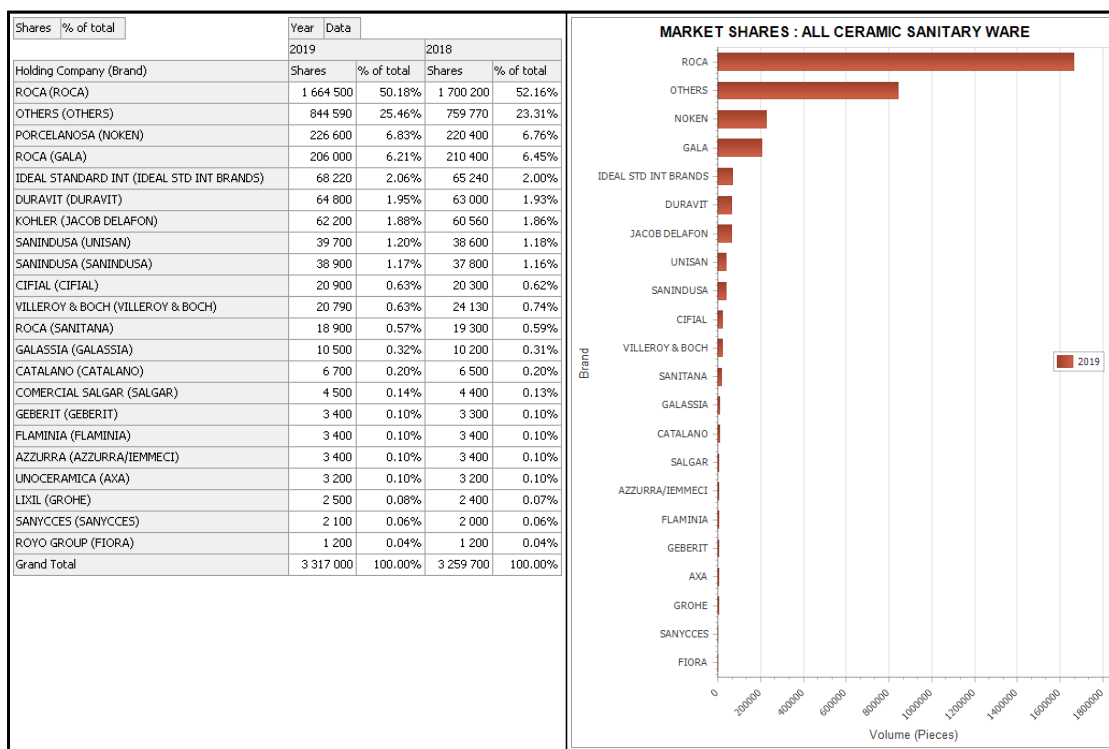
ES - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

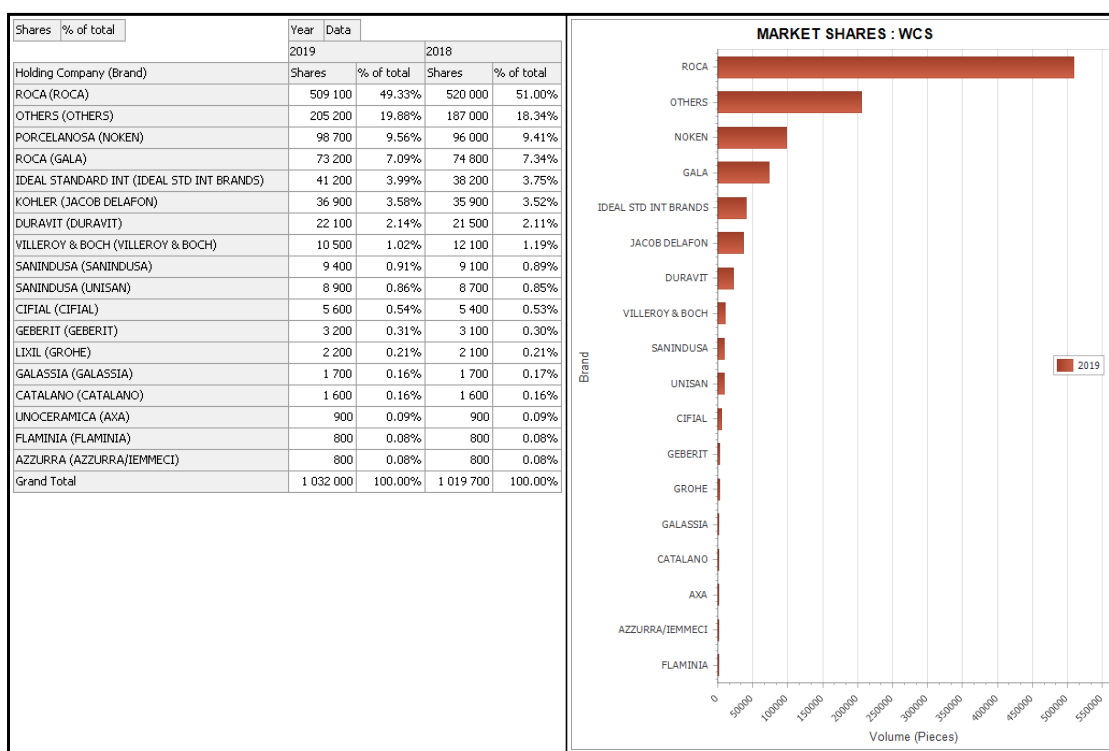
ES - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

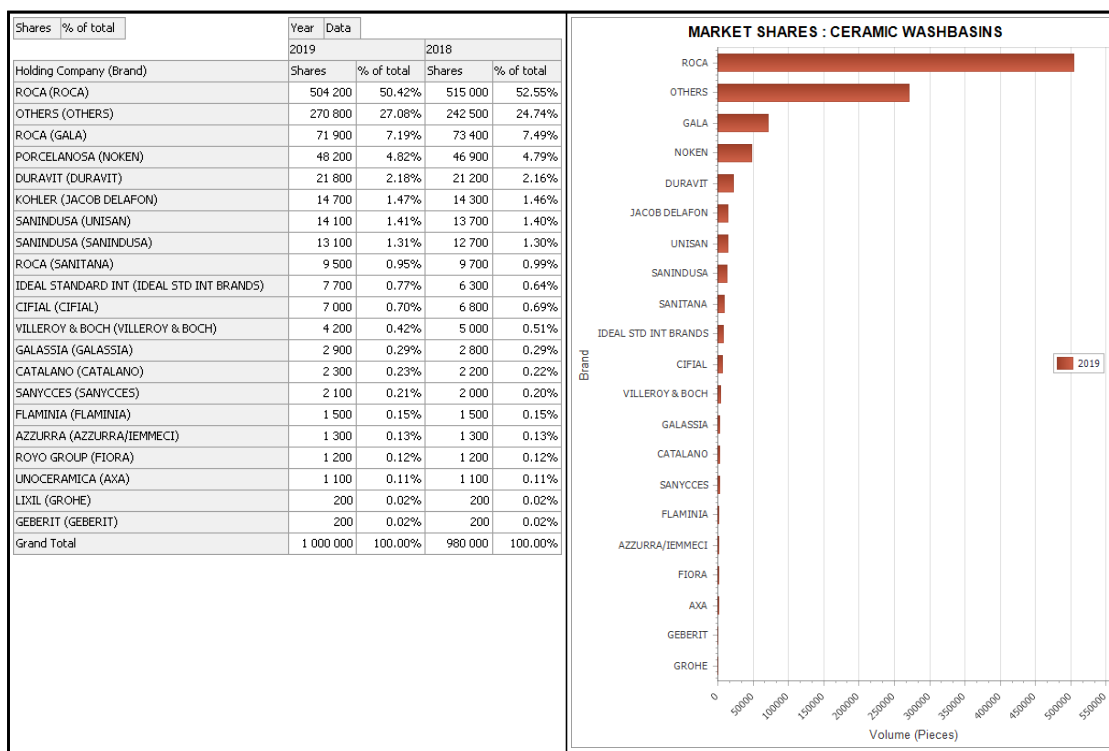
ES - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

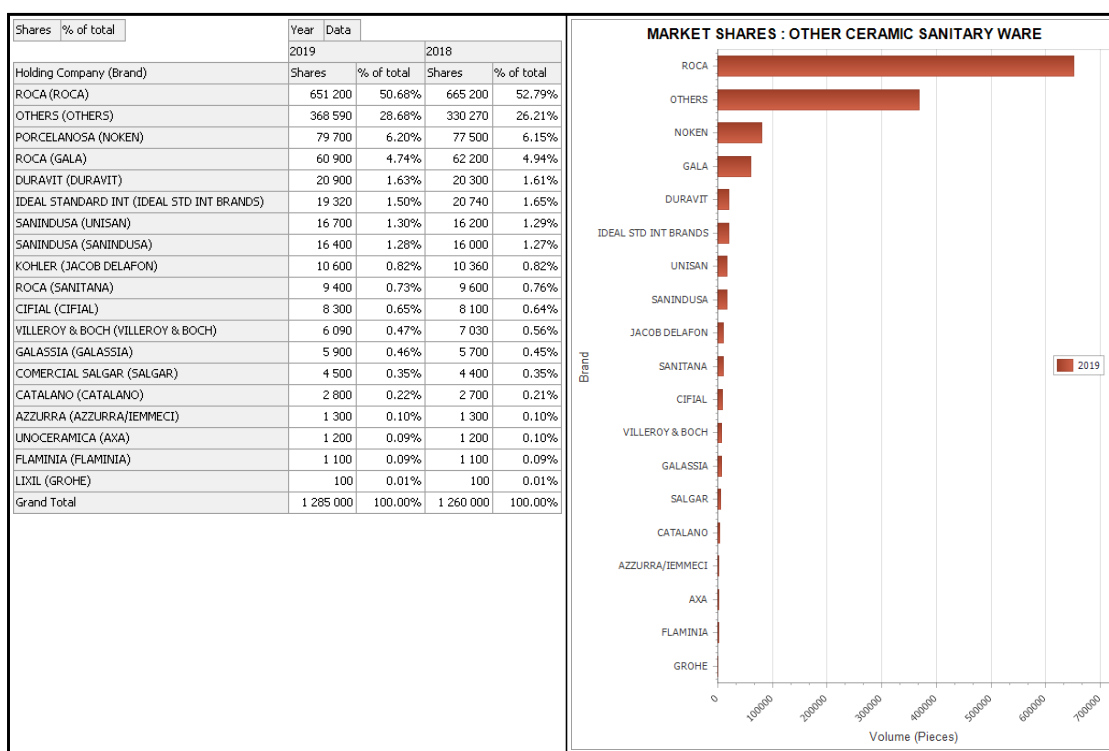
ES - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

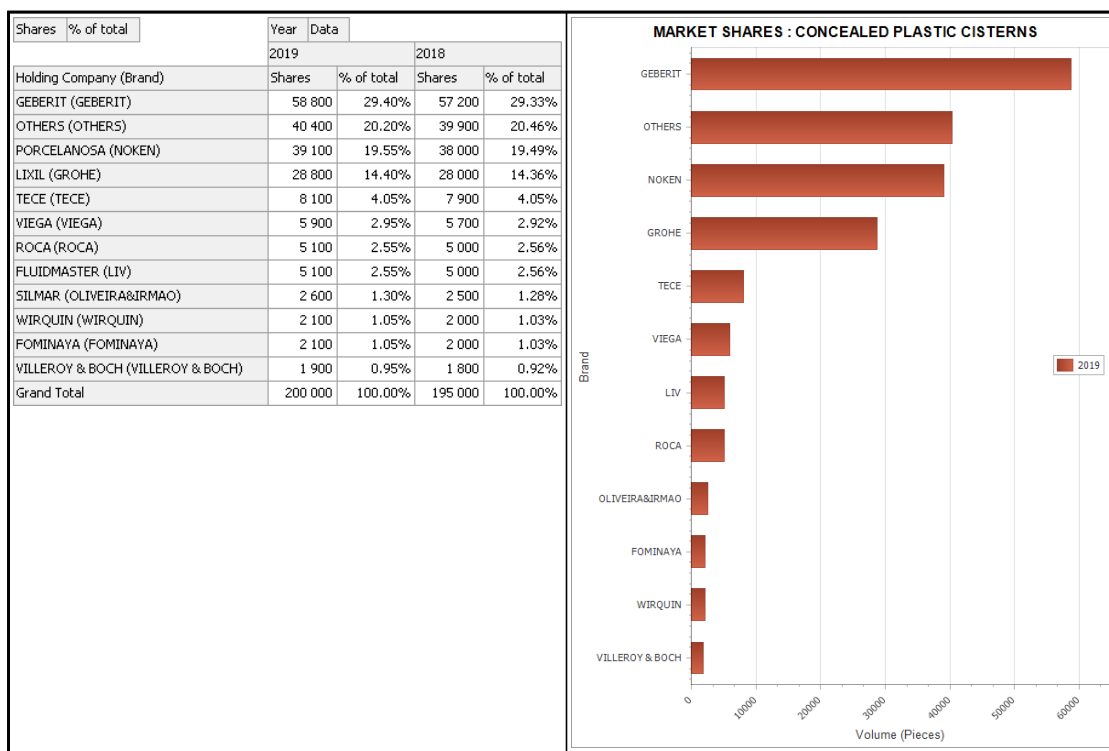
ES - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

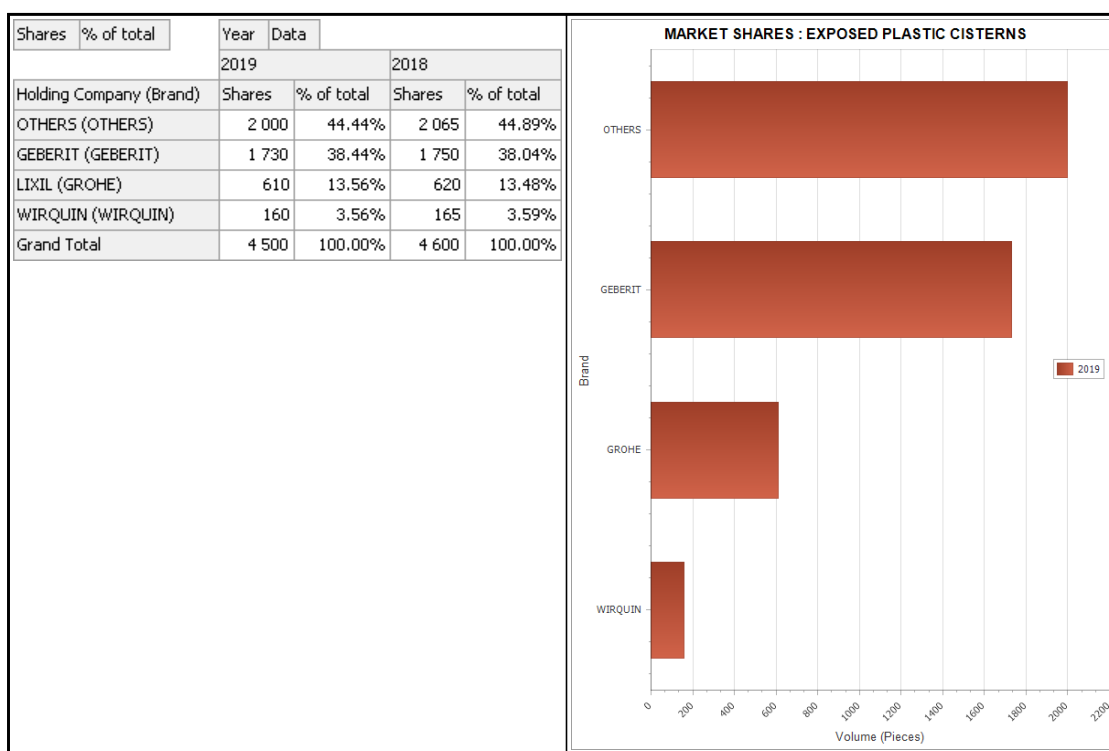
ES - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

ES - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 ES - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	43 108	39.9%	59 657	34.8%	43 781	41.1%	60 684	38.1%
China	38 449	35.6%	46 415	27.1%	33 311	31.2%	38 667	24.3%
Morocco	10 283	9.5%	14 995	8.7%	12 454	11.7%	12 511	7.9%
Turkey	4 216	3.9%	7 145	4.2%	3 350	3.1%	5 971	3.7%
Italy	2 961	2.7%	10 388	6.1%	2 343	2.2%	8 157	5.1%
France	2 326	2.2%	13 005	7.6%	2 362	2.2%	11 721	7.4%
Croatia	2 046	1.9%	3 808	2.2%	1 953	1.8%	3 202	2.0%
Germany	1 796	1.7%	8 473	4.9%	1 469	1.4%	7 655	4.8%
OTHERS	2 772	2.6%	7 661	4.5%	5 602	5.3%	10 684	6.7%
Total	107 957	100.0%	171 547	100.0%	106 625	100.0%	159 252	100.0%

Source : Trademap

2.6.2 ES - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	4 571	17.4%	15 972	19.1%	3 371	13.1%	12 437	14.6%
Portugal	4 421	16.9%	10 563	12.6%	4 084	15.9%	11 064	13.0%
United Kingdom	1 840	7.0%	6 732	8.0%	2 171	8.4%	7 334	8.6%
Saudi Arabia	1 386	5.3%	3 654	4.4%	1 078	4.2%	2 965	3.5%
Italy	944	3.6%	3 326	4.0%	902	3.5%	2 901	3.4%
Germany	918	3.5%	1 288	1.5%	147	0.6%	837	1.0%
Poland	801	3.1%	2 890	3.5%	1 180	4.6%	3 686	4.3%
Morocco	724	2.8%	2 837	3.4%	804	3.1%	2 761	3.3%
United Arab Emirates	696	2.7%	2 187	2.6%	914	3.6%	2 442	2.9%
Russian Federation	638	2.4%	2 107	2.5%	879	3.4%	2 609	3.1%
Romania	504	1.9%	1 319	1.6%	379	1.5%	1 064	1.3%
OTHERS	8 771	33.5%	30 785	36.8%	9 824	38.2%	34 834	41.0%
Total	26 212	100.0%	83 660	100.0%	25 732	100.0%	84 934	100.0%

Source : Trademap

2.6.3 ES - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	2 182	33.2%	9 847	27.7%	1 315	22.9%	5 585	17.2%
Germany	2 155	32.8%	11 743	33.0%	2 260	39.3%	12 796	39.5%
Turkey	427	6.5%	1 709	4.8%	517	9.0%	2 206	6.8%
Slovenia	346	5.3%	1 388	3.9%	199	3.5%	792	2.4%
France	280	4.3%	3 335	9.4%	358	6.2%	3 410	10.5%
Portugal	257	3.9%	2 168	6.1%	292	5.1%	1 942	6.0%
Italy	255	3.9%	1 300	3.7%	225	3.9%	1 335	4.1%
Israel	201	3.1%	921	2.6%	40	0.7%	191	0.6%
United Kingdom	164	2.5%	1 128	3.2%	221	3.8%	1 483	4.6%
Belgium	81	1.2%	590	1.7%	6	0.1%	75	0.2%
OTHERS	220	3.3%	1 471	4.1%	311	5.4%	2 582	8.0%
Total	6 567	100.0%	35 600	100.0%	5 746	100.0%	32 397	100.0%

Source : Trademap

2.6.4 ES - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	866	25.5%	6 353	23.4%	1 086	29.6%	7 429	26.0%
France	362	10.7%	4 236	15.6%	401	10.9%	3 719	13.0%
Armenia	235	6.9%	91	0.3%	0	0.0%	1	0.0%
Morocco	182	5.4%	1 230	4.5%	242	6.6%	1 491	5.2%
Saudi Arabia	146	4.3%	842	3.1%	57	1.6%	373	1.3%
United Arab Emirates	128	3.8%	1 119	4.1%	157	4.3%	1 354	4.7%
Jordan	128	3.8%	776	2.9%	19	0.5%	161	0.6%
Algeria	106	3.1%	665	2.4%	76	2.1%	441	1.5%
Libya, State of	92	2.7%	669	2.5%	24	0.7%	202	0.7%
United Kingdom	87	2.6%	1 323	4.9%	100	2.7%	1 435	5.0%
Spain	84	2.5%	373	1.4%	0	0.0%	0	0.0%
OTHERS	979	28.8%	9 493	34.9%	1 513	41.2%	11 955	41.9%
Total	3 395	100.0%	27 170	100.0%	3 675	100.0%	28 561	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	99.9%

Wholesale Level	91.2%
	Wholesalers / Merchants
	91.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.5%	1.5%	6.9%	18.0%	1.3%	16.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.0%		24.9%		17.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	34.0%	1.0%	5.0%	7.3%
Installers				
47.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	16.9%	0.3%	17.9%	8.0%	36.1%	0.0%	4.8%	0.7%	2.0%	2.0%	11.3%
	Residential						Non-Residential					
	79.2%						20.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.0%			71.3%			3.0%			17.8%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	6.0%	2.0%		3.6%	67.7%		2.6%	0.5%		13.3%	4.4%	

2.7.2 Route to Market: Ceramic Sanitary Ware
ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	80.0%
	Wholesalers / Merchants
	80.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.0%	2.0%	7.5%	20.0%	2.0%	15.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.0%		27.5%		17.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	32.0%	1.0%	5.5%	7.0%
Installers				
45.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	8.5%	7.0%	2.0%	19.0%	8.0%	34.1%	0.0%	4.0%	1.0%	3.0%	2.0%	11.4%
	Residential						Non-Residential					
	78.6%						21.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.9%			68.7%			3.0%			18.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	7.4%		2.5%	3.4%		65.3%	2.6%		0.5%	13.8%		4.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

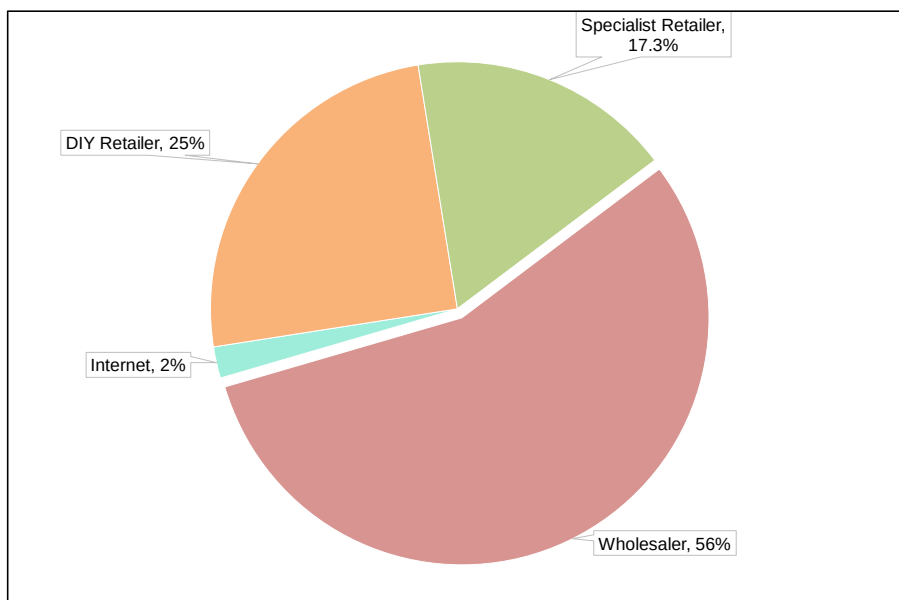
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
55.8%	2.0%	24.9%	17.3%	0.0%	9.5%	15.9%	69.7%	4.9%
100%					25.4%		74.6%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

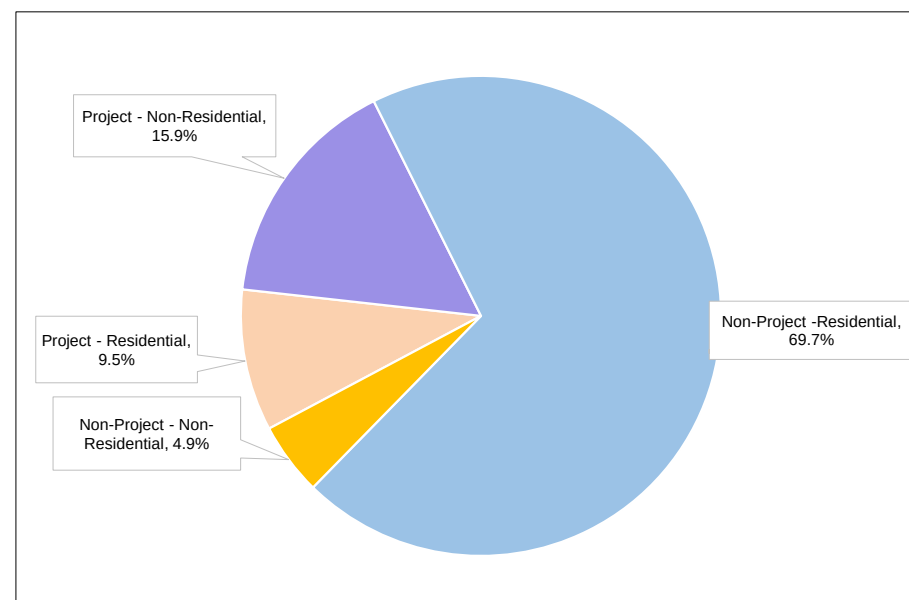
ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
43.0%	4.0%	27.5%	17.0%	8.5%	10.8%	16.4%	67.7%	5.1%
100%					27.2%		72.8%	

ES - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5

Route to Market: Plastic Cisterns
ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	81.7%
	Wholesalers / Merchants
	81.7%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	1.0%		12.4%		19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.3%		31.4%		12.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.6%	16.3%	0.5%	7.9%	8.6%
Installers				
34.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	33.4%	1.8%	16.1%	2.5%	32.5%
	Residential					
	86.3%					
	New Build			Residential RMI		
	12.8%			73.4%		
	Project	Non-Project		Project	Non-Project	
	10.9%	1.9%		3.7%	69.8%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.0%	0.0%	7.5%	1.8%	1.4%
	Non-Residential					
	13.7%					
	New Build			Non-Residential RMI		
	3.0%			10.7%		
	Project	Non-Project		Project	Non-Project	
	2.6%	0.5%		8.0%	2.7%	

2.7.6

Route to Market: Plastic Cisterns
ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	82.5%
	Wholesalers / Merchants
	82.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.6%	2.0%		12.5%		21.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.6%		33.5%		11.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	16.5%	0.5%	8.4%	7.6%
Installers				
33.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	31.6%	3.1%	17.1%	2.2%	28.2%
	Residential					
	82.2%					
	New Build			Residential RMI		
	19.3%			62.9%		
	Project	Non-Project		Project	Non-Project	
	16.4%	2.9%		3.1%	59.8%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.0%	0.0%	8.0%	1.5%	5.3%
	Non-Residential					
	17.8%					
	New Build			Non-Residential RMI		
	3.0%			14.8%		
	Project	Non-Project		Project	Non-Project	
	2.6%	0.5%		11.1%	3.7%	

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

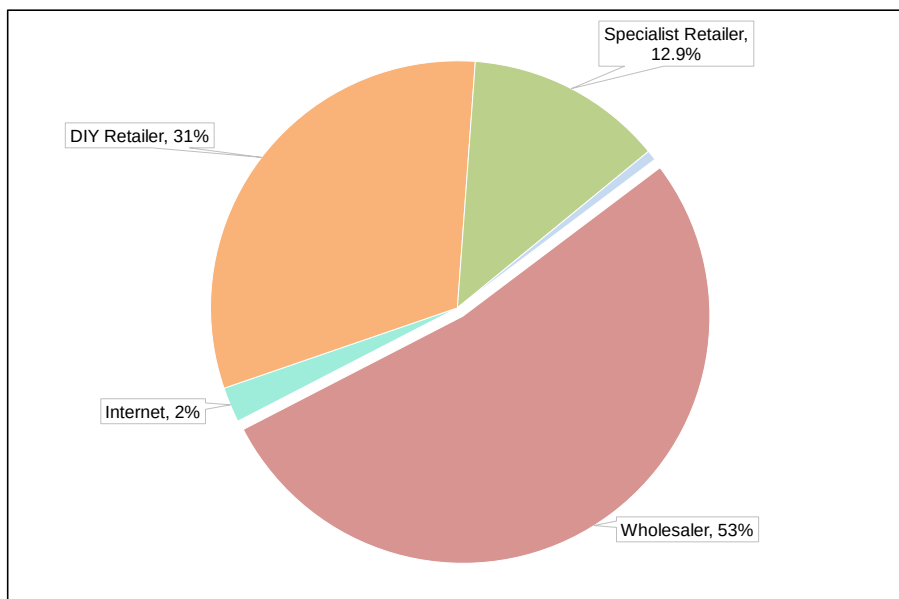
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
52.7%	2.3%	31.4%	12.9%	0.6%	14.6%	10.6%	71.7%	3.1%
100%					25.2%		74.8%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

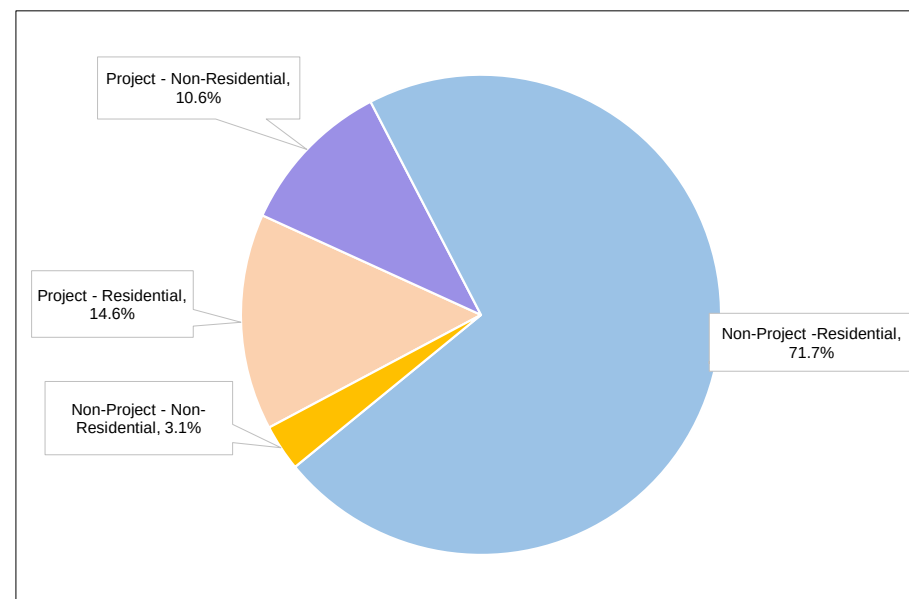
ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.1%	3.6%	33.5%	11.3%	0.5%	19.5%	13.6%	62.7%	4.1%
100%					33.2%		66.8%	

ES - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Spanish Sanitary Ware Market (April 2020)

ES - REVISIONS IN THE SPANISH SANITARY WARE MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

SPAIN

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Spanish taps and mixers market is a mature market and experienced exceptionally high growth between 2000 and 2006 due to the boom in the Spanish construction industry. Before and after this boom, development has been mainly cyclical and strongly dependent on replacement and refurbishments. The collapse of construction activity and the global and local economic crises have resulted in dramatic decreases of sales across all end use segments.

In terms of product mix, Spain moved very rapidly to one head mixers from a low base in the early 1990s and it is nowadays the type of product that accounts for the large majority of the market. The major trend has been towards thermostatic mixers and, more recently, shower pipes. Pillar taps have seen a decrease in sales in the last decade, given that a pair of pillar taps is now more frequently being replaced by a one head mixer. The market for pillar taps can therefore now be considered as a niche market sector.

The development of thermostatic mixers affected one head mixers' share in the market, but in the last few years it has remained quite stable. Since their introduction in the 1990s, consumers' and installers' acceptance of thermostatic mixers has increased significantly, especially in the replacement of old taps installed in showers. The entrance into the market of very cheap, low quality products has somewhat damaged the reputation of the segment. This is mainly because some thermostatic products had experienced a few issues in the places near the sea due to limescale and as a result, customers have been less eager to use these type of mixers. Manufacturers have moved production facilities to countries with lower costs (mainly Portugal and China).

The share of two head mixers has been declining for the past few years and the situation is unlikely to change in the next few years. There will always be a market for two head mixers, although mainly two head/one hole mixers. Many models are so called 'retro' or 'vintage style' (Victorian style) mixers.

The Spanish market for self-closing taps and electronic mixers is, overall, fairly developed and these products generally fall into the CII (commercial, institutional and industrial) product category; these are especially used for public washbasins in commercial buildings, petrol stations, restaurants, bars, schools, etc. This market still has some growth potential as it is very residual compared to the overall market. However, as some parts of Spain often suffer severe droughts, which could lead to savings in water consumption, it makes this type of product very attractive.

Manual push type self-closing taps were originally introduced by ROCA and PRESTO IBERICA with the PRESTO brand. Sales of electronic self-closing taps and mixers and valves are thought to have grown since 1999. BRG estimates that there is still a large potential market for electronic taps and mixers in the CII market, especially in shopping centres and office blocks and the market has started

to grow quickly, although it remains small in overall terms.

Self-closing flushing valves are a replacement product for cisterns and are connected directly to the mains. Most are used for commercial applications. It is believed that sales to the non-housing segment represents around half of the total sales of WC flushing valves, the other half being replacement sales for the majority of products. Residential sales are thought to be low.

After a dramatic drop following the collapse of the new residential market in 2007, the overall market benefited from increased RMI activity and non-housing demand. The improvement in macroeconomic figures and disposable income continued to drive RMI sales and had a positive impact on taps and mixers demand as its main end use segment in terms of volume.

Recent Market Trends

Sales of taps and mixers experienced another year of positive growth in 2019, although at a slower pace when compared to 2018. The performance of the new construction sector was the main driver for the taps and mixers sales growth, along with good demand from the RMI sector. According to EUROCONSTRUCT, new dwelling completions experienced a notable growth following the trend from the previous year, which had a positive impact on taps and mixers. However, RMI still accounts for the bulk of the market. Sales of taps and mixers in the non-housing segment declined in 2020 due to the high demand that occurred the previous years.

The increase in employment in 2019 positively affected RMI demand in Spain. However, renovation of old taps and mixers postponed by the economic crisis, one of the main drivers for the market in previous years, has already peaked and RMI stabilised.

Nowadays, Spanish consumers prefer better-quality products built in Europe over cheap, imported alternatives, as consumers are looking for products with longer lifespans and designs that reflect a sense of personality in the bathroom. Colours also began to play an important part along with personalised patterns.

Taps and mixers differ from some other bathroom products as they can be installed easily by the consumer, avoiding installation service costs. This makes the purchase decision for these products more straightforward and consumer-centred.

Prices and Market Values

Average prices, at MSP, for taps and mixers increased slightly in the Spanish market in 2019. Prices had already dropped dramatically in the past few years due to the economic conditions during the financial crisis. Nowadays, growing demand has allowed manufacturers to increase prices to keep up with increasing material costs, and consumers have shifted towards higher priced products due to quality and preference.

Furthermore, the increase in average MSP can be explained by the change in the product mix, as one head mixers and thermostatic mixers now account for the majority of the market – rather than pillar taps, which are cheaper. As a result, the overall average MSP has increased. Domestic RMI demand is responsible for an important share of sanitary taps and mixers, and household preference for better-quality products is driving the average price up.

The most noticeable trend in the Spanish market is that most companies are trying to move into, or at least offer models in, the upper segments of the market. Volumes sold by national manufacturers into middle and upper segments are tending to experience higher growth rates when compared to economic due to competition from Chinese products. Manufacturers are moving towards these models to increase their turnover and penetrate the upper/luxury non-residential and residential segment.

New Housing

New dwelling completions increased strongly in 2019 following the growth in the previous year. However, construction activity came to a halt after the country was under lockdown due to the COVID-19 outbreak.

Some building companies began to work again in the middle of April, although, with many restrictions and fewer personnel due to social-distancing rules. In addition, only projects in the open air can restart their activity. It is still unknown when this situation will change, but it is most likely that many projects will remain on hold. From 2021, it is believed that new housing completions should increase until 2024. The number of installations in this segment should grow at a positive pace in all applications during this period and one head mixer should dominate this end-use sector.

Housing RMI

As with most bathroom products, RMI sales have continued to carry the bulk of sales. Also, since Spain is a mature market, RMI accounts for the vast majority of annual taps and mixers sales and had positive growth in 2019. RMI includes full home improvements and replacements. It is significant to highlight that sales in this segment dropped for several years due to the financial crisis and sales levels remained low compared to those before 2007. Sales to the RMI sector are mostly conducted via the traditional route, given the fact that most projects are carried out by individuals.

Non-Housing

Taps and mixers are a fundamental element in any occupied building with a bathroom, including non-residential structures. Sales to the non-housing segment declined in 2019 which is a shift away from the positive trend. The main reason for this decline is the peak in refurbishments in the non-housing segment had already

occurred during the previous years.

Public and private investments for infrastructure remained weak for many years, but from 2017 it has been contributing to a better performance in this segment. New non-housing projects were released in 2019, mainly offices and miscellaneous buildings.

All sales of electronic and self-closing mixers have taken place in the non-housing segment due to their commercial utilities and it is expected to be a segment that should experience growth in the future.

Supply Structure

A group of Spanish manufacturers dominate the market in terms of volume, and they are particularly strong in the new build market. This group includes ROCA (leader of the market in both volume and value), RAMON SOLER, STANDARD HIDRAULICA, TRES GRIFERIA, GROHE, NOKEN, TEKA and HANS GROHE. These manufacturers have mainly established their position in the Spanish market by offering a wide range of products. The price level reached by these manufacturers allows them to not only be competitive in the domestic market, but also to establish significant positions in export markets (primarily in France and Portugal).

There are also specialist Spanish manufacturers who focus on a few types of taps & mixers, including MZ DEL RIO, GENE BRE, BORRAS, GROBER, MAIER, CLEVER, PRESTO and GALINDO who are the main players. These manufacturers have much smaller volumes of sales than those mentioned above. In general, the products offered are also generally lower to middle priced products and export to different continents.

There are also a limited number of German brands, clearly dominated by GROHE, which has managed to compete directly with the large Spanish manufacturers. Other German manufacturers in the Spanish market are HANS GROHE, HANSA and DORNBRACHT (with a small volume but with a far higher market value share). The main strength of these manufacturers is in the fact that they enjoy an image of quality in the Spanish market but have also been able to adapt to the Spanish market and its lower price levels.

In addition, there are a reasonable number of Italian importers present in the market (most of the time one brand is distributed through one distributor in one town). These include ZUCCHETTI (in Barcelona), FANTINI (in Barcelona) and OTTONE & MELODA, CRISTINA, among others. Other imported brands include IDEAL STANDARD and the French JACOB DELAFON. The taps and mixers activity of these manufacturers in the Spanish market is very much complementary to their activity in the ceramic sanitary ware segment. Sales of mixers mostly cater for the upper end of the market, although to a limited degree.

Similar to other segments in the overall bathroom market, the taps and mixers market is dominated by the domestic manufacturer ROCA; however, the taps and mixers market is more fragmented in terms of supply than other bathroom product markets. It is also worth noting that the leaders in volume in this market are not necessarily leaders in sales value. Apart from ROCA, the Spanish ceramic sanitary ware manufacturer PORCELANOSA with its NOKEN brand, also produce their own taps. GROHE for instance, have introduced ceramic sanitary ware products in the Spanish market. The only substantial importer in terms of volume is GROHE, although other German manufacturers such as HANSGROHE, HANSA or even DORNBRACHT (although on a smaller scale) are also present.

A large number of Spanish manufacturers import taps and mixers or components from China and then sell them under their own brand name. There are even some sanitary product distributors that are also importing from China and then selling under their own brand name as well. Some of the manufacturers have set up factories in China and import products from there.

It also appears that some companies competing in other bathroom product sectors are now launching a few mixers lines. SALGAR, a bathroom furniture manufacturer, use their own mixers as a complement to its product lines. The same happens in several other companies, that are not specifically in the taps and mixer market, usually offering them as a complement to their product lines.

It is also believed that there are a few manufacturers that also offer OEM products within the country and some of these sales are accounted in 'Others' since this type of market is less transparent.

The manual self-closing taps market is clearly dominated by three manufacturers, ROCA and two other Spanish manufacturers, RAMON SOLER and STANDARD HIDRAULICA. In this market, manufacturers have only a limited number of models (sometimes only one self-closing tap model) and sales of these products are very limited. This type of faucet is installed in washbasins in the non-housing sector and a few in showers.

The electronic mixers market is divided mainly between ROCA, TRES, GROHE, NOKEN and ORAS with the brand HANSA. It is believed, however, that there are also a handful of other Spanish manufacturers that are present in the market. It is also likely that the number of suppliers will increase significantly over the next few years as the market develops. Washbasins in commercial buildings are the most common application, although some kitchen sinks applications are also common.

Suppliers of self-closing flushing valves include GEBERIT, GROHE, SCHELL and the company PRESTO IBERICA. It is also believed that a large number of imported products are present in the Spanish market.

ROCA still remains very strong in different distribution channels, with a large part of its network distributing exclusively ROCA product ranges.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

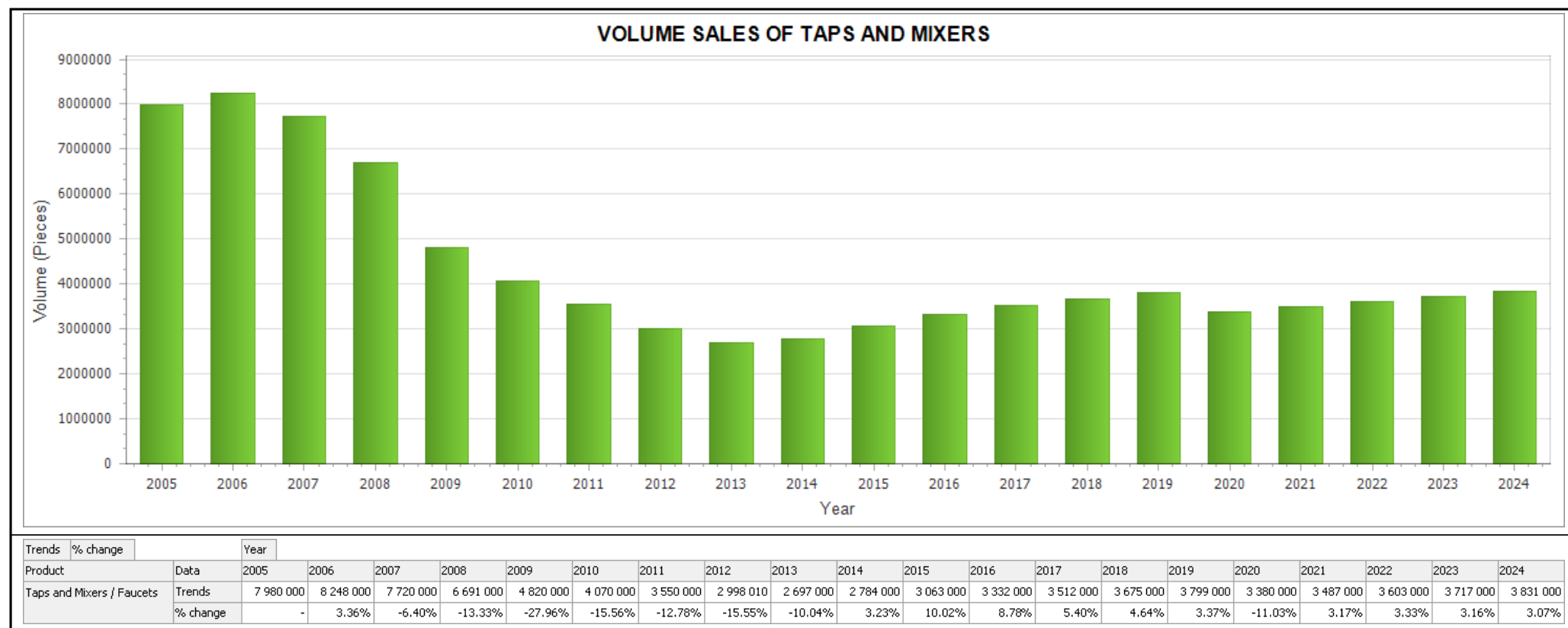
The Spanish sanitary taps and mixers market is anticipated to experience a decline in sales in 2020 due to the COVID-19 pandemic. The market expects a drop in sales in 2020 across all end-use segments. The continued necessity of replacements for this type of product should help the market to not fall any further. New designs have been seen within this segment, either sanitary or kitchen, and the trend of a higher demand for better quality products is expected to continue.

Sales of taps and mixers should recover from the impact of COVID-19 from 2021 onwards. The expectation is for RMI demand to continue to show positive growth and be responsible for the bulk of sales. New housing demand is expected to strongly increase in 2022 and up until 2024 but should remain at a fraction of the 2006 peak. The outlook for private consumption and non-residential investments is expected to show a recovery from 2022 onwards. Therefore, sales of sanitary taps and mixers are predicted to grow from 2021, showing steady increases after the COVID-19 pandemic.

The IMF projects that the Spanish GDP will decrease in 2020, but from 2021 economic growth will recover. Political instability and the COVID-19 pandemic will have an impact on the economy with many investments being put on hold as a result of the current restrictions and uncertainty.

3.2 Historical Trends and Forecasts : Taps and Mixers

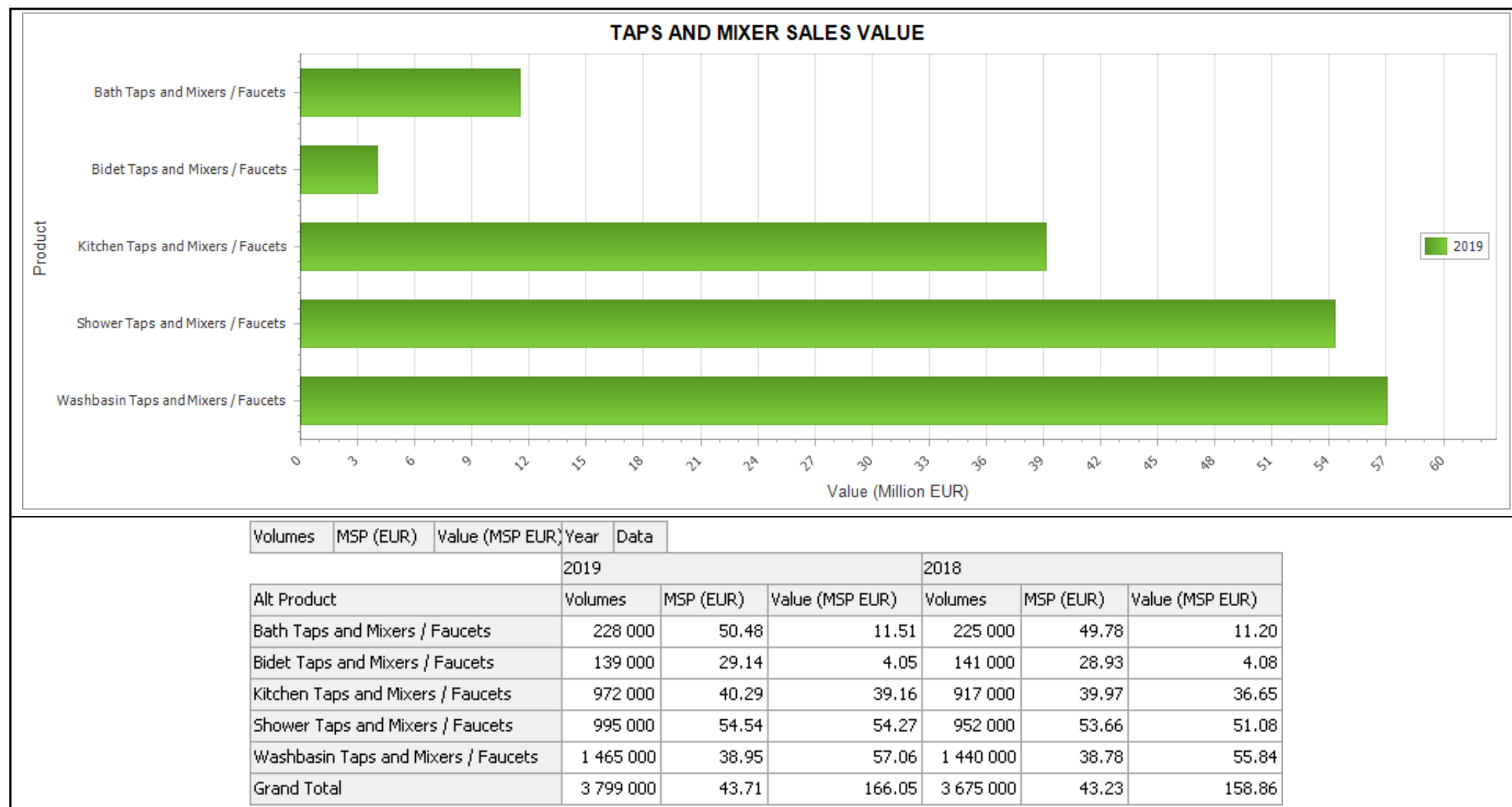
ES - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

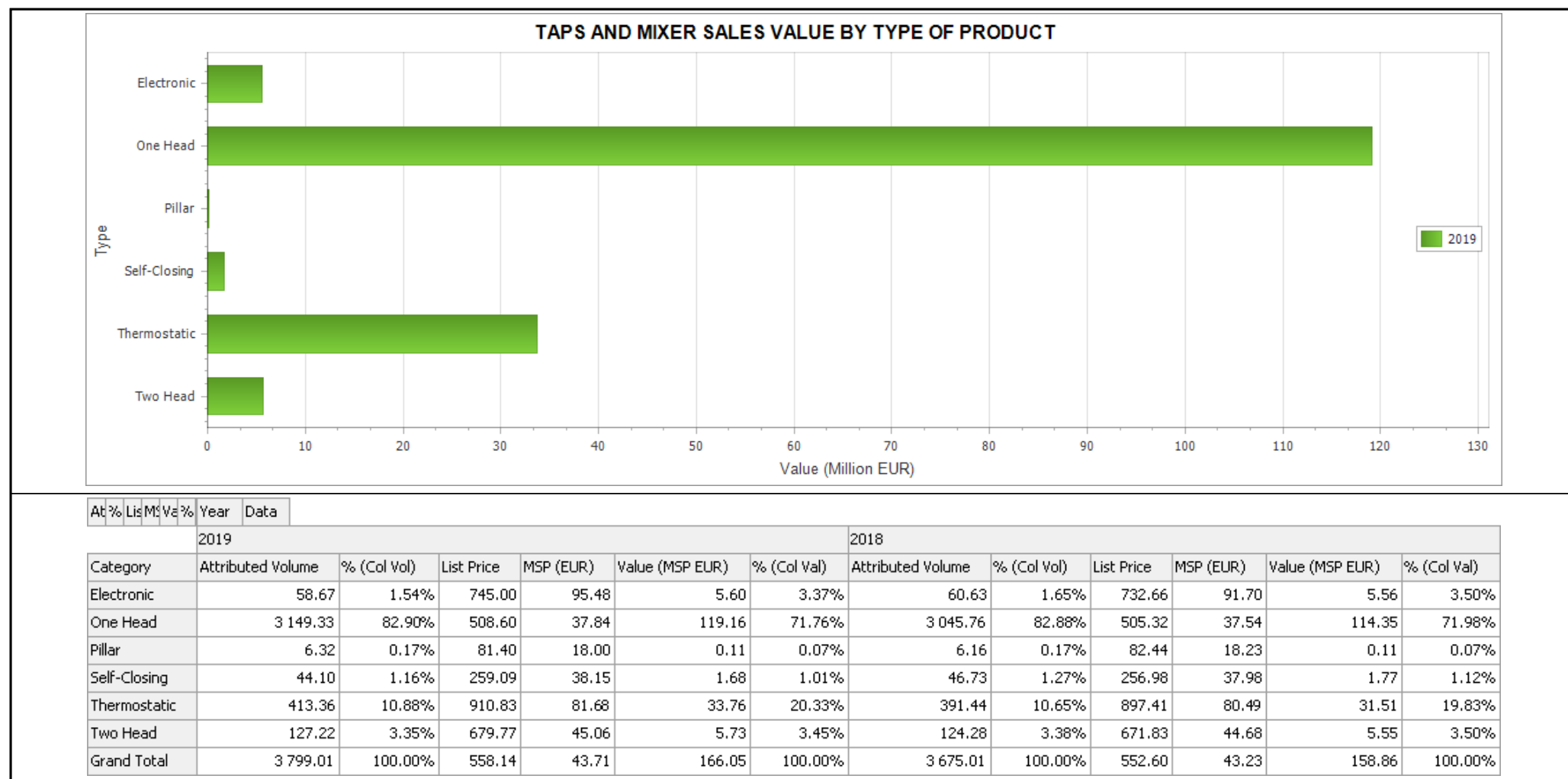
ES - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

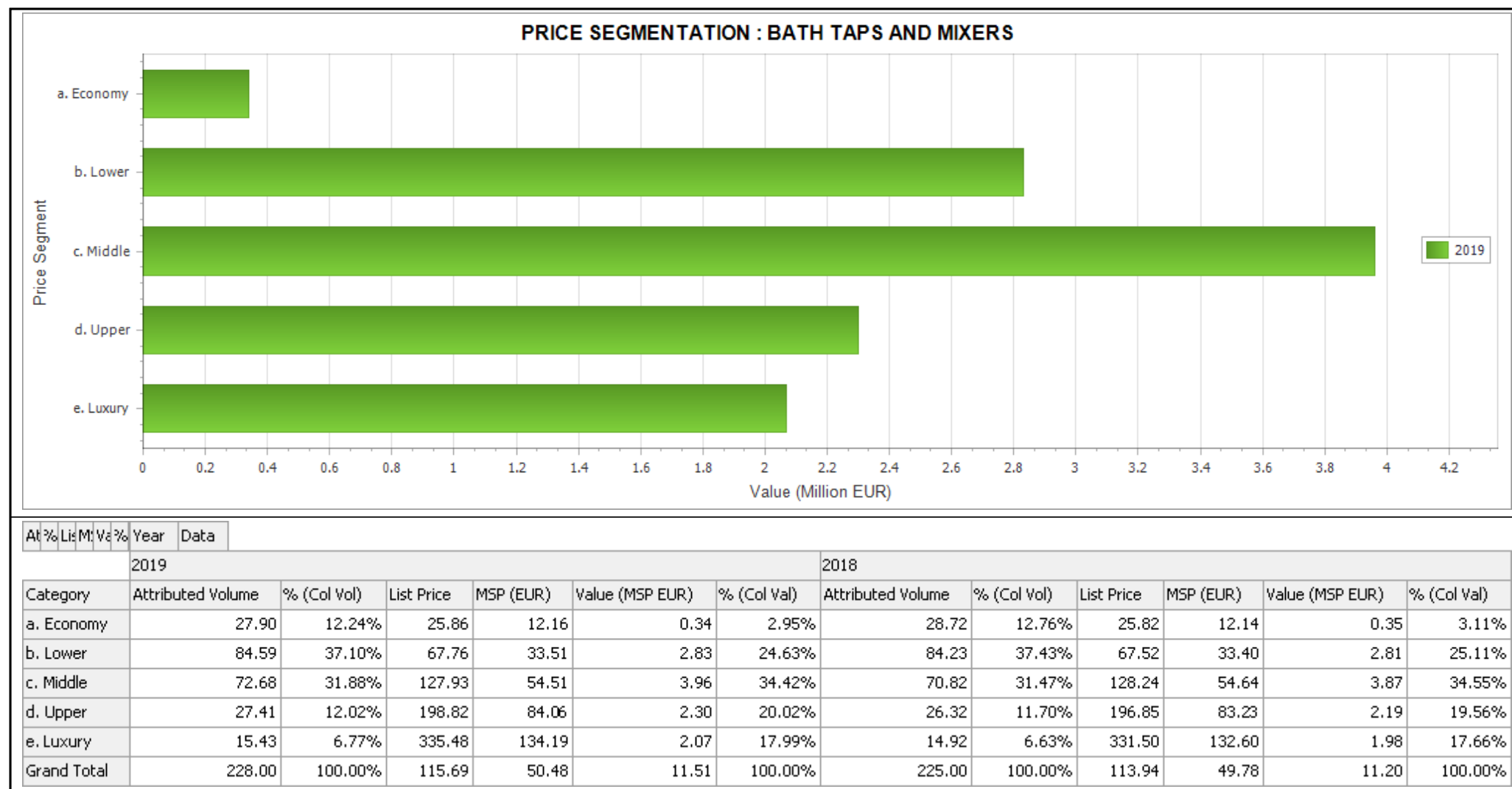
ES - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

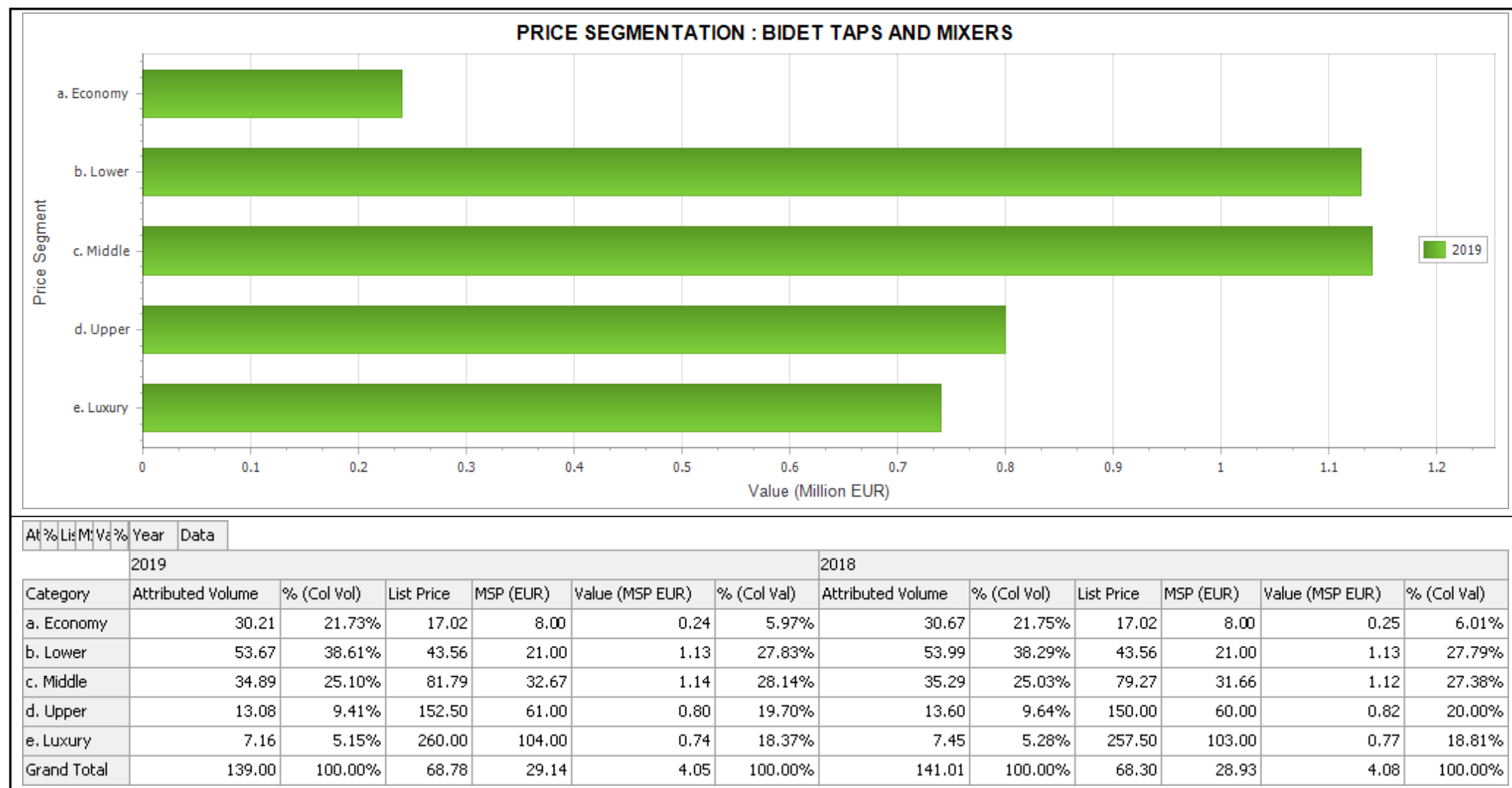
ES - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.4 Price Segmentation : Bidet Taps and Mixers

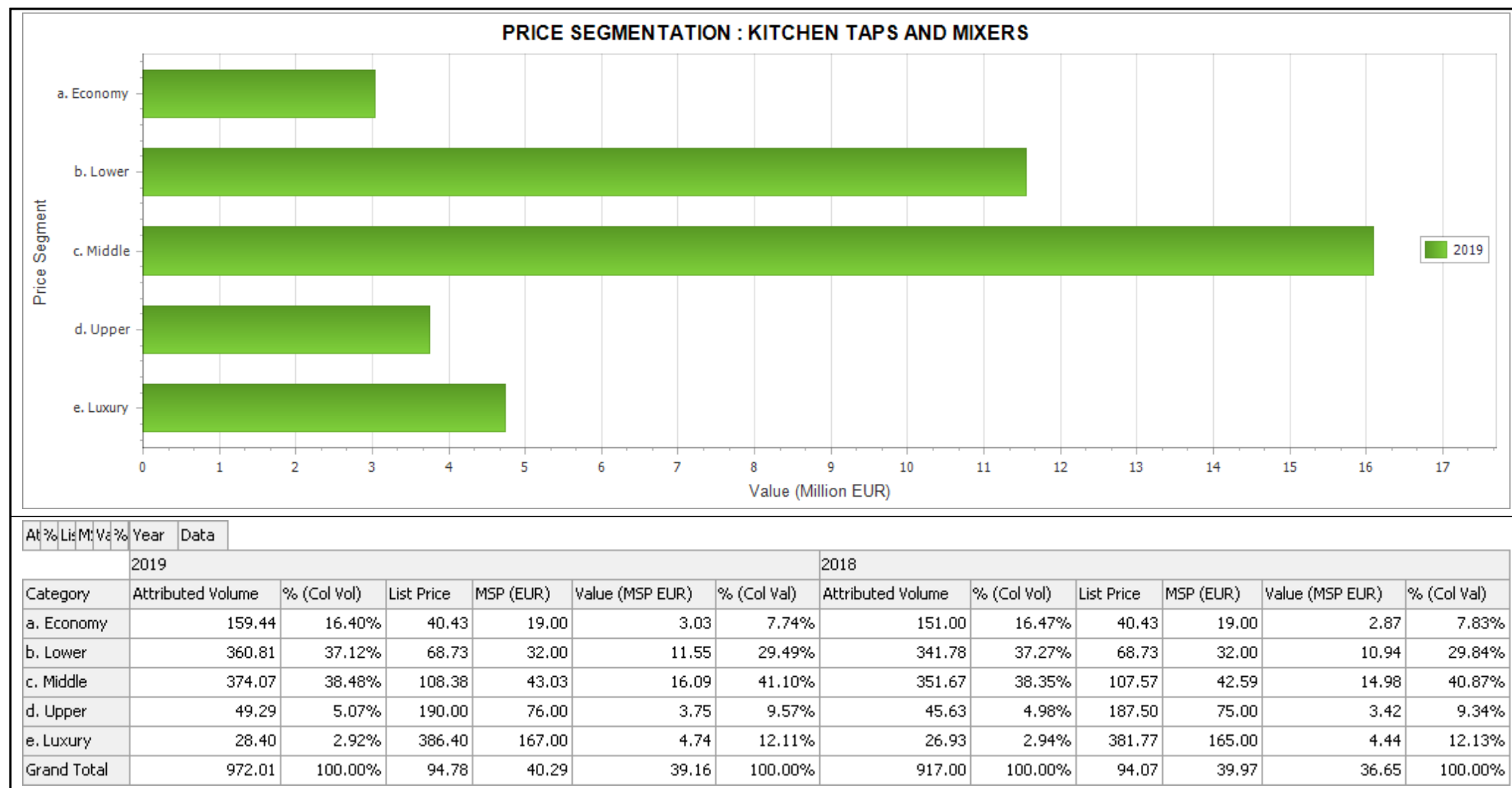
ES - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

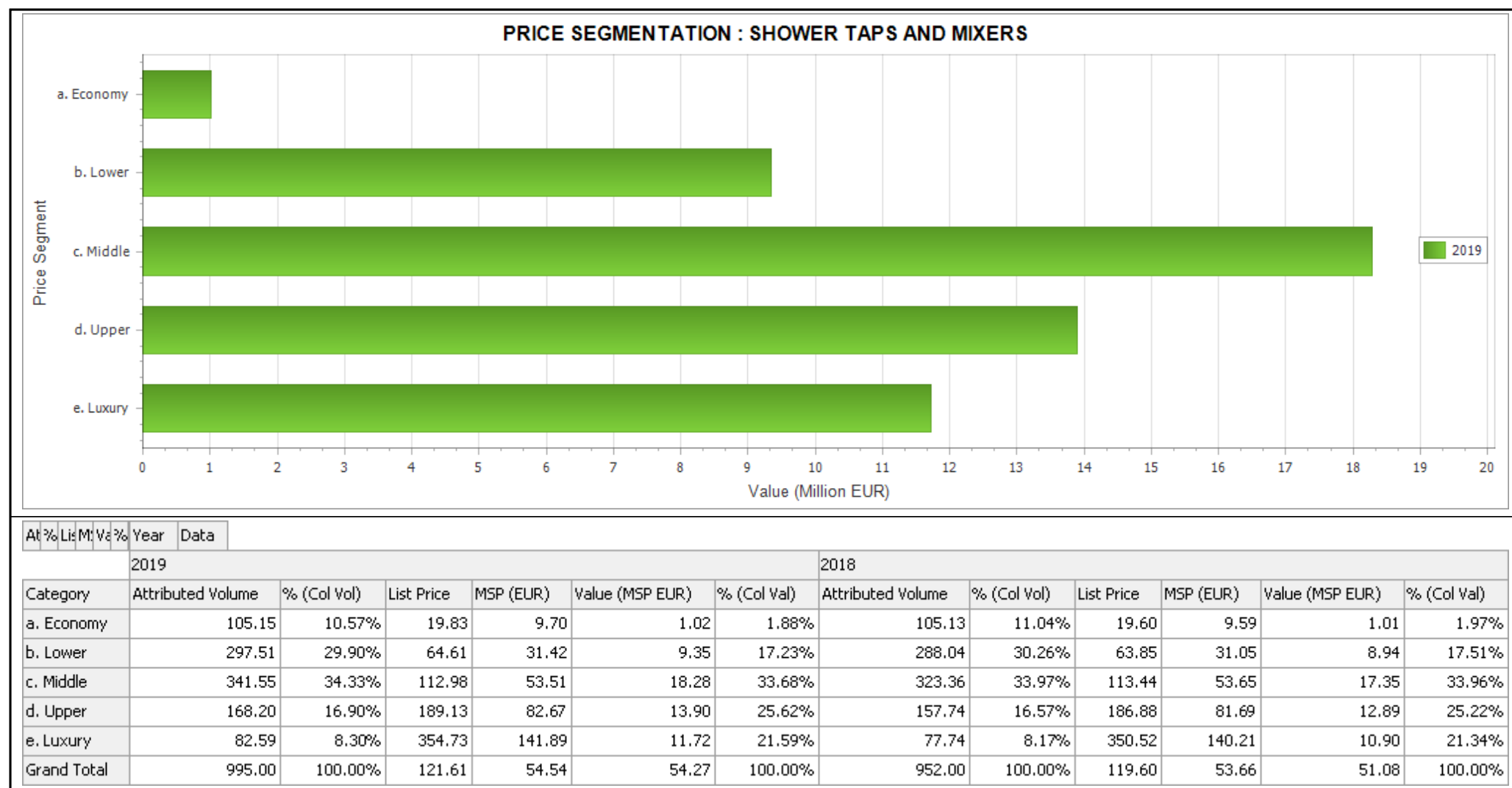
ES - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.6 Price Segmentation : Shower Taps and Mixers

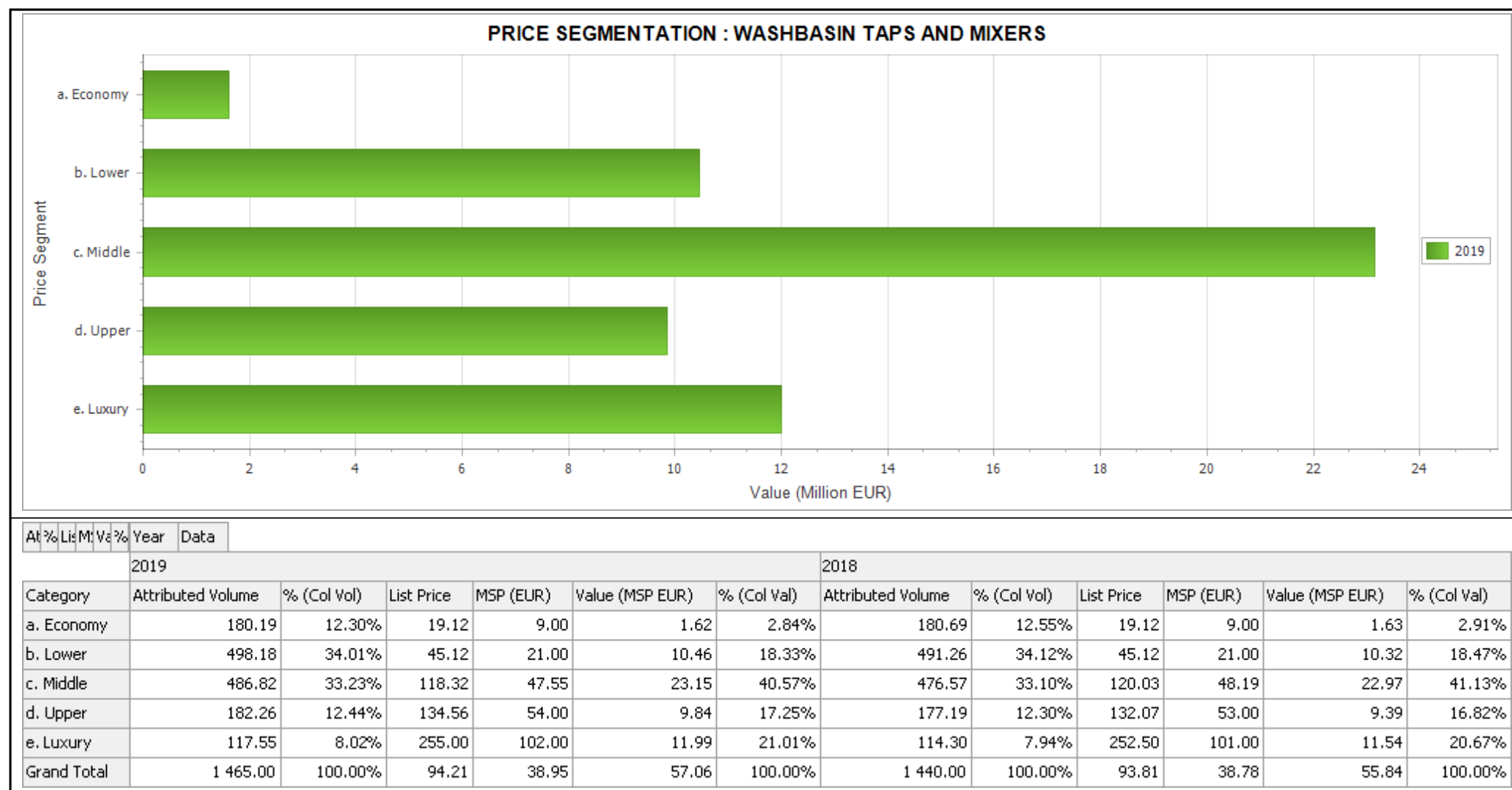
ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.7 Price Segmentation : Washbasin Taps and Mixers

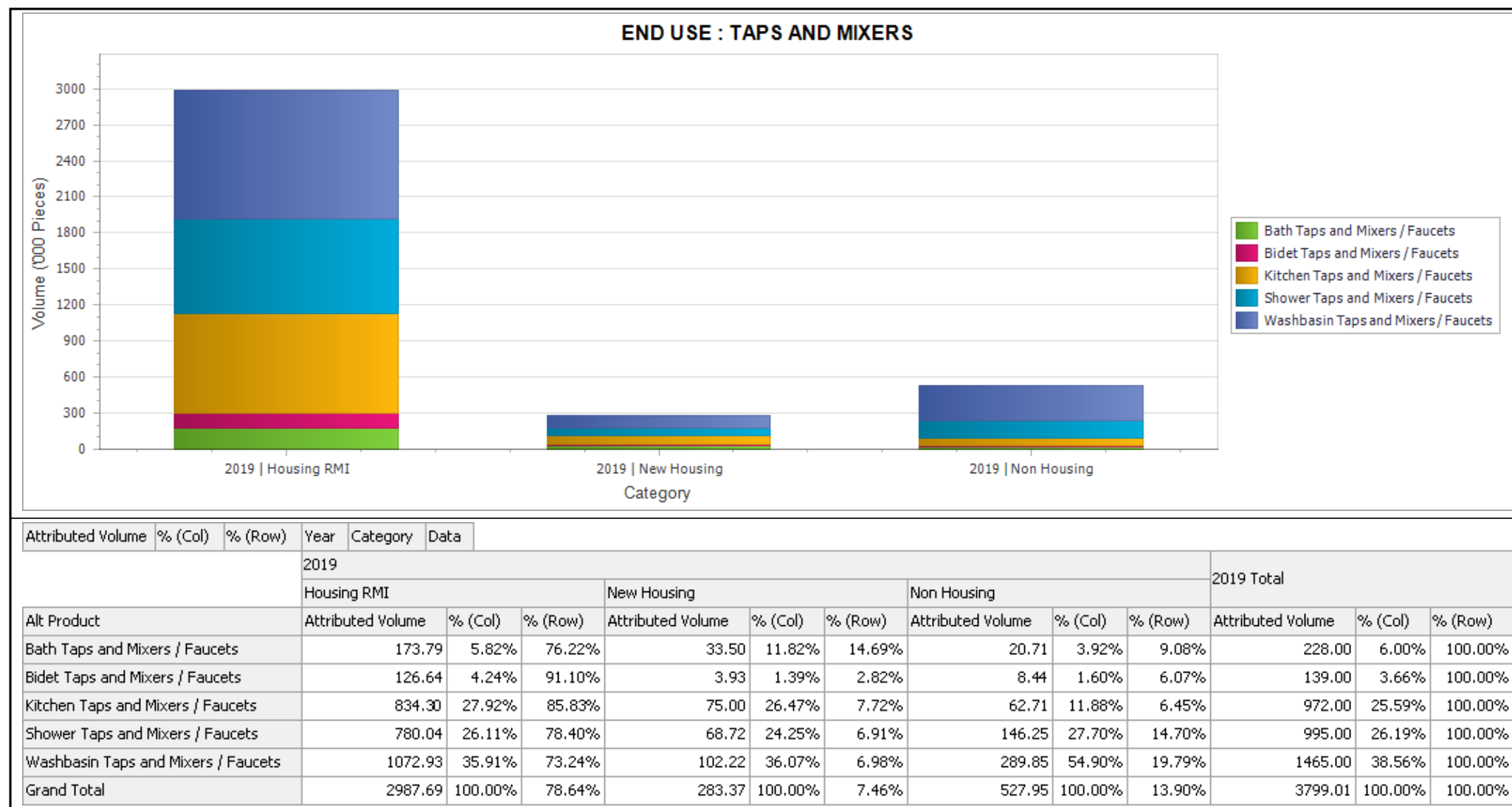
ES - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.4.1 End Use : Base Year

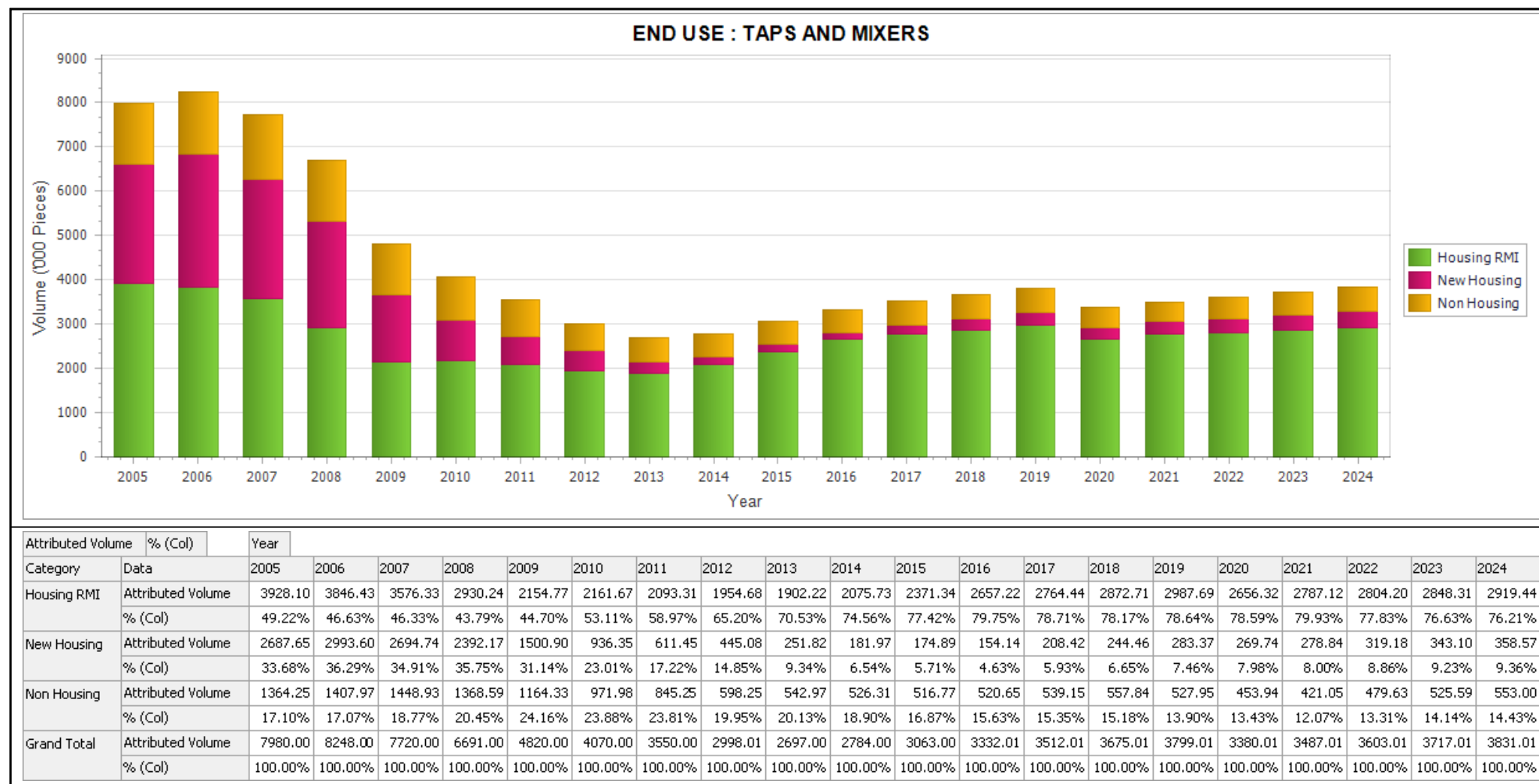
ES - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

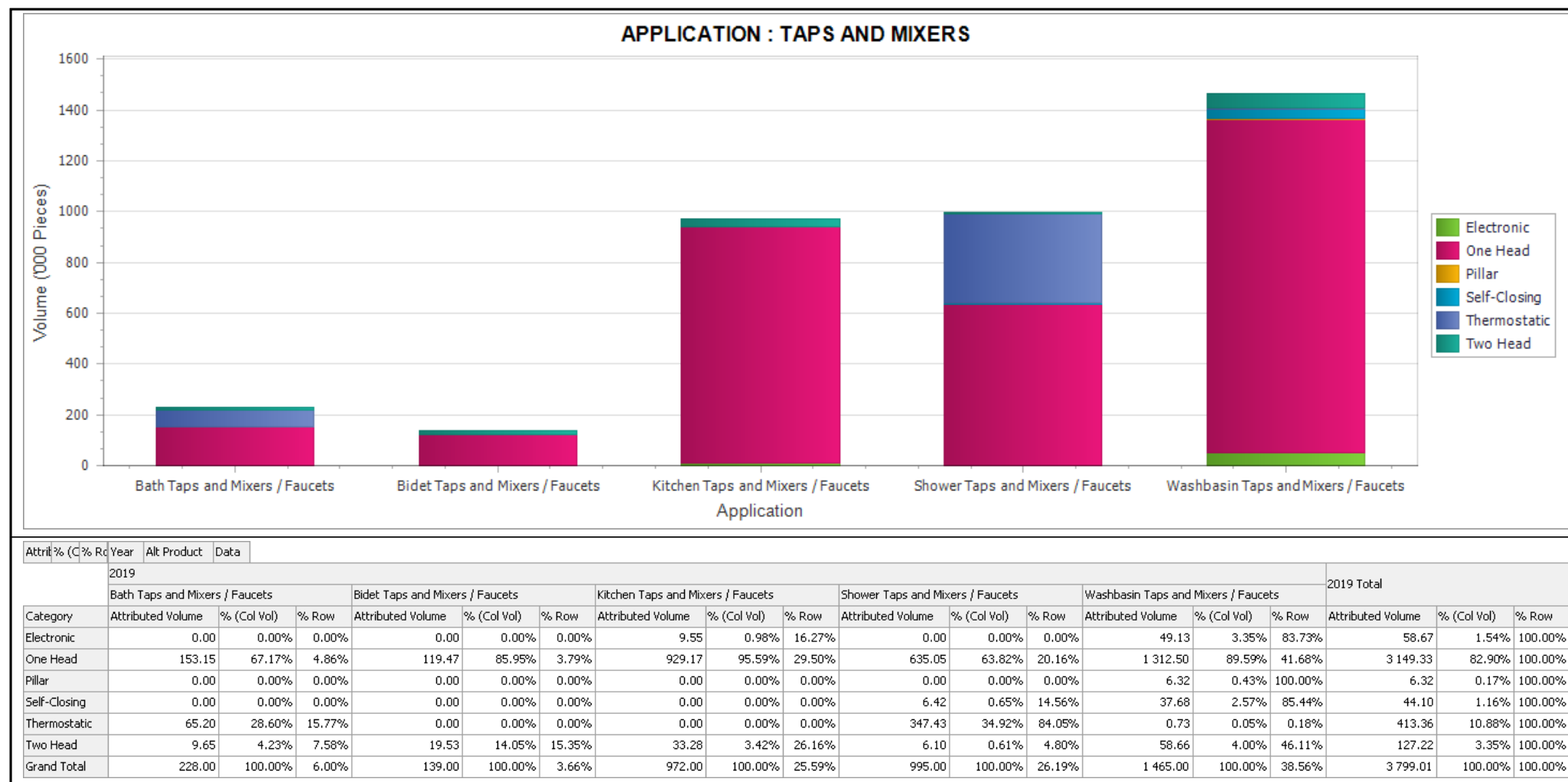
ES - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

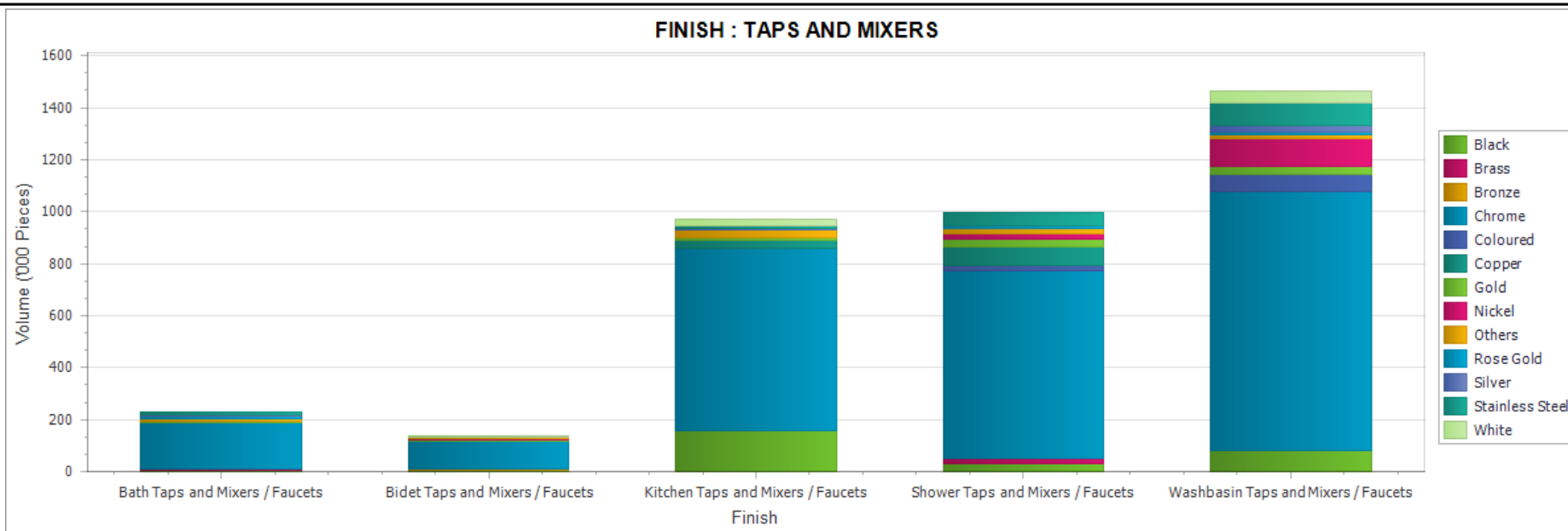
ES - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

ES - SALES OF TAPS AND MIXERS BY FINISH TYPE : BASE YEAR '000 PIECES)

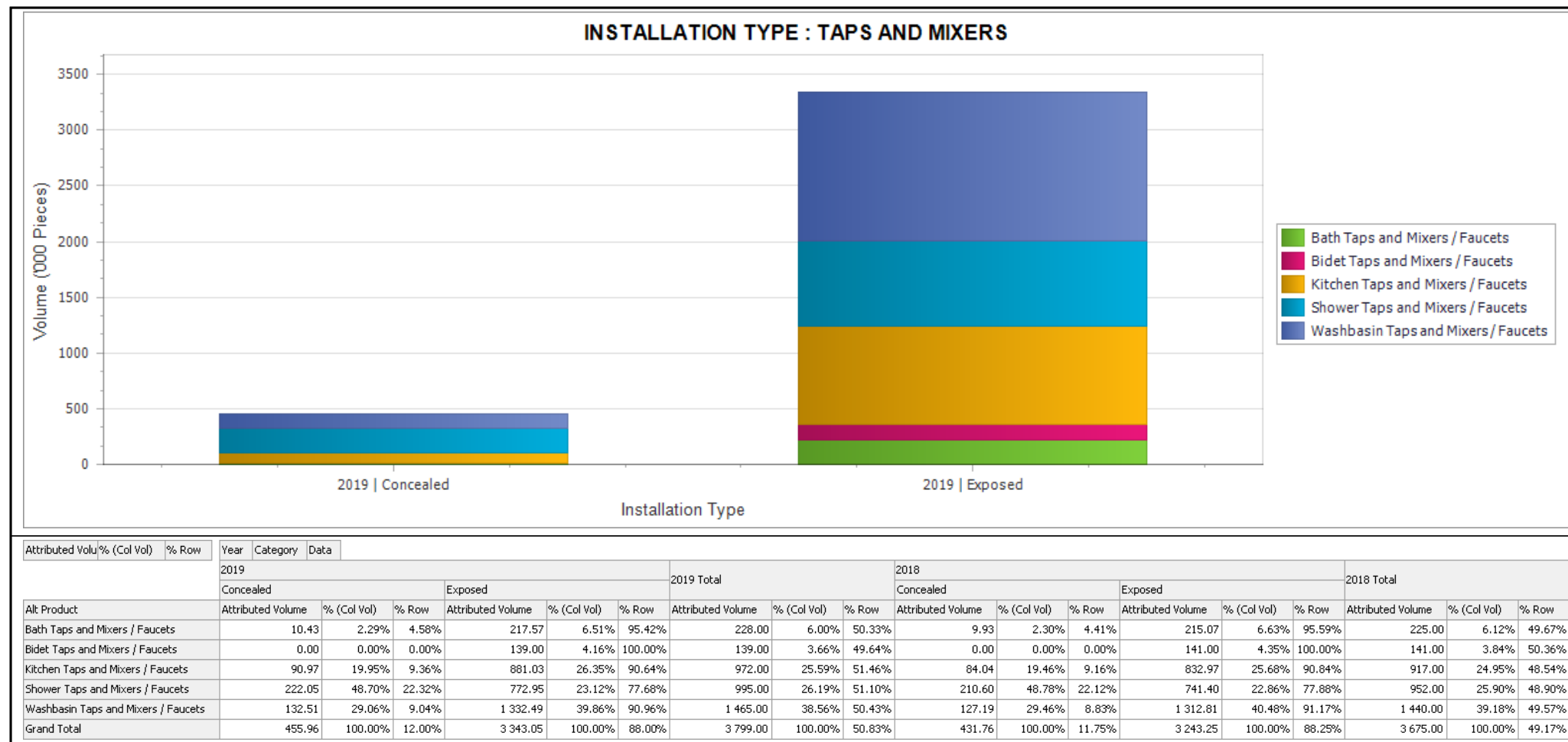


Attrib	% (C	% Ro	Year	Alt Product	Data															
2019																		2019 Total		
Bath Taps and Mixers / Faucets						Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets					
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row		
Black	5.24	2.30%	1.89%	4.45	3.20%	1.61%	155.52	16.00%	56.12%	29.85	3.00%	10.77%	82.04	5.60%	29.61%	277.10	7.29%	100.00%		
Brass	4.11	1.80%	14.13%	3.06	2.20%	10.53%	0.00	0.00%	0.00%	21.89	2.20%	75.34%	0.00	0.00%	0.00%	29.06	0.76%	100.00%		
Bronze	2.28	1.00%	30.17%	1.39	1.00%	18.39%	3.89	0.40%	51.44%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	7.56	0.20%	100.00%		
Chrome	174.42	76.50%	6.47%	105.92	76.20%	3.93%	699.06	71.92%	25.93%	719.39	72.30%	26.68%	997.67	68.10%	37.00%	2 696.45	70.98%	100.00%		
Coloured	2.74	1.20%	3.06%	1.81	1.30%	2.02%		0.00%	0.00%	21.89	2.20%	24.48%	63.00	4.30%	70.44%	89.43	2.35%	100.00%		
Copper	0.00	0.00%	0.00%	1.11	0.80%	1.10%	30.52	3.14%	30.13%	69.65	7.00%	68.77%	0.00	0.00%	0.00%	101.28	2.67%	100.00%		
Gold	4.56	2.00%	5.50%	5.98	4.30%	7.21%	9.72	1.00%	11.73%	31.84	3.20%	38.42%	30.77	2.10%	37.13%	82.86	2.18%	100.00%		
Nickel	1.14	0.50%	0.84%	5.56	4.00%	4.10%	0.00	0.00%	0.00%	18.91	1.90%	13.95%	109.88	7.50%	81.10%	135.48	3.57%	100.00%		
Others	9.80	4.30%	12.52%	2.78	2.00%	3.55%	31.10	3.20%	39.73%	22.89	2.30%	29.23%	11.72	0.80%	14.97%	78.29	2.06%	100.00%		
Rose Gold	11.63	5.10%	34.01%	0.42	0.30%	1.22%	0.00	0.00%	0.00%	8.96	0.90%	26.20%	13.19	0.90%	38.57%	34.19	0.90%	100.00%		
Silver	0.68	0.30%	2.34%	0.70	0.50%	2.38%	5.83	0.60%	19.98%	0.00	0.00%	0.00%	21.98	1.50%	75.29%	29.19	0.77%	100.00%		
Stainless Steel	11.40	5.00%	7.12%	0.97	0.70%	0.61%	11.66	1.20%	7.28%	49.75	5.00%	31.05%	86.44	5.90%	53.95%	160.22	4.22%	100.00%		
White	0.00	0.00%	0.00%	4.87	3.50%	6.25%	24.69	2.54%	31.69%	0.00	0.00%	0.00%	48.35	3.30%	62.06%	77.90	2.05%	100.00%		
Grand Total	228.00	100.00%	6.00%	139.00	100.00%	3.66%	972.00	100.00%	25.59%	995.00	100.00%	26.19%	1 465.00	100.00%	38.56%	3 799.01	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

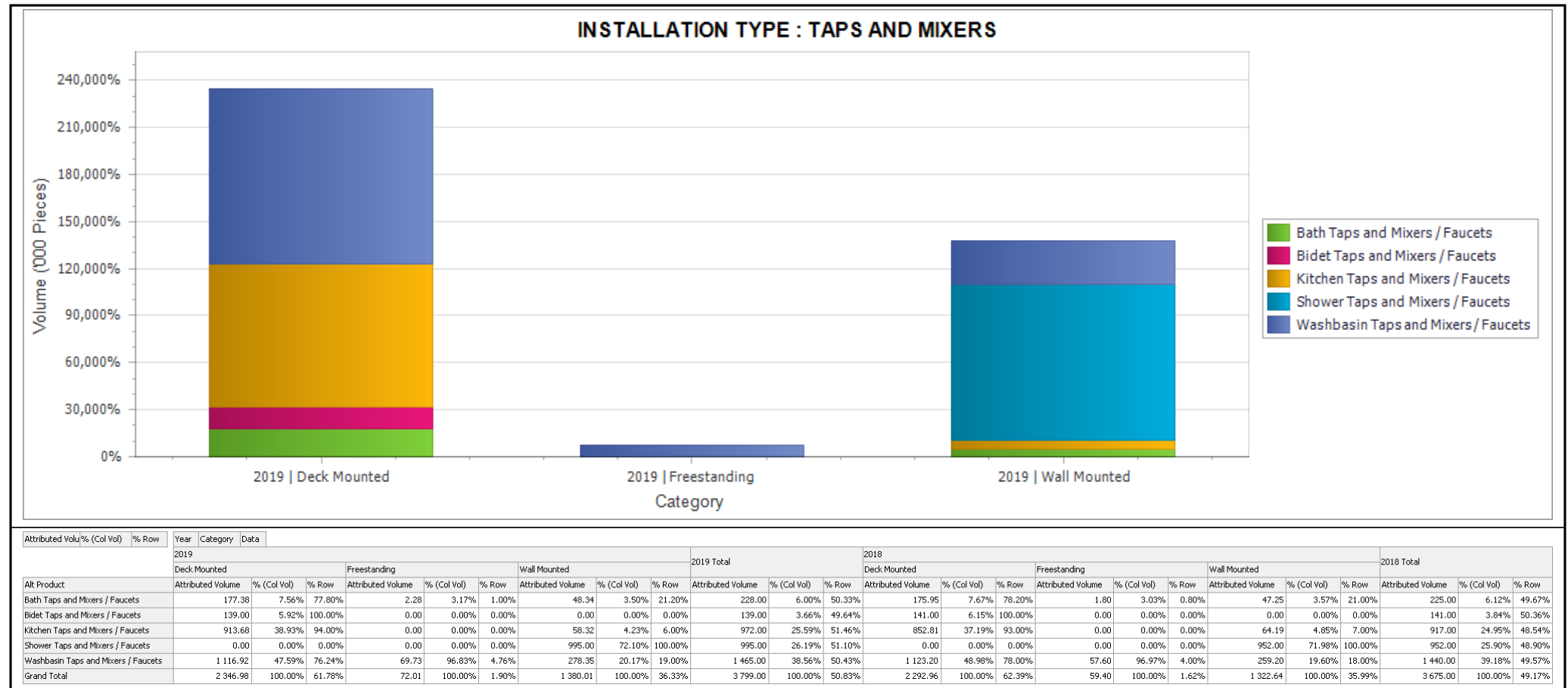
ES - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

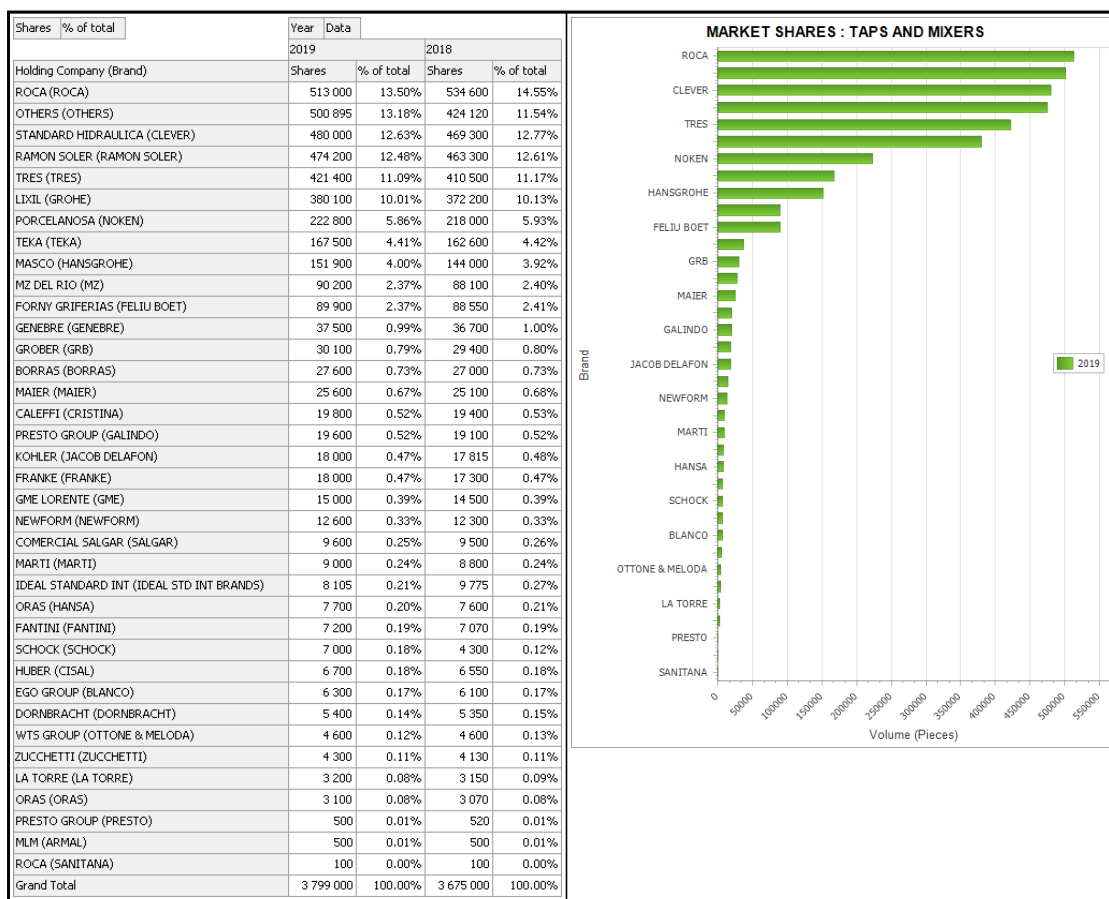
ES - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

ES - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 ES - IMPORTS OF MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	4 979	55.2%	58 776	39.7%	5 433	58.6%	60 129	42.3%
Germany	1 497	16.6%	41 521	28.0%	531	5.7%	18 873	13.3%
Portugal	1 181	13.1%	19 024	12.8%	1 653	17.8%	29 893	21.0%
Italy	690	7.7%	17 733	12.0%	955	10.3%	19 783	13.9%
Turkey	220	2.4%	3 239	2.2%	148	1.6%	2 462	1.7%
Czech Republic	116	1.3%	387	0.3%	49	0.5%	369	0.3%
France	106	1.2%	2 677	1.8%	62	0.7%	1 473	1.0%
Belgium	93	1.0%	790	0.5%	3	0.0%	40	0.0%
OTHERS	131	1.5%	4 013	2.7%	434	4.7%	9 086	6.4%
Total	9 013	100.0%	148 160	100.0%	9 267	100.0%	142 108	100.0%

Source : Trademap

3.6.2 ES - EXPORTS OF MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	1 072	27.3%	21 753	24.2%	1 090	28.2%	20 846	24.3%
Portugal	512	13.1%	9 986	11.1%	432	11.2%	8 945	10.4%
Poland	244	6.2%	8 782	9.8%	234	6.1%	8 440	9.8%
Morocco	241	6.1%	3 826	4.3%	408	10.6%	6 167	7.2%
Italy	237	6.0%	6 009	6.7%	155	4.0%	3 490	4.1%
United Arab Emirates	189	4.8%	3 556	4.0%	69	1.8%	1 641	1.9%
United Kingdom	139	3.5%	5 301	5.9%	126	3.3%	4 688	5.5%
Spain	125	3.2%	1 288	1.4%	0	0.0%	0	0.0%
Dominican Republic	80	2.1%	1 843	2.1%	42	1.1%	944	1.1%
Germany	66	1.7%	2 684	3.0%	56	1.4%	2 085	2.4%
Mexico	65	1.7%	2 384	2.7%	135	3.5%	3 170	3.7%
OTHERS	950	24.2%	22 338	24.9%	1 119	28.9%	25 481	29.7%
Total	3 920	100.0%	89 750	100.0%	3 868	100.0%	85 897	100.0%

Source : Trademap

3.6.3 ES - IMPORTS OF TAPS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	3 790	60.2%	37 402	57.8%	3 950	66.6%	37 323	58.0%
Portugal	742	11.8%	10 840	16.8%	674	11.4%	9 668	15.0%
Belgium	726	11.5%	612	0.9%	103	1.7%	477	0.7%
Italy	253	4.0%	4 742	7.3%	296	5.0%	4 559	7.1%
Germany	208	3.3%	2 896	4.5%	191	3.2%	3 059	4.7%
Denmark	140	2.2%	1 471	2.3%	150	2.5%	1 376	2.1%
France	133	2.1%	2 493	3.9%	297	5.0%	4 043	6.3%
United Kingdom	106	1.7%	660	1.0%	54	0.9%	334	0.5%
Turkey	92	1.5%	654	1.0%	79	1.3%	532	0.8%
OTHERS	109	1.7%	2 885	4.5%	134	2.3%	3 031	4.7%
Total	6 298	100.0%	64 655	100.0%	5 928	100.0%	64 402	100.0%

Source : Trademap

3.6.4 ES - EXPORTS OF TAPS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	684	18.9%	7 300	16.5%	704	21.7%	7 519	17.1%
Spain	582	16.1%	2 866	6.5%	0	0.0%	0	0.0%
Morocco	545	15.1%	5 703	12.9%	859	26.5%	8 696	19.8%
Mauritania	207	5.7%	803	1.8%	149	4.6%	675	1.5%
France	180	5.0%	3 719	8.4%	178	5.5%	3 318	7.5%
Algeria	172	4.8%	2 432	5.5%	59	1.8%	821	1.9%
United Arab Emirates	106	2.9%	2 314	5.2%	50	1.5%	1 290	2.9%
Saudi Arabia	67	1.9%	1 642	3.7%	40	1.2%	1 140	2.6%
Argentina	59	1.6%	612	1.4%	154	4.7%	1 358	3.1%
Dominican Republic	58	1.6%	983	2.2%	39	1.2%	717	1.6%
Israel	52	1.4%	537	1.2%	27	0.8%	257	0.6%
OTHERS	903	25.0%	15 235	34.5%	986	30.4%	18 157	41.3%
Total	3 615	100.0%	44 146	100.0%	3 244	100.0%	43 948	100.0%

Source : Trademap

3.7.1 Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.5%
	Wholesalers / Merchants
	75.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	2.5%		13.8%		21.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.8%		34.8%		26.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	25.0%	1.0%	2.0%	5.7%
Installers				
33.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	6.6%	2.3%	31.8%	19.6%	33.3%	0.0%	3.5%	0.5%	1.0%	1.0%	0.5%
	Residential						Non-Residential					
	93.5%						6.5%					
New Build			Residential RMI			New Build			Non-Residential RMI			
7.7%			85.8%			3.0%			3.5%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
6.6%	1.2%		4.3%	81.5%		2.6%	0.5%		2.6%	0.9%		

3.7.2 Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.0%
	Wholesalers / Merchants
	78.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.4%	4.0%		14.0%		23.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.4%		37.0%		23.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	25.2%	1.0%	2.3%	0.6%
Installers				
29.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	7.6%	3.4%	33.7%	21.5%	27.2%	0.0%	1.7%	1.0%	1.0%	1.0%	1.8%
	Residential						Non-Residential					
	93.5%						6.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.8%			83.7%			3.0%			3.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.3%		1.5%	4.2%		79.5%	2.6%		0.5%	2.7%		0.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

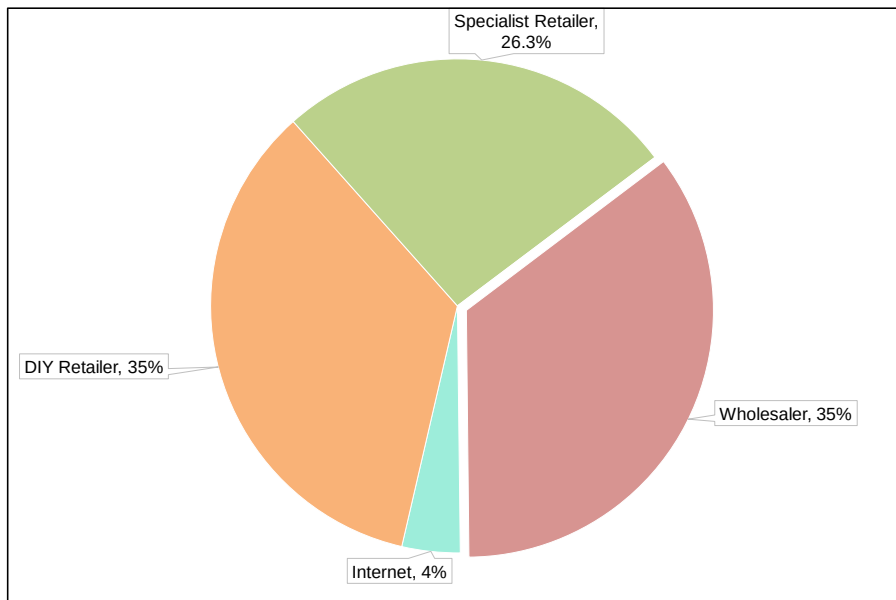
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.1%	3.8%	34.8%	26.3%	0.0%	10.9%	5.1%	82.7%	1.3%
100%					16.0%		84.0%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

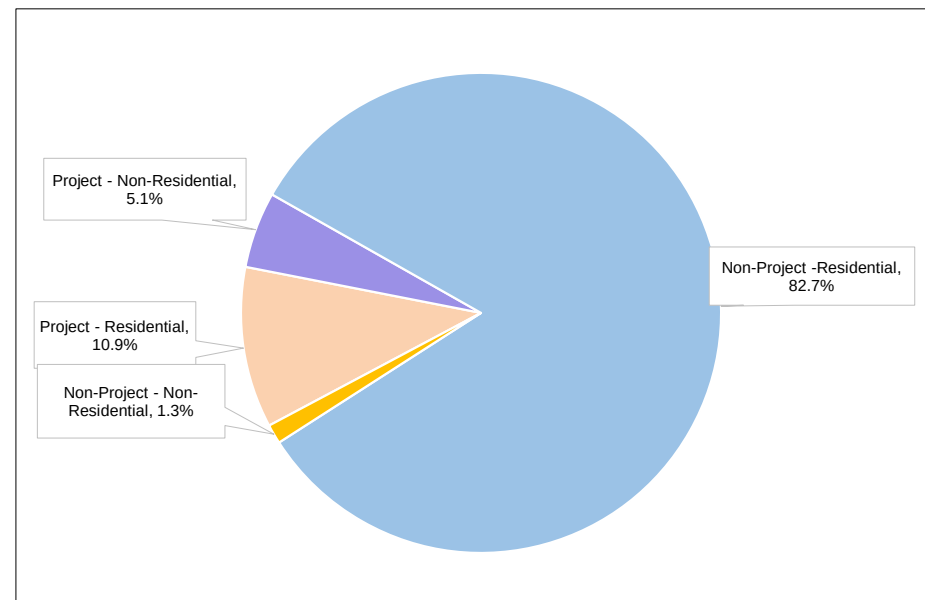
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.5%	5.4%	37.0%	23.1%	0.0%	12.5%	5.2%	81.0%	1.3%
100%					17.7%		82.3%	

ES - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5 Route to Market: Sanitary Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	99.9%

Wholesale Level	75.0%
	Wholesalers / Merchants
	75.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.3%	4.0%	13.1%	20.0%	7.5%	12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.3%		33.1%		19.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	16.1%	2.0%	5.0%	4.7%
Installers				
27.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	10.4%	4.3%	28.1%	13.0%	27.7%	0.0%	12.5%	2.0%	0.0%	1.8%	0.2%
	Residential						Non-Residential					
	83.5%						16.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	7.4%			76.2%			3.0%			13.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.3%		1.1%	3.8%		72.4%	2.6%		0.5%	10.1%		3.4%

3.7.6 Route to Market: Sanitary Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	70.0%
	Wholesalers / Merchants
	70.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.0%	5.0%	15.0%	22.0%	6.0%	11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.0%		37.0%		17.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	15.0%	3.0%	6.0%	4.5%
Installers				
28.5%				

End Use Level	Manufacturer 4.0%	Wholesaler 4.0%	Internet 4.0%	DIY 31.0%	Specialist 11.5%	Installer 28.3%	Manufacturer 0.0%	Wholesaler 13.0%	Internet 3.0%	DIY 0.0%	Specialist 1.0%	Installer 0.2%
	Residential 82.8%						Non-Residential 17.2%					
	New Build 9.2%			Residential RMI 73.6%			New Build 3.0%			Non-Residential RMI 14.2%		
	Project 7.8%		Non-Project 1.4%	Project 3.7%		Non-Project 69.9%	Project 2.6%		Non-Project 0.5%	Project 10.7%		Non-Project 3.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

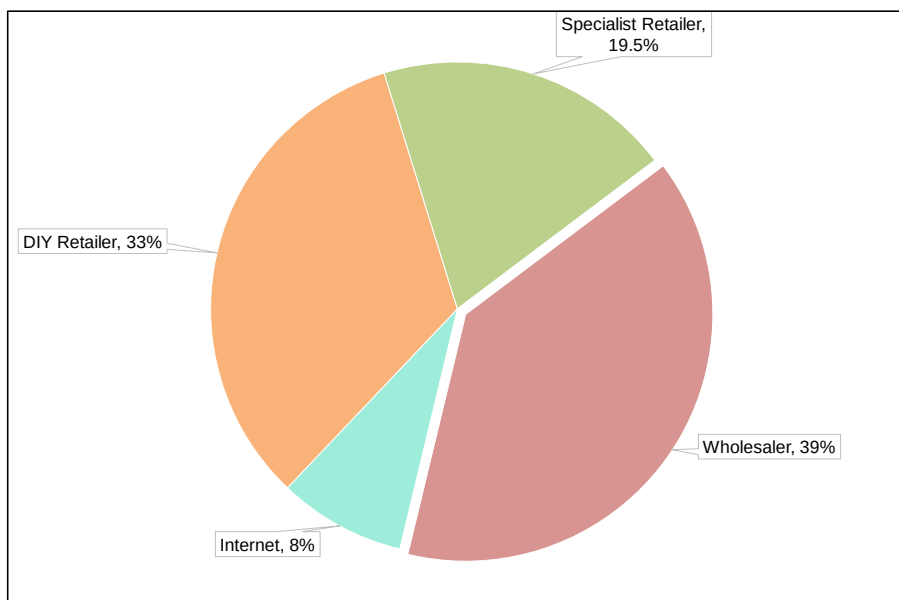
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.0%	8.3%	33.1%	19.5%	0.0%	10.1%	12.6%	73.5%	3.8%
100%					22.7%		77.3%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

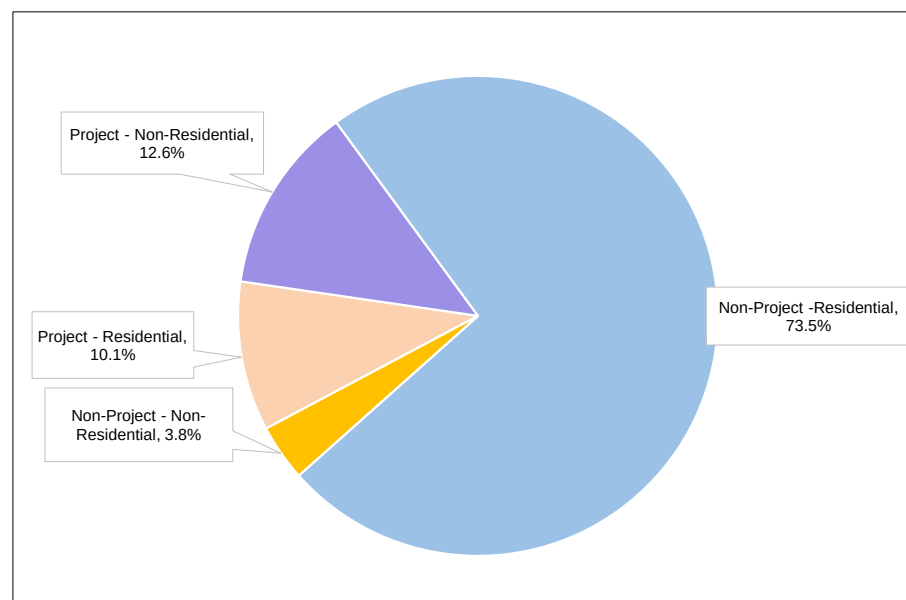
ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.0%	10.0%	37.0%	17.0%	4.0%	11.5%	13.2%	71.3%	4.0%
100%					24.7%		75.3%	

ES - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



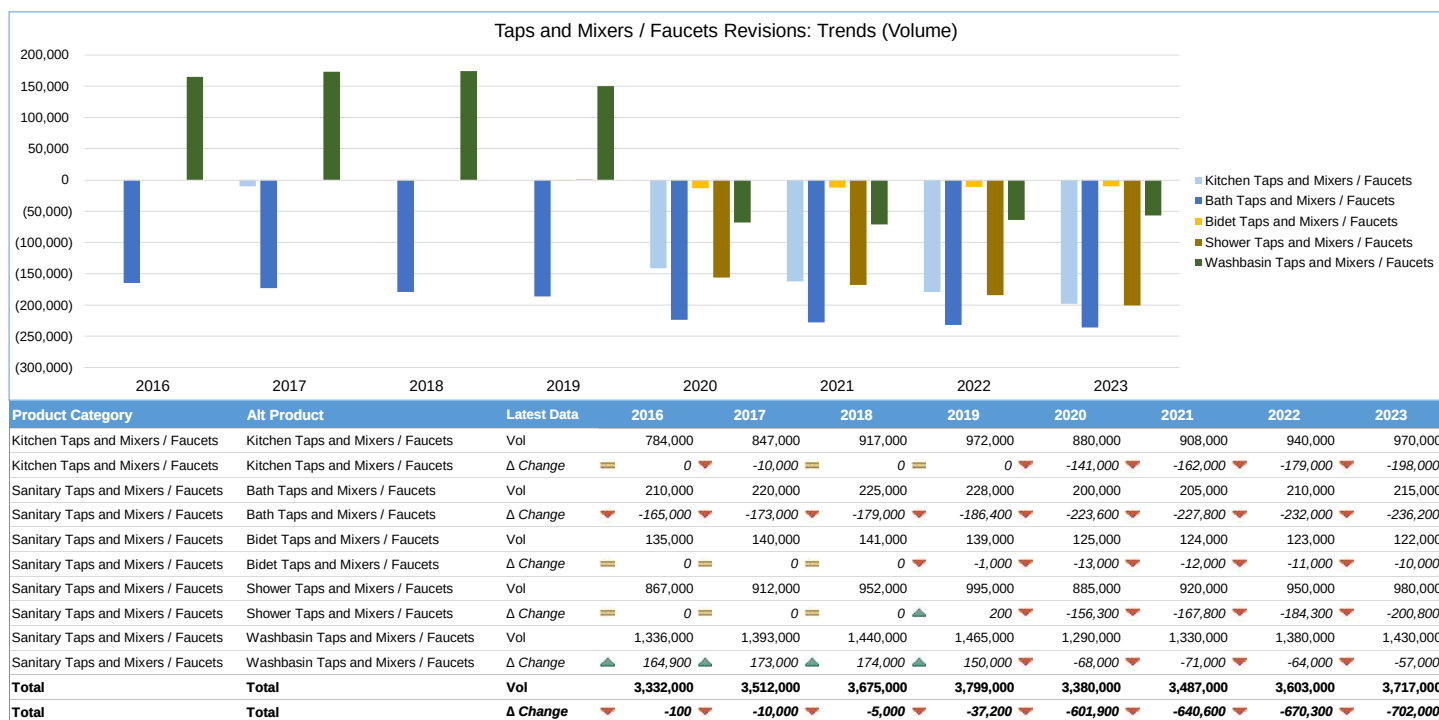
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Spanish Taps and Mixers / Faucets Market (April 2020)

ES - REVISIONS IN THE SPANISH TAPS AND MIXERS / FAUCETS MARKET

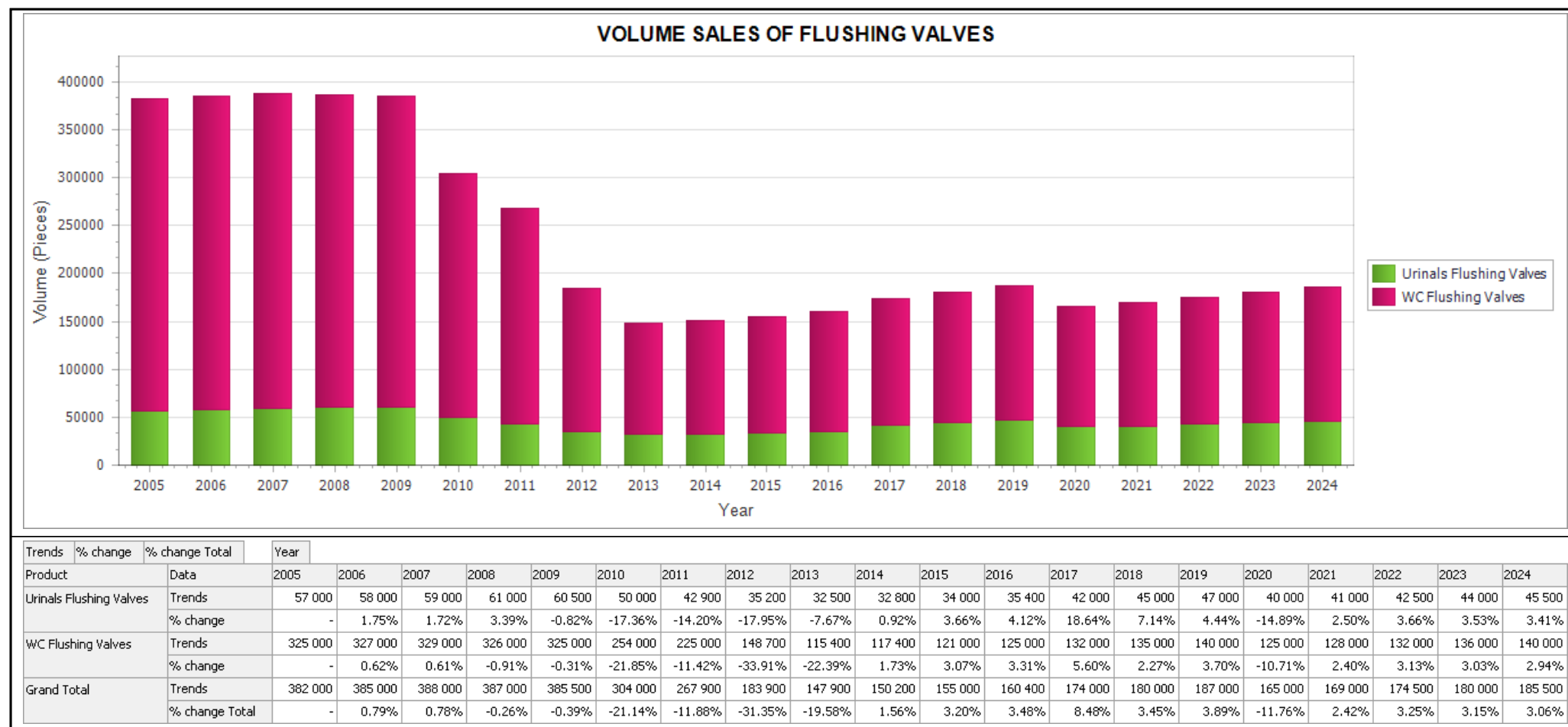
Data Comparison: April 2019



The historical market sizes for washbasin and bath taps and mixers were substantially revised as sales previously attributed to bath mixers were reallocated to washbasin mixers. Further research indicated that manufacturers believed that the bath taps and mixer market size was considerably smaller the BRG's previous estimations due to the switch from bathing to showering, thus leading to the revision of the washbasin taps and mixers market size.

3.9.1 Historical Trends and Forecasts : Flushing Valves

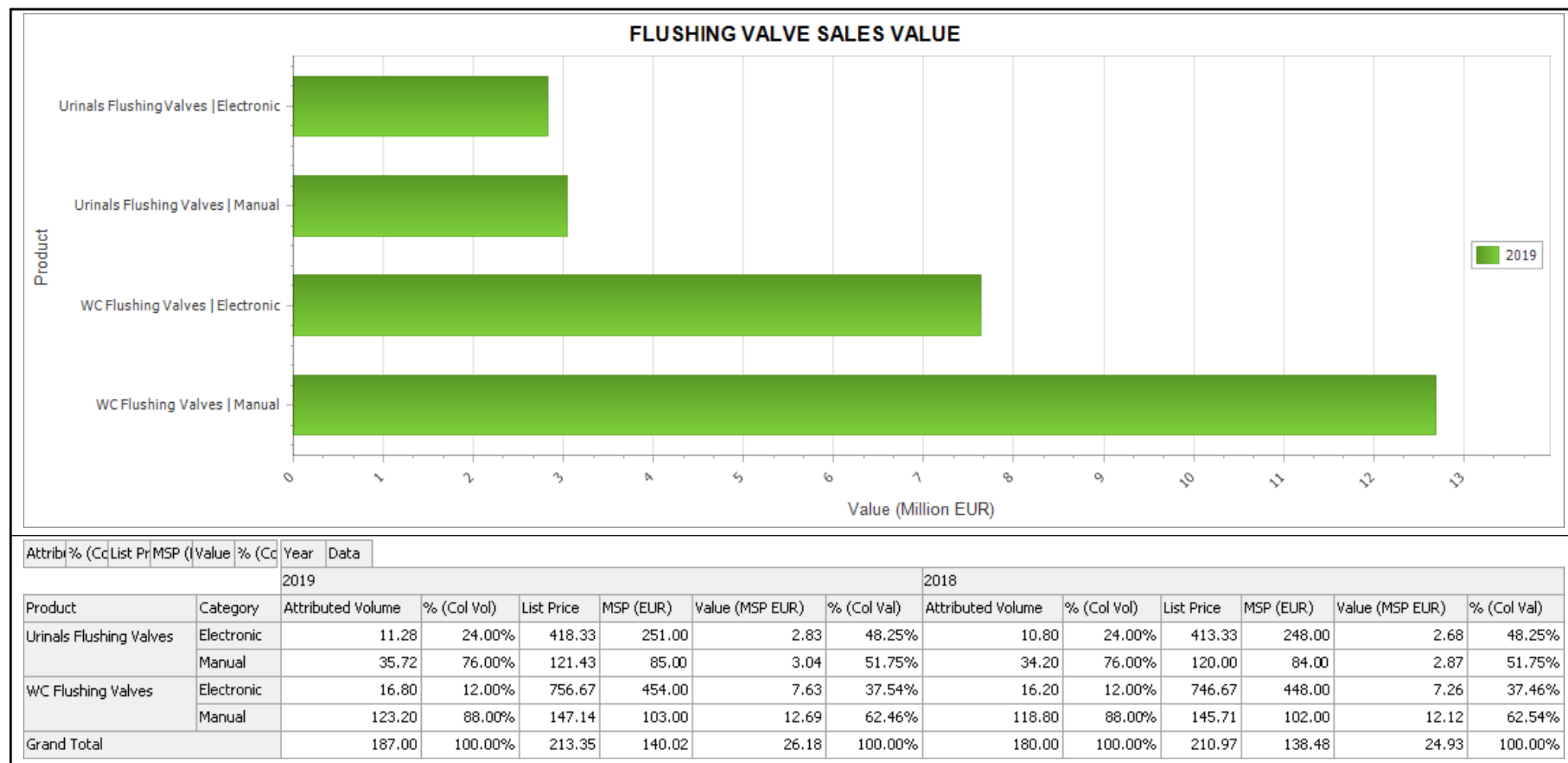
ES - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

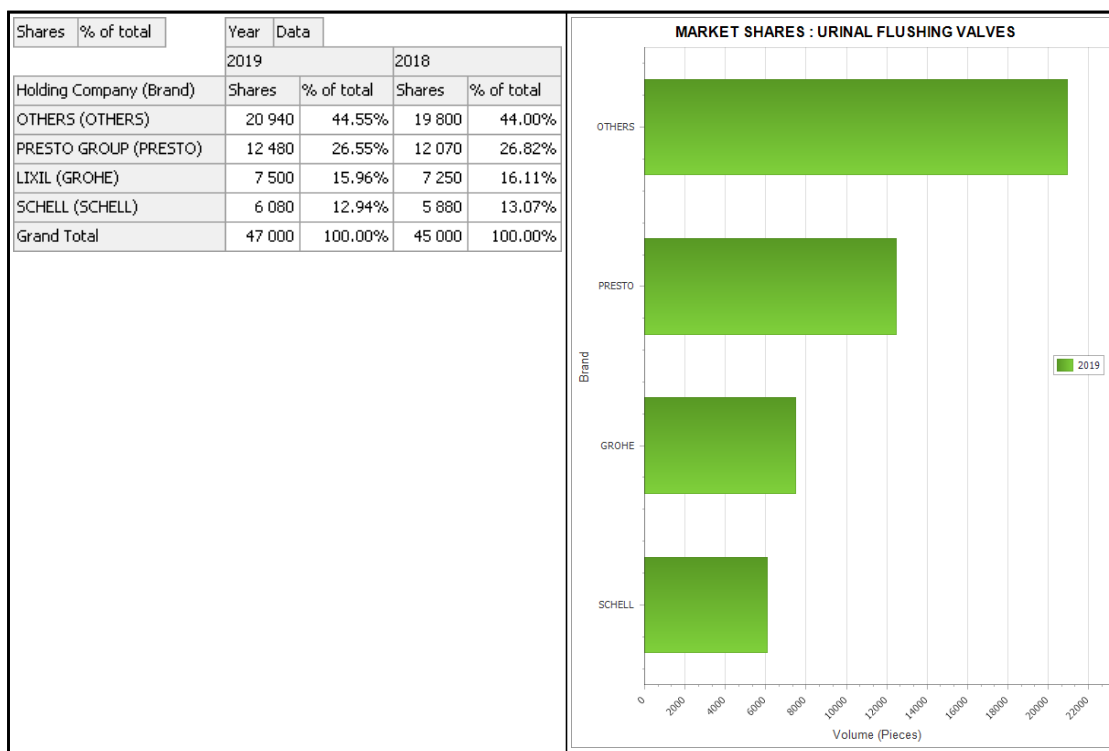
ES - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding.

3.9.3 Market Shares : Urinal Flushing Valves

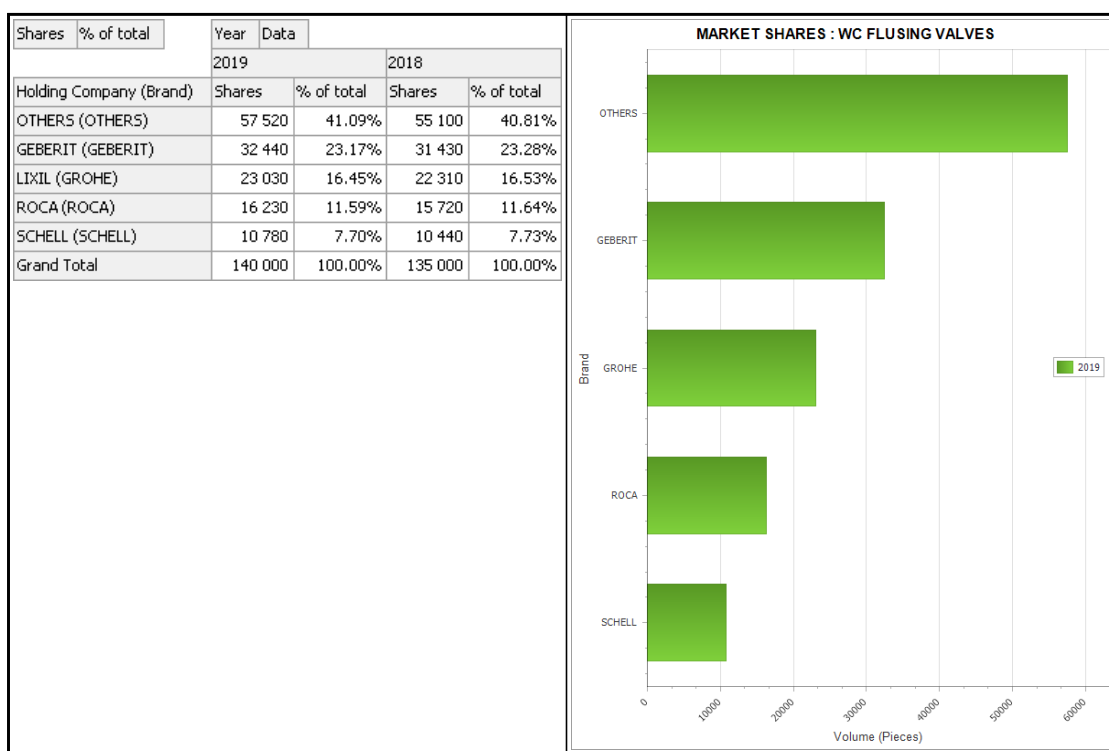
ES - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

ES - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

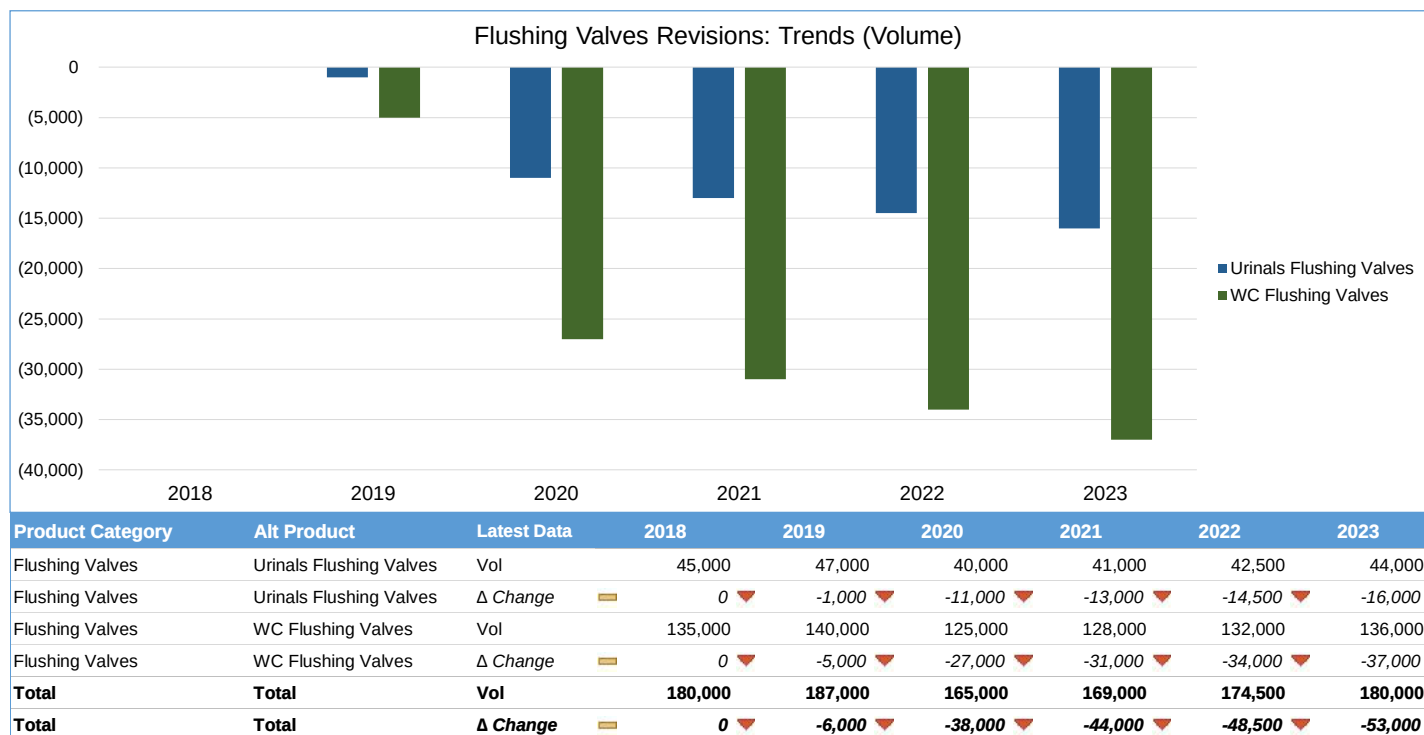


Source: BRG based on industry interviews.

3.10 Revisions in the Spanish Flushing Valves Market (April 2020)

ES - REVISIONS IN THE SPANISH FLUSHING VALVES MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

SPAIN

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The overall Spanish shower wall market has followed a similar trend to the market for baths, and, in particular, shower trays. Shower wall sales achieved strong growth from the late 1980s until 2006, with most growth coming from shower enclosures rather than bath screens. This market for shower enclosures has been able to benefit from a large number of flats in urban areas being newly built or refurbished with a shower tray due to lack of space. Another factor was the ease of access that showers provide for older people.

During the financial crisis, Chinese products were taking a big part of the market with cheaper products. This trend was changing due to the positive outlook for the economy in Spain as consumers were demanding higher quality products with higher prices. However, the COVID-19 pandemic has halted economic growth, but this should grow again in 2021.

The Spanish shower wall market has developed in a similar way to the Spanish shower market. Shower enclosure sales continue to account for the bulk of sales in the market and represent more than three quarters of the overall sales of shower walls; shower enclosure sales exceeded bath screen sales for the first time in 1998 and have been outperforming this market segment ever since and continue to grow. The bath screen segment experienced a larger decrease in sales than shower enclosures. This trend can be explained by the continued preference for the replacement of baths to shower trays as people maximise the use of space and older generations tend to use showers. Sales of conventional shower cubicles have always been residual.

One of the main market trends has been the move from plastic to glass products and this continues to be the case. The share of glass in all shower wall products has grown strongly over the last two decades, now accounting for the majority of sales in all segments of the shower wall market. Glass products used to be sold mainly through wholesalers, but DIY stores have replaced most plastic enclosures with glass enclosures as well. Also, DIY stores have been working with domestic and European manufacturers in order to offer a range of products with better quality and higher warranties.

Recent Market Trends

In 2019, overall sales of shower enclosures experienced another year of solid growth with the market being mainly driven by a robust RMI demand combined with a strong increase from the new housing sector. Sales of shower walls enjoyed the fastest growth both in share and in volume as installations of showers continue to gain share from bath installations in new housing and non-housing. Moreover, private consumption and growing RMI activity led to a positive performance of the shower wall market. As for bath screen sales, growth continued but at a slower pace than the previous year, with RMI installations remaining stable. The market

for hydrotherapy cubicles continued its downward trend, declining greatly once again in 2019, as bathrooms continue to move towards more minimalistic tendencies affecting sales of products such as this. Sales of conventional shower cubicles remain residual at a decreasing trend.

In terms of product mix, shower enclosure sales continued to gain share in 2019 mostly as a result of the preferences in the Spanish market to install shower trays in combination with shower enclosures. Conversions of baths into showers also helped shower enclosures to gain share in this market.

Prices and Market Values

The overall prices at MSP (manufacturers' selling price) increased slightly in 2019 as inflation went up during the year. A slight increase in the share of economy products for the shower wall market prevented the average prices at MSP to have risen any further in 2019.

Regarding the different price range by product category, the bulk of sales for shower enclosures and bath screens took place in the middle price range. The market tends to be mostly middle/high quality products nowadays and consumers are becoming less price- sensitive for this product.

Although the popularity of cheap products from China is still significant, increased purchasing power has counteracted this somewhat as consumers are increasingly able to opt for more upmarket models. It should be further mentioned that the change in the product mix, more towards glass products as opposed to plastic products, is pushing average MSPs up and, therefore, increasing the overall market value.

New Housing

The penetration rate of shower wall products in new housing increased significantly in 2019 due to the strong performance of new residential construction in Spain. New housing demand accounted for a low share of sales compared to other product categories within the bathroom market. Shower enclosures account for the largest share of the new housing installations in line with the decline of baths compared to showers in new housing.

Housing RMI

The housing RMI is the most important end-use sector for the shower enclosure market given the large park of baths and showers in the country that still use a curtain or nothing at all. Also, many replacements continue to take place, as well as displacements of baths per showers in existing dwellings, which require a shower enclosure to be installed.

The main sources of sales in the shower screen market are the shower trays with shower enclosures. These products increasingly replaced the bath screen and

baths that were installed previously.

Non-Housing

The non-housing sector continued to grow in 2019, mainly driven by sales of shower enclosures/doors. Renovations and new construction of hotels continue to take place but not at the levels seen in the last two years. It is expected that sales should continue growing over the forecast period. Shower enclosure/door products represented the majority of the sales, as these products are often installed in hotels, leisure centres, spas, etc.

Supply Structure

The supply structure of the shower wall market in Spain is always challenging to estimate, due to the high fragmentation of the market and the high volumes of imports, especially from China. The Spanish market remains characterised by domestic suppliers for shower enclosures, with GROPO KASSANDRA, MAMPARAS DOCCIA and PROFILTEK as the leading brands, followed by COMERCIAL SALGAR, SANYCCES, NOVELLINI and ECOMAMPARAS. International brands, such as MASCO and DUSCHOLUX, are also present in the shower enclosure market.

For bath screens, 'Others' also have an important share due to the high volumes imported from China. The leaders of this market still characterised by MAMPARAS DOCCIA and PROFILTEK. This market is also very fragmented.

There are also OEM sales and small manufacturers that sell in a very small scale in Spain as they specialise in producing glass products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of shower walls are expected to decline in 2020 due to the COVID-19 pandemic outbreak. The decline during these first months of the year was sharp, and there is still uncertainty about how the year will end, even though figures indicate it should be negative.

The main driver continued to be the RMI demand, although it should decline during 2020, due to the lockdown that prevented installers to enter people's homes. Displacements of baths for showers should continue to take place and should

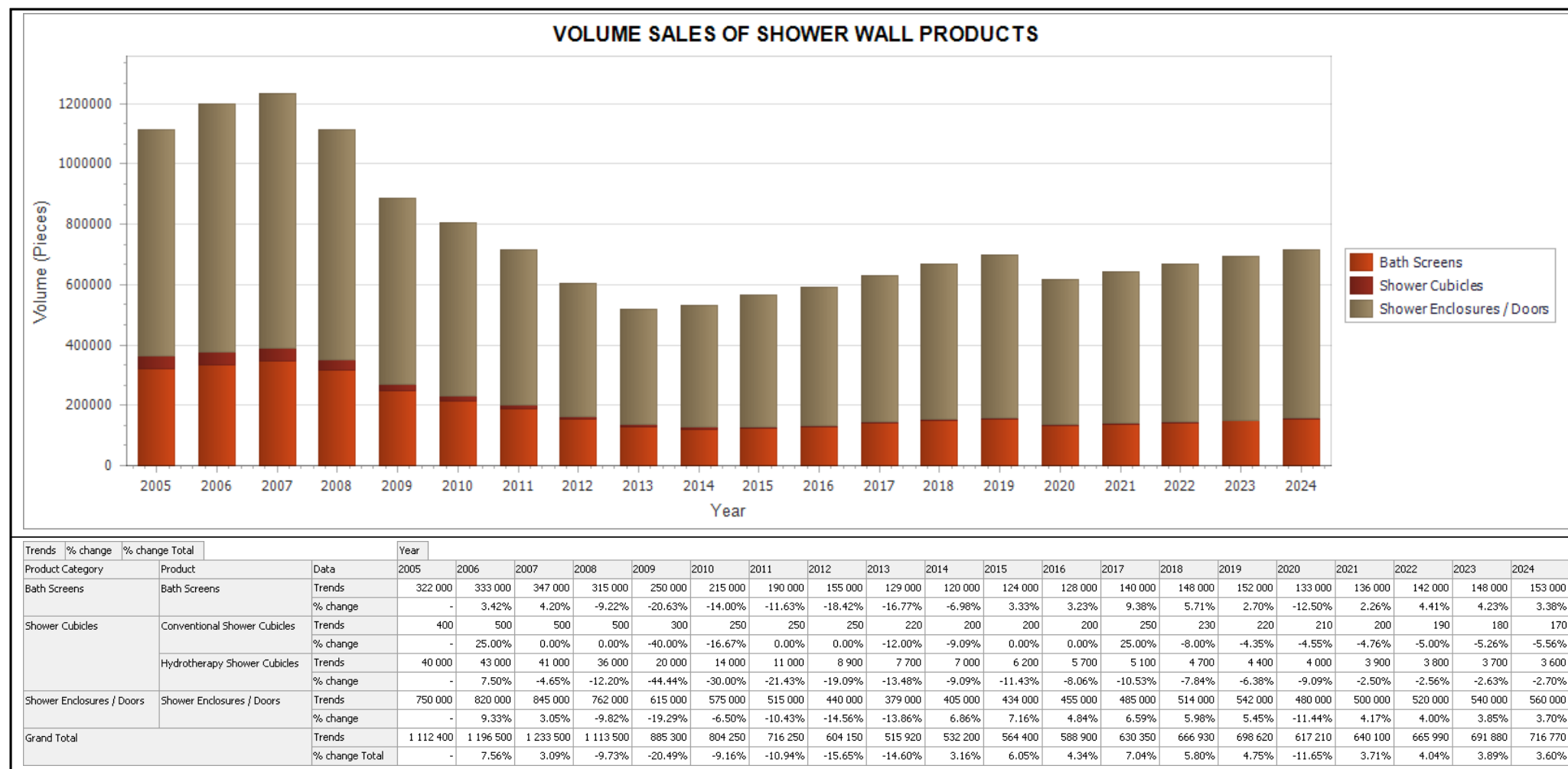
benefit installations of shower enclosures in the RMI sector. Also, there is a considerable share of the park of baths and shower trays that is still unequipped, and some demand is expected to come from this side.

New residential construction should recover and be positive from 2021 onwards. New housing completions should grow strongly in 2022, and sales of shower walls should benefit strongly from that trend. From 2023 onward, sales are expected to record a positive development, although at a slower pace. The increasingly important role of the new build sector is likely to favour manufacturers who produce multiple bathroom products, as they tend to be preferred by housing contractors for their ability to equip an entire bathroom in a new build home with their products at a bulk discount rate.

Overall, after 2020 the market growth is anticipated to come predominantly from the new build sector. Replacement and remodelling sales are anticipated to shift toward design-oriented products, in line with consumers' increasing demand for aesthetically pleasing and better-quality products. But it is important to note that the forecast could be changed, since the COVID-19 outbreak is still on-going and revisions could be taking place.

4.2 Historical Trends and Forecasts : Shower Wall

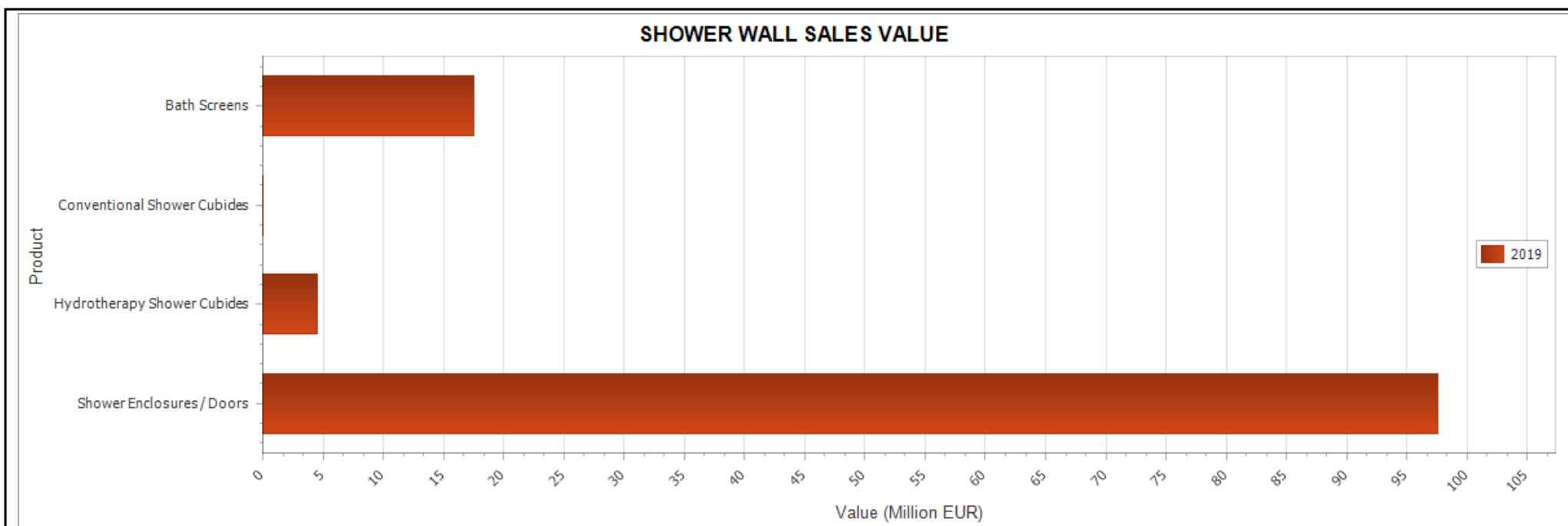
ES - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

ES - ESTIMATED VALUES OF THE SHOWER WALL MARKET

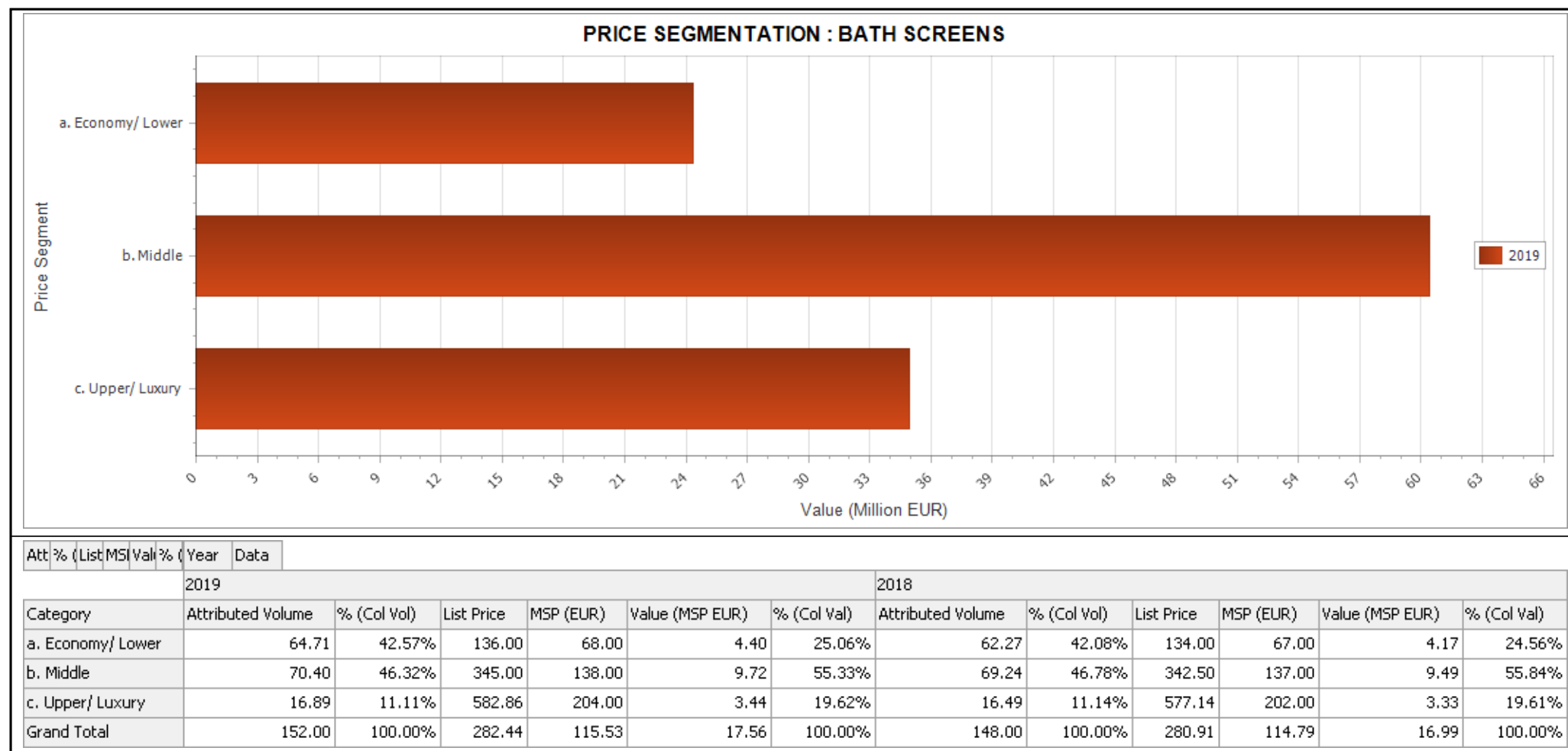


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
		2019			2018			
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Screens	Bath Screens	152 000	115.53	17.56	148 000	114.79	16.99	
Shower Cubicles	Conventional Shower Cubicles	220	208.49	0.05	230	205.72	0.05	
	Hydrotherapy Shower Cubicles	4 400	1,029.33	4.53	4 700	1,021.48	4.80	
Shower Enclosures / Doors	Shower Enclosures / Doors	542 000	180.01	97.57	514 000	178.23	91.61	
Grand Total		698 620	171.34	119.70	666 930	170.10	113.45	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

ES - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

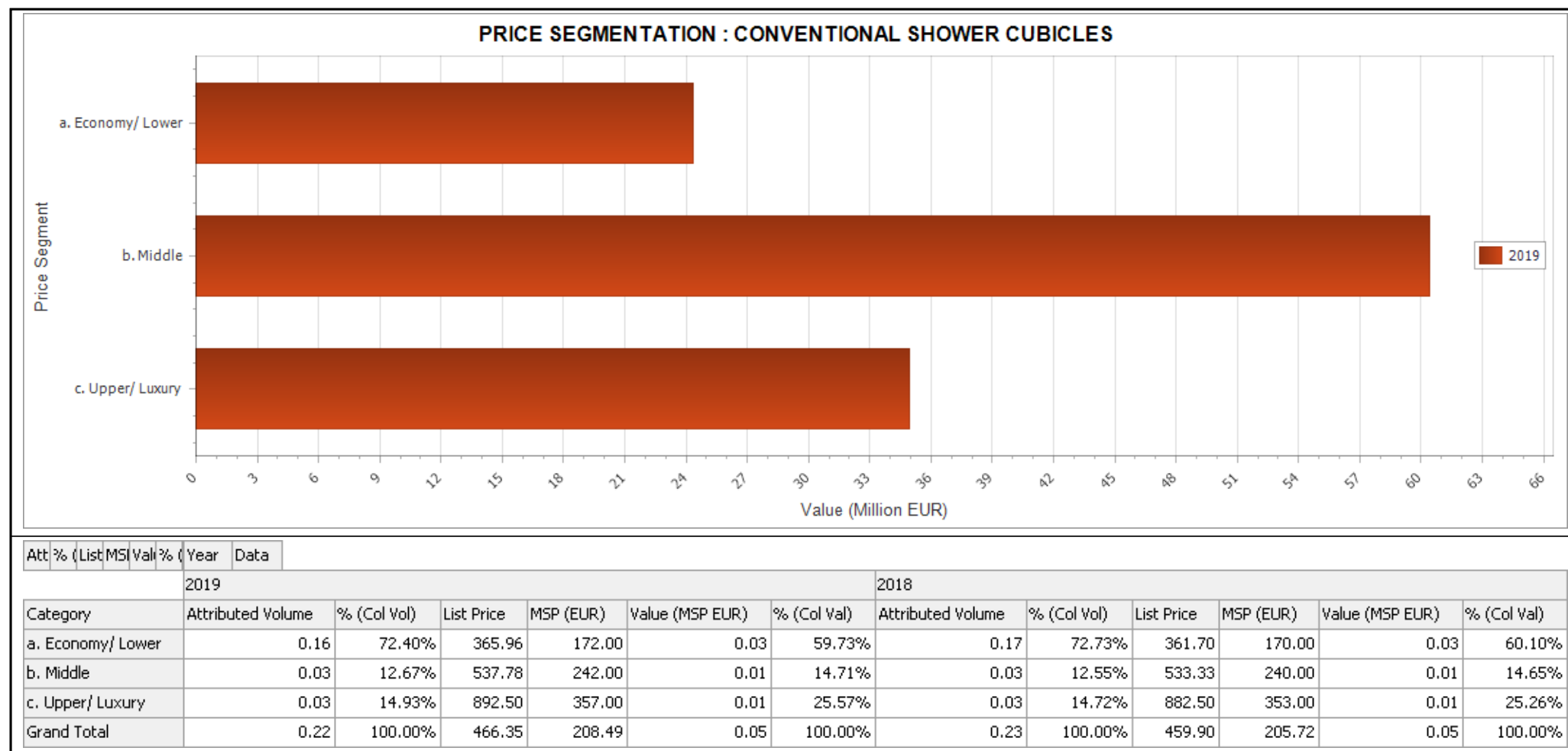


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€150, Upper/ Luxury >€150

4.3.3 Price Segmentation : Conventional Shower Cubicles

ES - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

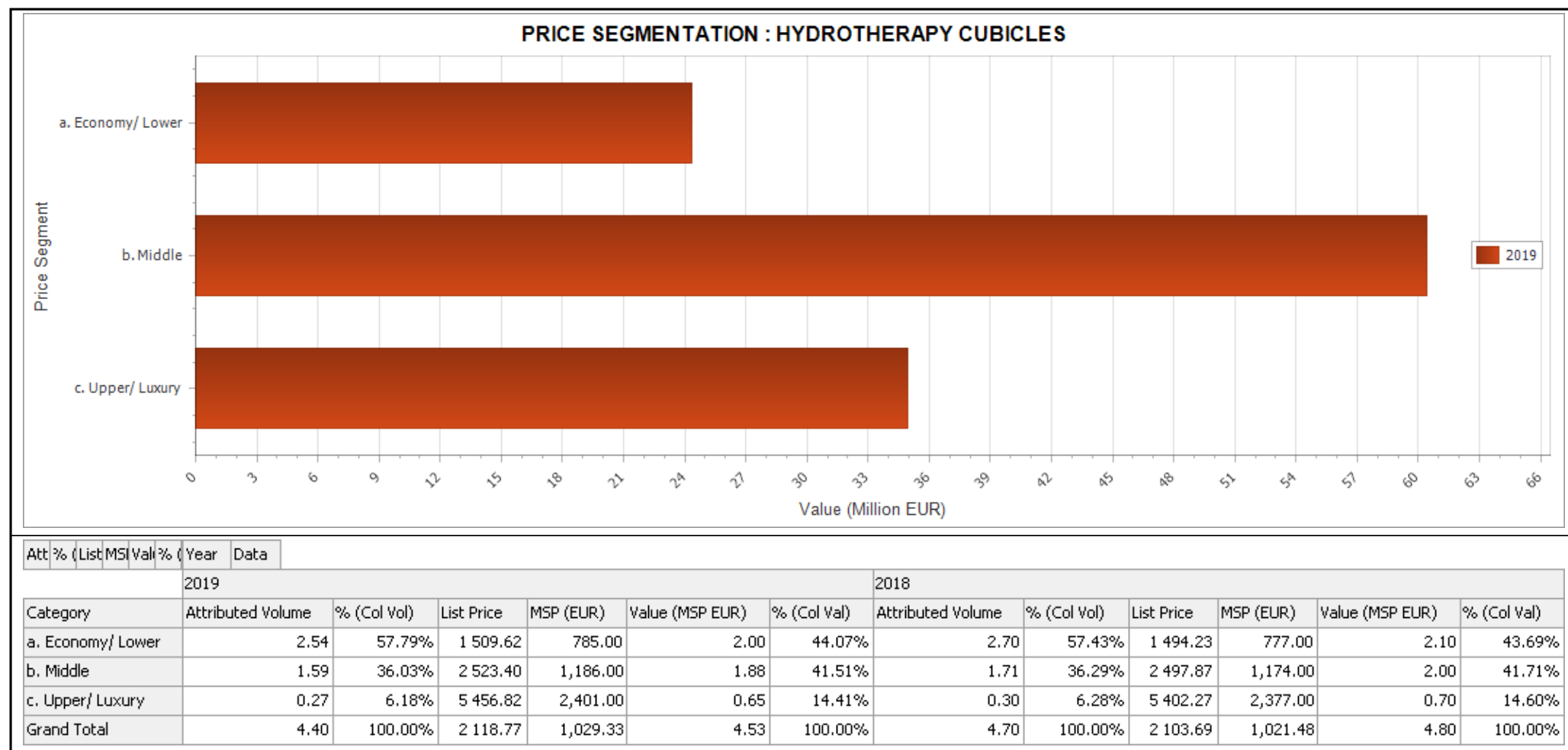


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

ES - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

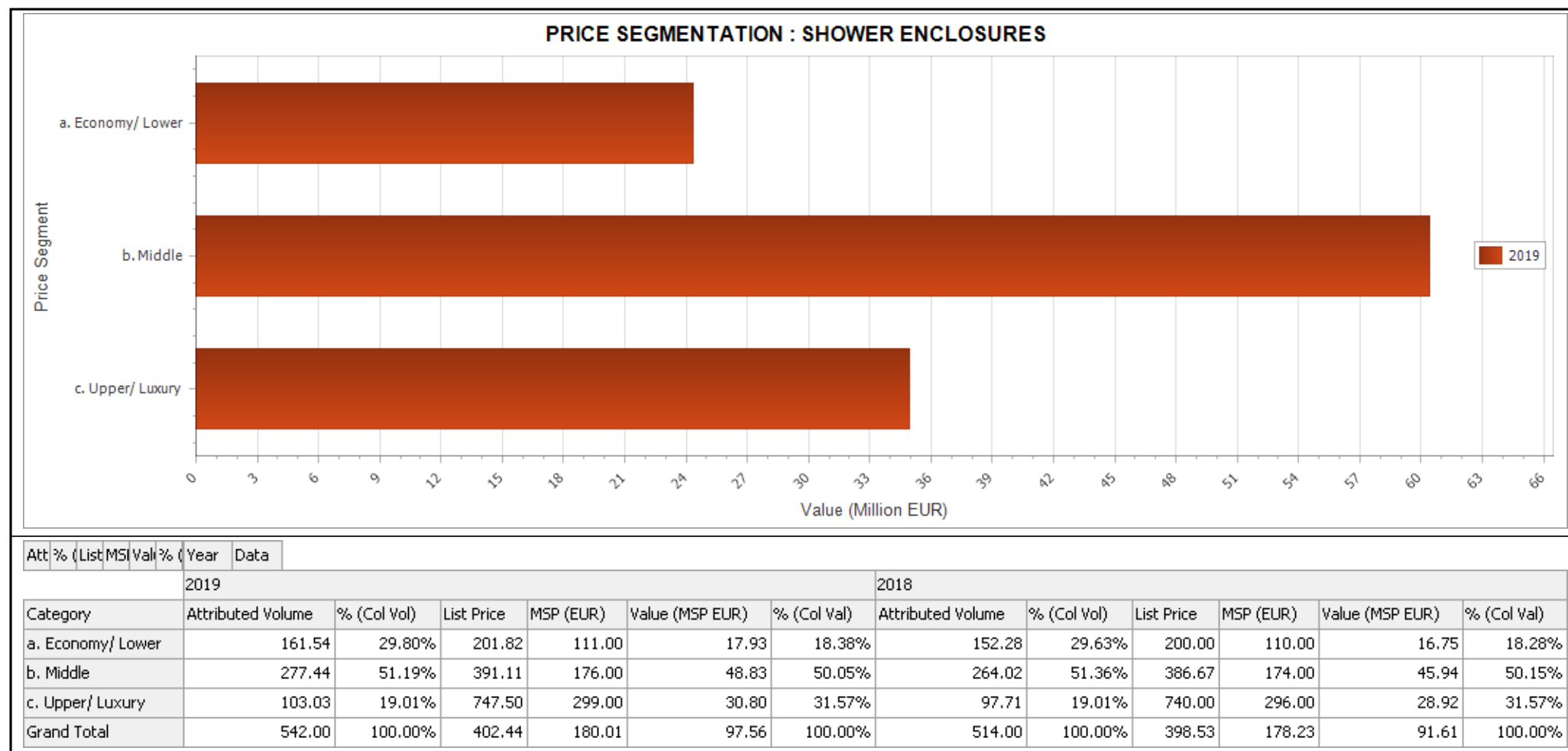


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€1000, Middle€1000-€2000, Upper/ Luxury >€2000

4.3.5 Price Segmentation : Shower Enclosures

ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

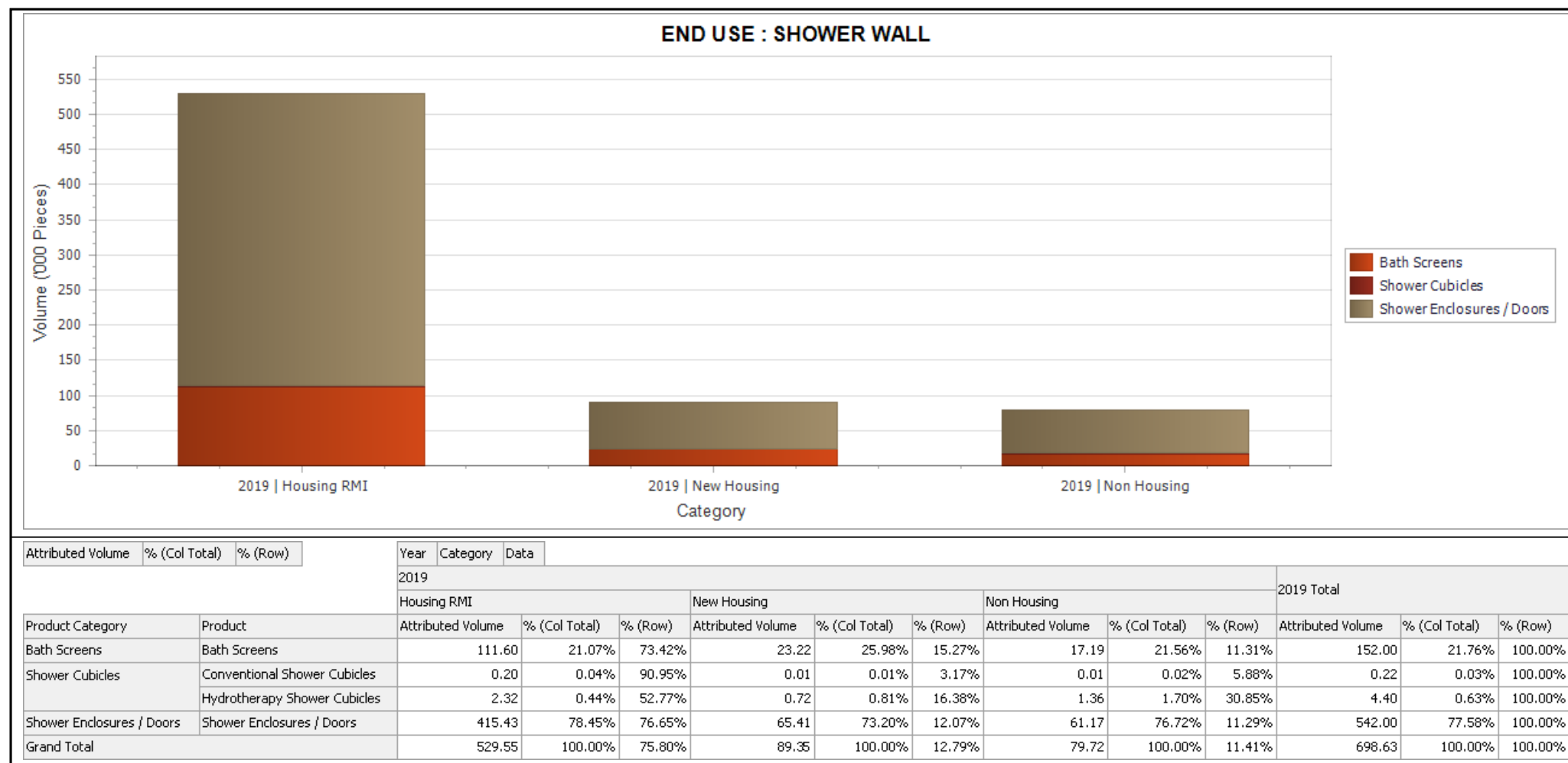


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€120, Middle €120-€250, Upper/ Luxury >€250

4.4.1 End Use : Base Year

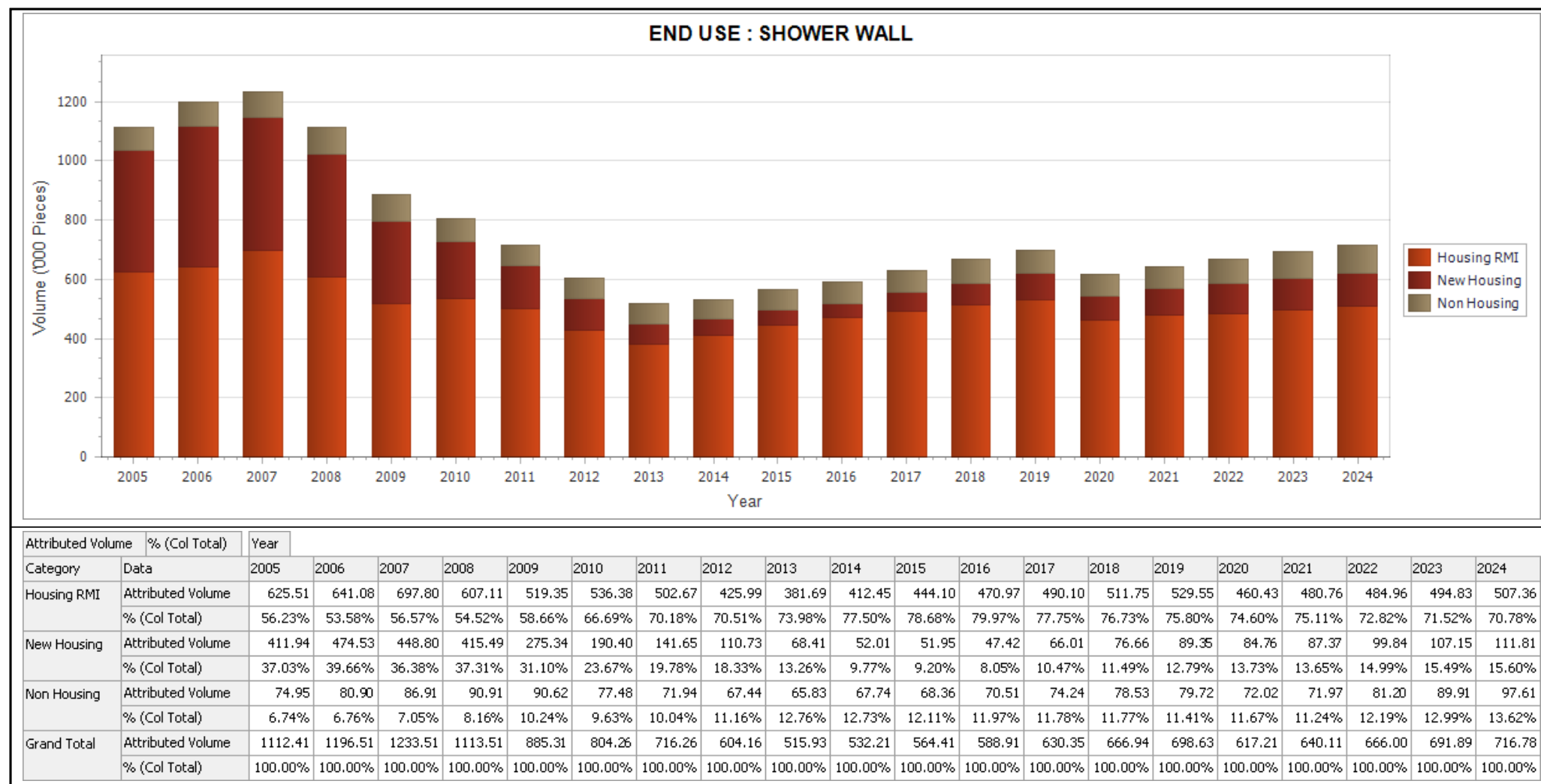
ES - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

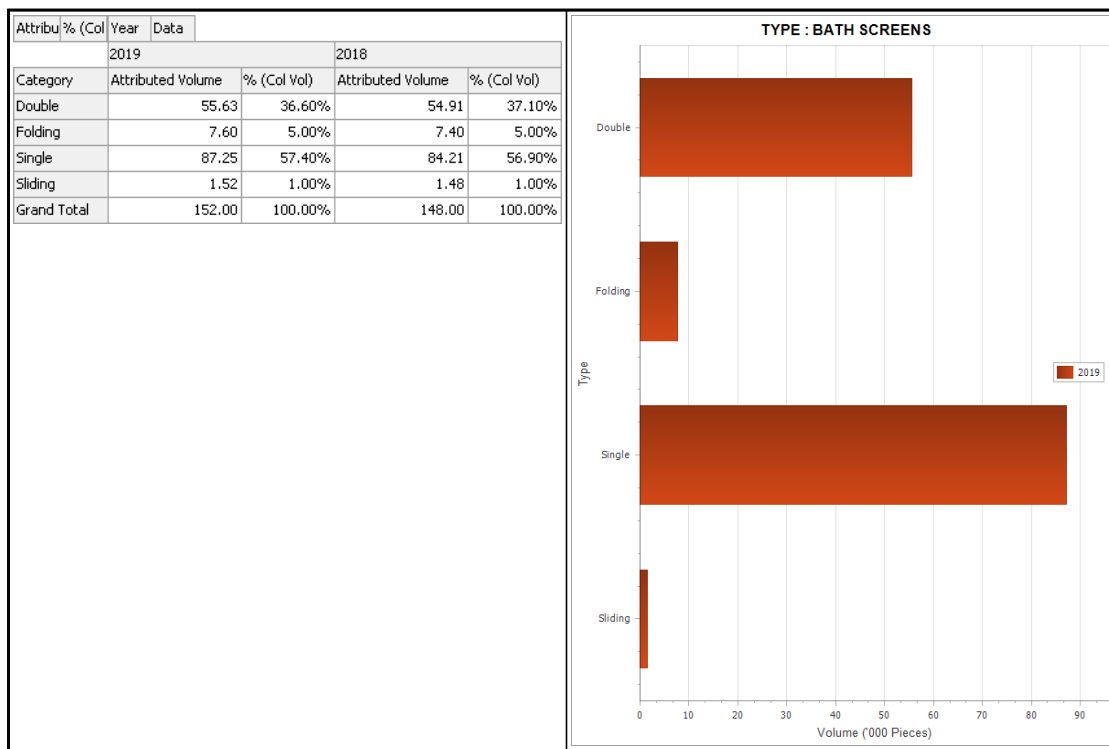
ES - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

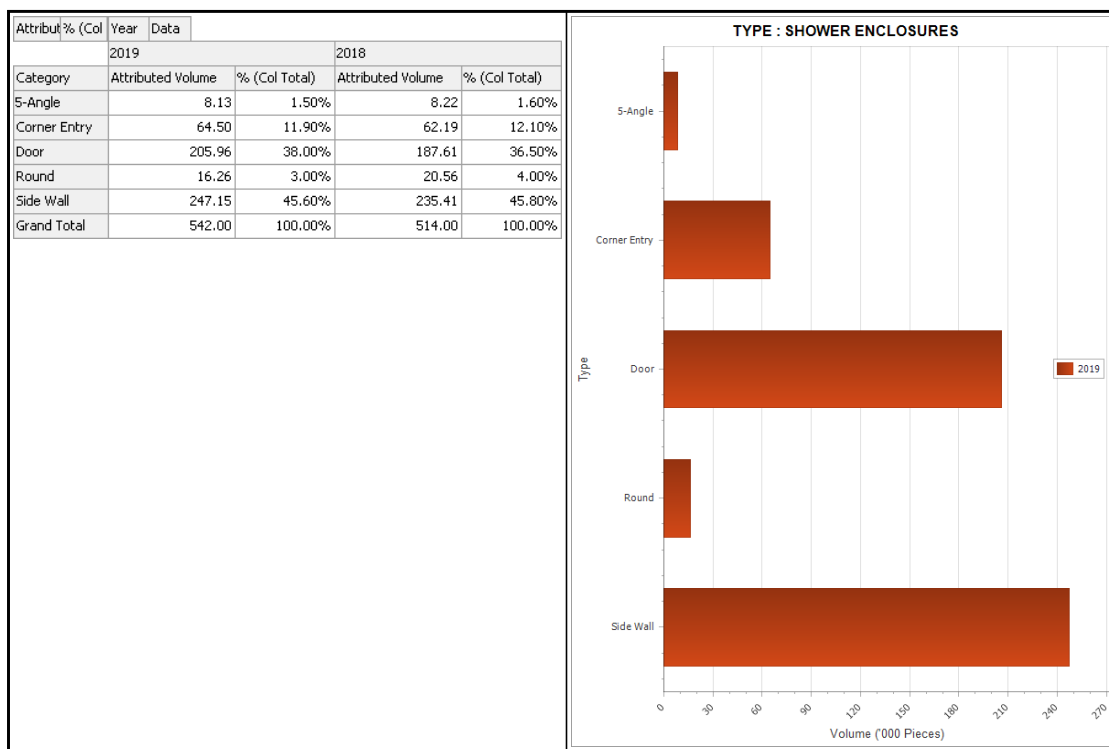
ES - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

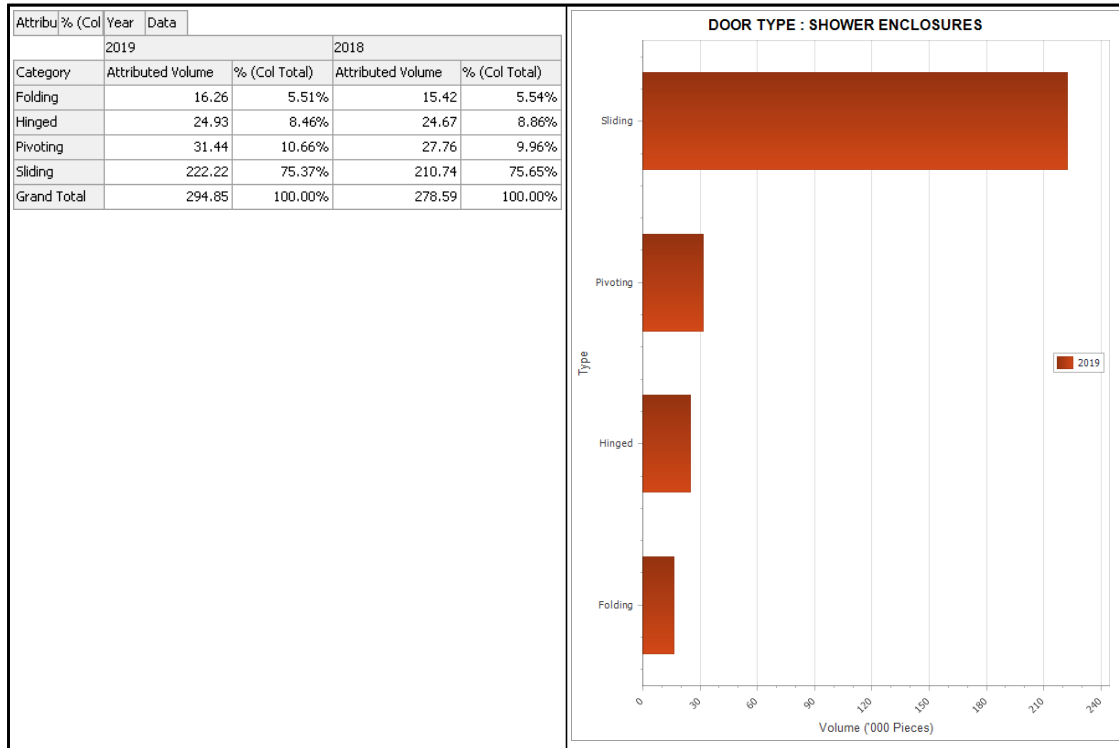
ES - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

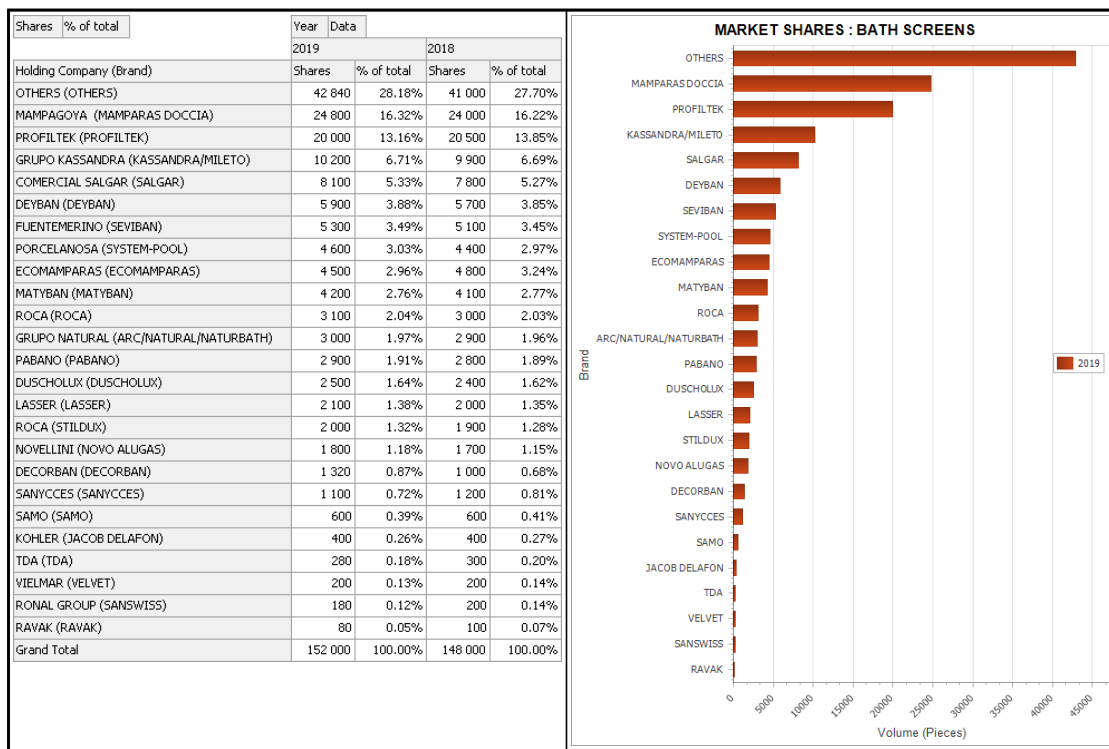
ES - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

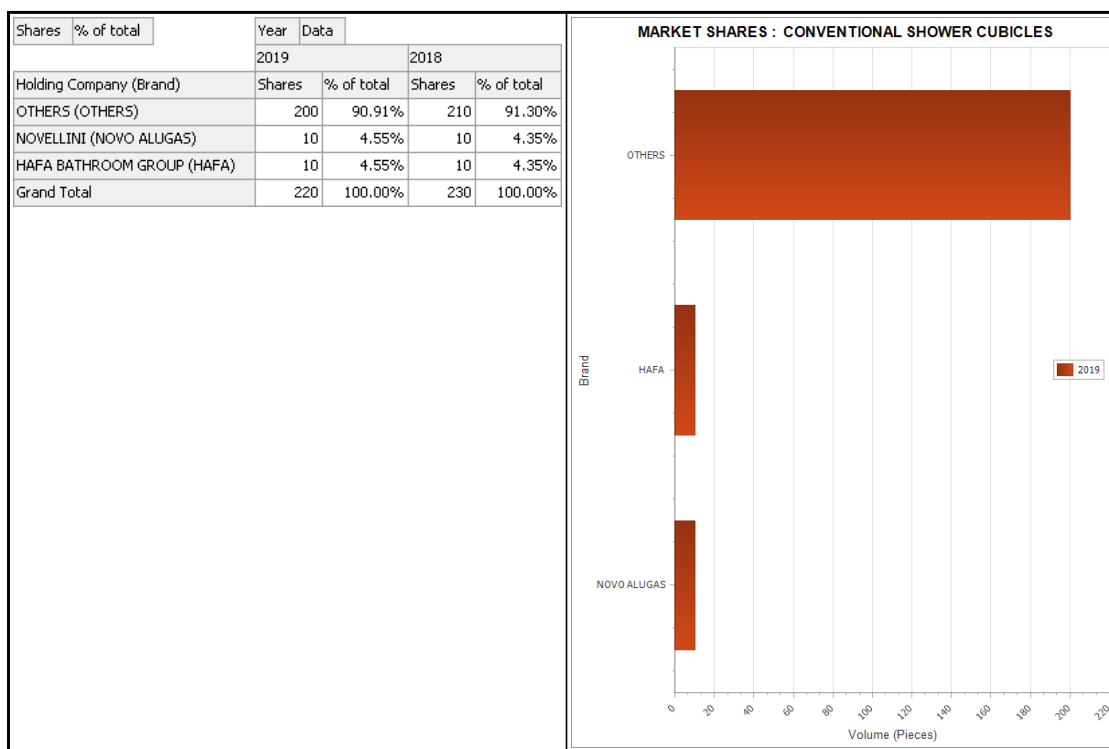
ES - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

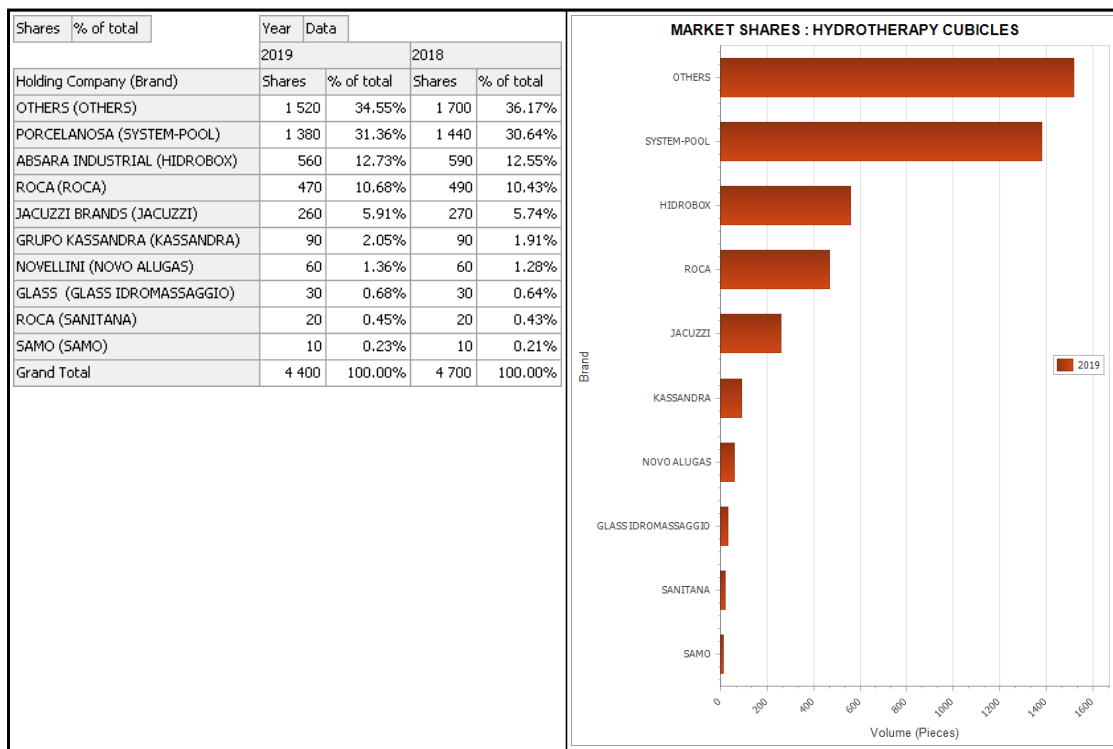
ES - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

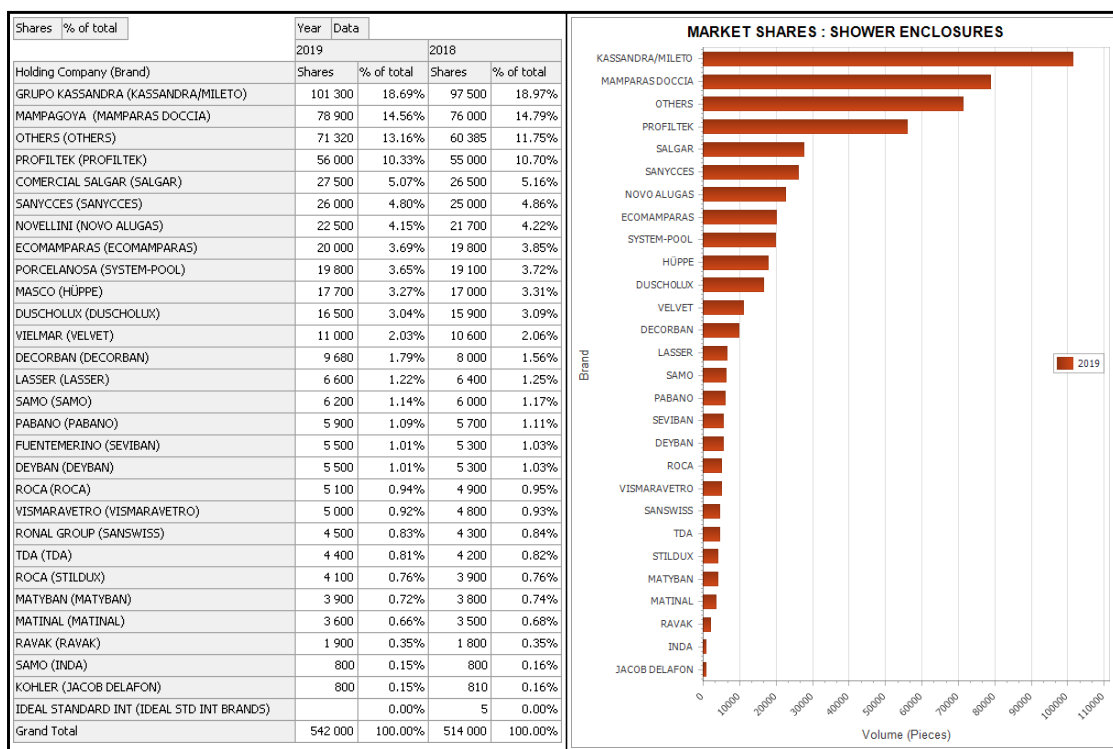
ES - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

ES - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	38.8%
	Wholesalers / Merchants
	38.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.2%	1.5%	7.2%	9.0%	32.6%	6.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.7%		16.2%		38.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
18.3%	9.0%	1.6%	6.5%	5.6%
Installers				
40.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	12.5%	3.1%	8.1%	25.0%	39.9%	0.0%	0.8%	0.0%	1.6%	8.0%	1.0%
	Residential						Non-Residential					
	88.6%						11.4%					
New Build			Residential RMI			New Build			Non-Residential RMI			
12.8%			75.8%			3.0%			8.4%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
9.6%	3.2%		3.8%	72.0%		2.6%	0.5%		6.3%	2.1%		

4.6.2 Route to Market: Shower Wall
ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	30.0%
	Wholesalers / Merchants
	30.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.0%	2.0%	8.0%	11.0%	31.0%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		19.0%		36.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
19.0%	8.0%	1.9%	7.6%	3.0%
Installers				
39.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	9.0%	3.3%	3.1%	9.5%	26.0%	35.5%	0.0%	0.7%	0.0%	1.9%	7.0%	4.0%
	Residential						Non-Residential					
	86.4%						13.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.6%			70.8%			3.0%			10.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.7%		3.9%	3.5%		67.2%	2.6%		0.5%	8.0%		2.7%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

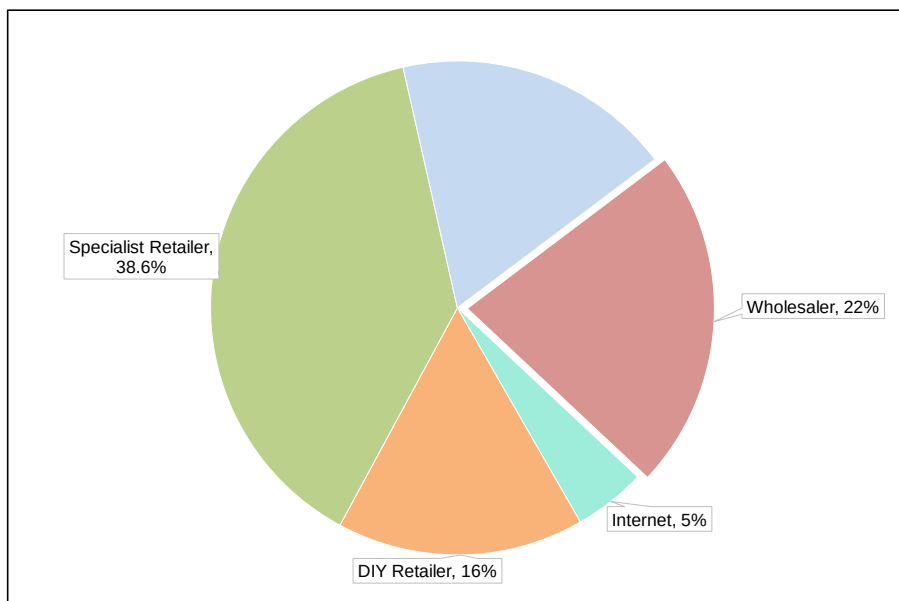
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.3%	4.7%	16.2%	38.6%	18.3%	13.4%	8.9%	75.2%	2.6%
100%					22.2%		77.8%	

4.6.4 Route to Market - Consolidated View : Shower Wall

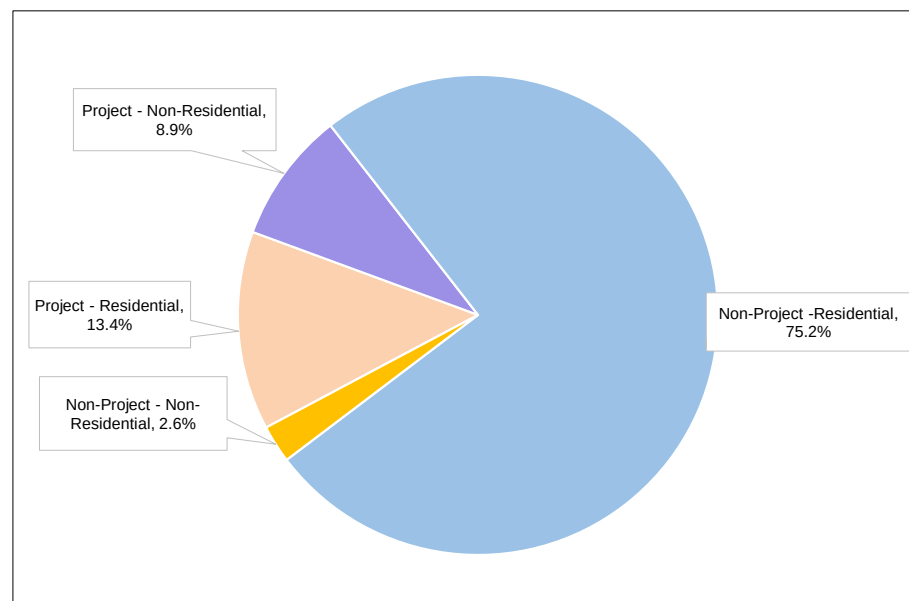
ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
12.0%	5.0%	19.0%	36.0%	28.0%	15.2%	10.5%	71.1%	3.1%
100%					25.8%		74.2%	

ES - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



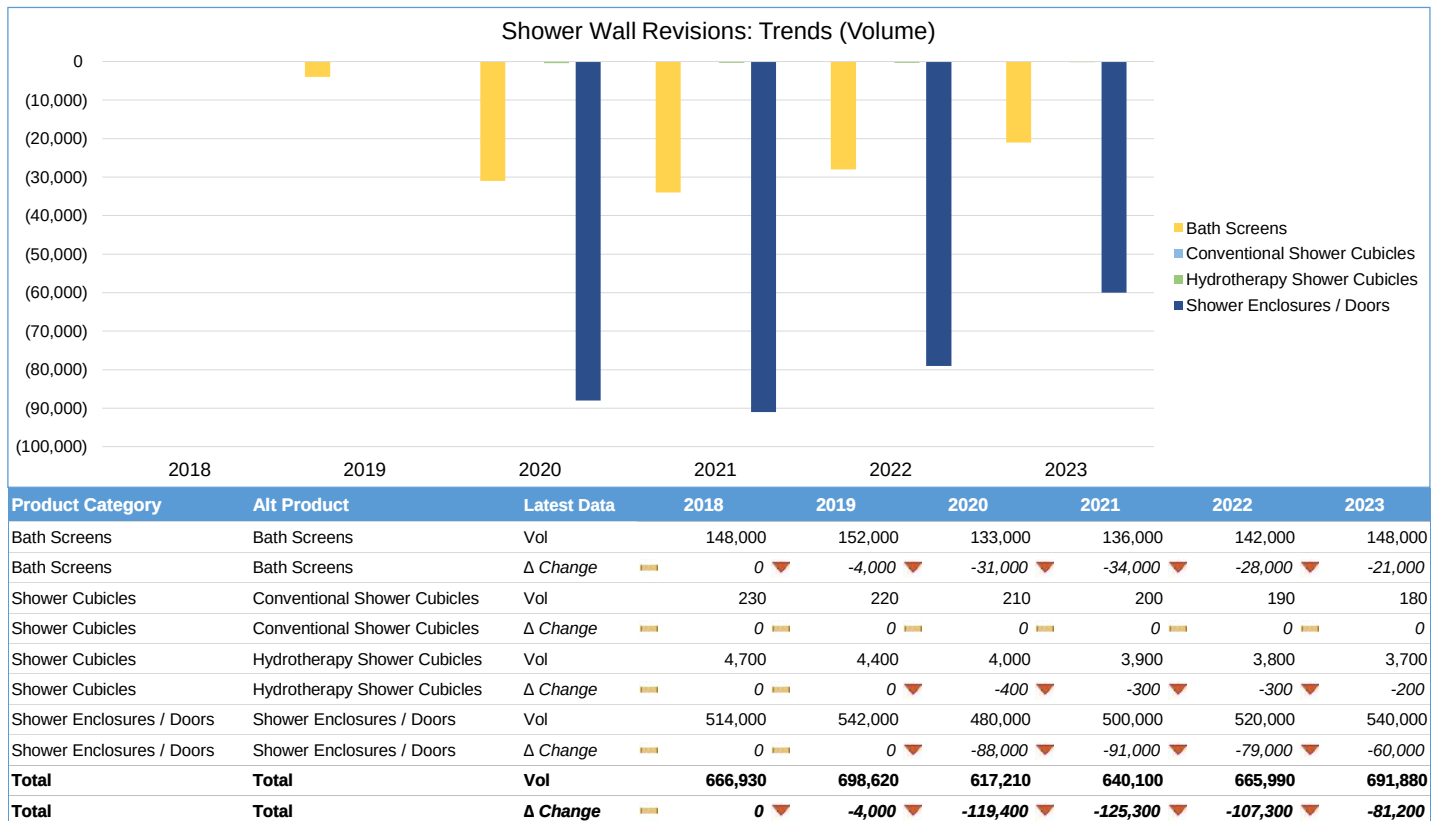
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Spanish Shower Wall Market (April 2020)

ES - REVISIONS IN THE SPANISH SHOWER WALL MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

SPAIN

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Since the beginning of the 1990s, with numerous companies entering the Spanish market, the bathroom furniture industry has progressively seen considerable success domestically and abroad. In the years up to 2006, the market was characterised by increasing levels of imports, principally cheaper products, strong growth rates in the new and renovation construction markets, a wider product range, and new designs and materials such as wood, glass and synthetic.

Over the years, although the current crisis has hampered this development, bathrooms in Spain have become an integral area of the dwelling, with people attaching more importance to the comfort and design of the bathroom. Spanish bathrooms are relatively small in size, and favour wall hung models; but the current trend to replace the bath with a shower has created more space, allowing the usage of the extra space and consumers prefer the installation of an additional piece of furniture. When settling into a new dwelling, people will tend to buy rather cheap products, which they will often change at a later date; and when renovating, people will purchase higher quality products to fulfil designs and their desire for comfort and pleasure. Immigration also has had a strong impact on the products sold; for instance, European immigrants coming to Spain for a better quality of life will choose high standard products.

In 2008 with the financial crisis, however, the market experienced its first decline in 20 years, suffering from a sharp drop in construction output as the rest of the products correlated with construction. The bathroom furniture sector has experienced a two-digit decline in terms of turnover since 2008.

The low demand of all categories of bathroom furniture, the fall in profitability in the sector, and tight credit conditions led to the closure of some small companies between 2008 and 2012. During the low demand years, the main reason for consumers to buy these products was the price, and since expenditure capacity and consumer credit were at very low levels, consumers had become price sensitive when choosing these products, mainly accessing cheap imported products, leading to an increase in popularity of the DIY channel.

Mirrors are more popular than mirror cabinets and this trend has not changed much over the past few years as typical bathroom furniture is composed of a base unit and a mirror above it, whereas mirror cabinets tend to be installed above basins on pedestals, which is a declining segment.

Recent Market Trends

The Spanish bathroom furniture market remained positive during 2019. The good performance of the Spanish economy, combined with the increase in dwelling completions, helped this market to continue to grow. Consumers have moved away from pedestal wash basins, which only remain popular in social housing and some

like-for-like replacements, with many replaced by a base unit with a countertop instead. Improving private consumption and lower unemployment continue to be the main factors that affect the market for bathroom furniture in the country.

The base units/vanities segment has grown in 2019 and represents the bulk of sales, being made through mineral cast material, reflecting the high share of monobloc countertop type washbasins and, to a lesser extent, of washbasins only. The main material for the base unit continued to be MDF although chipboard has been gaining ground recently, due to its cheaper price. During the recession, consumers were very price sensitive, making purchases based on price rather than quality and durability. Nowadays, consumers are opting for higher price tag products that offer better designs and quality. Spanish bathrooms are relatively small in size; however, the recent trend to replace baths with shower trays, as seen in neighbouring countries, has created more space in a bathroom, allowing for the installations of an additional piece of furniture. In addition, sales of mirrors and mirror/medicine cabinets represented the largest growth in 2019 driven by the new housing sector.

Prices and Market Values

The overall manufacturers' selling prices (MSP) of bathroom furniture in the country increased slightly in 2019, as manufacturers pushed prices up in order to maximise revenues in a growing market. Many leading manufacturers are now offering bathrooms customised to customers' wishes, targeting wealthier consumers, thus helping to push the average prices up.

New Housing

Bathroom furniture sales in the new housing sector continued to grow strongly in 2019, following the trend witnessed in 2018. Although traditionally the Spanish bathroom market has shown low dependency on new housing, the increase in residential completions of both houses and apartments had a positive impact on the overall development of the market as the penetration of this product is increasing, despite having a small penetration in new housing compared to other products.

Housing RMI

The housing RMI sector accounts for the bulk of installations of bathroom furniture with much of the furniture installed in the 1990s now in need of replacement. Also, there is a substantial amount of the bathroom park still equipped with pedestals that is slowly being replaced with a base unit. Consumer confidence and the purchasing power of Spanish households play significant roles in the evolution of bathroom furniture sales. It is logical, therefore, that the rejuvenation of private consumption in recent years has led to a strong growth in the volume sales going into this sector.

Non-Housing

The lowest demand for bathroom furniture products usually comes from the non-housing sector; however, it is expected that new investments should help volumes to grow bathroom furniture sales to non-residential buildings over the next few years due to the COVID-19 outbreak effect on this market. Base units remain the best-selling product in this sector. Recently, refurbishing works in the thriving Spanish tourism industry have helped sales of bathroom furniture in the non-housing sector to grow over the last three years.

Supply Structure

Only a few companies play an important role at the national level and, of those, most export to Western Europe, with France being the main destination for exports of Spanish bathroom furniture. The Spanish bathroom furniture market is very fragmented, especially for base units whereby over a hundred companies are believed to be present on the market. Base units are also produced and installed by a large number of local carpenters. There are three main regions in Spain where bathroom furniture is manufactured; these regions are the Valencia area, Lunera (Córdoba) and Bolaños (Ciudad Real).

Three companies lead the market, namely SALGAR, ROYO and ARTYSAN, partly thanks to their modern production processes. These companies are improving the quality of the products they offer and starting to sell medium/upper to high range products, mostly dedicated to the RMI market, as the new housing segment remains weak in Spain.

COMERCIAL SALGAR specialises in the manufacturing of products within the upper price segment in order to differentiate from Asian imports, whereas the ROYO GROUP manufactures a vast range of products from the economy to the upper price segments. Since 2009, the ROYO GROUP has been in partnership with IDEAL STANDARD and, while IDEAL STANDARD supplies ceramic sanitary ware and taps and mixers to the ROYO GROUP, the ROYO GROUP supplies IDEAL STANDARD with base units. Behind these two market leaders, there are a considerable number of companies, such as ARTYSAN, INVE and MACRAL. Some of these companies make an important share of their sales abroad and also supply other companies with bathroom furniture; for instance, ARTYSAN is one of the main providers of ROCA.

Imports are also becoming important in the bathroom market, especially those from Asia, with the principal exporters of bathroom furniture to Spain from Asia being China, Vietnam and Indonesia. These products are usually quite cheap and sold through the DIY segment, which is increasing its share in terms of distribution in the Spanish market.

The market for mirrors and mirror cabinets is closely linked to the base unit market; in fact, the ranking of companies is almost identical. As every base unit is installed with some form of mirror, all manufacturers also offer mirrors with their base units.

COMERCIAL SALGAR and ROYO are clear market leaders within this category. The ranking for separate cupboard units is similar to the one for base units, as separate cupboard units are manufactured in the same material as the base unit and as such they are often part of a 'package', resulting in manufacturers creating separate cupboard units at the same time as the other pieces of furniture.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

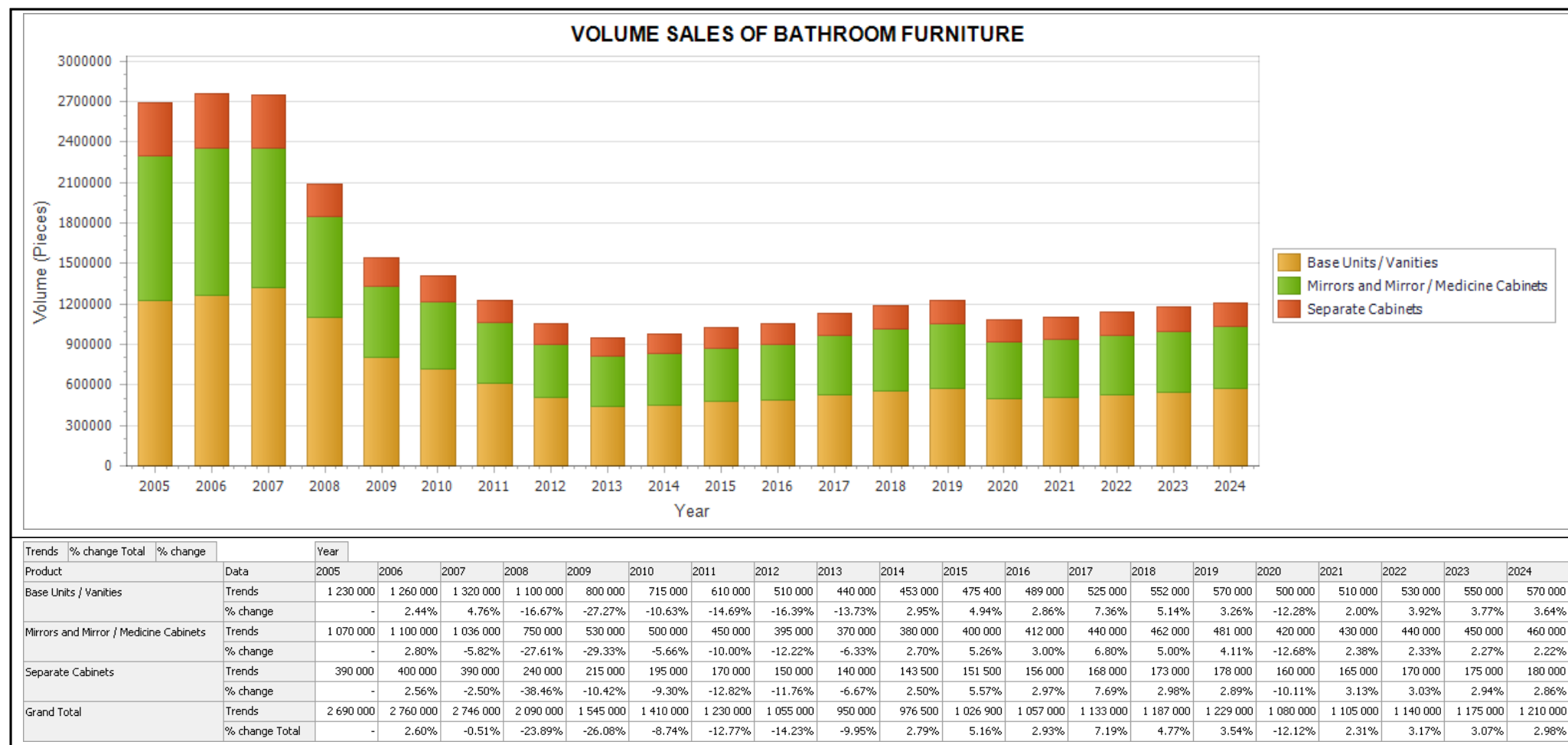
Sales of bathroom furniture are expected to record a decline in 2020 due to the COVID-19 pandemic. The overall market has stopped in March/April and all end-use segments should be affected by it. Even though 2020 should register decline, RMI demand should continue to account for the largest share of bathroom furniture. The Spanish economy started the year well, but uncertainty due to the pandemic has meant private consumption stopped dramatically, and many replacements have been put on hold. In the new housing sector, although overall it is declining, it has a low penetration of bathroom furniture, which is growing, and combined with an increase in dwelling completions this should benefit the bathroom furniture market.

From 2021 onwards, bathroom furniture sales are projected to benefit from the improving RMI activity and also from the positive output of the new residential construction sector. Albeit small in size in comparison to the other end-use segments, non-housing demand is also anticipated to increase in the next few years, which should further elevate the overall development of the market.

In terms of product mix, mirrors and mirror/medicine cabinets and separate cabinets are believed to account for a greater proportion of sales in the near future, although base units/vanities will remain to be the bulk of the market.

5.2 Historical Trends & Forecasts : Bathroom Furniture

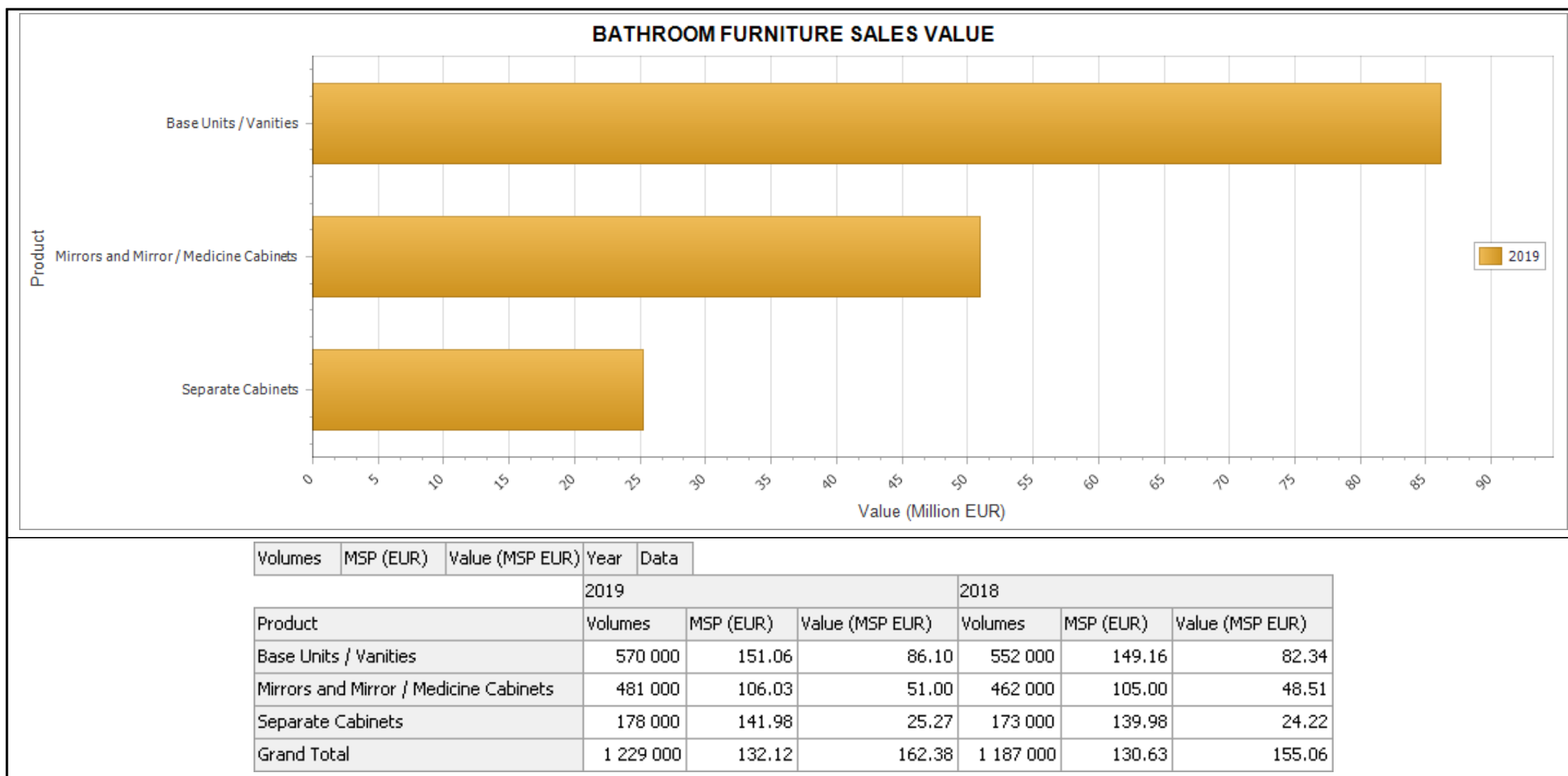
ES - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

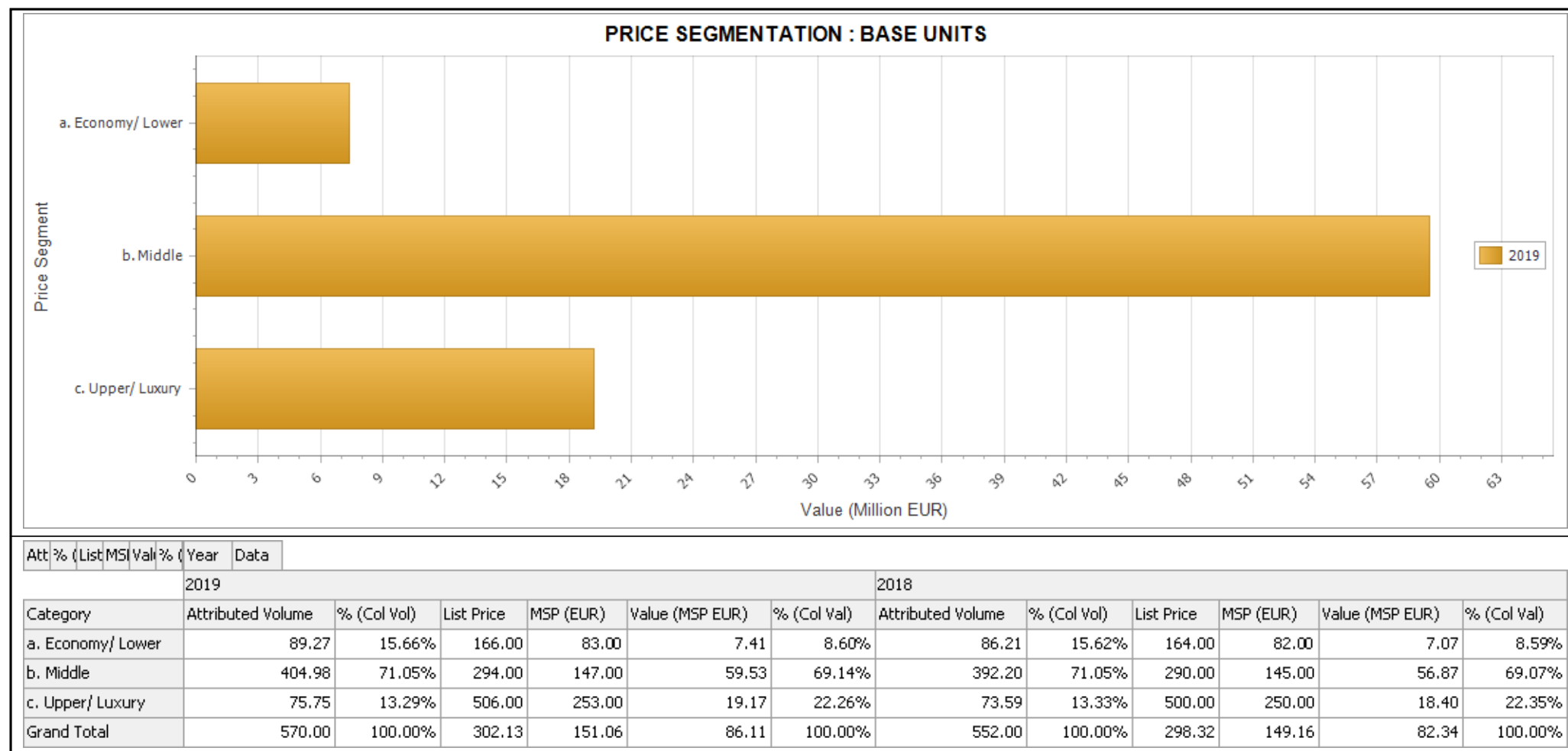
ES - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

ES - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

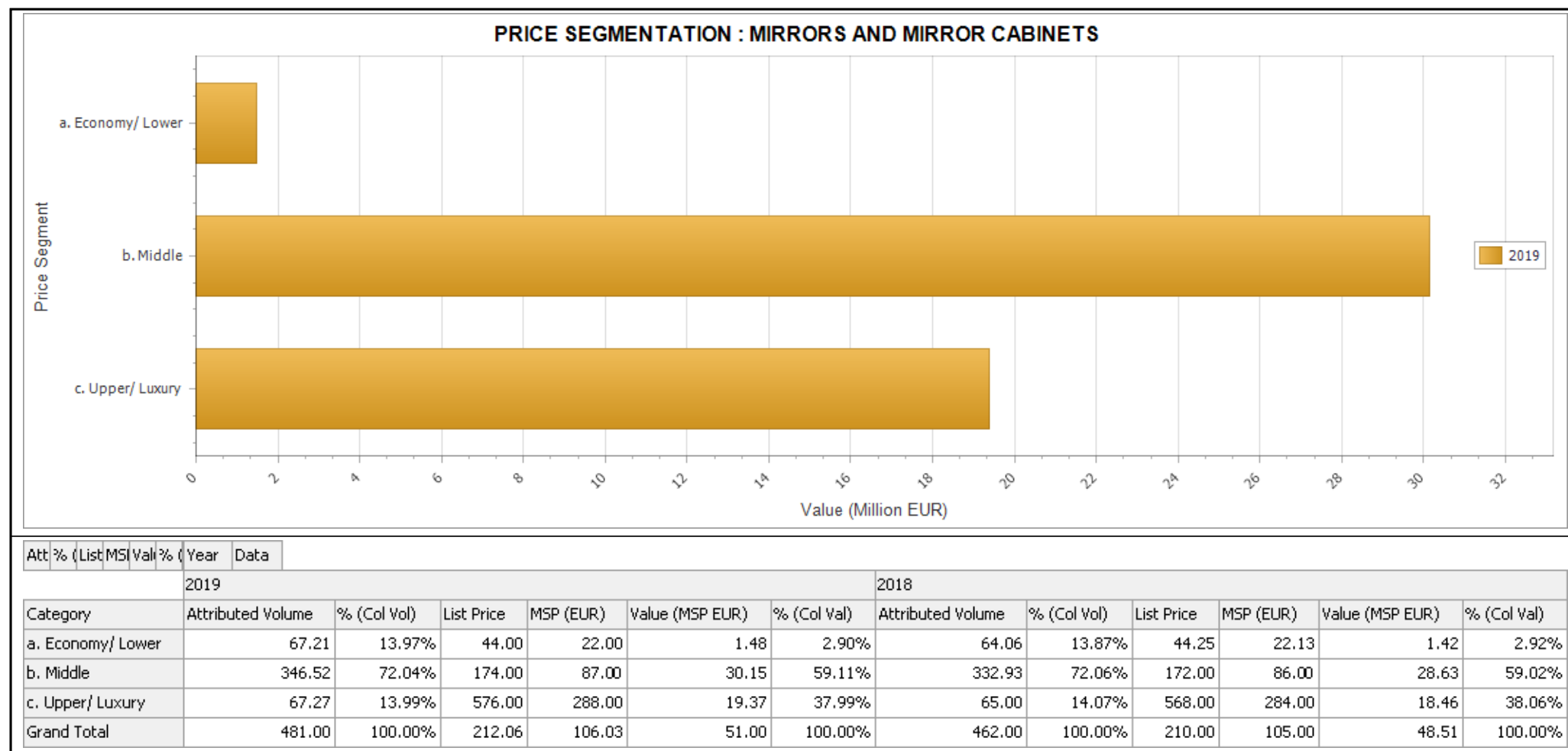


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

ES - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

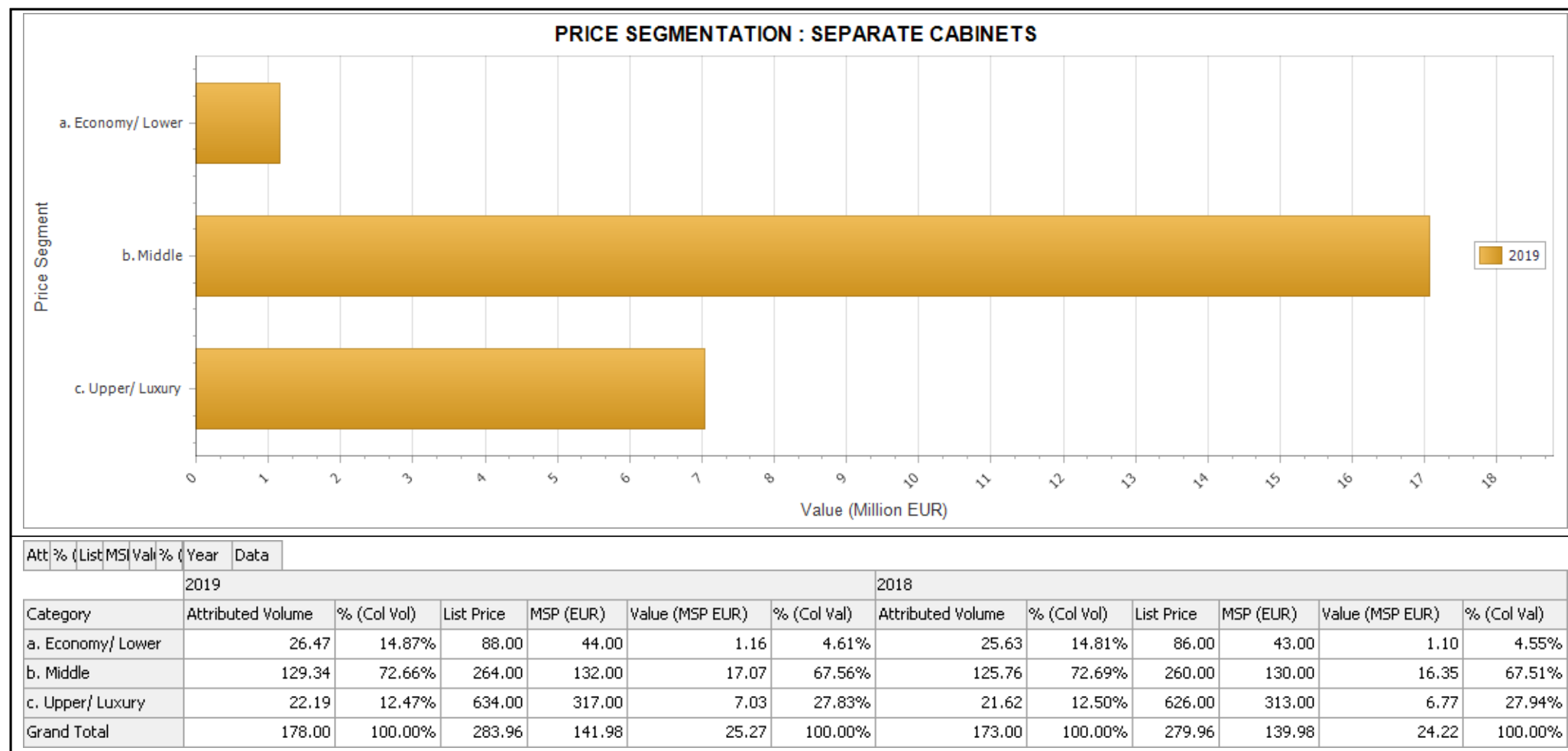


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40 Middle €40-€100, Upper/ Luxury >€100

5.3.4 Price Segmentation : Separate Cabinets

ES - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

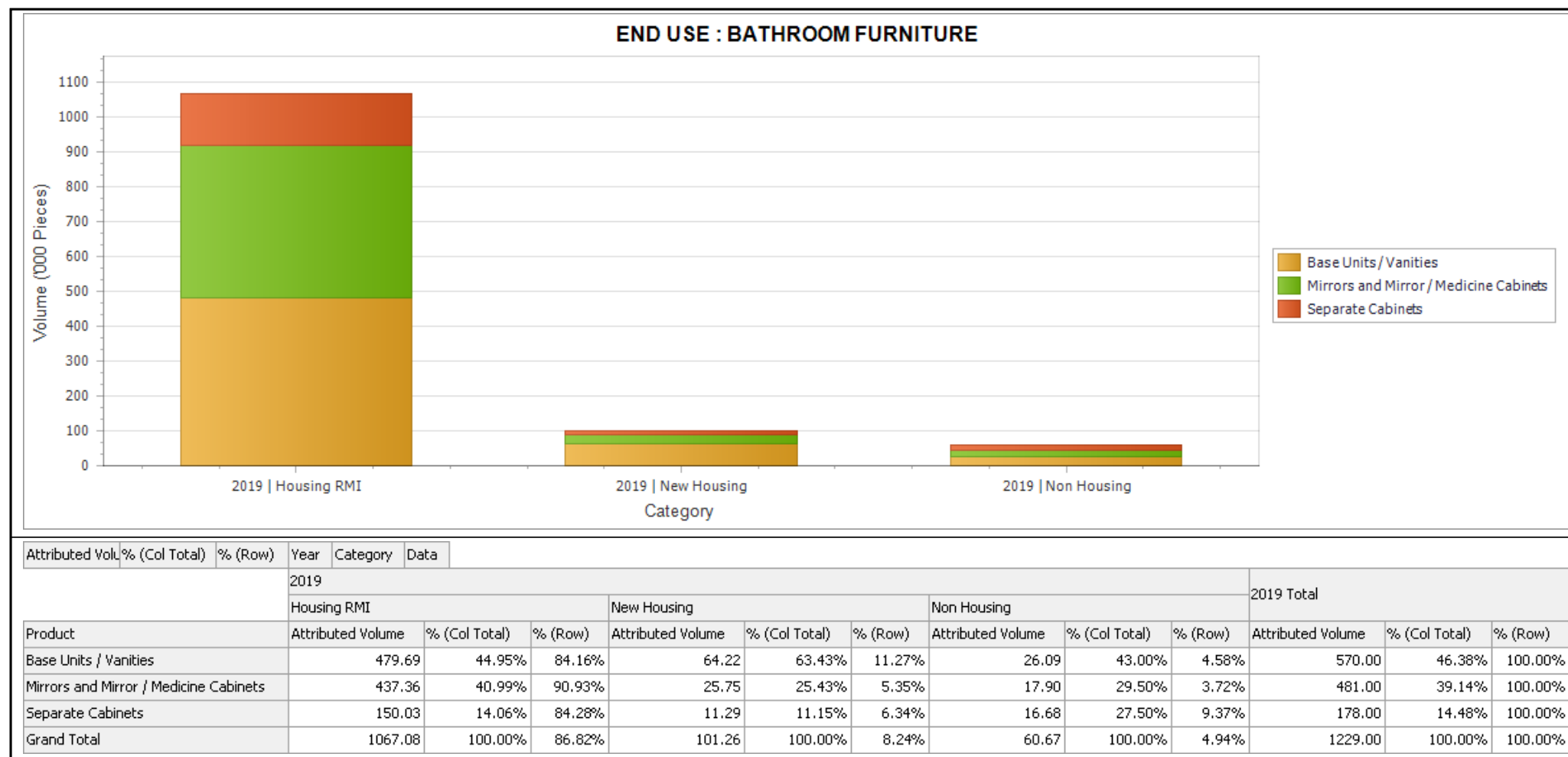


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€160, Upper/ Luxury >€160

5.4.1 End Use : Base Year

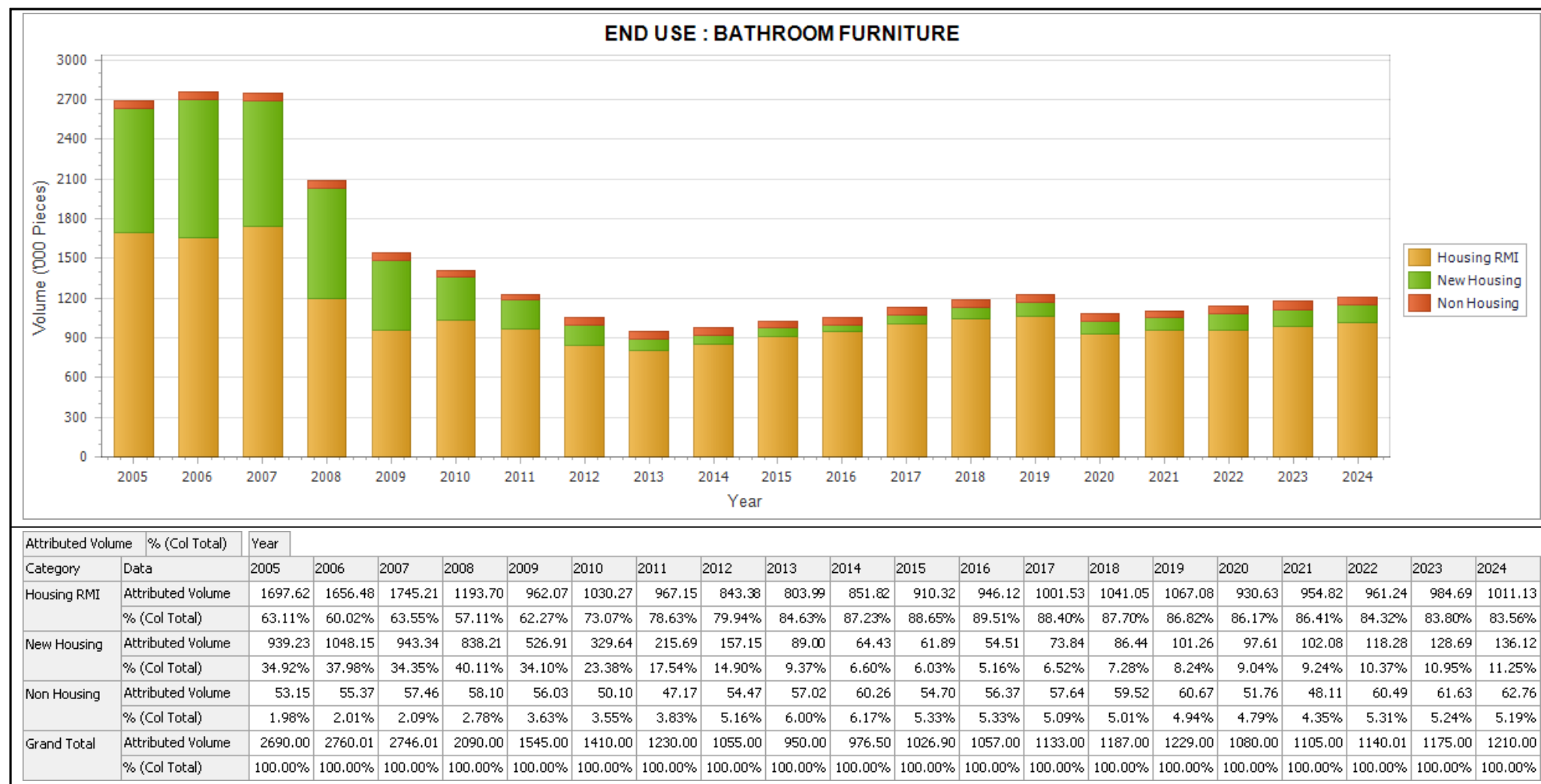
ES - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

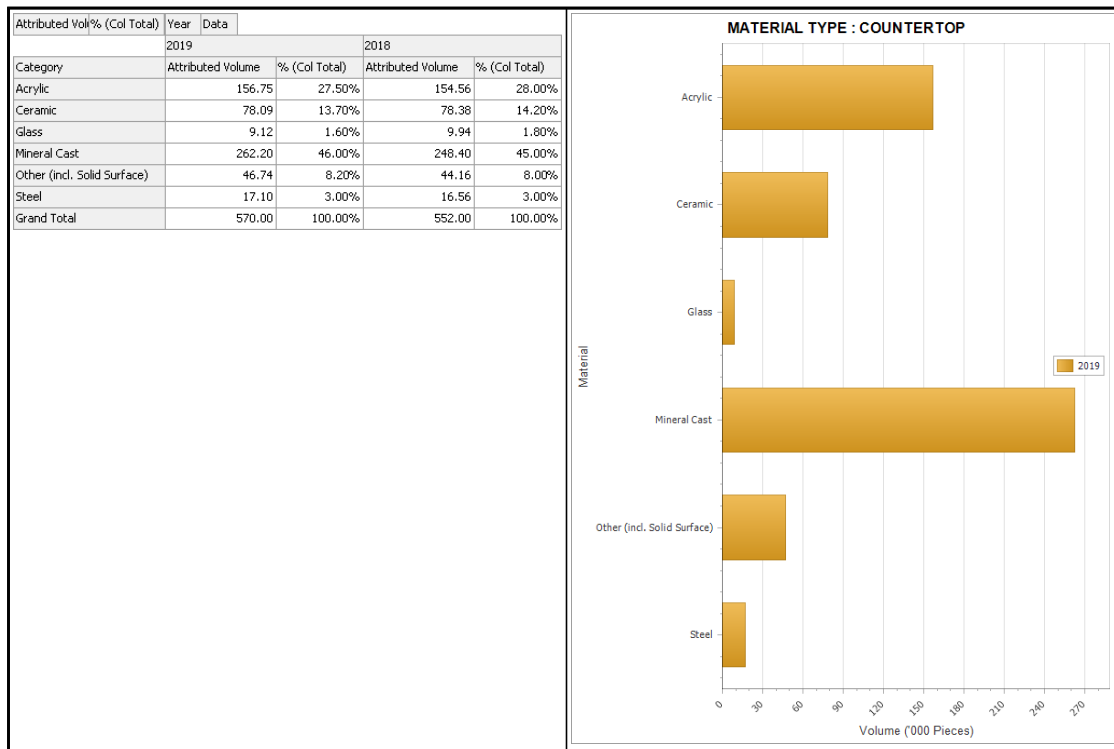
ES - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

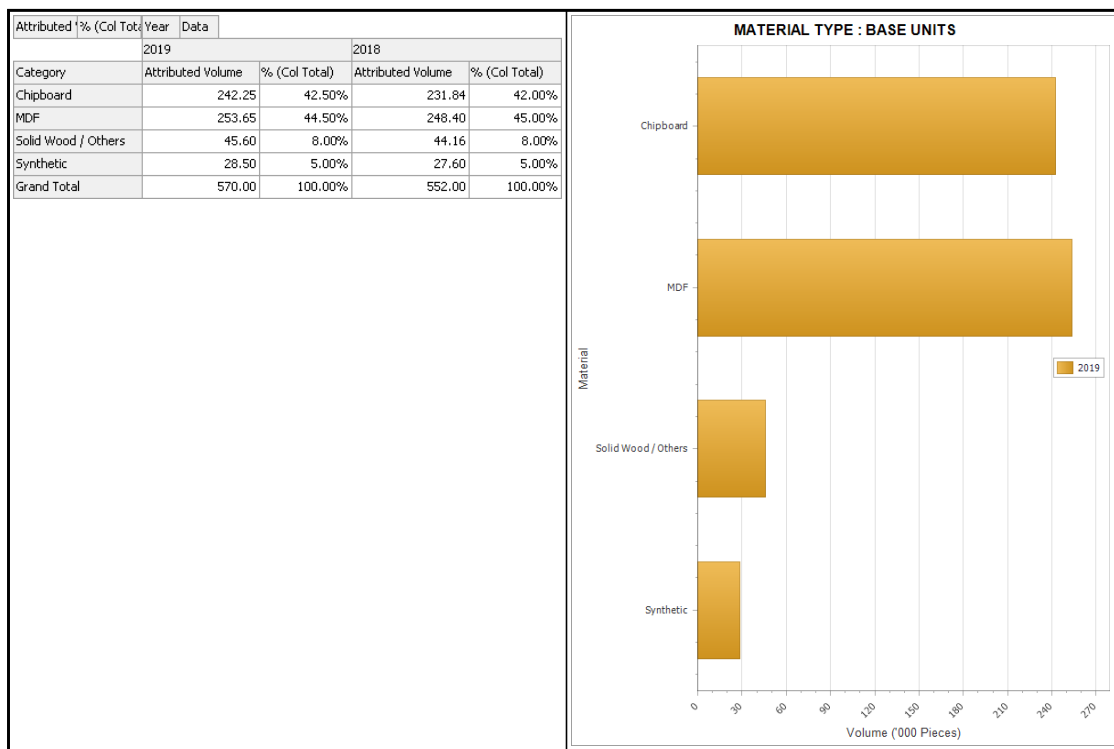
5.4.3 Sales by Type of Washbasin Material : Base Units

ES - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



5.4.4 Sales by Type of Material : Base Units

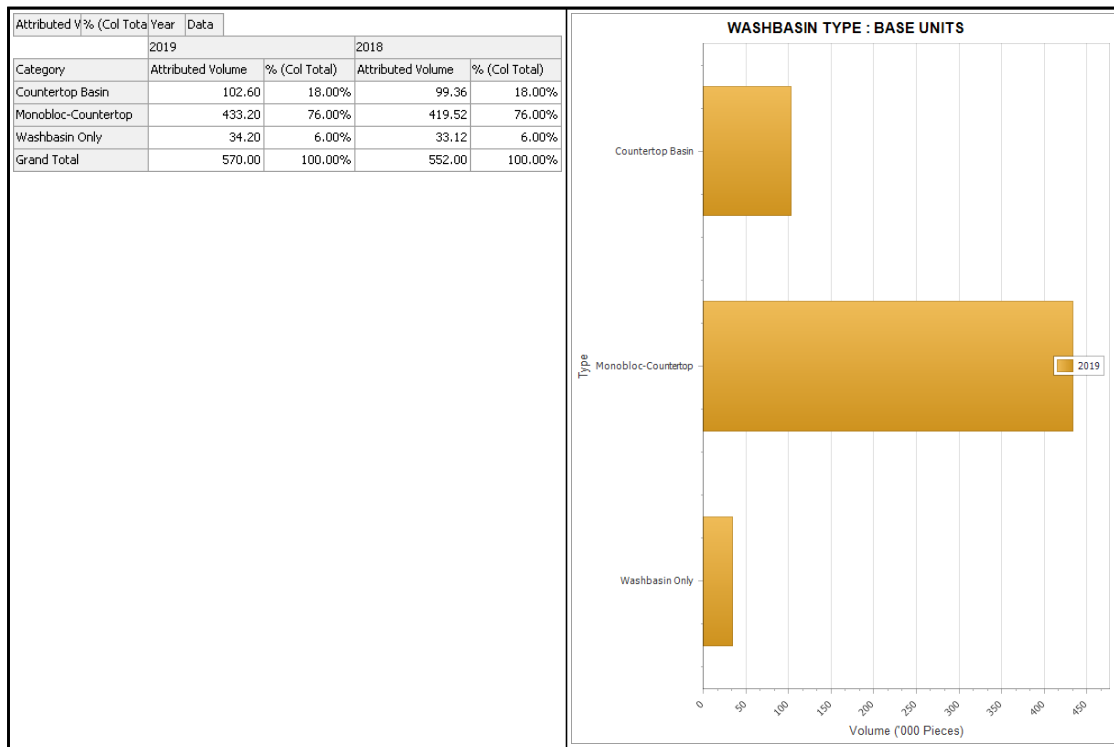
ES - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

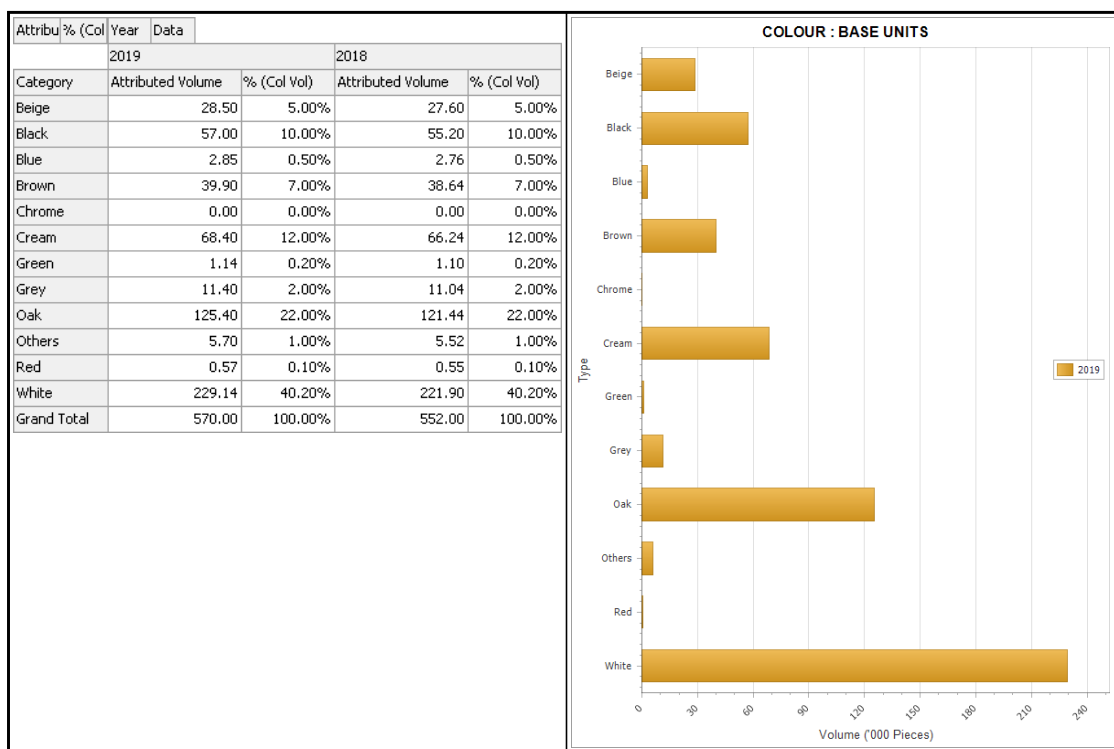
ES - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

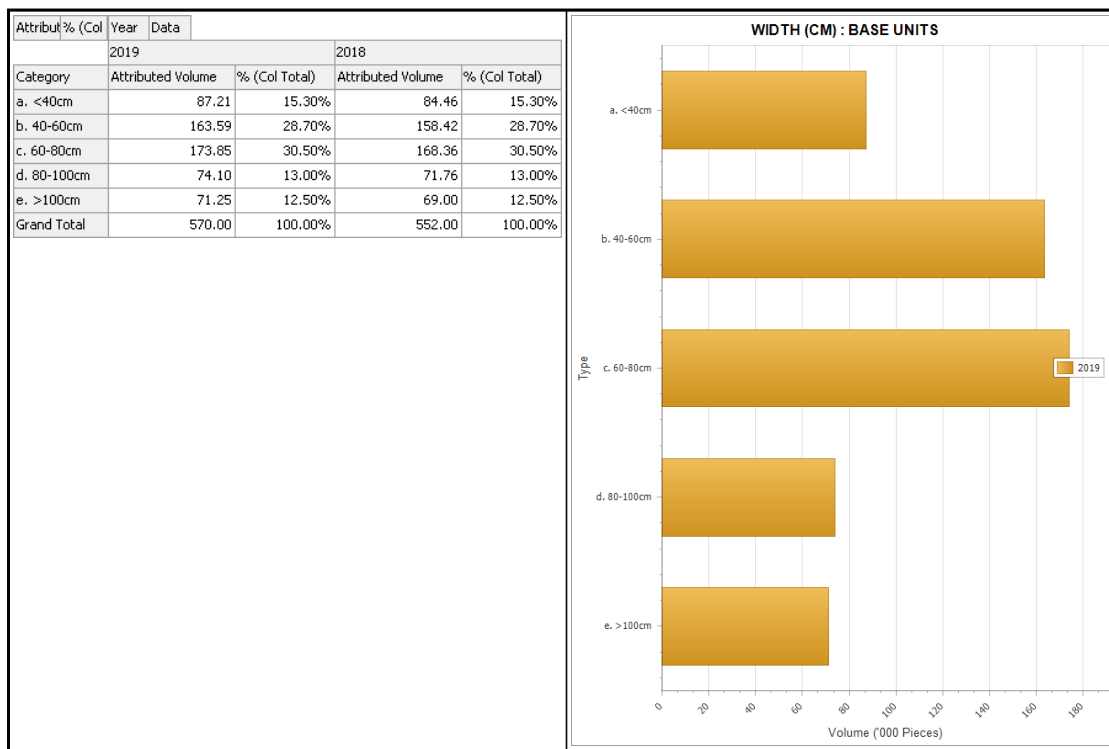
ES - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

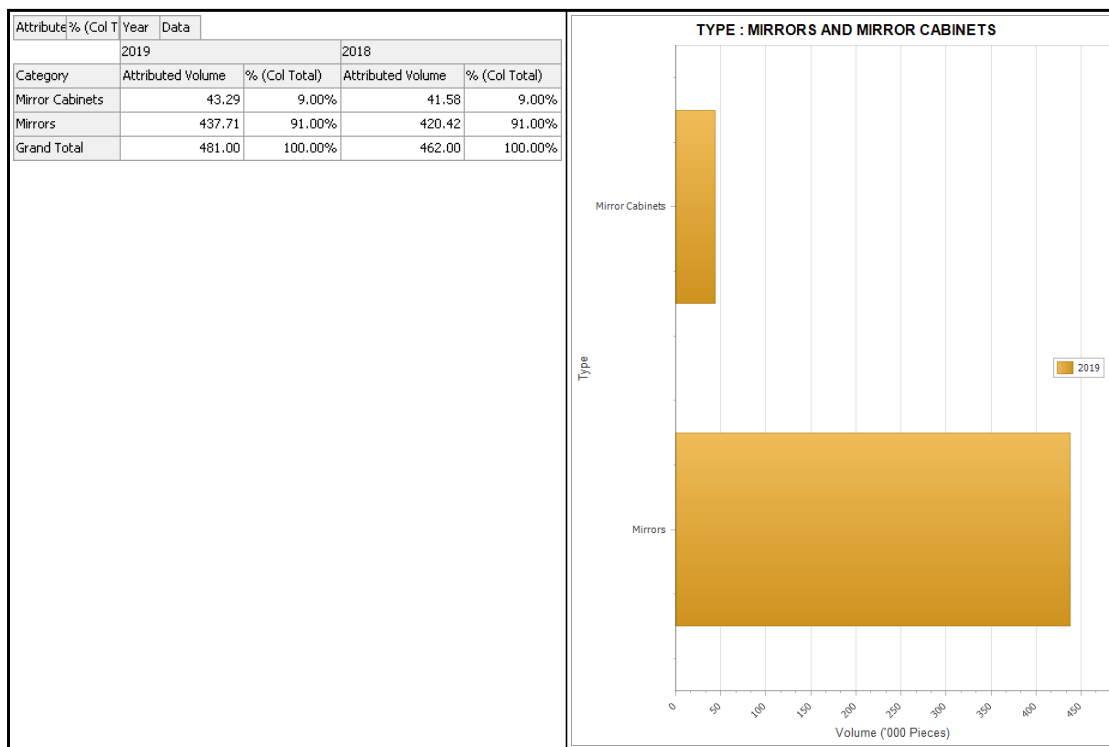
5.4.7 Sales by Width : Base Units

ES - BASE UNIT SALES BY WIDTH ('000 PIECES)



5.4.8 Sales by Type : Mirror and Mirror Cabinets

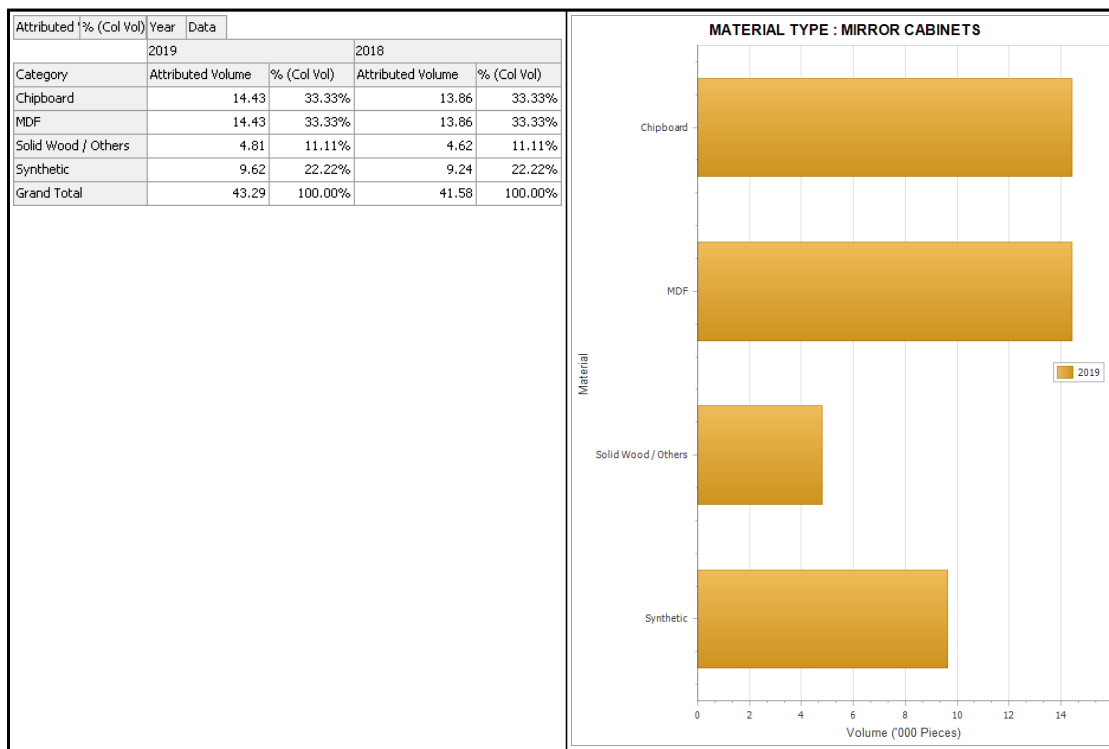
ES - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

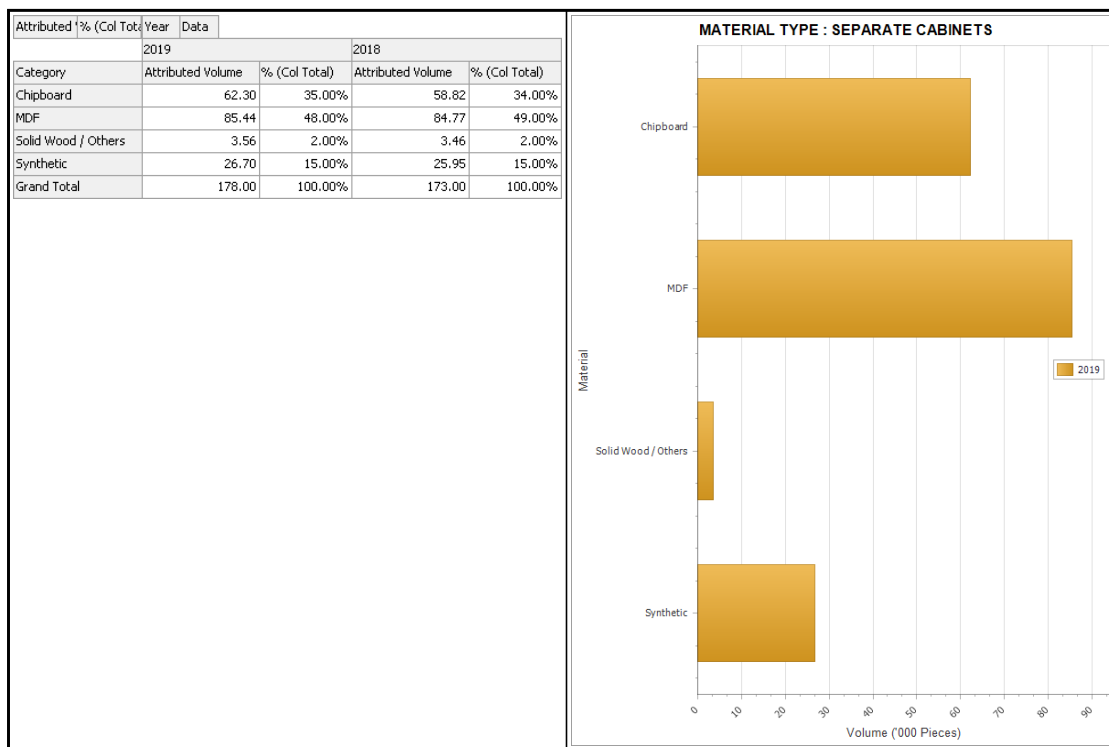
5.4.9 Sales by Type of Material : Mirror Cabinets

ES - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



5.4.10 Sales by Type of Material : Separate Cabinets

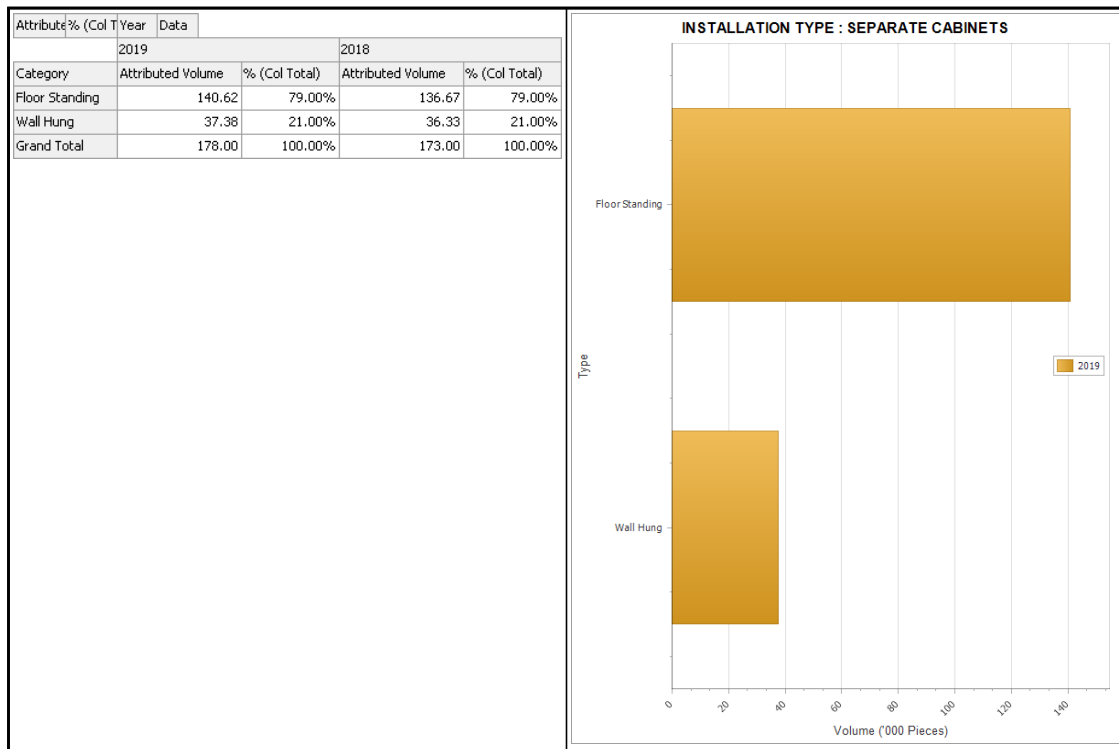
ES - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

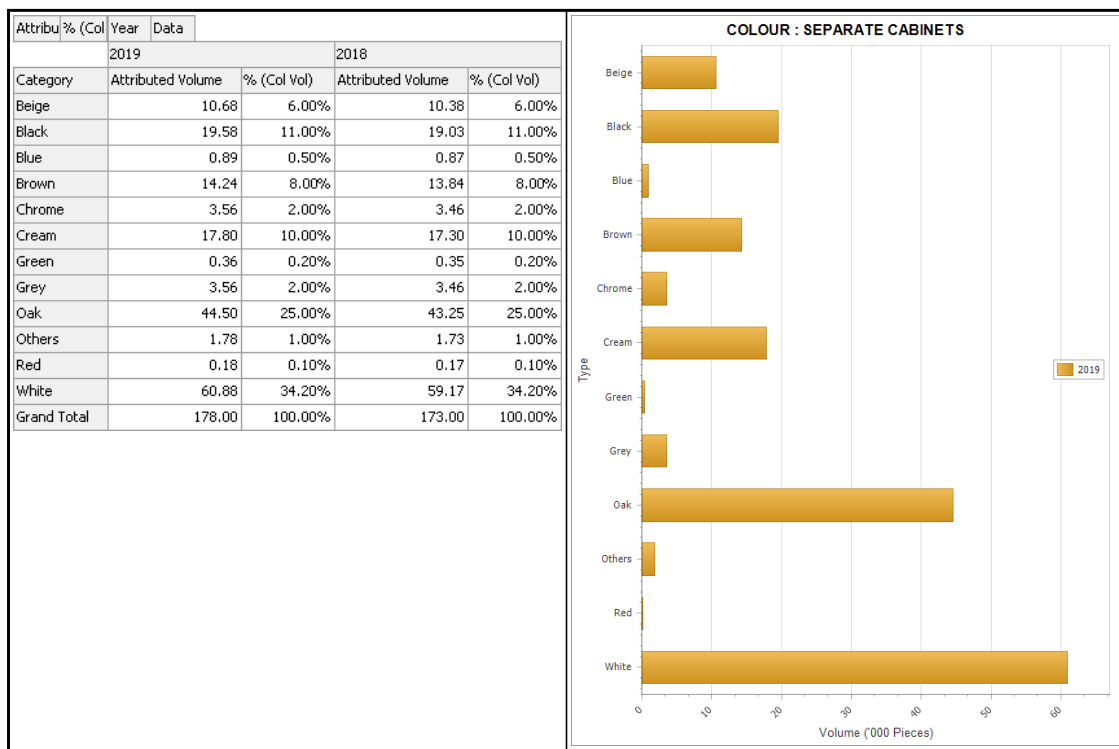
5.4.11 Sales by Type of Installation : Separate Cabinets

ES - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



5.4.12 Sales by Type of Colour : Separate Cabinets

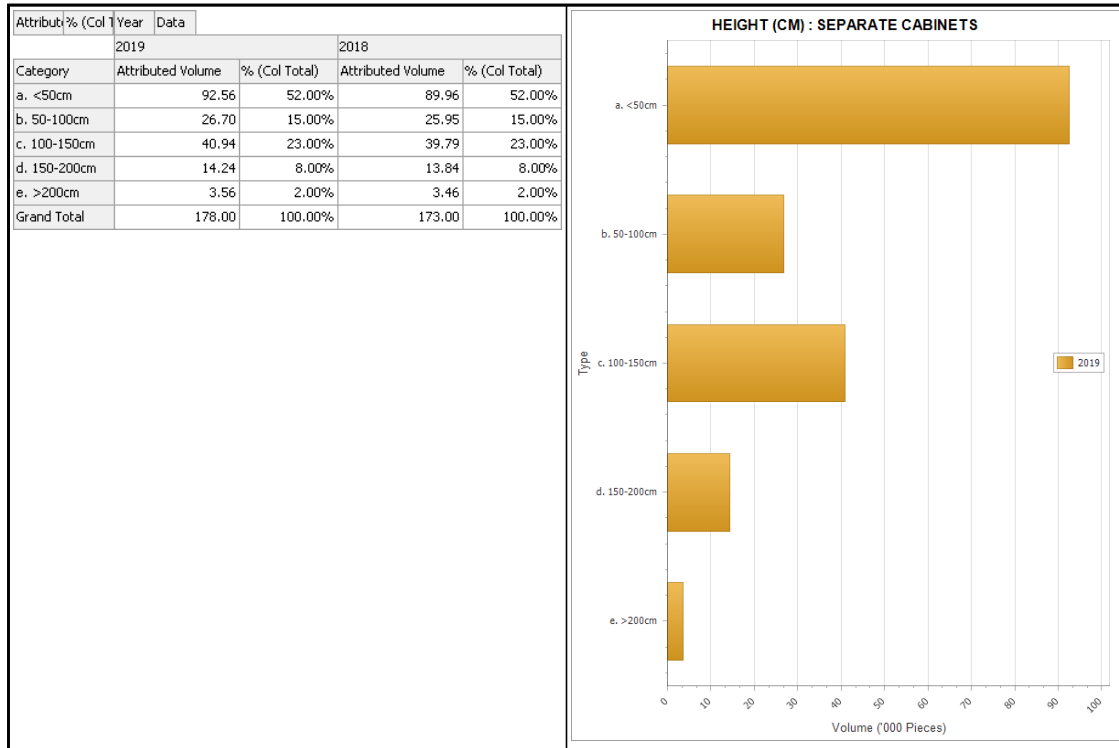
ES - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

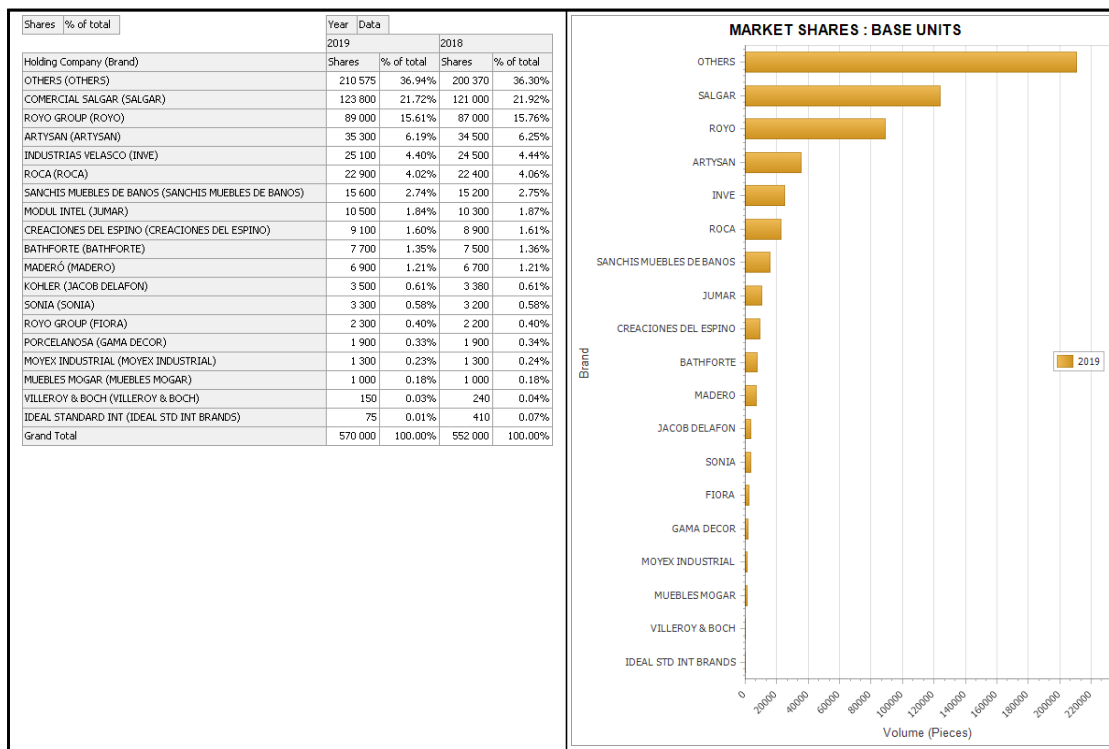
ES - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

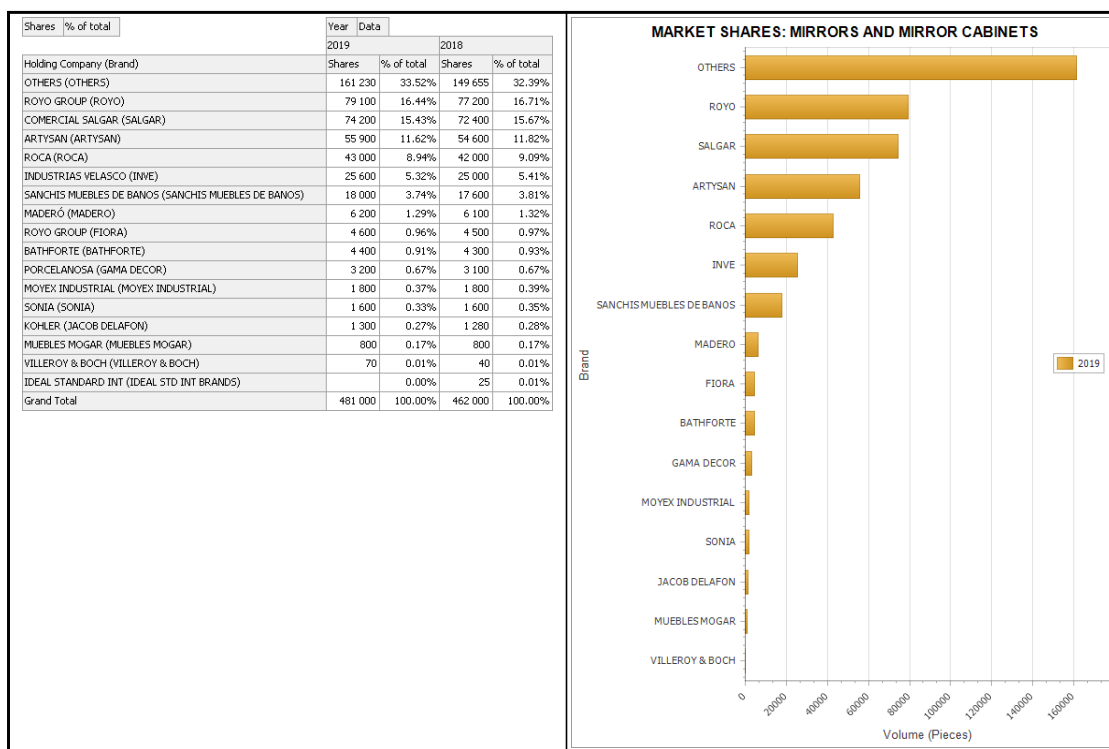
ES - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

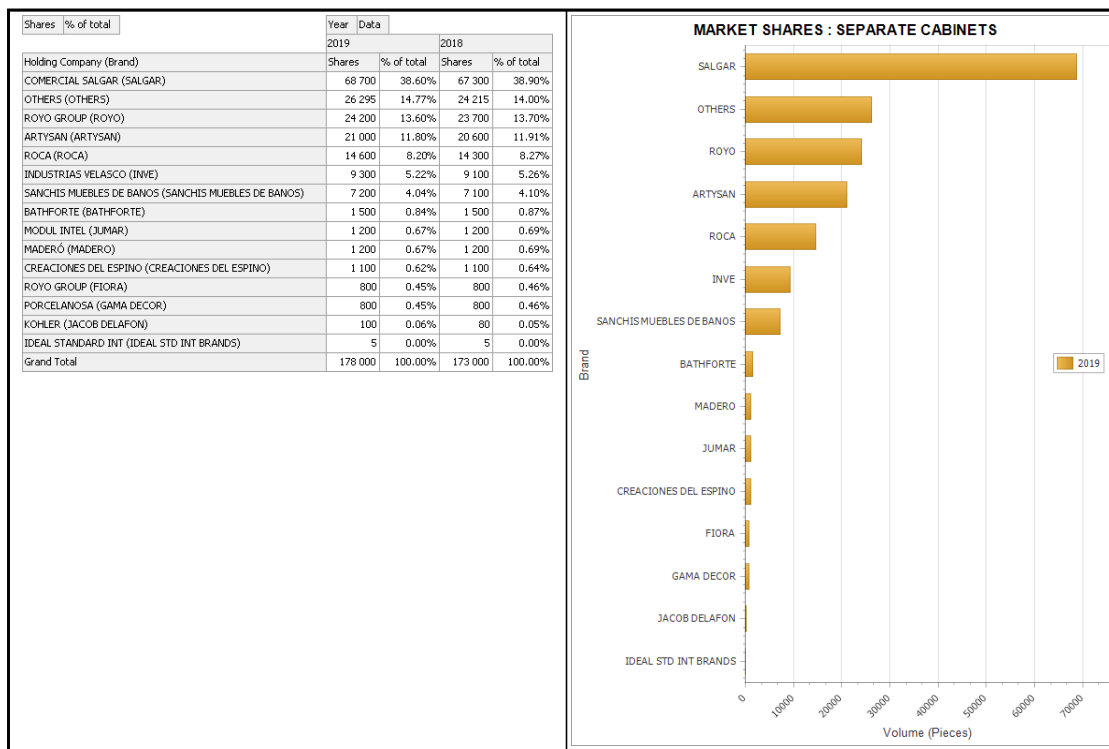
ES - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

ES - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture
ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.6%
	Wholesalers / Merchants
	65.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.5%	2.0%		12.1%		3.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.5%		15.1%		57.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.3%	8.0%	1.0%	3.0%	21.3%
Installers				
35.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	12.8%	2.5%	11.1%	36.0%	32.7%
	Residential					
	95.1%					
New Build			Residential RMI			
8.2%			86.8%			
Project		Non-Project	Project		Non-Project	
7.0%		1.2%	4.3%		82.5%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.5%	0.0%	1.0%	0.5%	2.9%
	Non-Residential					
	4.9%					
New Build			Non-Residential RMI			
2.5%			2.4%			
Project		Non-Project	Project		Non-Project	
2.1%		0.4%	1.8%		0.6%	

5.6.2 Route to Market: Bathroom Furniture
ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.0%
	Wholesalers / Merchants
	57.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.0%	2.5%		15.0%		4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.5%		19.0%		57.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.5%	6.0%	1.0%	3.8%	19.7%
Installers				
33.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	5.5%	4.3%	4.5%	14.2%	37.0%	29.3%
	Residential					
	94.8%					
New Build			Residential RMI			
11.2%			83.6%			
Project		Non-Project	Project		Non-Project	
9.6%		1.7%	4.2%		79.4%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.2%	0.0%	1.0%	0.3%	3.7%
	Non-Residential					
	5.2%					
New Build			Non-Residential RMI			
1.5%			3.7%			
Project		Non-Project	Project		Non-Project	
1.3%		0.2%	2.8%		0.9%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2019

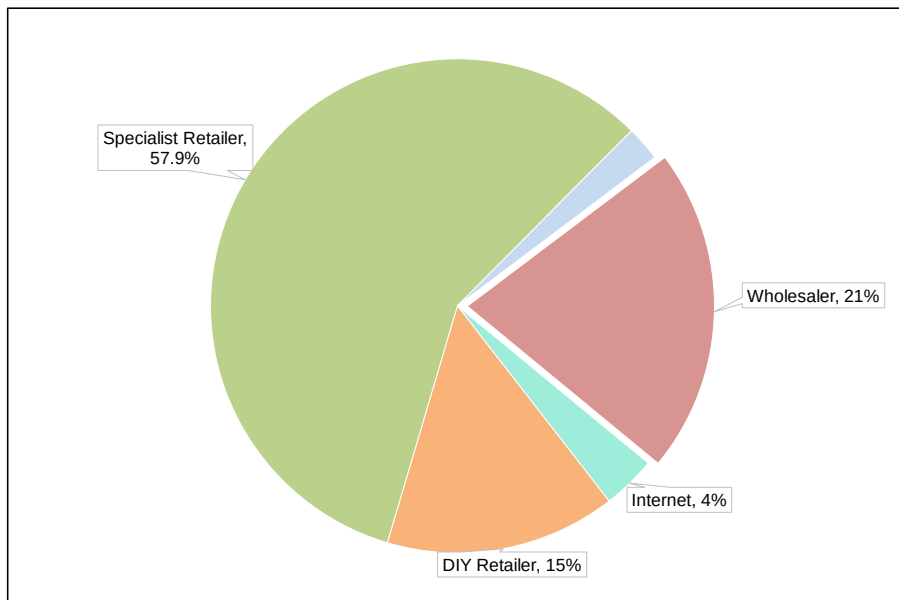
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.3%	3.5%	15.1%	57.9%	2.3%	11.3%	4.0%	83.7%	1.0%
100%					15.3%		84.7%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

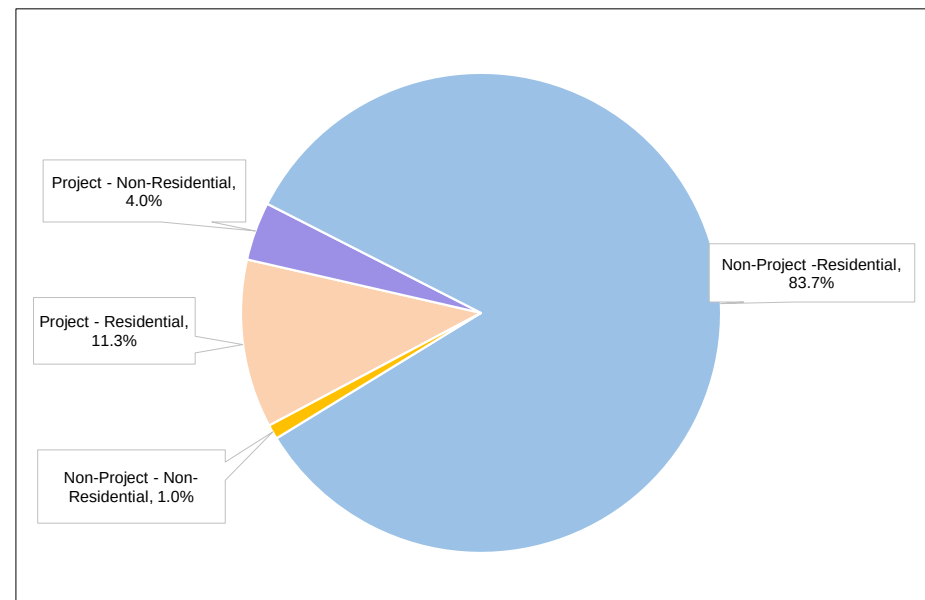
ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
10.5%	5.5%	19.0%	57.0%	8.0%	13.7%	4.0%	81.1%	1.1%
100%					17.8%		82.2%	

ES - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2019



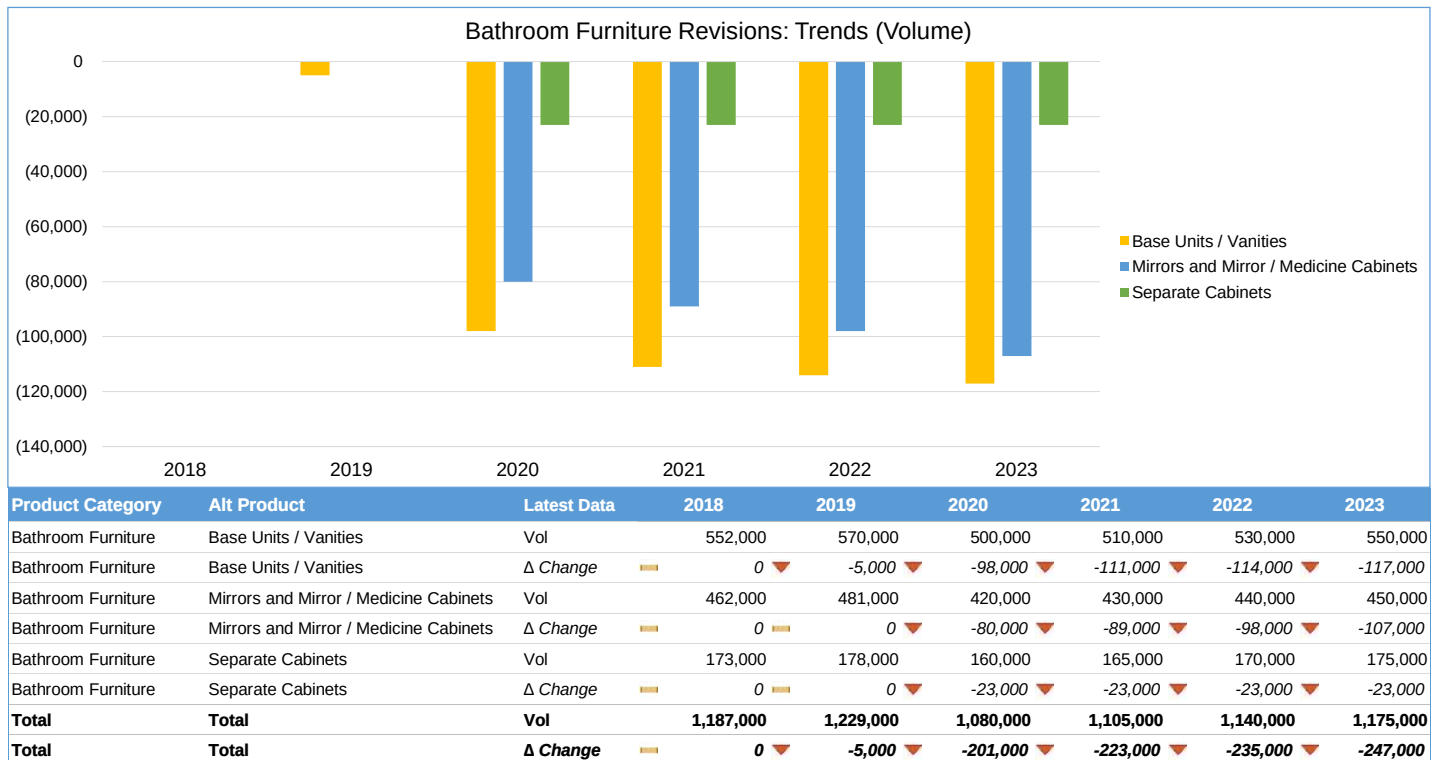
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Spanish Bathroom Furniture Market (April 2020)

ES - REVISIONS IN THE SPANISH BATHROOM FURNITURE MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

SPAIN

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Spanish bathroom accessories market experienced dynamic growth in the two decades leading up to 2006, before suffering from the collapse of Spain's economy in the second half of 2007. Prior to the crash, the Spanish bathroom accessories market benefited from high levels of construction and renovation activity, combined with a growing desire among Spanish consumers for aesthetically pleasing products. After seven consecutive years of declining sales, the bathroom accessories market bounced back and returned to growth in 2015.

The Spanish bathroom accessories market has historically been supported by two products, towel and toilet paper holders, which are the most popular product categories. It has been reported that the range of products available on the Spanish bathroom accessories market has widened in the past decade, with manufacturers having extended their product ranges to satisfy the demand for new products.

The Spanish bathroom accessories market has been characterised by the dominant share of products made of metal in the last decade. These accessories (either in brass, steel or in the cheaper alternative zamac, i.e. aluminium + zinc) not only represent a modern design style for home furniture but also present many advantages in terms of maintenance. The other material that has a significant share in the market is synthetic (mostly plastic). The increase in Asian imports (Chinese in particular) over the last decade has also contributed to the increasing share of plastic accessories.

It is relevant to mention that synthetic accessories relate more specifically to toilet brushes, towel rings and toothbrush holders, while other products might be more commonly found in other materials. In addition, plastic accessories are mainly found in the CII sector (commercial, institutional and industrial) such as restaurants, sport centres and lower standard hotels. The rest of the market splits roughly between the other types of materials, although their shares have decreased slightly.

Recent Market Trends

Sales of bathroom accessories sustained the growth experienced in previous years and continued to increase in 2019, although at a slower pace, as the higher purchasing power and disposable income in the country ensured strong demand for these products. Despite this positive development, the general preference at present for consumers is to invest in other bathroom products such as bathroom furniture or designer sanitary ware, which holds back the potential of the market. Bathroom furniture and other costlier products tend to add more value and aesthetic appeal to a bathroom than bathroom accessories do, which explains the higher investment rate of these goods.

Prices and Market Values

In terms of price segmentation, Spain has always been a price-driven market, with sales being increasingly made in DIY stores, notably thanks to imports coming from Asia. Only slight increases have been seen in the case of luxury products in volume sold. This has led to a strong growth over the last few years of products in the economy and lower categories which have gained substantial share to the middle and high categories, a trend that continued in 2019 pushing down the average price for bathroom accessories.

New Housing

The strong increase of residential completions in both apartments and houses, has pushed up the demand for bathroom accessories in 2019. Bathroom accessories are regarded widely as replacement products in Spain, the new housing sector only represents a small share of the overall sales of bathroom accessories in the country as many new dwellings are only equipped with some basic accessories by the time of the purchase.

Housing RMI

Sales of bathroom accessories to the housing RMI sector continued to grow in 2019, following the strong performance of the Spanish economy and the increase in consumer confidence. There is still a large park of old and neglected apartments in Spain, which should prove to be a reliable source of growing demand over the forecast period. The housing RMI segment remains the main end-use segment for bathroom accessories and, as in many other bathroom market product segments, also sees the most diverse product mix. In the new build sector, however, the best-selling accessories include 'essential' items such as toilet paper holders and toilet brushes.

Non-Housing

In 2019, sales of bathroom accessories into the non-housing segment continued to grow as in 2018, in line with the strong demand from hotels, spas and other leisure facilities. The strong performance of the Spanish tourism industry has led to many renovations of these facilities. The renovation periods are also becoming shorter as the strong competition in the industry require hotel facilities to be updated regularly. The hospitality industry is moving away from the most expensive items towards bathroom accessories that add design features at the minimum cost possible, which further boosted the sales of bathroom accessories in 2019.

Supply Structure

The Spanish bathroom accessories market is stable, and is led by domestic manufacturers, followed by imports that are mainly from China, Italy and Germany. ROCA is the leader in this sector, with its brands COSMIC and POM D'OR.

COMERCIAL SALGAR, BAÑO DISEÑO and ROCA (ROCA) are the other important domestic manufacturers. It is believed that most Spanish bathroom accessories are being imported from China, with COSMIC even having relocated its production to China. Some of the imported brands in the Spanish bathroom accessories market are INDA, from Italy, and KEUCO, from Germany.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

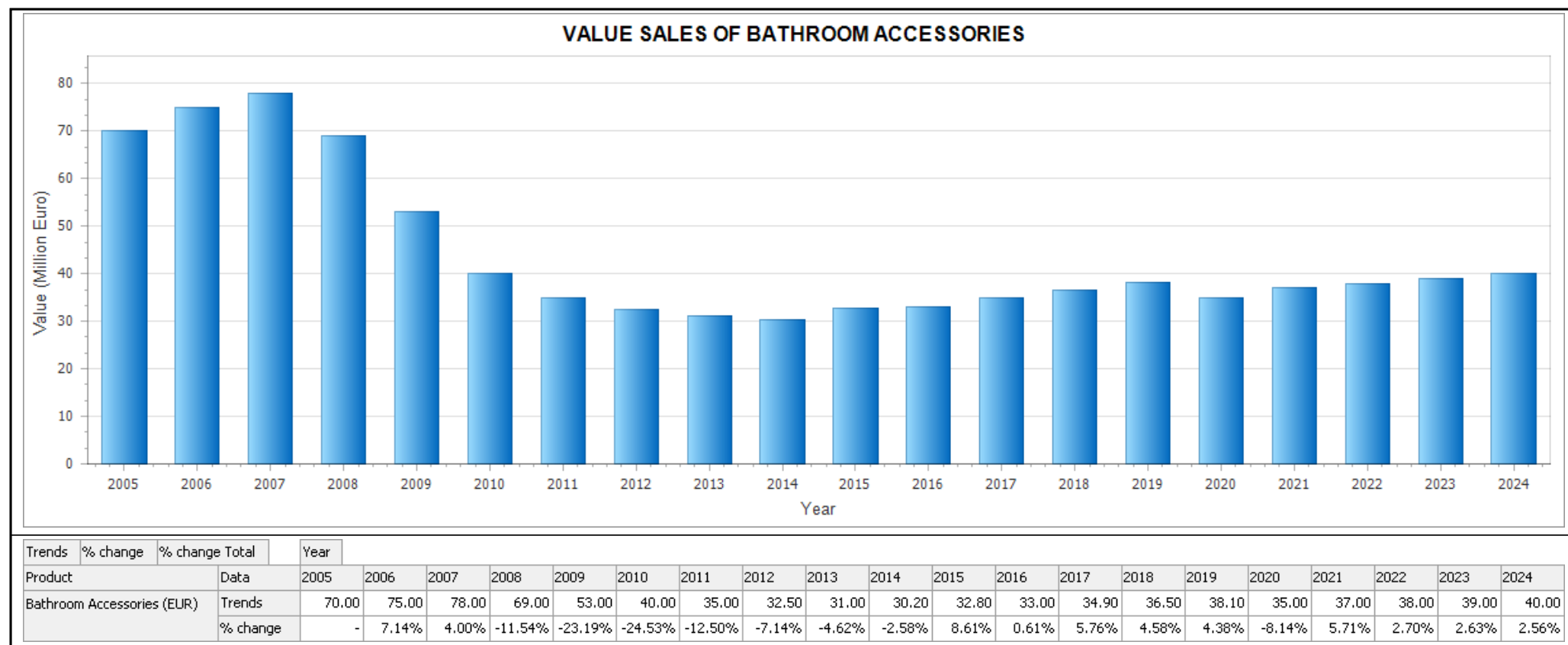
Sales of bathroom accessories are expected to decline in 2020 due to the COVID-19 outbreak. The continuing robust RMI demand should remain representing the bulk of sales in the overall market, even though it will decline in value. New housing is likely to decline due to the COVID-19 pandemic for the first half of the year. Non-housing should decline further since many projects have been put on hold.

From 2021 onwards increasing private and public investments are expected to ensure a recovery of the RMI and new housing sectors. RMI activity is set to remain the most important driver in Spain, due to the maturity of the market. Demand from the non-housing sector should decrease as the tourism industry (one of Spain's key economic sectors) should be strongly impacted due to the COVID-19 outbreak.

Indeed, the improvement in private consumption is expected to have a positive impact on the bathroom accessories market and accelerate the recovery of this segment. It is worth mentioning, however, that the market is not believed to return to pre-recession levels over the forecast period. The product mix of bathroom accessories is unlikely to change substantially, although the number of accessories per bathroom might continue to decline as bathrooms in the country become smaller.

6.2 Historical Trends and Forecasts

ES - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

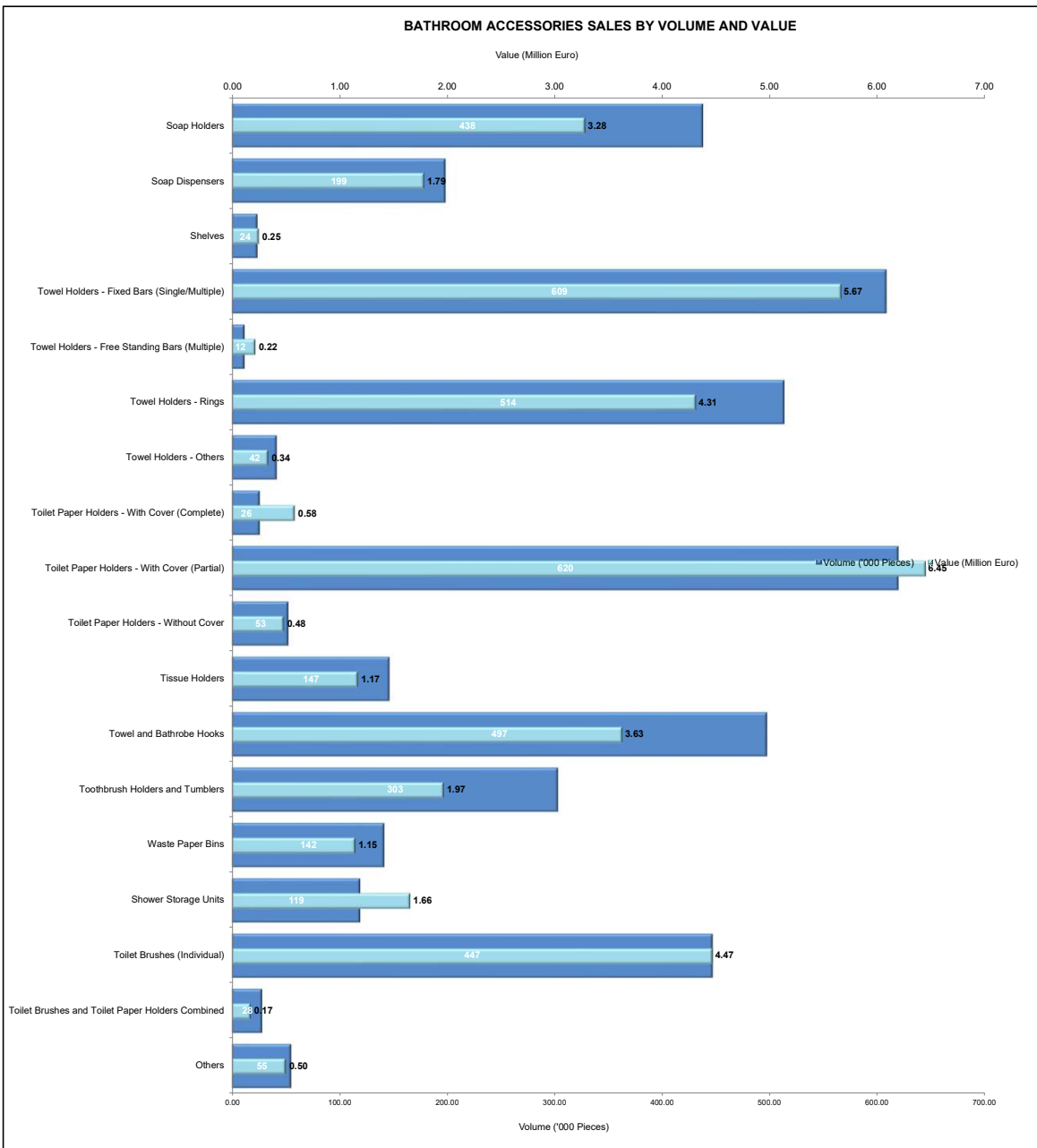
6.3 Detailed Prices and Market Values : Bathroom Accessories

ES - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2019	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	437.9	3.3
	Share	10.2%	8.6%
	Average Price (EUR)		7.5
Soap Dispensers	Volume / Value	198.6	1.8
	Share	4.6%	4.7%
	Average Price (EUR)		9.0
Shelves	Volume / Value	23.9	0.3
	Share	0.6%	0.7%
	Average Price (EUR)		10.5
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	609.2	5.7
	Share	14.3%	14.9%
	Average Price (EUR)		9.3
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	11.8	0.2
	Share	0.3%	0.6%
	Average Price (EUR)		18.5
Towel Holders: Rings	Volume / Value	513.5	4.3
	Share	12.0%	11.3%
	Average Price (EUR)		8.4
Towel Holders: Others	Volume / Value	41.8	0.3
	Share	1.0%	0.9%
	Average Price (EUR)		8.1
Toilet Paper Holders: With Cover (Complete)	Volume / Value	26.0	0.6
	Share	0.6%	1.5%
	Average Price (EUR)		22.5
Toilet Paper Holders: With Cover (Partial)	Volume / Value	620.4	6.5
	Share	14.5%	16.9%
	Average Price (EUR)		10.4
Toilet Paper Holders: Without Cover	Volume / Value	52.5	0.5
	Share	1.2%	1.3%
	Average Price (EUR)		9.2
Tissue Holders	Volume / Value	146.5	1.2
	Share	3.4%	3.1%
	Average Price (EUR)		8.0
Towel and Bathrobe Hooks	Volume / Value	497.2	3.6
	Share	11.6%	9.5%
	Average Price (EUR)		7.3
Toothbrush Holders and Tumblers	Volume / Value	303.0	2.0
	Share	7.1%	5.2%
	Average Price (EUR)		6.5
Waste Paper Bins	Volume / Value	141.7	1.1
	Share	3.3%	3.0%
	Average Price (EUR)		8.1
Shower Storage Units	Volume / Value	119.3	1.7
	Share	2.8%	4.4%
	Average Price (EUR)		13.9
Toilet Brushes (Individual)	Volume / Value	446.8	4.5
	Share	10.5%	11.7%
	Average Price (EUR)		10.0
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	28.2	0.2
	Share	0.7%	0.5%
	Average Price (EUR)		6.2
Others	Volume / Value	55.2	0.5
	Share	1.3%	1.3%
	Average Price (EUR)		9.1
TOTAL	Volume in '000/Value in Million	4 273.4	38.1
	Share	100.0%	100.0%
	Average Price (EUR)		8.9

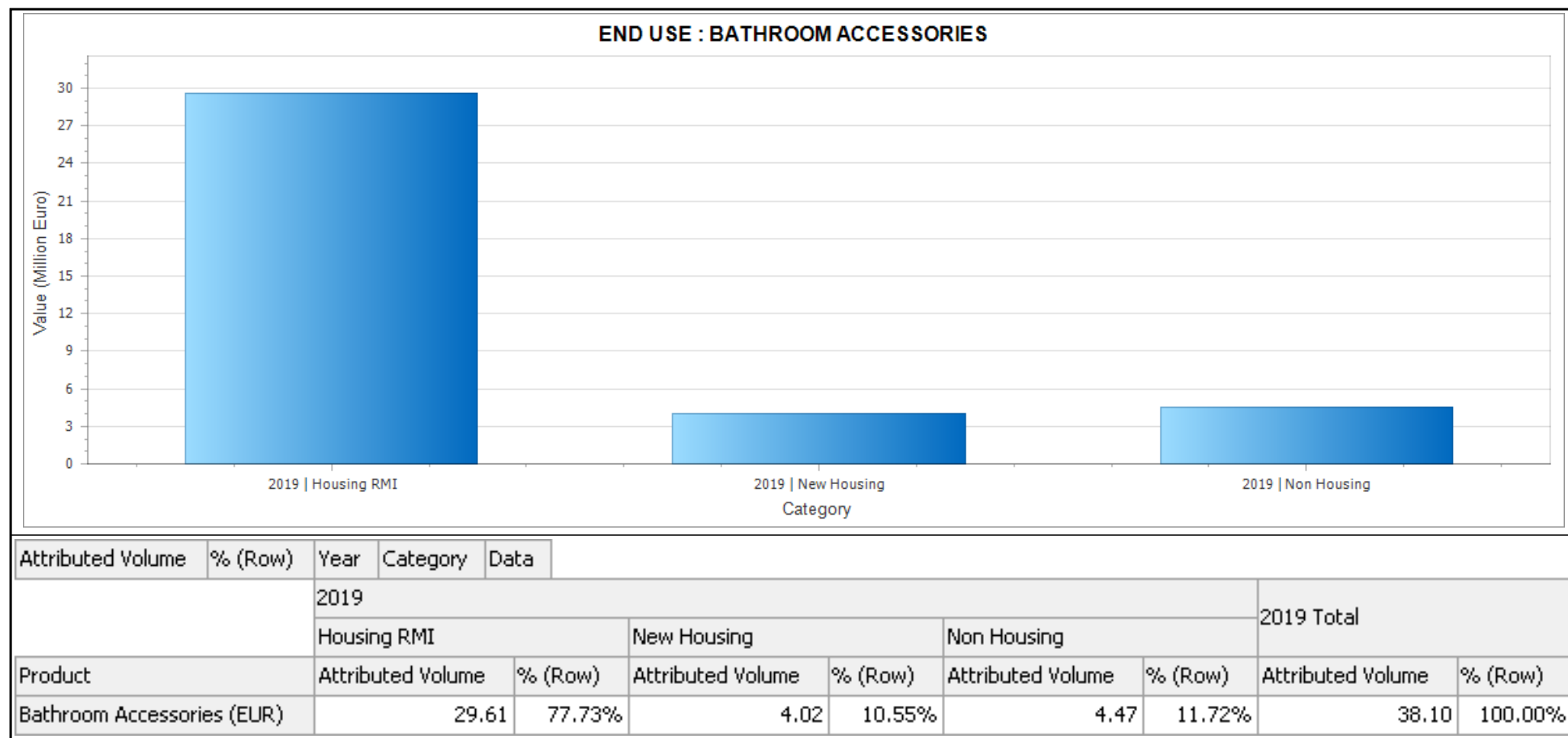
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

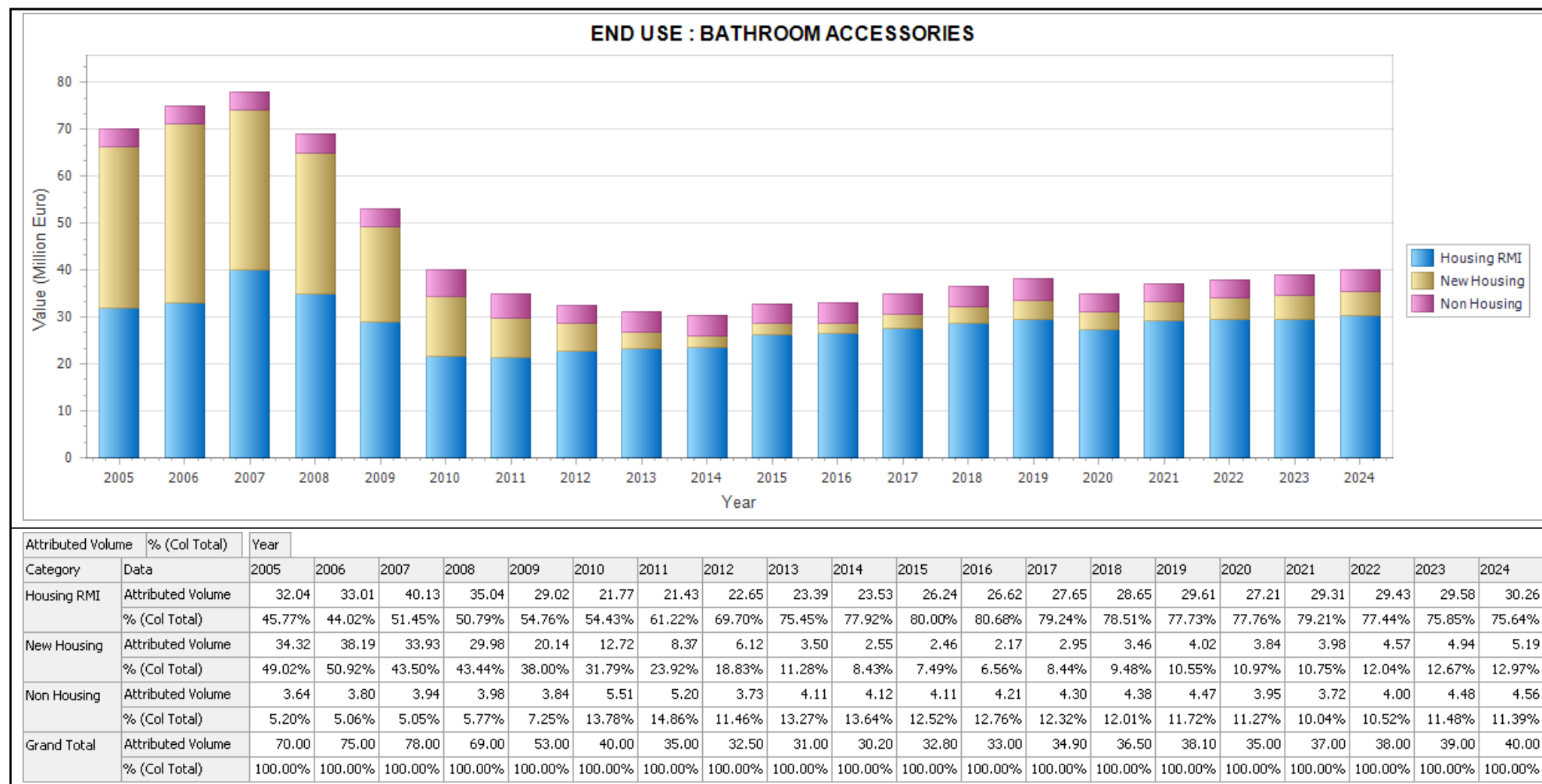
ES - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

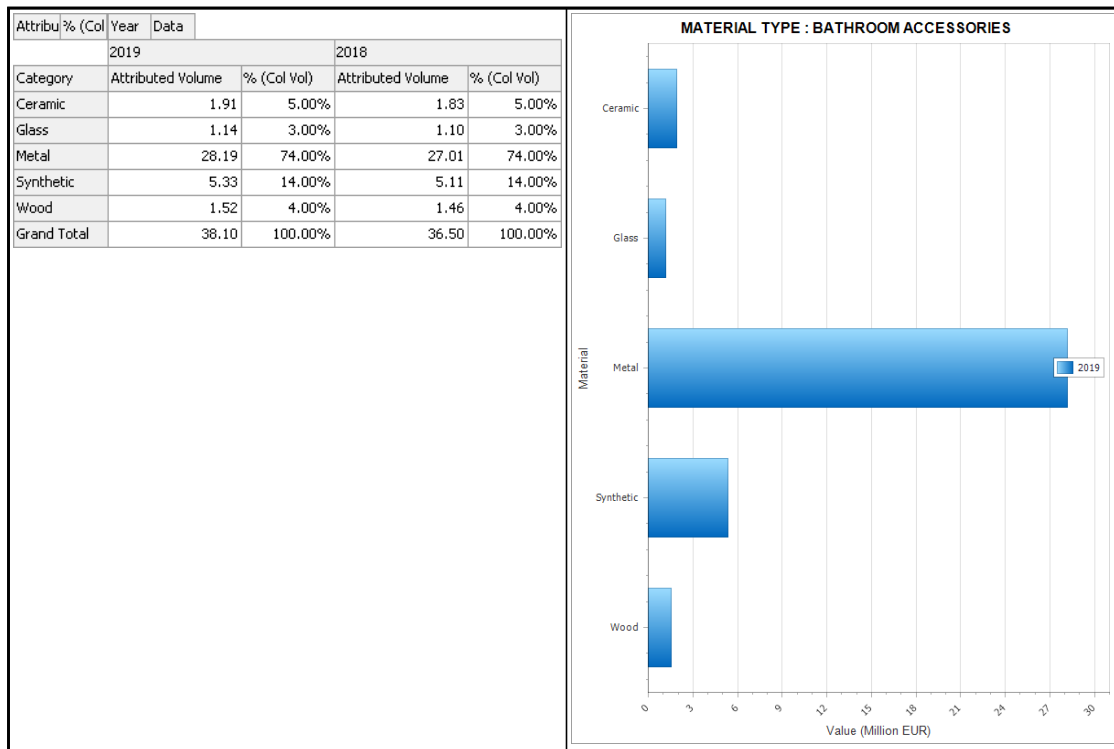
ES - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

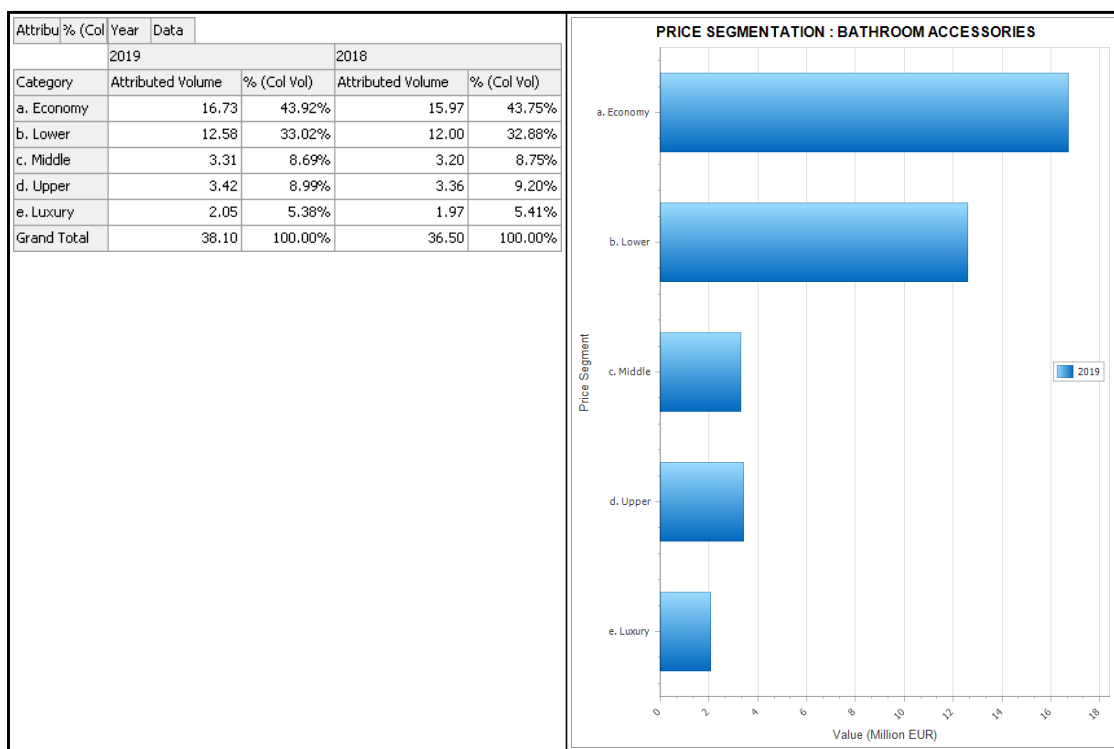
ES - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

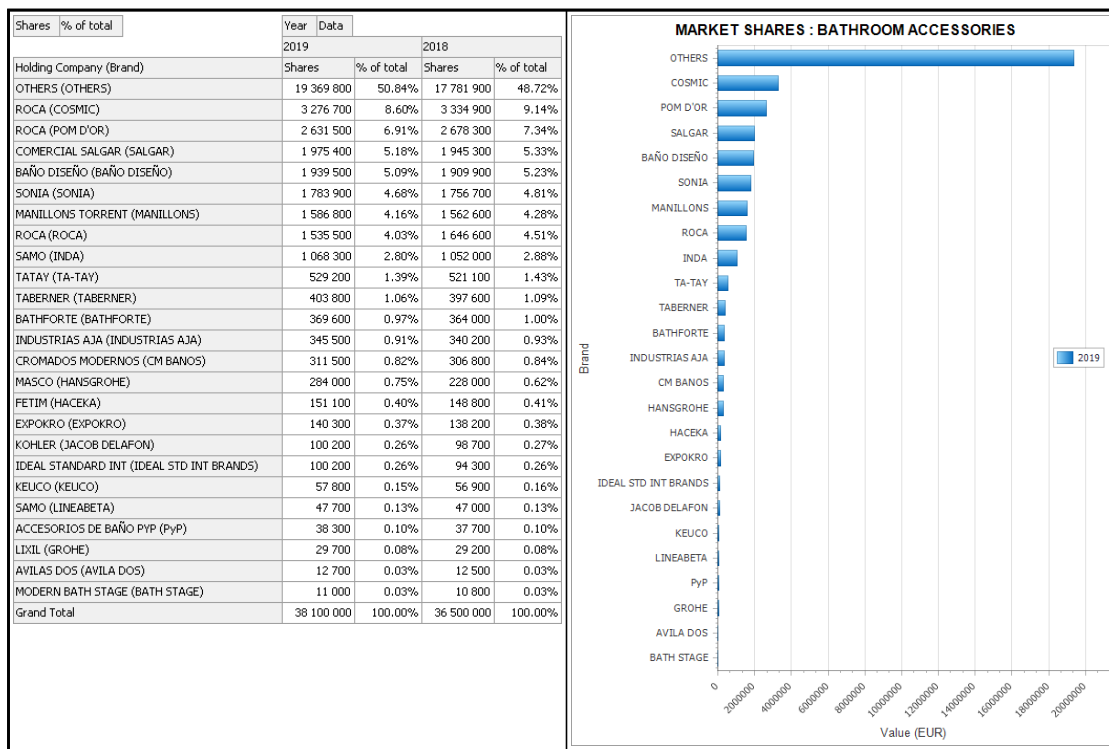
ES - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

ES - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.5%
	Wholesalers / Merchants
	73.5%

Retail Level	Manufacturer 9.0%	Wholesaler 6.0%	Manufacturer 14.9%	Wholesaler 38.0%	Manufacturer 1.5%	Wholesaler 2.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	15.0%		52.9%		4.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	12.0%	2.0%	3.0%	1.3%
Installers				
19.4%				

End Use Level	Manufacturer 0.0%	Wholesaler 7.6%	Internet 12.0%	DIY 48.4%	Specialist 2.0%	Installer 18.3%	Manufacturer 0.0%	Wholesaler 7.1%	Internet 1.0%	DIY 1.5%	Specialist 1.0%	Installer 1.1%
	Residential						Non-Residential					
	88.3%						11.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.6%			77.7%			3.0%			8.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	9.0%		1.6%	3.9%		73.8%	2.6%		0.5%	6.5%		2.2%

6.6.2 Route to Market: Bathroom Accessories (EUR)
ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	71.9%
	Wholesalers / Merchants
	71.9%

Retail Level	Manufacturer 9.6%	Wholesaler 7.0%	Manufacturer 16.0%	Wholesaler 39.0%	Manufacturer 1.5%	Wholesaler 2.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	16.6%		55.0%		3.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	9.0%	3.0%	4.0%	1.3%
Installers				
18.3%				

End Use Level	Manufacturer 0.0%	Wholesaler 9.9%	Internet 11.6%	DIY 49.5%	Specialist 1.8%	Installer 15.8%	Manufacturer 0.0%	Wholesaler 5.0%	Internet 2.0%	DIY 1.5%	Specialist 0.4%	Installer 2.5%
	Residential						Non-Residential					
	88.6%						11.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	13.0%			75.6%			2.7%			8.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.0%		1.9%	3.8%		71.9%	2.3%		0.4%	6.5%		2.2%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

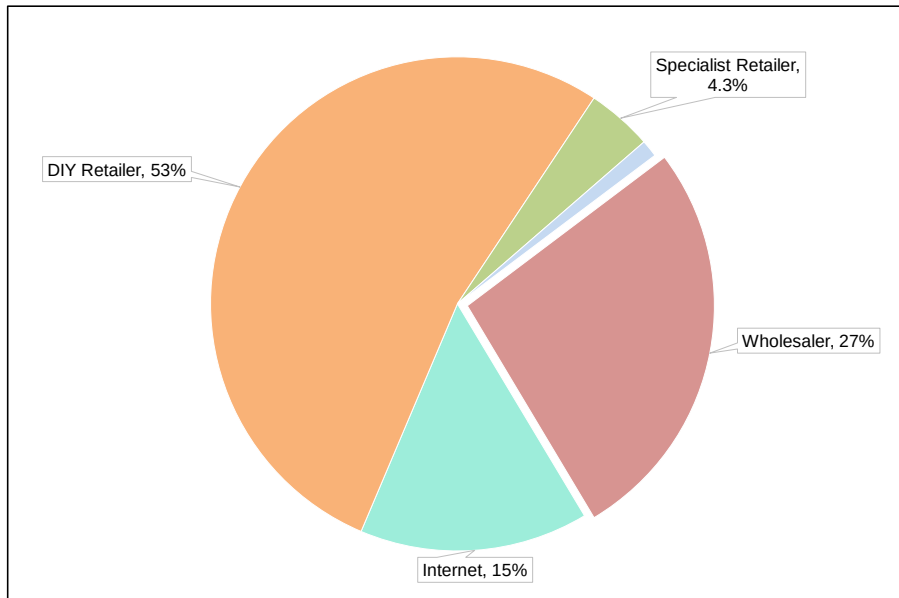
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.7%	15.0%	52.9%	4.3%	1.1%	12.9%	9.1%	75.4%	2.6%
100%					21.9%		78.1%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

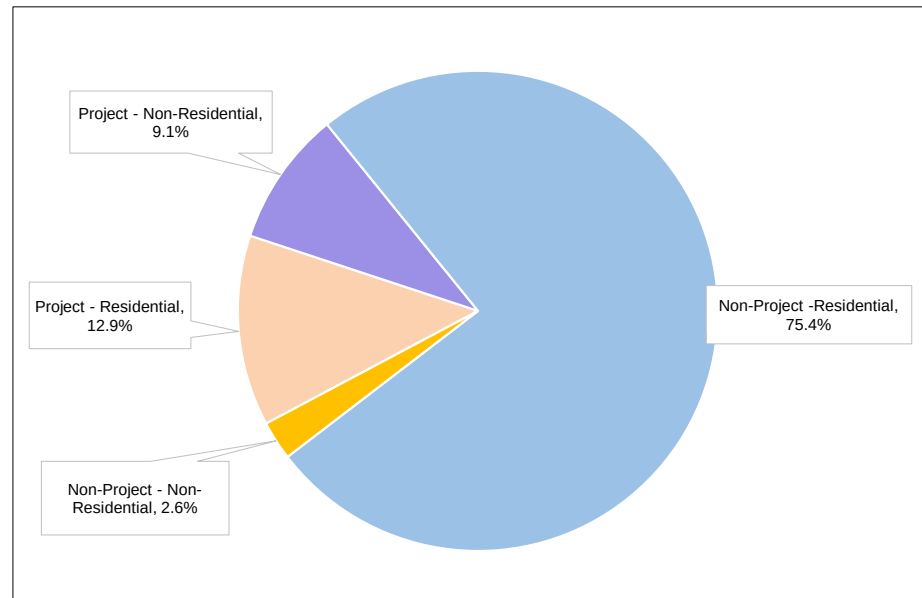
ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.9%	16.6%	55.0%	3.5%	1.0%	14.8%	8.8%	73.8%	2.6%
100%					23.6%		76.4%	

ES - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



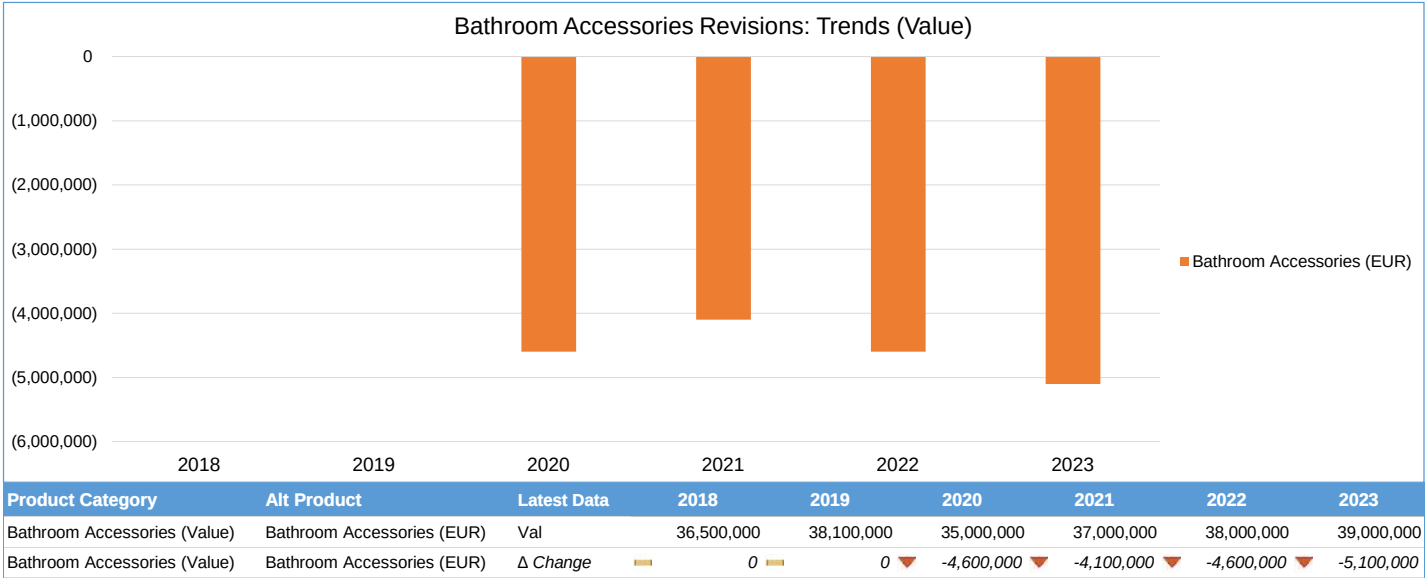
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Spanish Bathroom Accessories Market (April 2020)

ES - REVISIONS IN THE SPANISH BATHROOM ACCESSORIES MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

SPAIN

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower accessories market in Spain has generally followed the trends of other bathroom products, with strong RMI activity and the emergence of DIY stores as the main distribution channel having helped to maintain general upward trends in sales.

The shower accessories market has followed a pattern of growth rather similar to that of the taps and mixers market. It was, indeed, positively driven by new build activity, but also by the replacement market, from the late 1980s until 2006. After 2007 the market showed a decline in overall sales for the first time in over a decade, due to the beginning of the construction crisis in the second half of 2007. The decline in sales of shower accessories then, continued until 2015, which saw the first increase in sales since 2006.

Due to the importance of the DIY channel in Spain, it has become quite normal practice to buy shower sets that include a handset, mixer, hose and support. Indeed, most bath/shower and shower mixers are sold together with the hose handset and (usually) wall support (a few upper-price mixers are sold separately). Broadly speaking, where a replacement support is needed, the tendency in the Spanish market is to purchase a complete set, which is typically sold in a pre-packed form in supermarkets, DIY stores and department stores.

The emergence of shower pipes in Spain occurred in 2008, and the product has been a great success and the only bathroom product to experience consistent growth during the crisis. Although it used to be considered a luxury item, the price levels for shower pipes fell significantly due to the increasing share of Chinese products within the sector. The product has been gaining significant share of the shower set market, gradually phasing out shower panels.

Recent Market Trends

In 2019, the overall shower accessories market experienced a year of strong growth. The sales increase was mainly driven by the significant growth from new housing completions and the rising demand from the RMI sector as private consumption remained resilient in the country leading to many bathroom renovations. Dwelling completions increased in 2019, which had a positive effect on sales of shower accessories but to a lesser extent given the low volumes installed in this sector compared to RMI sales.

Positive growth was observed across all products segments, with the exception of shower panels, which has been in long-term decline. Shower panels have been losing share since 2008 due to the economic crisis and because of cheaper solutions such as shower sets, which has been gaining in market share. Also, they have lost popularity since consumers were only showering and not utilising their special jets due to frequent low water pressure.

Sales of shower heads experienced the fastest growth in 2019 as this market continues to benefit from the increase in sales into RMI and new housing completions. A shower head is often replaced more frequently, especially as it is the cheaper option when dealing with limescale. The same trend can be applied to flexible hoses, which are usually sold in a pack at any hardware store, supermarket, local shops, online and DIY stores with competitive prices. These sets have a low life span and give more rotativity and high dynamism to RMI.

Shower pipes, which consist of a fix pipe, a faucet, a flexible hose and two shower heads (one fixed and another hand handle) are gaining popularity among the Spanish consumers and are easier to replace than the existing shower set. The shower pipe market has grown once again and was mainly pushed up due to the positive performance of new housing completions. RMI also plays an important role as this segment accounts for the largest volumes due to the trend of switching from bath to shower.

Prices and Market Values

In 2019, the average manufacturers' selling prices (MSPs) for shower accessories increased slightly overall. However, shower heads average MSP declined slightly as the market prefers economic and middle price segment, with the latter having experienced a decrease in price. However, with the increase in volume the average MSP increased slightly. Most manufacturers adjusted their prices upwards which also has been reflected in the marginal increase in the average MSP for most products.

It is also believed that the purchasing power in Spain was going to grow, but with the COVID-19 outbreak it could change and the impact is uncertain.

New Housing

The demand for shower accessories in the new housing sector continued to grow at a fast pace in line with the strong increase in dwelling completions in 2019. The on-going recovery of the construction market is likely to boost the demand for shower accessories, although, for 2020 new housing completions should be extended and the sales should be reflected from 2021 onwards.

Housing RMI

In 2019, demand from the RMI sector continued to increase, on the back of the strong economic performance of the country. RMI activity in existing homes is the main driver of shower accessory sales. This is mainly because most sets are sold to consumers for the distress replacement of old shower heads and hoses. Since the replacement of shower systems is not solely discretionary, demand for shower sets was supported by this trend during the recession as well as consumer demand for remodelling for aesthetic purposes. Many consumers, however, now also buy new adjustable and volume-increasing shower heads and handsets that offer

greater comfort whilst saving water usage. Many of the sales of shower accessories rely on RMI activity, since shower accessories have shorter lifespans compared to those of ceramic sanitary ware or other bathroom products, resulting in a more frequent replacement of these products.

Non-Housing

Demand for shower accessories from the non-housing sector slightly increased in 2019 when compared to 2018, mainly due to most of the non-housing refurbishment having already taken place in previous years. The non-housing sector represents only a marginal share of the overall sales of shower accessories; however, foreign investment into commercial construction should positively stimulate demand from the non-housing sector over the forecast period. Most products sold are expected to end up in hotels, water parks and wellness centres.

Supply Structure

The supply structure for flexible hoses and shower supports is very fragmented and a large proportion of sales are of unbranded products, sold mainly via DIY chains.

Traditional manufacturers such as RAMON SOLER and ROCA hold strong positions. As with the taps and mixers market and most other bathroom products, ROCA assumes a leading position in this market. ROCA does not manufacture any of its shower accessories products itself but buys them from specialist Spanish shower accessories manufacturers. It is known, for example, that ORFESA manufactures flexible hoses on behalf of ROCA. GROHE, together with other German manufacturers such as HANSGROHE, have proved particularly successful in recent years and are reported to have made significant progress in the Spanish market, selling shower handsets on their own as individual products.

Other significant players include TRES, TEKA and the specialist shower accessories manufacturer INTERBATH (part of JINTEM), with its three brands INTERBATH, AQUALIN and IDEA BAGNO. INTERBATH is more orientated towards the replacement market. The rest of the market is made up of products supplied mainly by tap and mixer manufacturers and specialist shower accessories manufacturers, which are generally present in DIY stores and hypermarkets (PLASTISAN and TATAY).

Forecasts

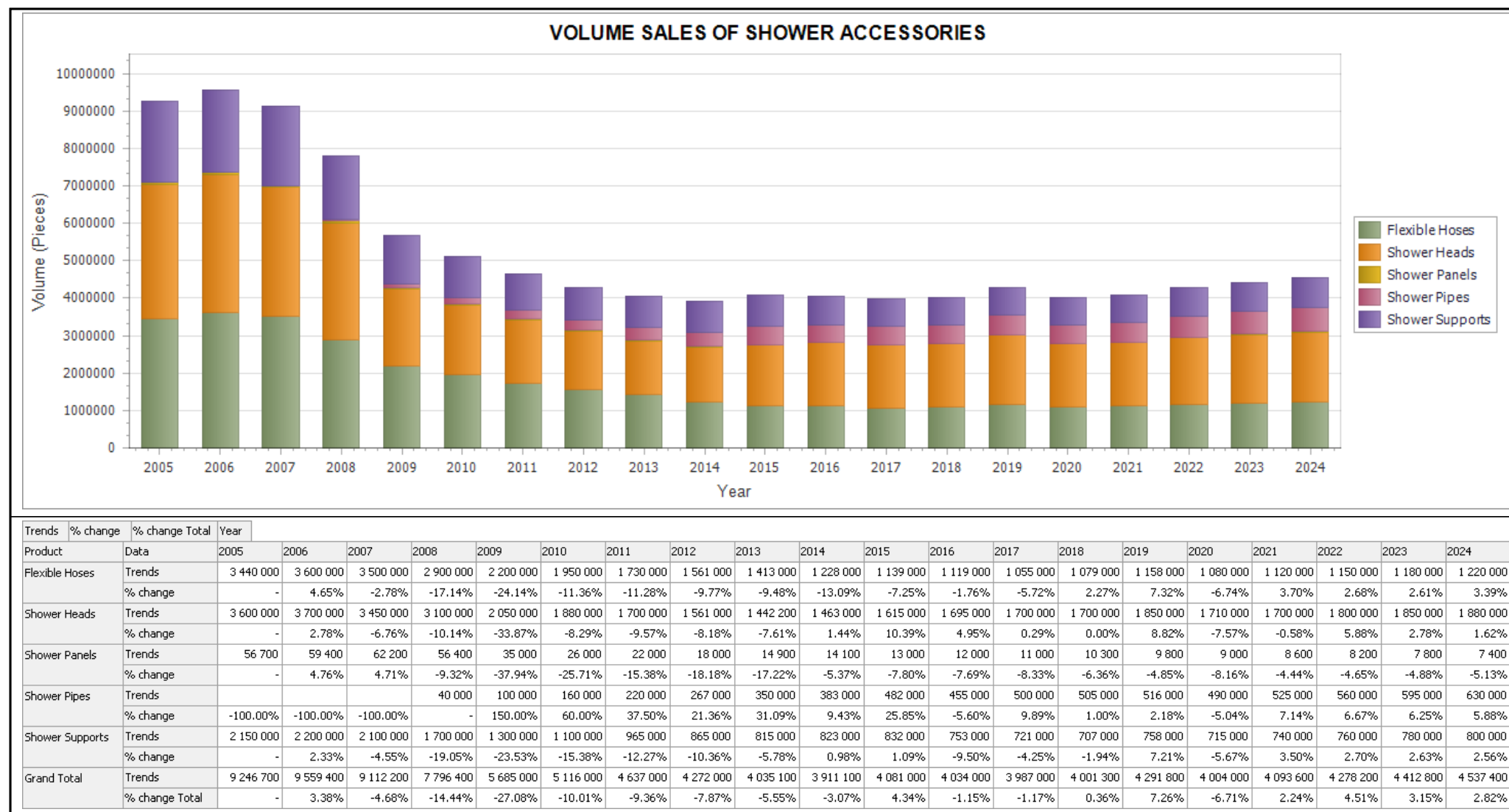
Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of shower accessories in Spain are expected to decline during 2020 mainly due to the COVID-19 pandemic outbreak, which badly affected Spain. All shower accessories end-use sectors are likely to be affected, although, not as much as other bathroom products, due to the easy acquisition through online shops and installation can be carried out by the consumer. RMI should remain the main driver. Unemployment will most likely increase during 2020 and private consumption could be affected. The on-going recovery of new housing residential construction will be postponed but investments in new housing should be reflected in 2021. The non-housing sector is expected to decline during 2020 and 2021 as many projects were put on hold but should recover from 2022 onwards.

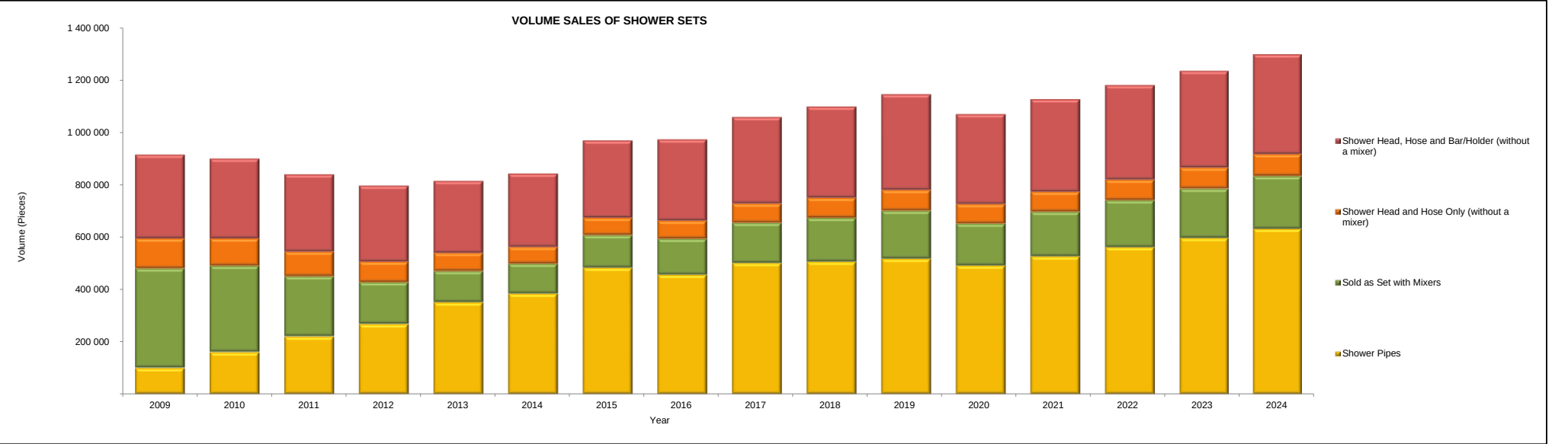
The popularity of showering is anticipated to continue in the next few years, which should also have a positive effect on the sales of shower accessories in Spain. However, given the effects of the pandemic outlined above it is believed that the market for shower accessories should experience a decline in the short-term but recover in the years after. As mentioned earlier, it is likely that the rise in purchasing power should influence the development of prices, as consumers could be able to afford higher quality and, therefore, higher priced products.

7.2.1 Historical Trends & Forecasts : Shower Accessories

ES - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

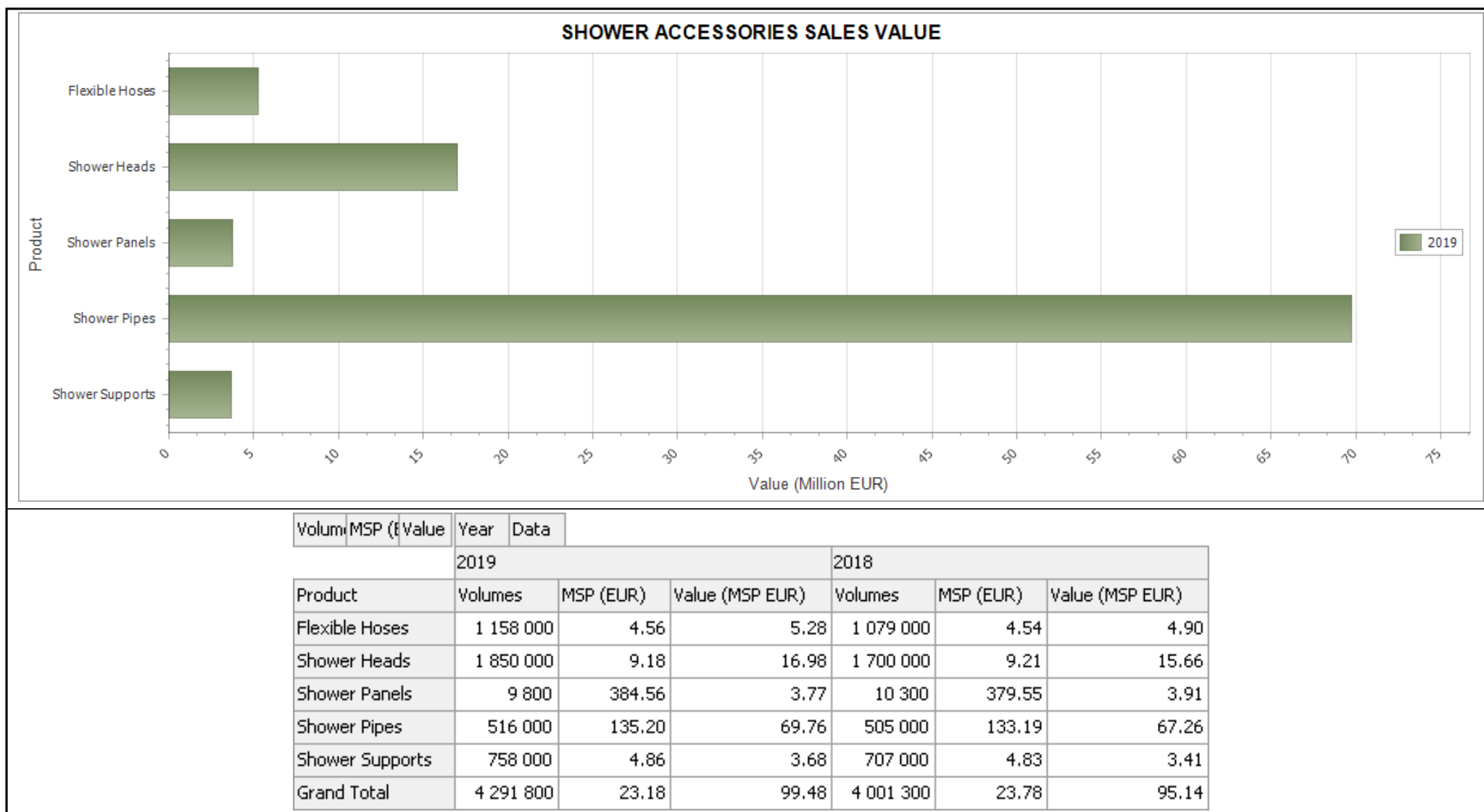


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	320 000	305 000	295 000	290 000	275 000	280 000	295 000	310 000	330 000	348 000	365 000	343 000	353 000	361 000	369 000	381 000
	% Change	-	-4.69%	-3.28%	-1.69%	-5.17%	1.82%	5.36%	5.08%	6.45%	5.45%	4.89%	-6.03%	2.92%	2.27%	2.22%	3.25%
	Shower Head and Hose Only (without a mixer)	115 000	105 000	95 000	80 000	70 000	65 000	67 000	70 000	74 000	77 000	80 000	75 000	77 000	79 000	81 000	84 000
	% Change	-	-8.70%	-9.52%	-15.79%	-12.50%	-7.14%	3.08%	4.48%	5.71%	4.05%	3.90%	-6.25%	2.67%	2.60%	2.53%	3.70%
	Sold as Set with Mixers	380 000	330 000	230 000	160 000	120 000	115 000	125 000	138 000	154 000	168 000	184 000	161 000	171 000	180 000	189 000	202 000
	% Change	-	-13.16%	-30.30%	-30.43%	-25.00%	-4.17%	8.70%	10.40%	11.59%	9.09%	9.52%	-12.50%	6.21%	5.26%	5.00%	6.88%
	Shower Pipes	100 000	160 000	220 000	267 000	350 000	383 000	482 000	455 000	500 000	505 000	516 000	490 000	525 000	560 000	595 000	630 000
	% Change	-	60.00%	37.50%	21.36%	31.09%	9.43%	25.85%	-5.60%	9.89%	1.00%	2.18%	-5.04%	7.14%	6.67%	6.25%	5.88%
Grand Total		915 000	900 000	840 000	797 000	815 000	843 000	969 000	973 000	1 058 000	1 098 000	1 145 000	1 069 000	1 126 000	1 180 000	1 234 000	1 297 000
% Change Total		-	-1.64%	-6.67%	-5.12%	2.26%	3.44%	14.95%	0.41%	8.74%	3.78%	4.28%	-6.64%	5.33%	4.80%	4.58%	5.11%

Source: BRG based on Industry Interviews

7.3.1 Prices and Market Values : Shower Accessories

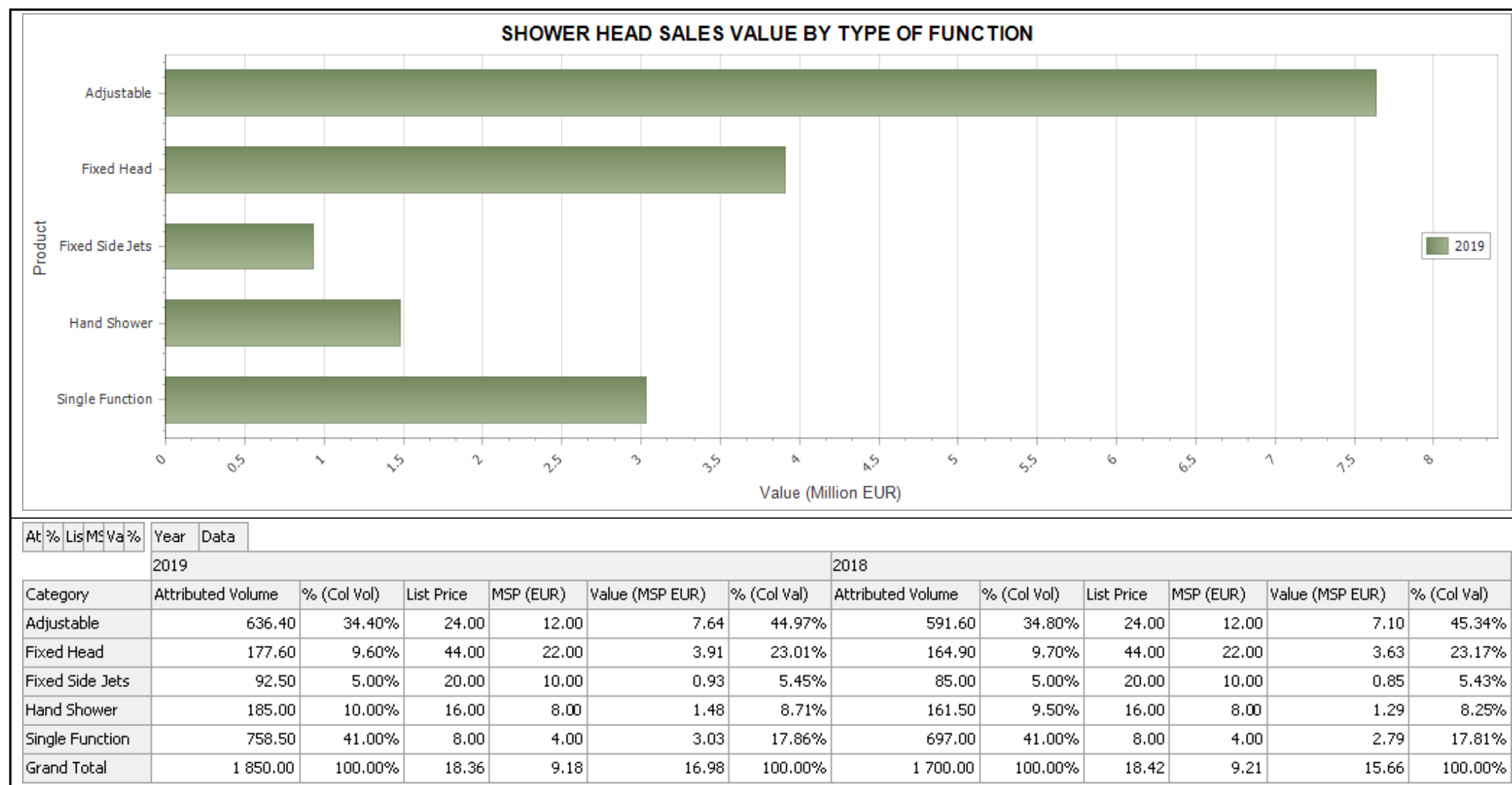
ES - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

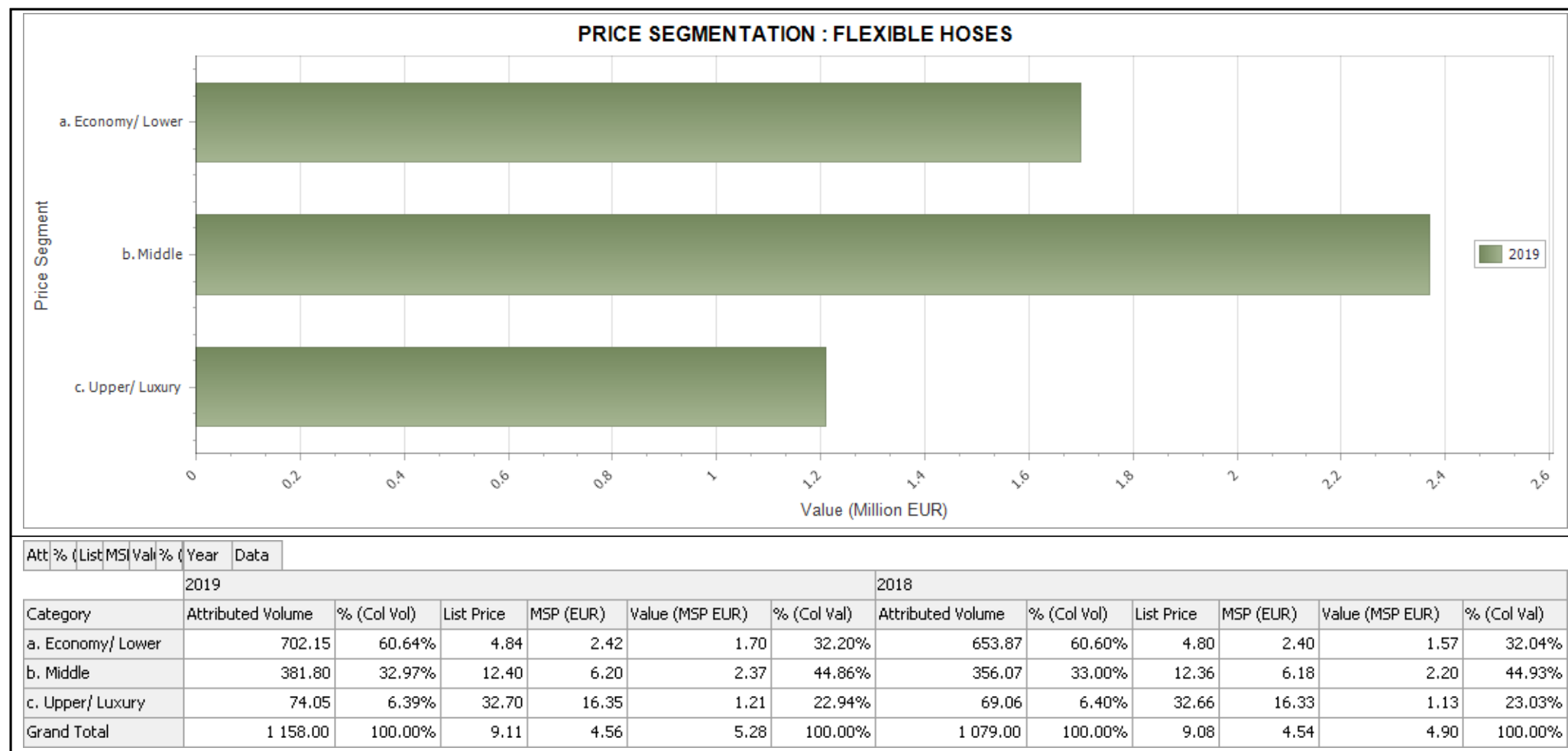
ES - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

ES - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

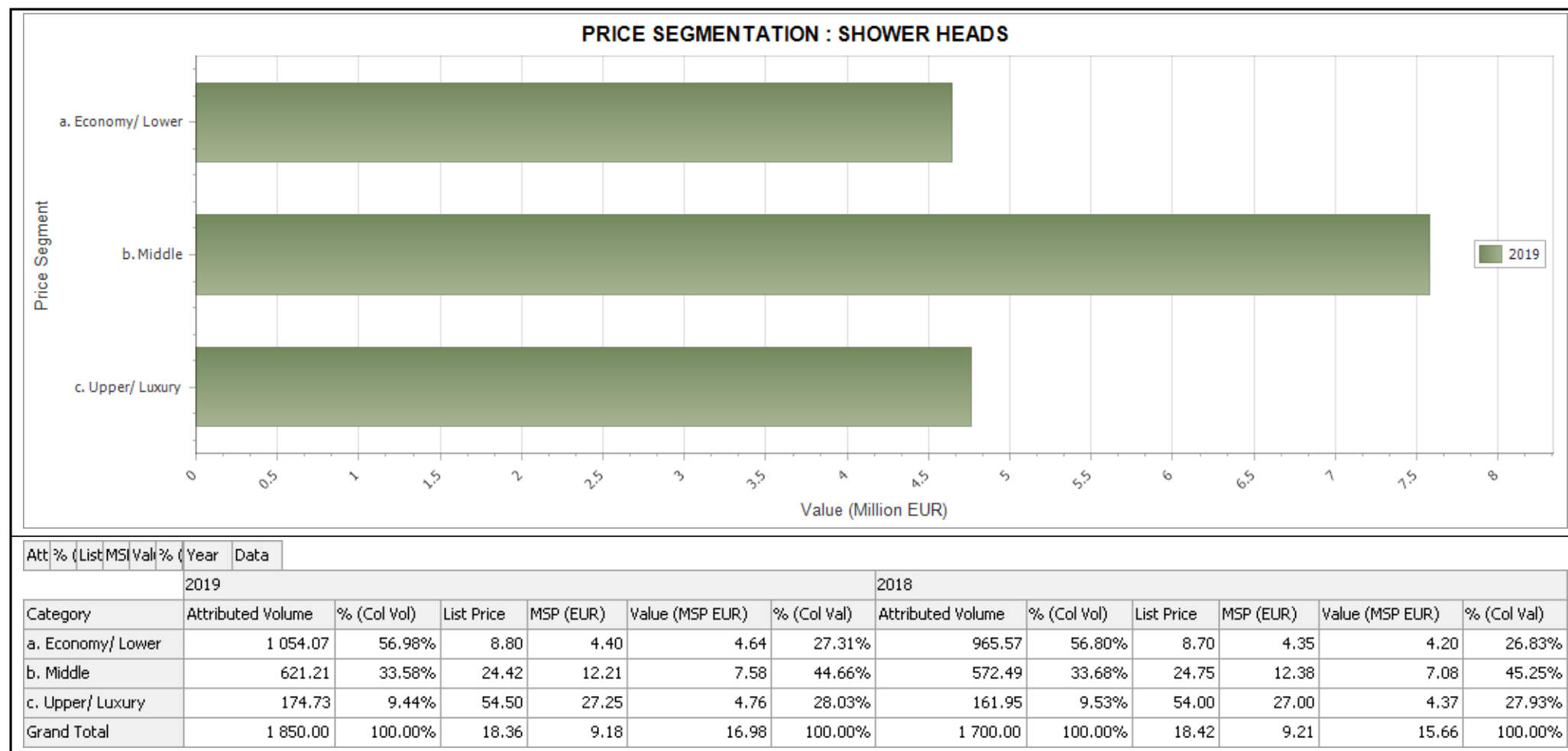


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€4, Middle €4-€8, Upper/ Luxury >€8

7.3.4 Price Segmentation : Shower Heads

ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

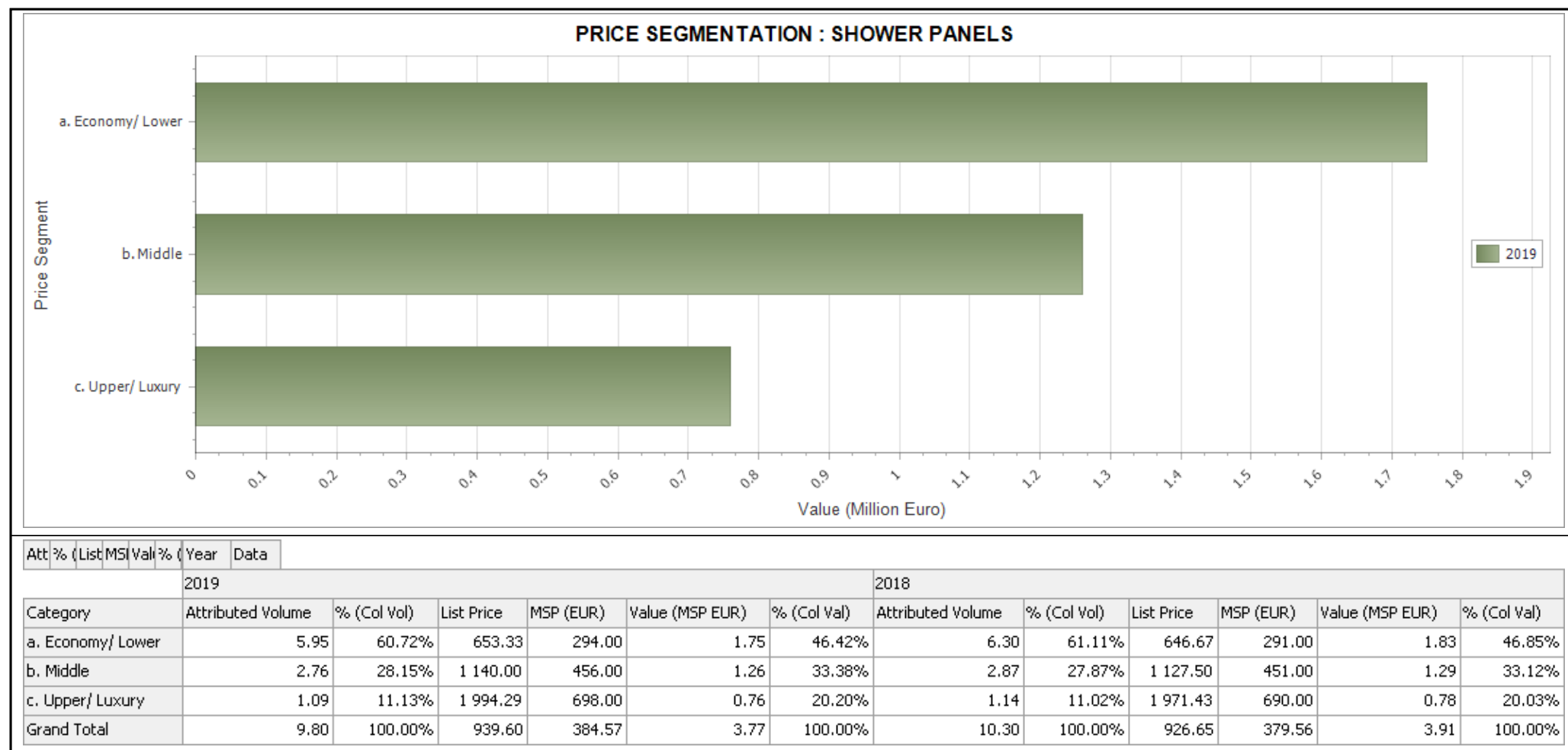


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

7.3.5 Price Segmentation : Shower Panels

ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

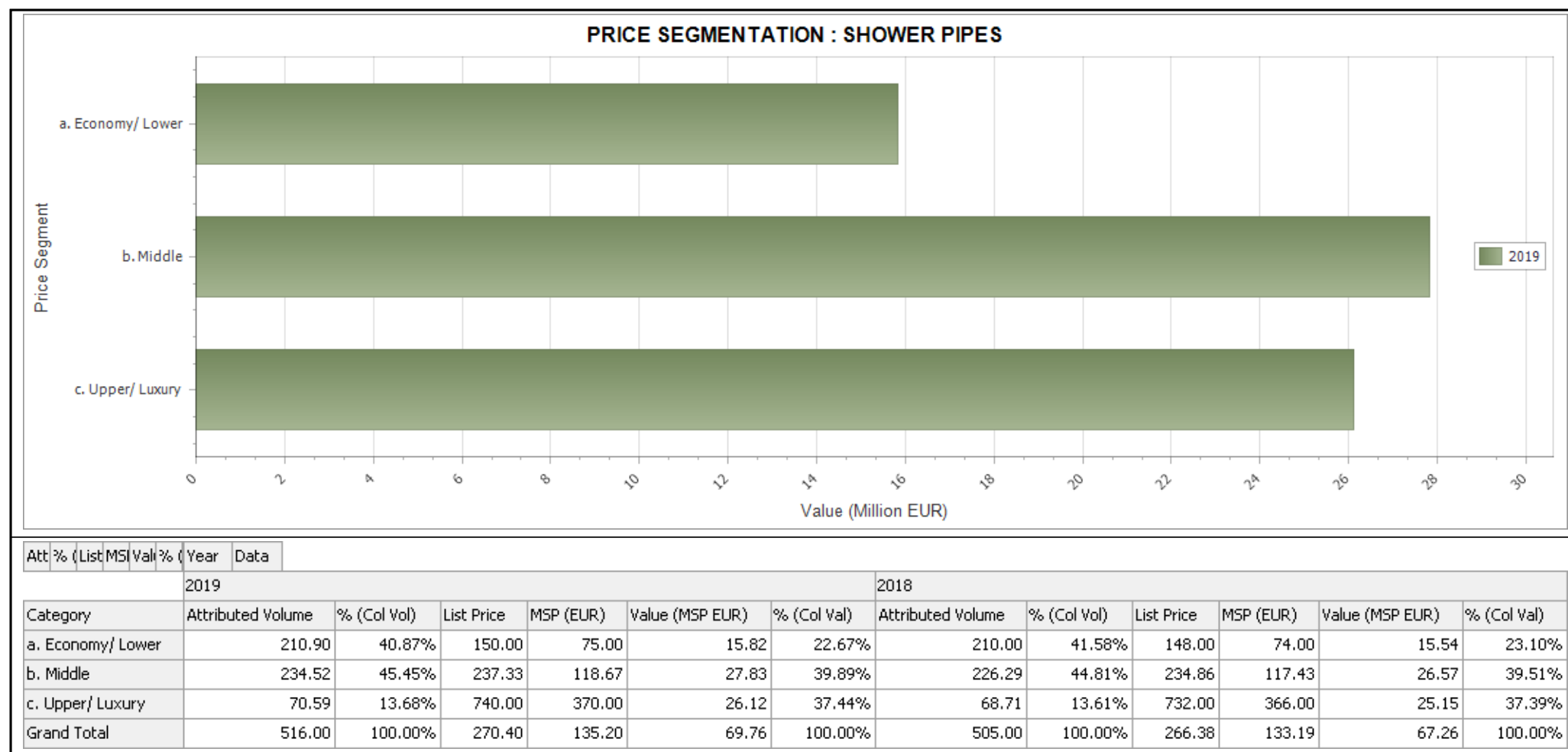


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€500, Upper/ Luxury >€500

7.3.6 Price Segmentation : Shower Pipes

ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

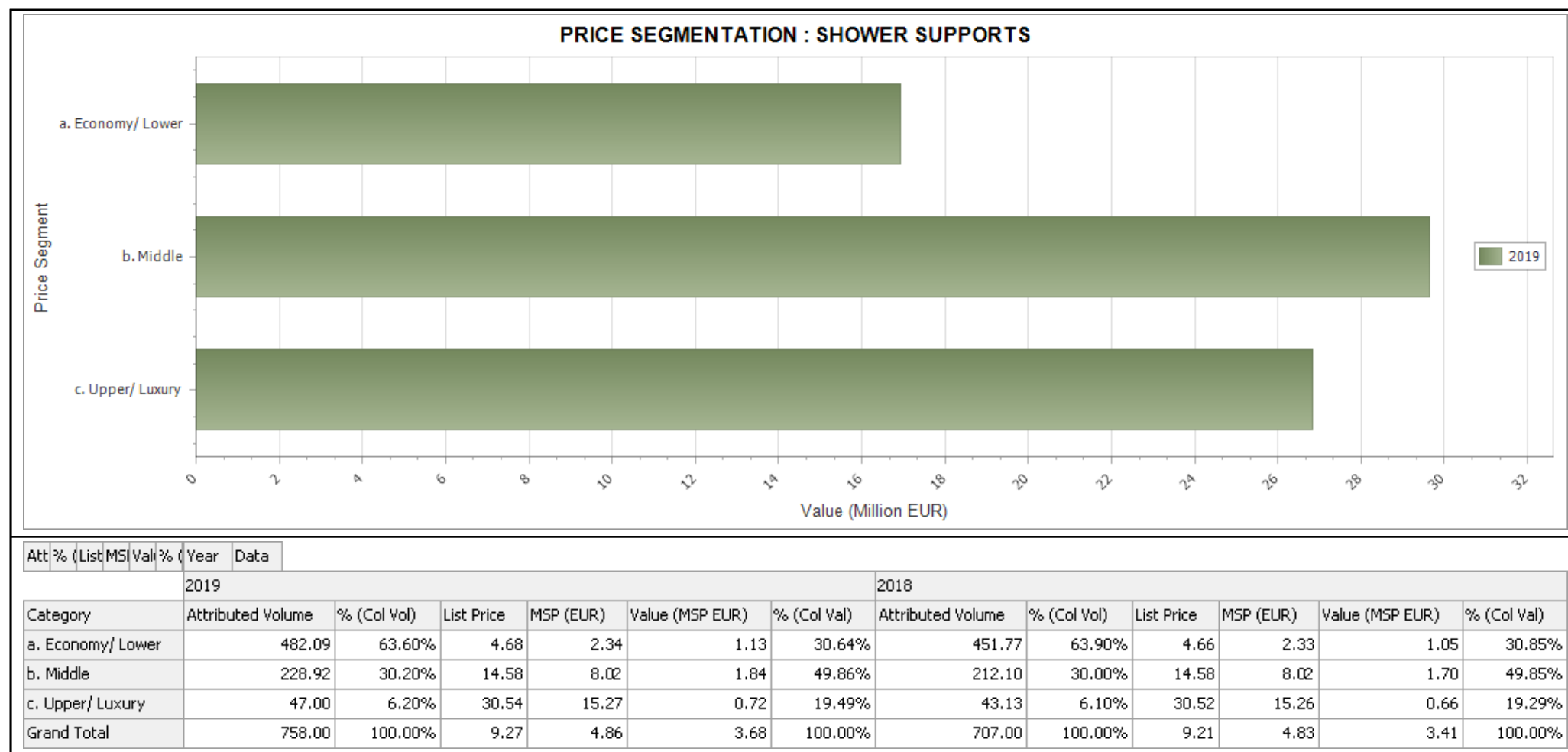


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

7.3.7 Price Segmentation : Shower Supports

ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

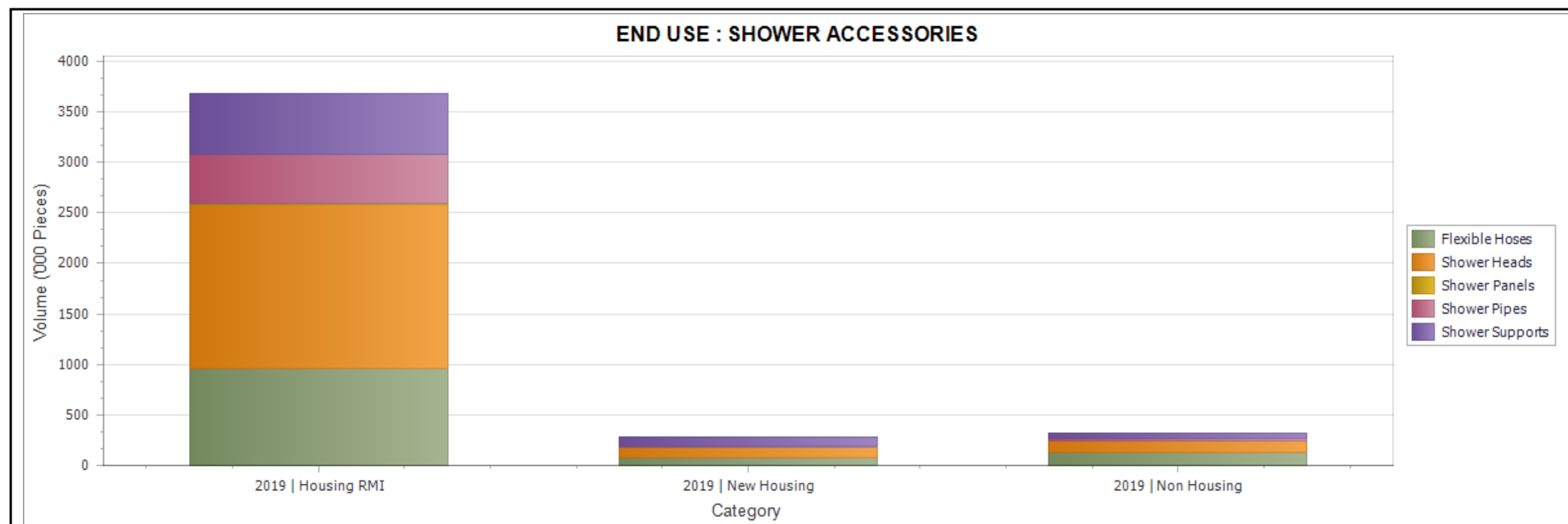


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

7.4.1 End Use : Base Year

ES - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

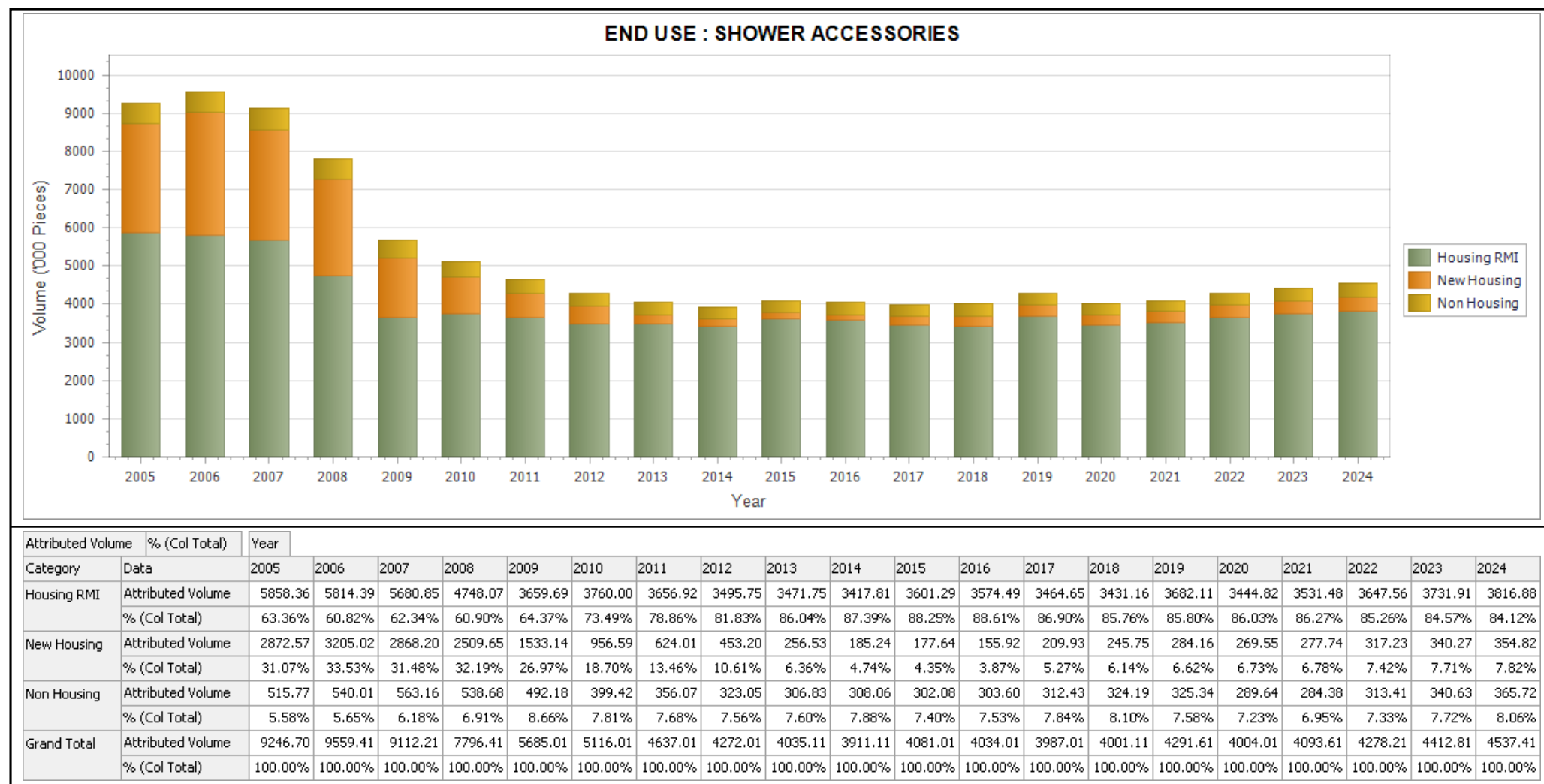


Attribu	% (Co	% (Ro	Year	Category	Data								
2019										2019 Total			
Housing RMI				New Housing			Non Housing						
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	
Flexible Hoses	958.52	26.03%	82.77%	74.20	26.11%	6.41%	125.29	38.51%	10.82%	1158.00	26.98%	100.00%	
Shower Heads	1625.56	44.15%	87.87%	108.50	38.18%	5.86%	115.95	35.64%	6.27%	1850.00	43.11%	100.00%	
Shower Panels	8.67	0.24%	88.43%	1.13	0.40%	11.57%	0.00	0.00%	0.00%	9.80	0.23%	100.00%	
Shower Pipes	480.84	13.06%	93.18%	12.94	4.55%	2.51%	22.23	6.83%	4.31%	516.00	12.02%	100.00%	
Shower Supports	608.72	16.53%	80.31%	87.39	30.75%	11.53%	61.89	19.02%	8.16%	758.00	17.66%	100.00%	
Grand Total	3682.30	100.00%	85.80%	284.16	100.00%	6.62%	325.35	100.00%	7.58%	4291.81	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

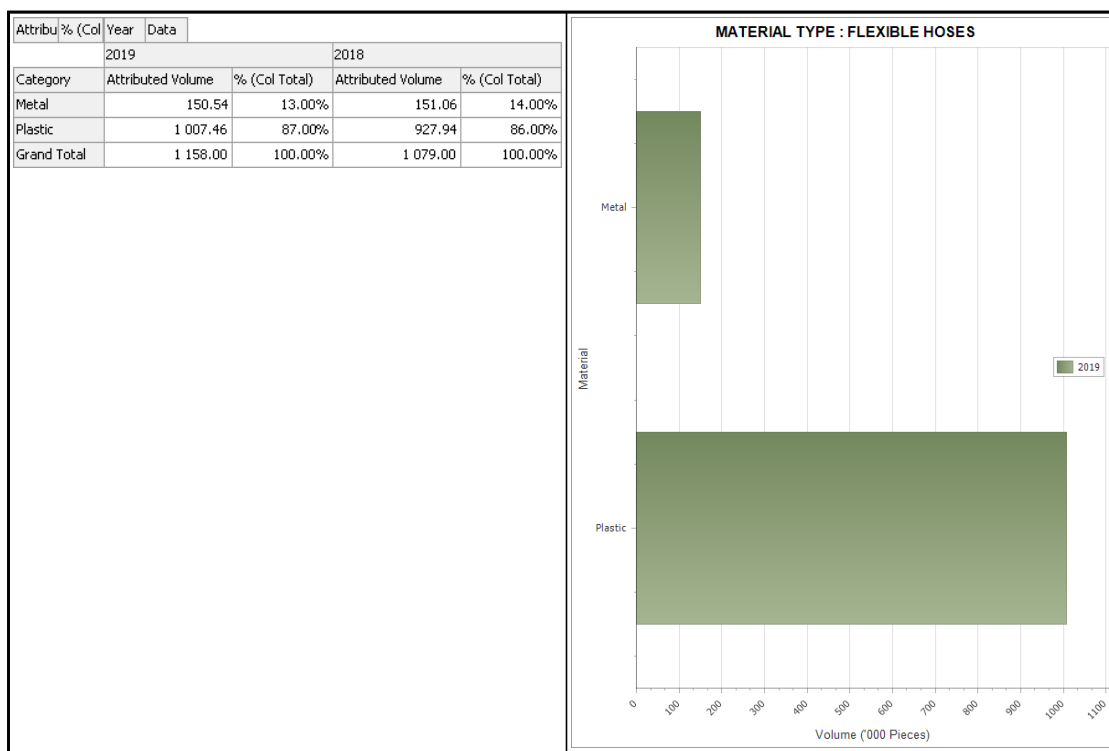
ES - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

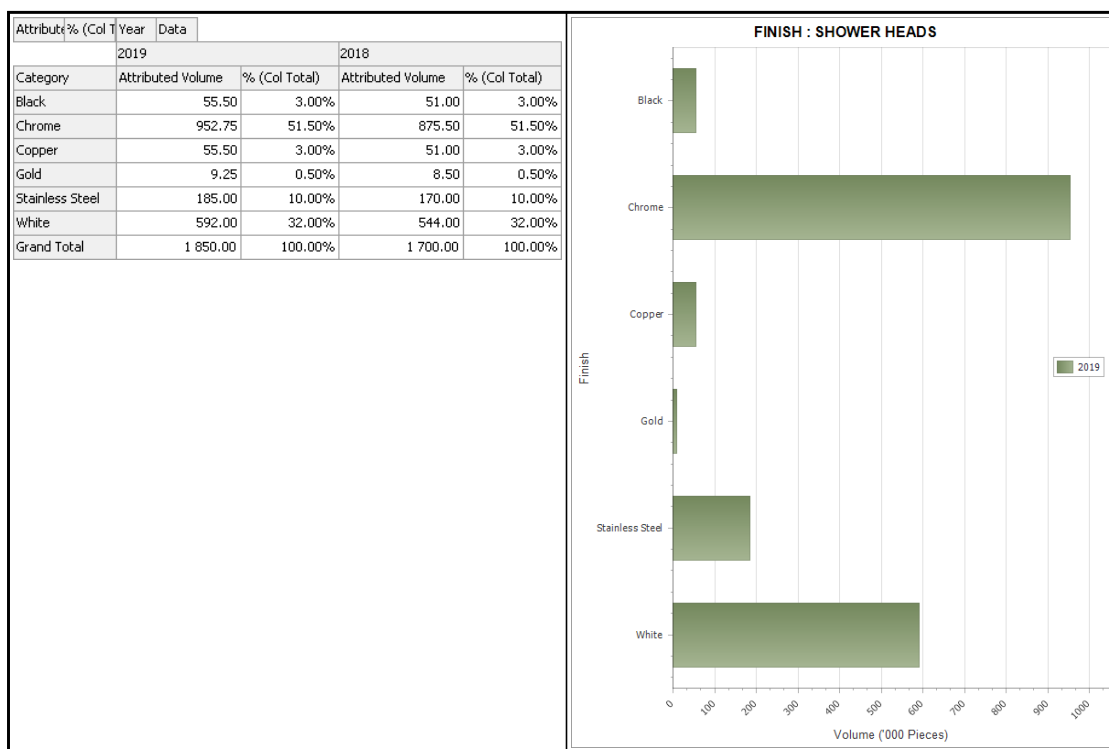
7.4.3 Sales By Type of Material : Flexible Hoses

ES - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



7.4.4 Sales by Type of Finish : Shower Heads

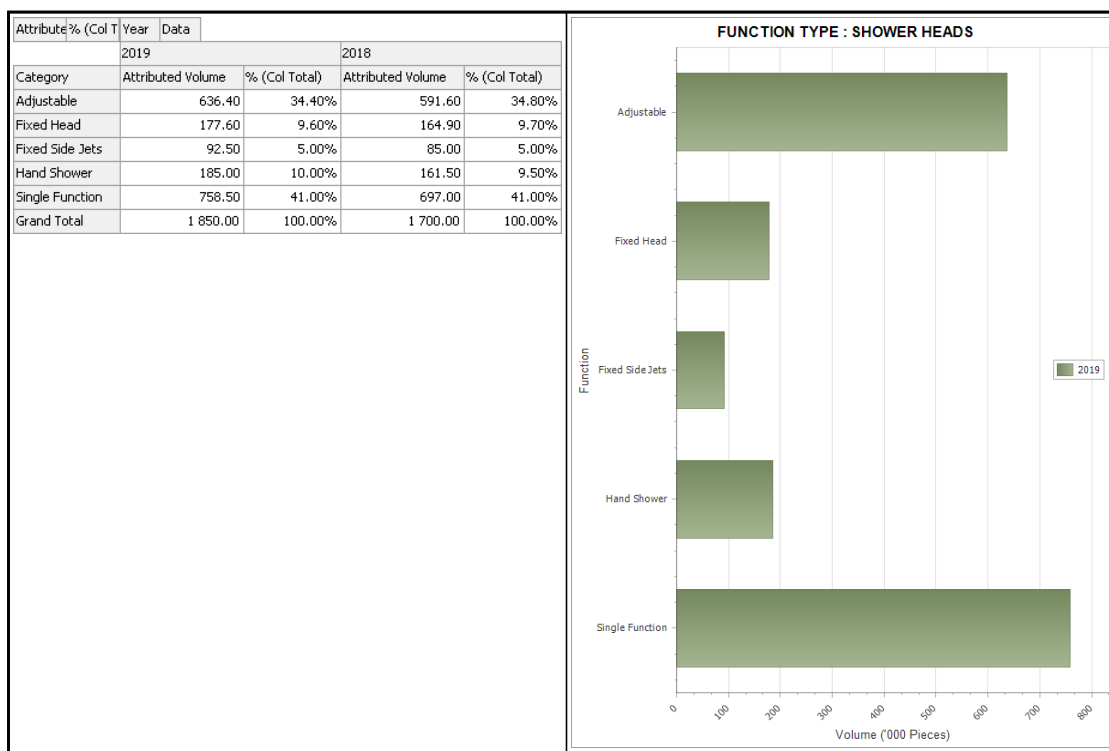
ES - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

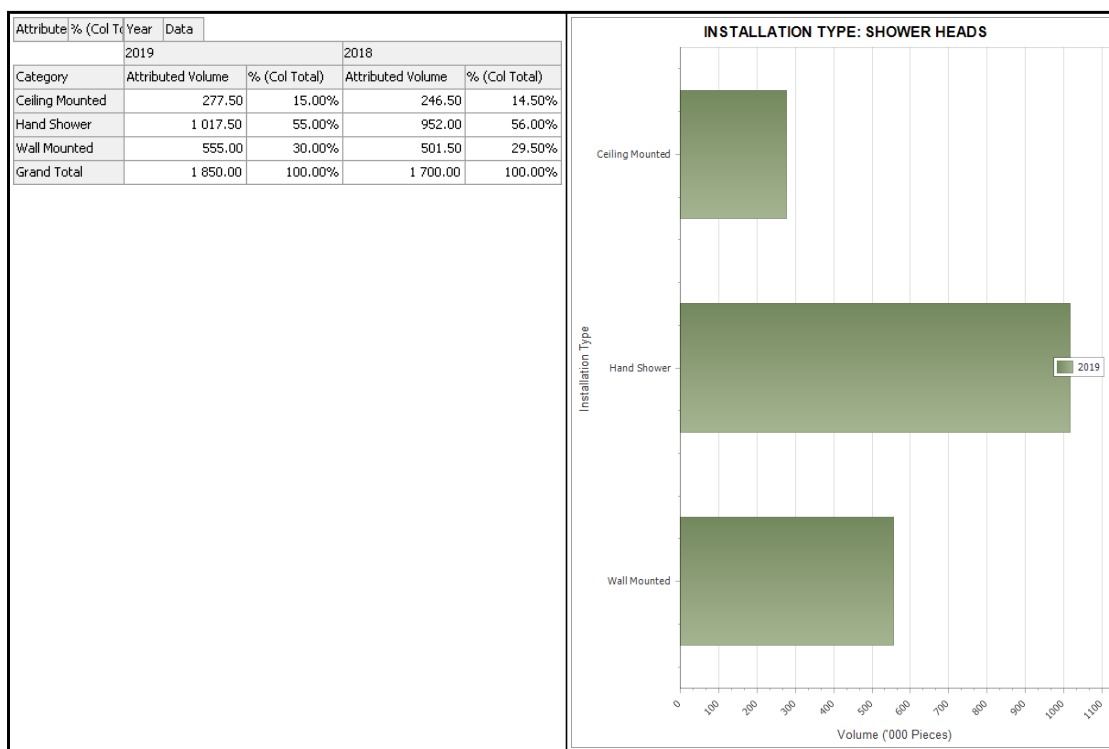
7.4.5 Sales By Type of Function : Shower Heads

ES - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



7.4.6 Sales by Type of Installation : Shower Heads

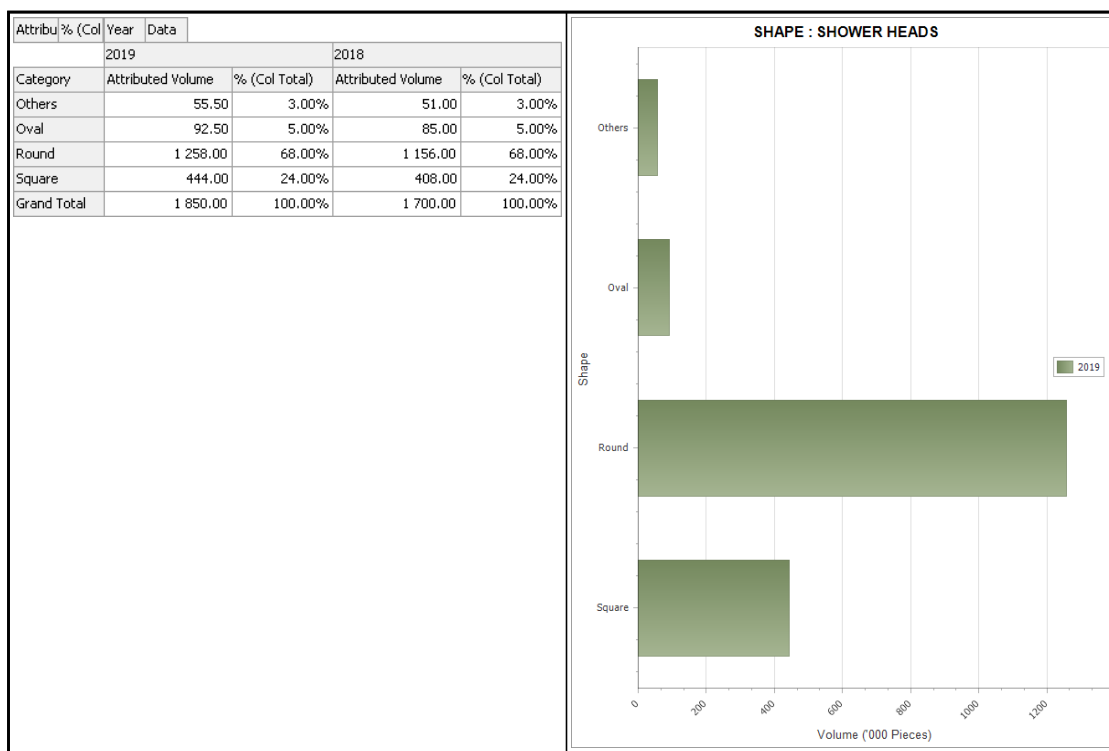
ES - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

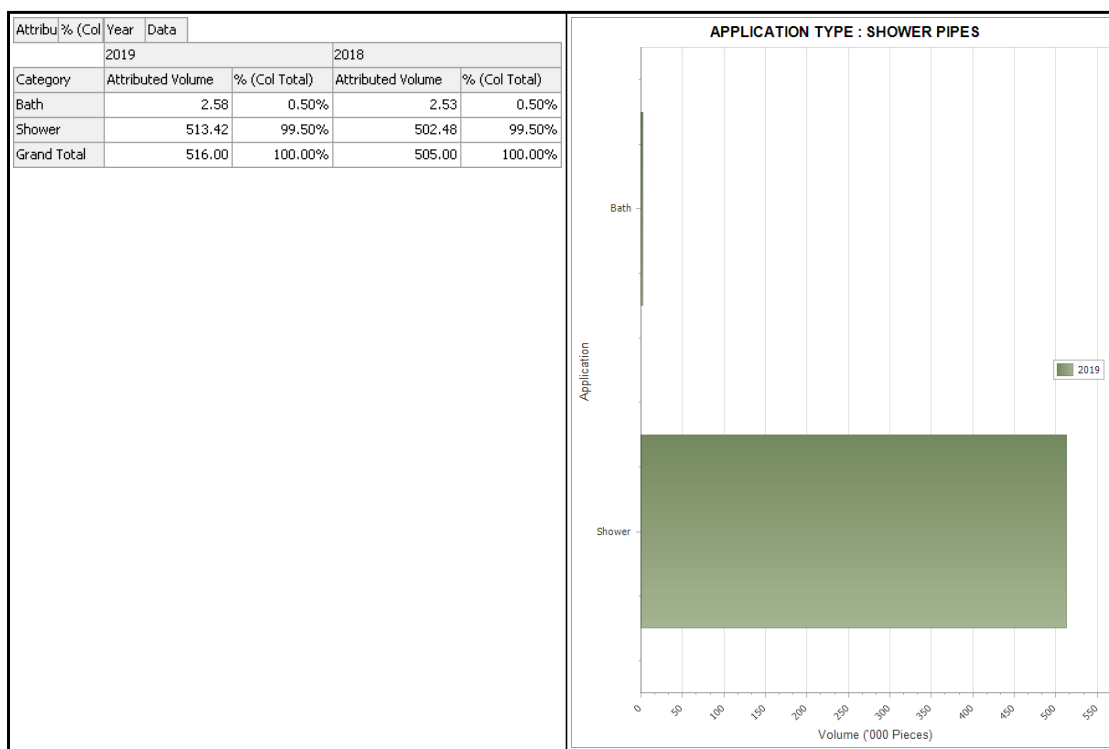
7.4.7 Sales By Type of Shape : Shower Heads

ES - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



7.4.8 Sales by Type of Application : Shower Pipes

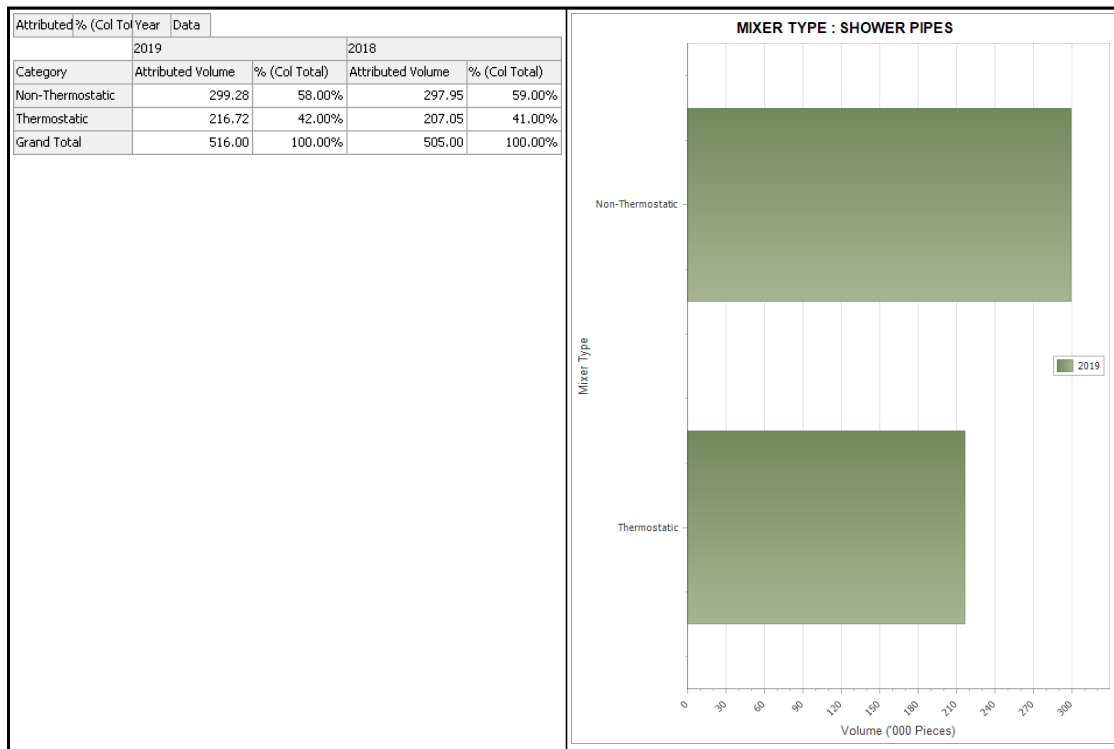
ES - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

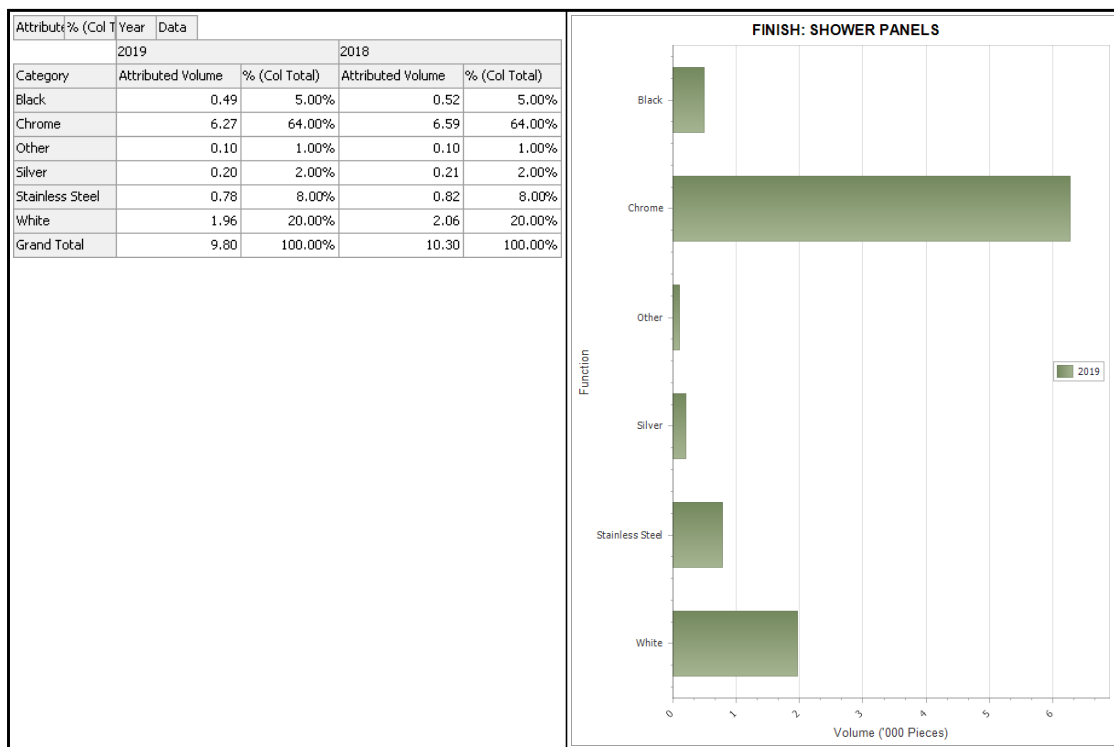
7.4.9 Sales by Type of Mixer : Shower Pipes

ES - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



7.4.10 Sales by Type of Finish: Shower Panels

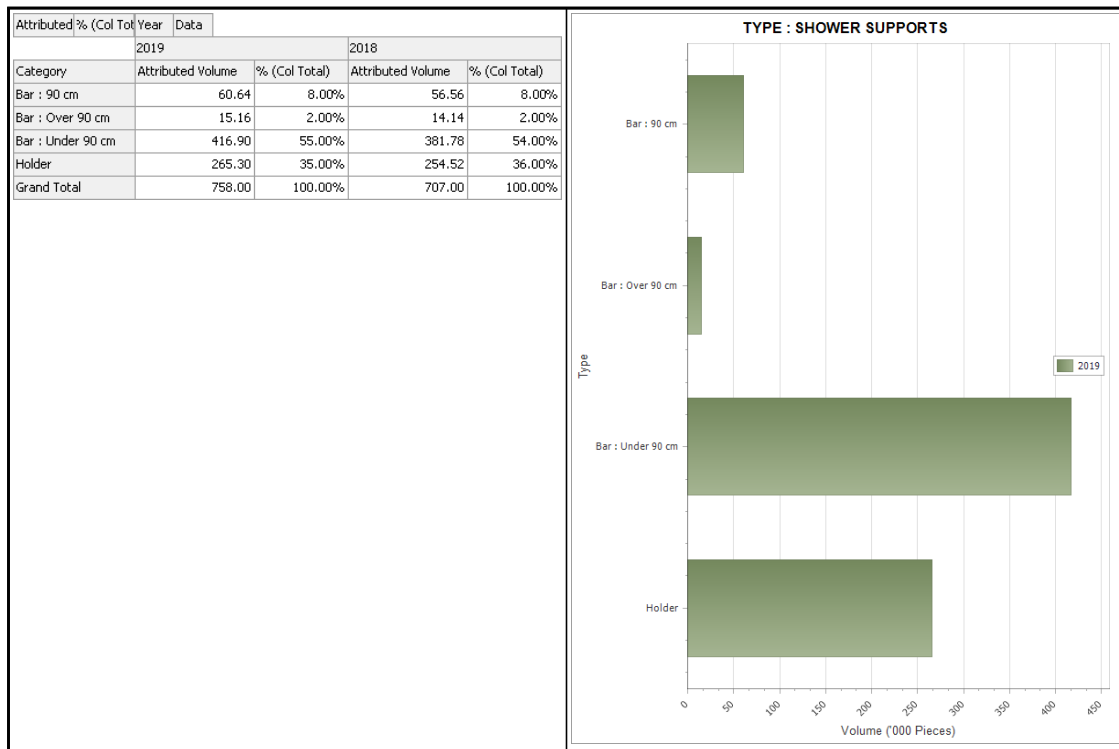
ES - SHOWER PANEL SALES BY FINISH ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

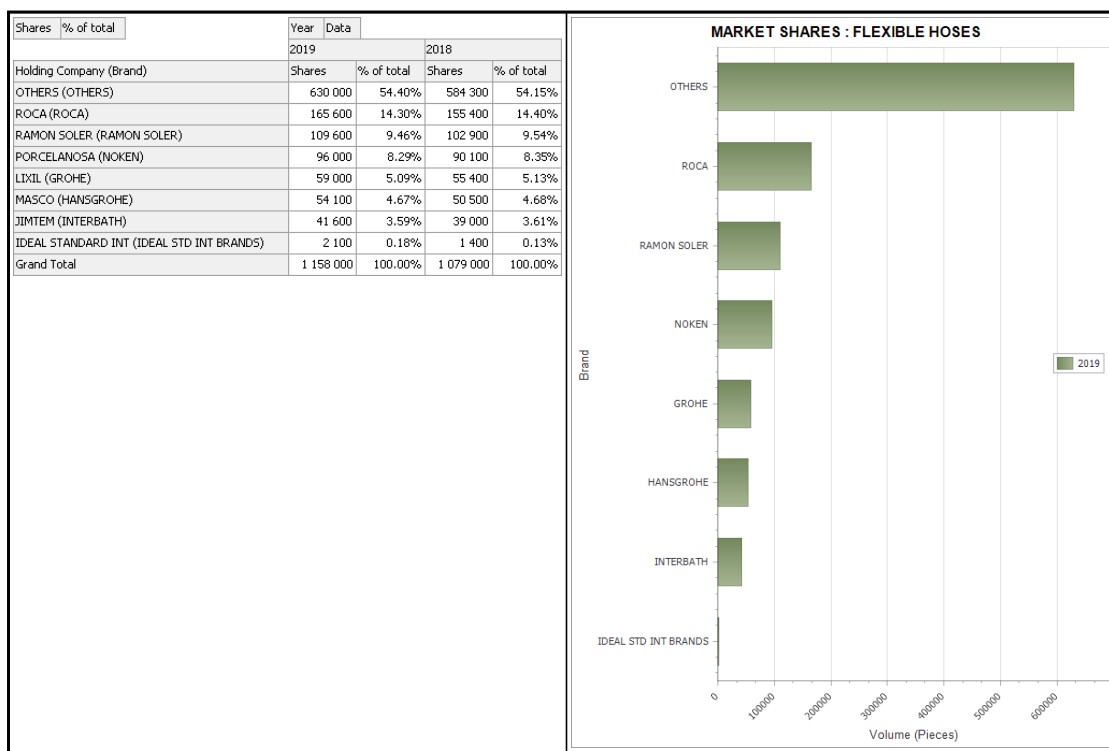
ES - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

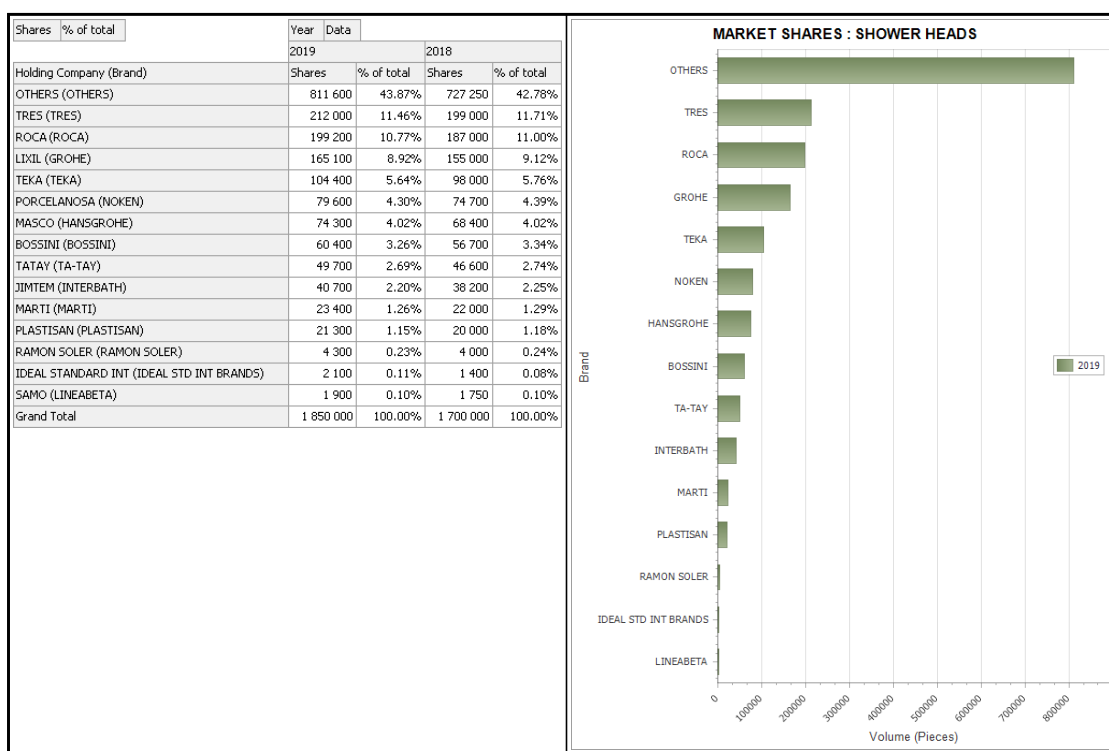
ES - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

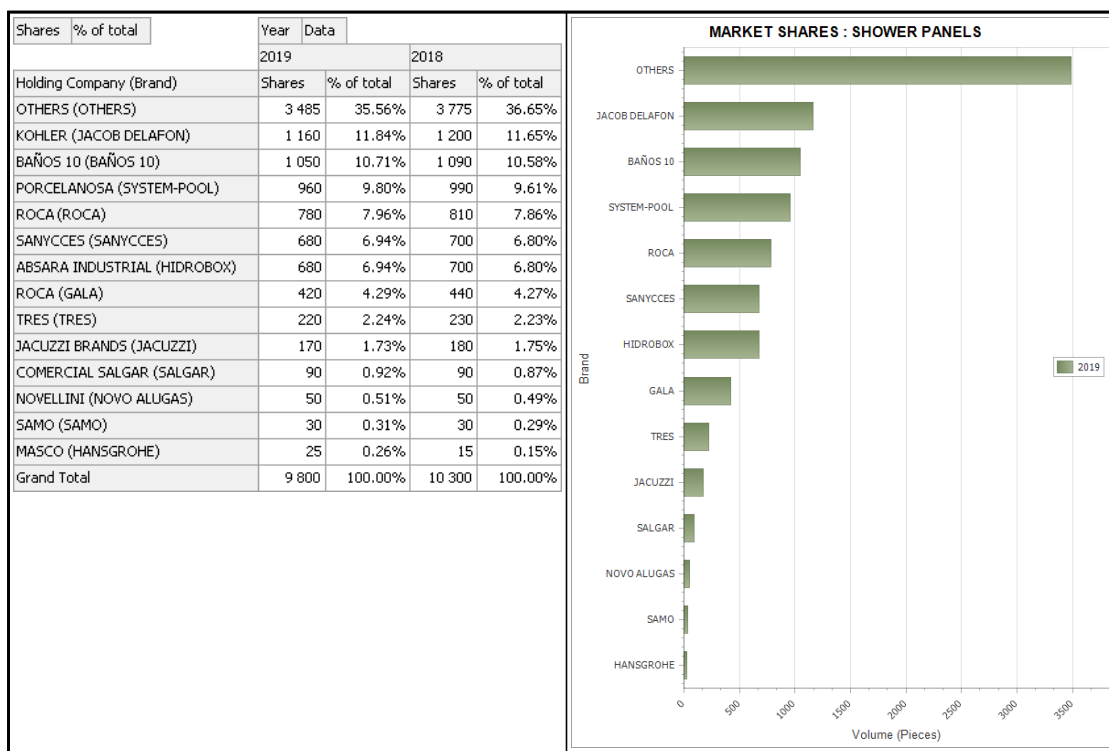
ES - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

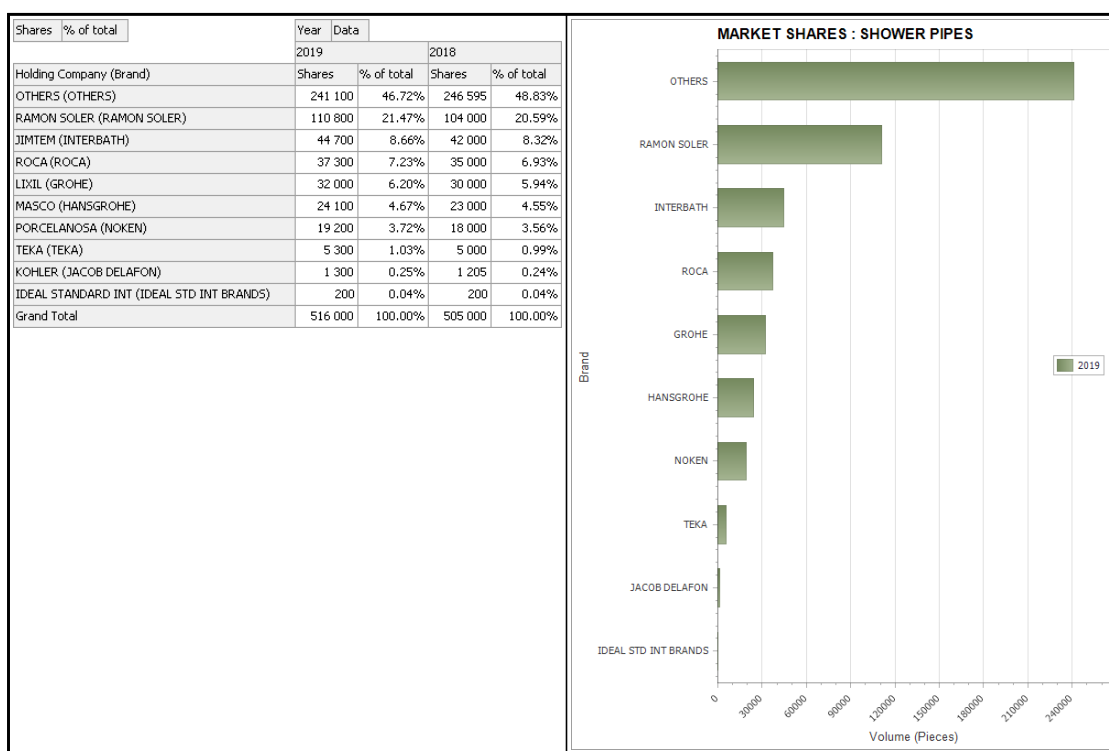
ES - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

ES - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1 Route to Market: Shower Accessories
ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.5%
	Wholesalers / Merchants
	75.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.6%	7.6%	13.4%	18.9%	6.8%	9.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.2%		32.3%		15.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	21.0%	1.0%	2.5%	3.3%
Installers				
29.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	17.0%	8.2%	26.8%	11.0%	29.5%	0.0%	2.0%	1.0%	3.0%	1.5%	0.1%
	Residential						Non-Residential					
	92.4%						7.6%					
New Build			Residential RMI			New Build			Non-Residential RMI			
6.6%			85.8%			3.0%			4.6%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
5.0%	1.7%		4.3%	81.5%		2.6%	0.5%		3.4%	1.1%		

7.6.2 Route to Market: Shower Accessories
ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.0%
	Wholesalers / Merchants
	77.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.0%	7.7%	12.8%	19.3%	6.2%	9.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.7%		32.0%		15.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	15.0%	1.0%	3.0%	11.2%
Installers				
31.2%				

End Use Level	Manufacturer 0.0%	Wholesaler 23.4%	Internet 8.7%	DIY 26.0%	Specialist 2.7%	Installer 31.1%	Manufacturer 0.0%	Wholesaler 2.4%	Internet 1.0%	DIY 3.0%	Specialist 1.5%	Installer 0.2%
	Residential 91.9%						Non-Residential 8.1%					
	New Build 7.8%						Non-Residential RMI 5.1%					
	Project 5.9%		Non-Project 2.0%		Project 4.2%		Non-Project 79.9%		Project 2.6%		Non-Project 0.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

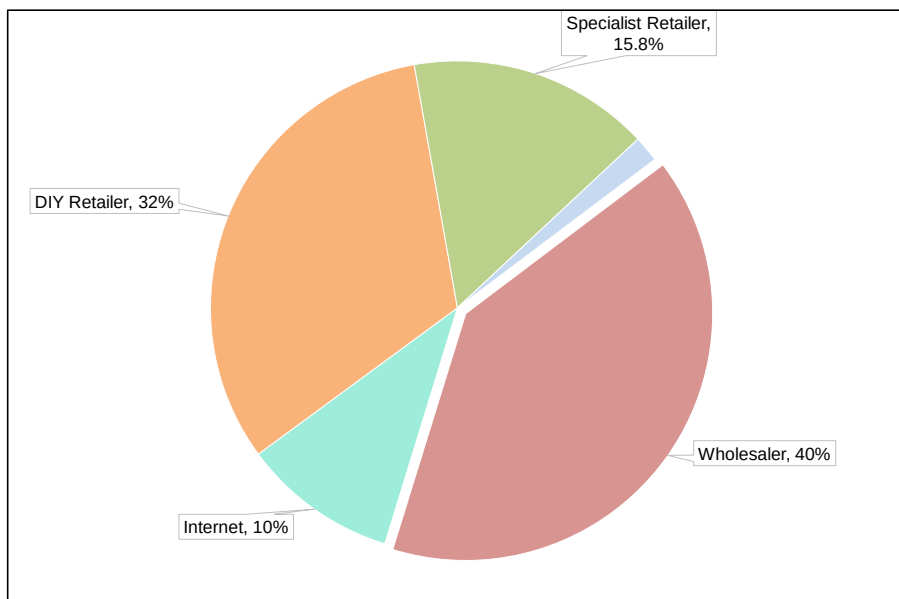
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
40.0%	10.2%	32.3%	15.8%	1.7%	9.3%	6.0%	83.2%	1.6%
100%					15.2%		84.8%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

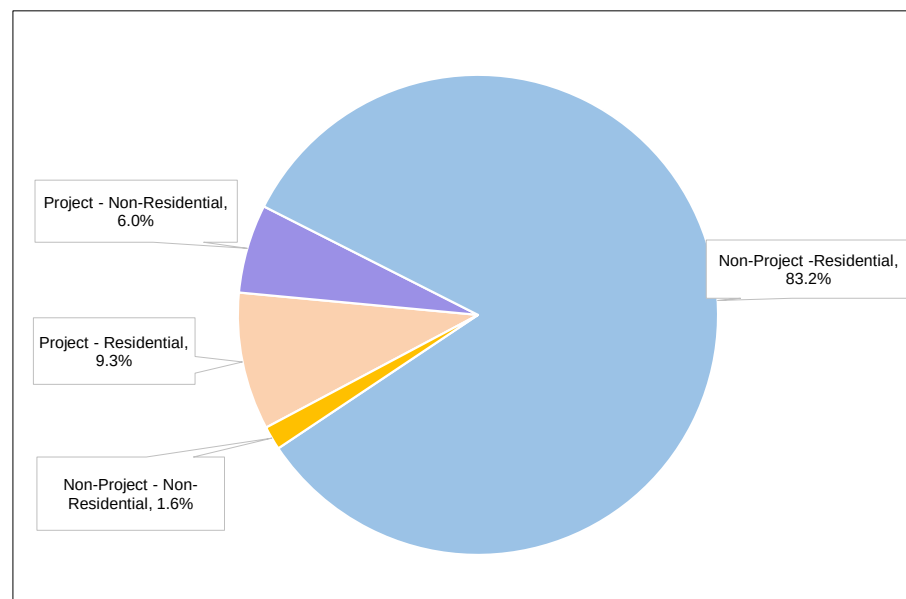
ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
40.8%	10.7%	32.0%	15.4%	1.0%	10.1%	6.3%	81.9%	1.7%
100%					16.4%		83.6%	

ES - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



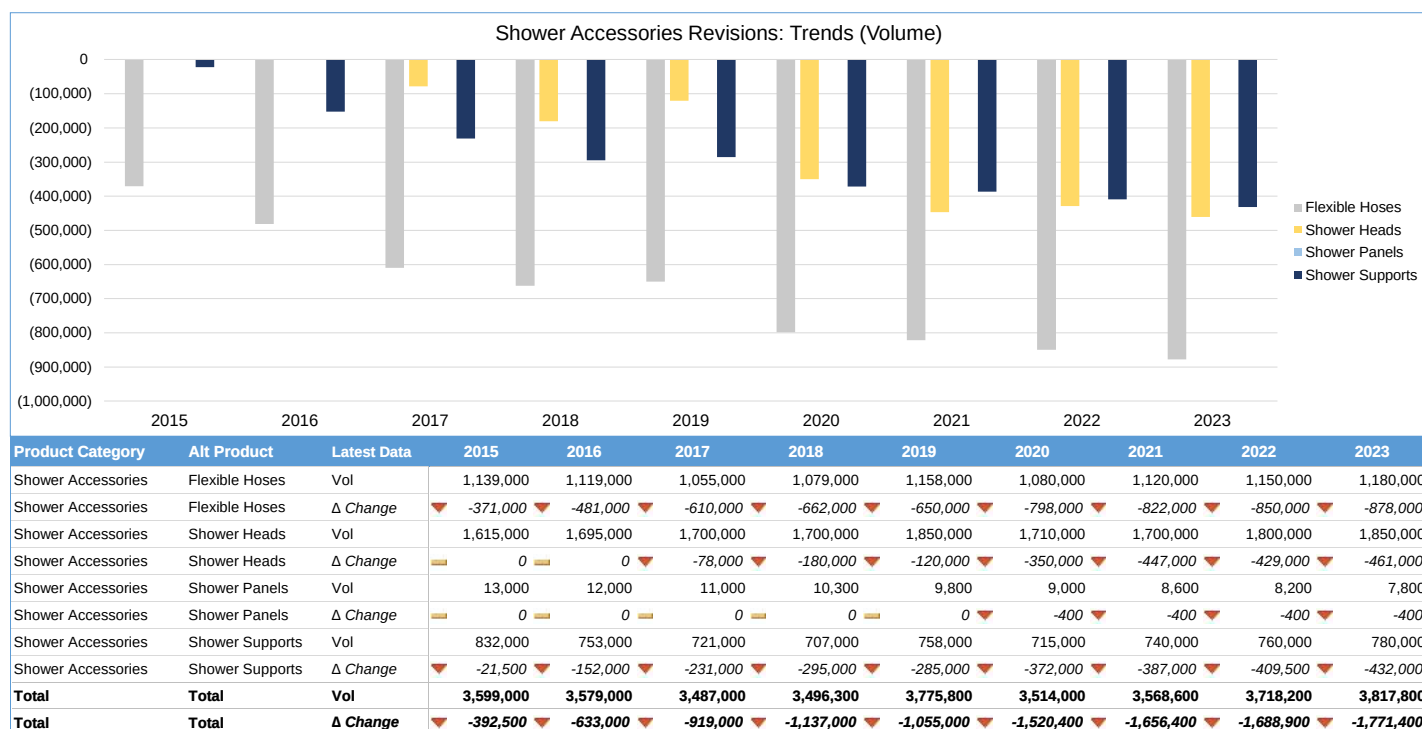
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Spanish Shower Accessories Market (April 2020)

ES - REVISIONS IN THE SPANISH SHOWER ACCESSORIES MARKET

Data Comparison: April 2019



The historical market volume for flexible hoses was revised downward due to re-categorised manufacturer sales data.

SPAIN

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Historically, sales of kitchen sinks have been characterised by the domination of stainless steel models, while synthetic types have experienced decreasing popularity within the product mix. On the product side, the long domination of the stainless steel kitchen sinks market came from a combination of factors, including low prices, technical features – in particular resistance – as well as the preference of Spanish consumers for chromed products in their kitchen (including dishwashers, fridges, etc.) as opposed to more traditional white products.

The kitchen sinks market experienced dynamic growth over the period 2002–2006 as a result of Spain's booming construction industry, the main driver for sales of kitchen sinks. In 2007, sales of kitchen sinks were seen to decline for the first time in over a decade due to the triggering of the construction crisis, which has since then extended to greater levels. Sales bounced back in 2014 and have experienced growth since then with the recovery of the RMI market.

Following a phase of popularity up to the mid-1990s, sales of synthetic kitchen sinks suffered from their perceived lack of resistance, being often critiqued for breaking and staining easily. Sales of ceramic and cast iron kitchen sinks have progressively turned into niche markets, and BRG has never recorded sales of enamelled steel kitchen sinks in the Spanish market.

The Spanish market for kitchen sinks has traditionally been characterised by the large volume of inset sinks, given their ease of installation and relative price attractiveness compared to countertops and kitchenette worktops. This trend has been reversing with the majority of the stainless steel kitchen sinks being presently undermount units, although this is not true for the other kitchen sink types where inset sinks still account for the large majority of the installations.

Recent Market Trends

In 2019, sales of kitchen sinks continued to increase at a strong pace in line with the strong rise in new residential construction. The increase in new housing demand was the main driver for the market growth combined with demand from the RMI sector, which accounts for the largest market for kitchen sinks. Sales of all type of sinks grew strongly apart from sales of ceramic sinks, which declined for the second year in a row. Synthetic sinks remained on a strong growth path as consumer preference for this type of sink continues to grow.

Prices and Market Values

The kitchen sink market in 2019 experienced an increase in the average MSP (manufacturers' selling price). The increase was noted in the synthetic kitchen sinks mainly due to the volume sold into the middle and upper/luxury segment. Stainless steel kitchen sinks accounted for the largest share of the kitchen sink

market value and experienced a slight increase in its average MSP in 2019.

New Housing

The kitchen sink market has a relatively high reliance on the new housing segment, as almost every household requires at least one kitchen sink. Stainless steel sinks are the most popular product in new housing given their low price and light weight, although synthetic sinks are by far the most reliant on the new housing market, as they are often chosen as a more modern alternative to stainless steel. A large number of kitchen sink sales went to the new housing sector in 2019. Synthetic sinks have been increasing their penetration in the new housing sector given their options in terms of design and colours but their share is still quite small when compared with stainless steel sinks.

Housing RMI

The replacement market is easily the most significant for kitchen sinks, as a breakage requires quick replacement and there are few substitutions that can be made outside the product family. Sales of kitchen sinks sold into the housing RMI sector increased in 2019 with most of the volume sold in this sector being made up of stainless steel materials. The fact is that most of the replacements are still like-for-like and the largest share of the park is equipped with a stainless steel sink. Nonetheless, displacements of stainless steel sinks in favour of synthetic are gaining traction and synthetic has been gaining share in the RMI market over the last decade. Most of the sales of ceramic kitchen sinks are in this segment since, traditionally, they are robust and resistant products. With reduced budgets and purchasing power, the focus of Spanish consumers continued to be on the most traditional product types since buyers opt for products offering a longer lifespan.

Non-Housing

Kitchen sinks tend to have a smaller penetration in the non-housing market as not every commercial building requires a kitchen, unlike with bathrooms. The main non-housing markets for kitchen sinks are businesses such as restaurants, bars, hospitals, schools, clinics, offices, campsites and hotels. In these segments, stainless steel is the dominant product sold.

Most sales of kitchen sinks going to the non-housing sector were stainless steel, increasing the number of its sales in this end-use segment. The refurbishment of existing kitchens and the installation of new kitchens are mostly made up of design led products in order to increase the potential value of buildings.

Supply Structure

The stainless steel kitchen sink market is fairly concentrated, with most sales being made by TEKA and FRANKE. TEKA largely dominates this market, with sales under the TEKA brand and has the widest product range available in Spain in mostly the middle, upper and luxury price segments. FRANKE, like TEKA, also

benefits from offering other kitchen products (taps and mixers) as well. Finally, PYRAMIS, the Greek manufacturer, has gained market share mainly because most of its products operate in the economy price segment. In addition, 'Others' represent an important share in the market mainly due to the cheap price that consumers can buy from DIYs across the country, mainly products imported from China.

The synthetic kitchen sink market is more fragmented, with a large number of manufacturers producing a small number of pieces. The main manufacturers are POALGI, TEKA and PDP SINK (PRENSADO DEL POLIESTER), who are especially strong in the contract market (nearly half of their sales). In 2019, a new player has been introduced into the synthetic market share, SCHOCK, a German manufacturer and they are now the third largest in this market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

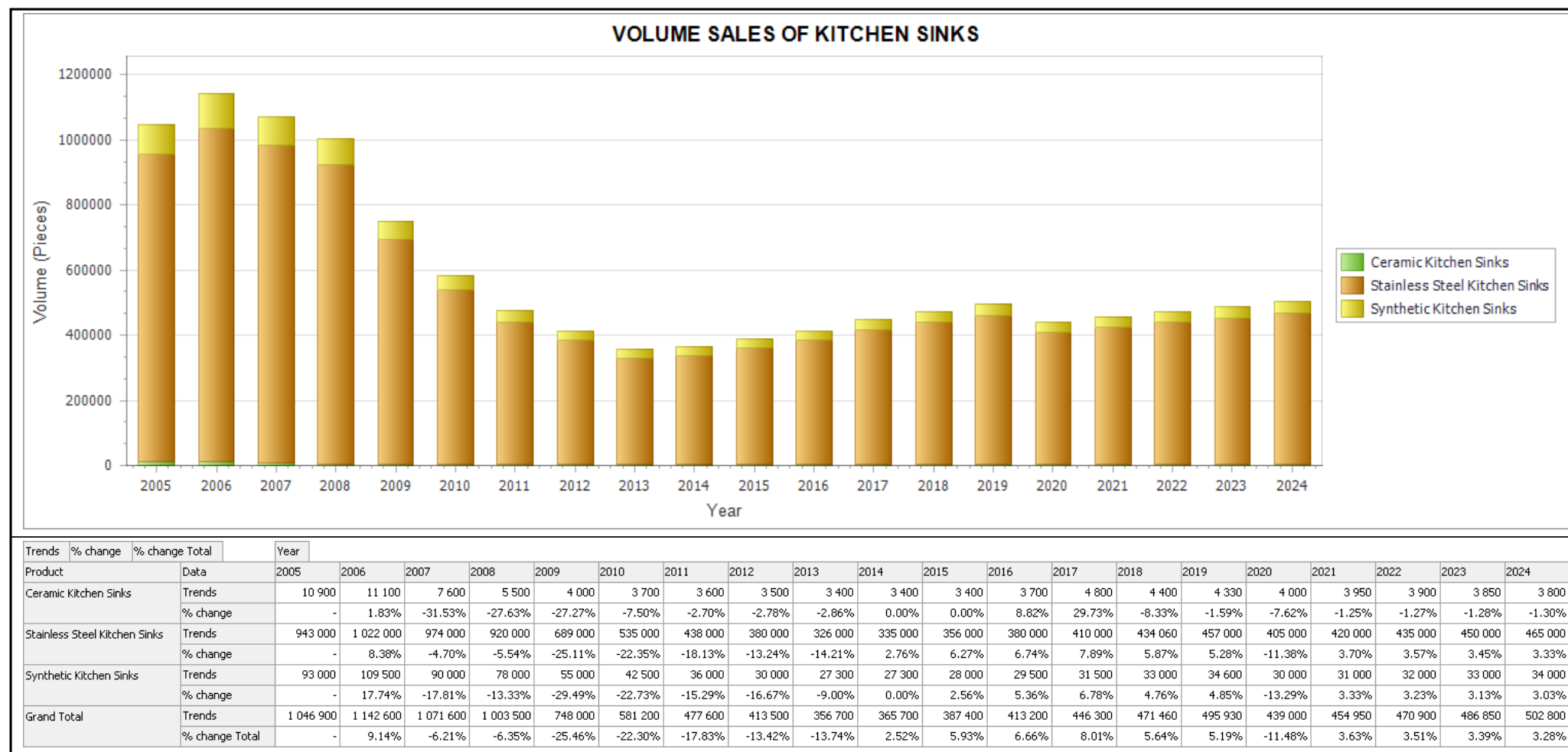
Sales of kitchen sinks should decline in 2020 due to the COVID-19 pandemic. Most replacements have been put on hold, which has led to decreasing sales in 2020. New housing completions and new non-housing projects and non-housing refurbishment projects were delayed, which will negatively impact the sector.

The positive growth during the forecast period is expected to resume from 2021 onwards as dwelling completions should reflect the postponed projects during 2020. Therefore, sales of kitchen sinks should grow. The RMI market should remain robust, even though 2020 should record a decline in sales, but from 2021 it should bounce back resulting in an increase in sales until the end of the forecast period.

Synthetic sinks should continue to gain share from stainless steel sinks over the next five years, although their share should still remain small by 2024. Ceramic sinks should remain residual in the market and this product is expected to represent no more than 1% of the market by 2024.

8.2 Historical Trends and Forecasts : Kitchen Sinks

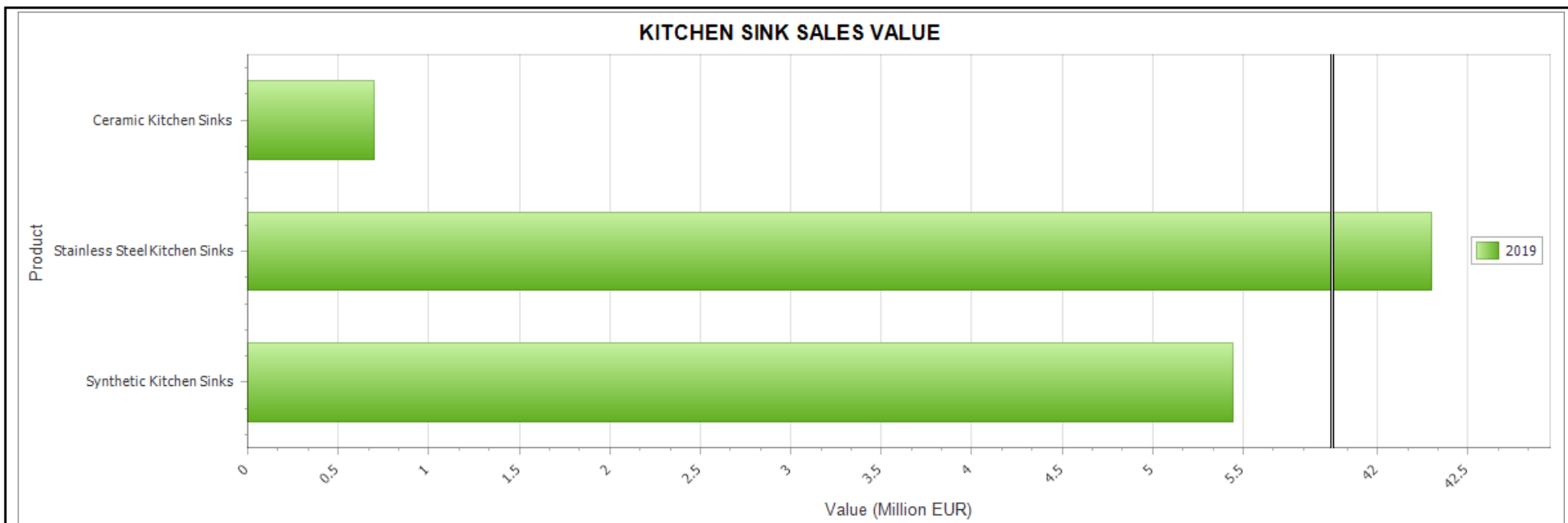
ES - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

ES - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

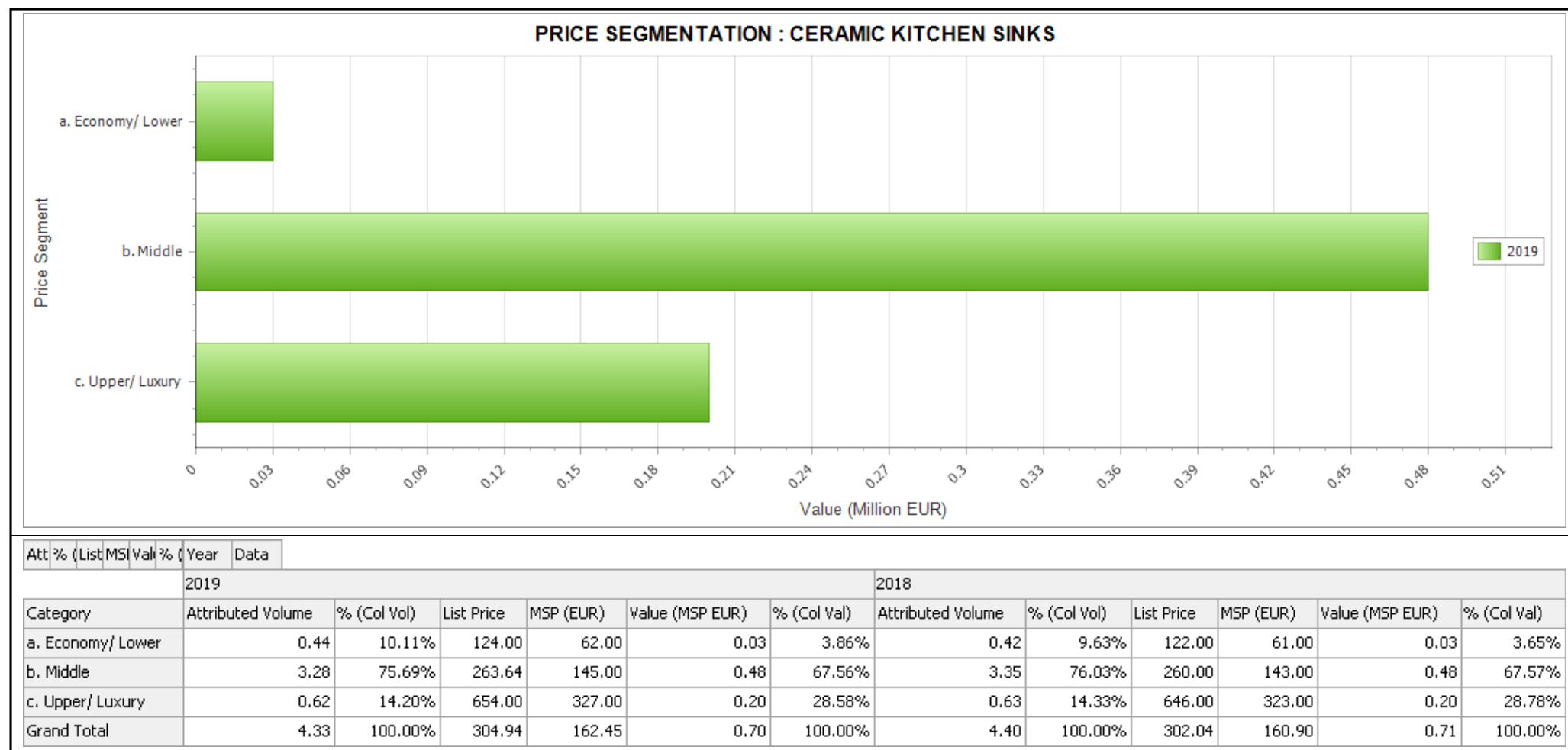


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data
			2019	
Product	Volumes	MSP (EUR)	Value (MSP EUR)	2018
Ceramic Kitchen Sinks	4 330	162.43	0.70	4 400 160.88 0.71
Stainless Steel Kitchen Sinks	457 000	92.57	42.30	434 060 91.73 39.82
Synthetic Kitchen Sinks	34 600	157.09	5.44	33 000 153.02 5.05
Grand Total	495 930	97.68	48.44	471 460 96.67 45.57

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Ceramic Kitchen Sinks

ES - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

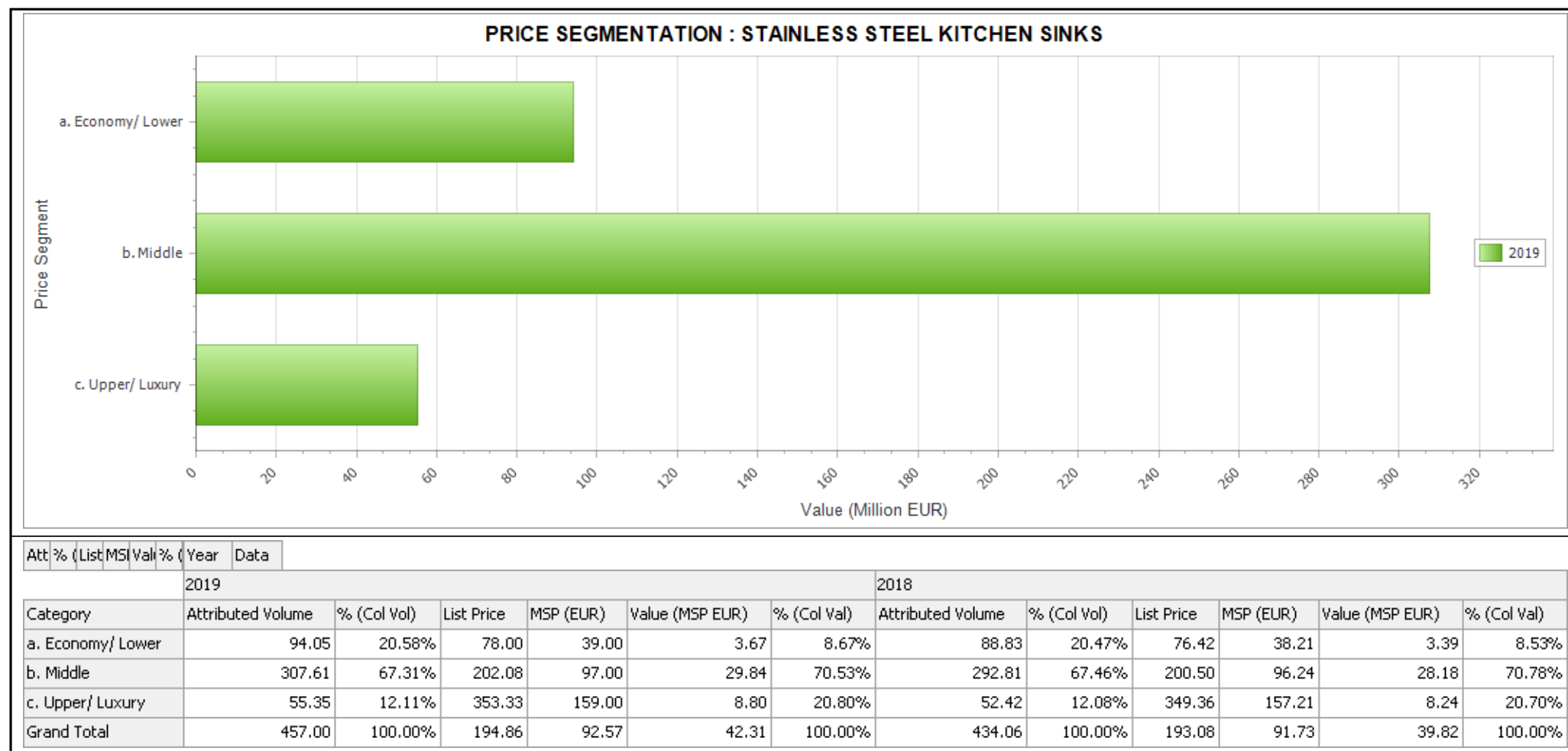


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

ES - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

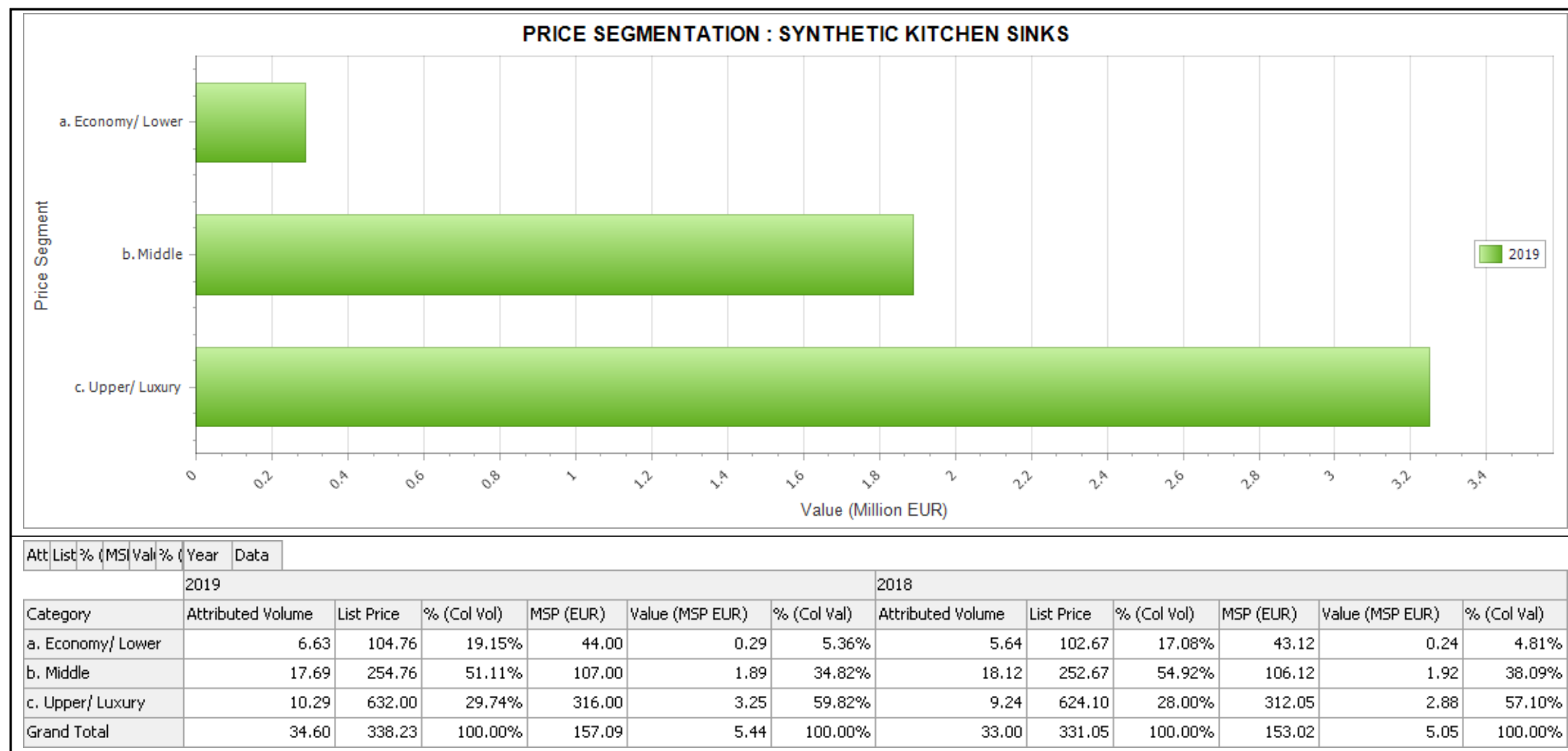


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€120, Upper/ Luxury >€120

8.3.4 Price Segmentation : Synthetic Kitchen Sinks

ES - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

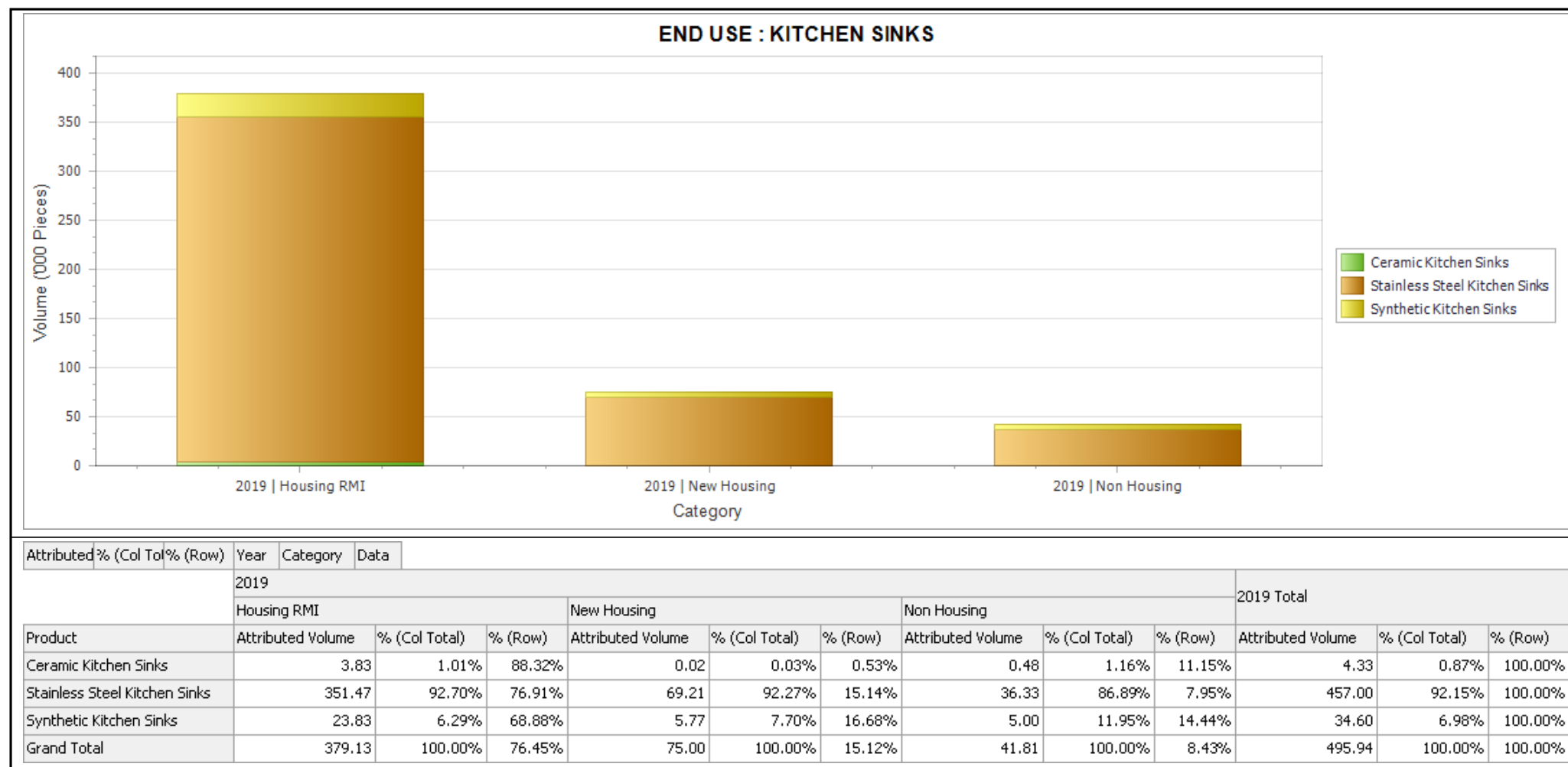


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.4.1 End Use : Base Year

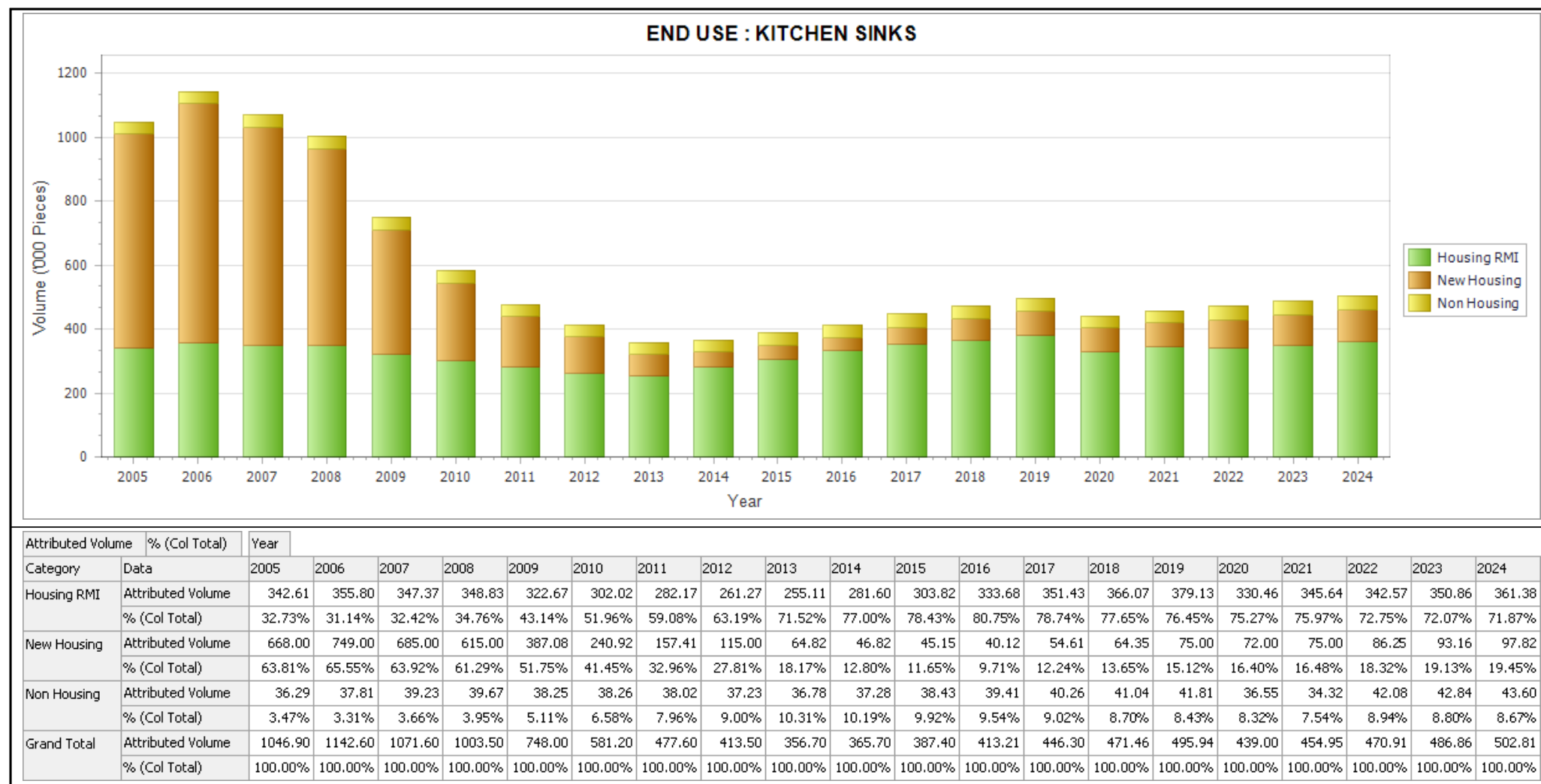
ES - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

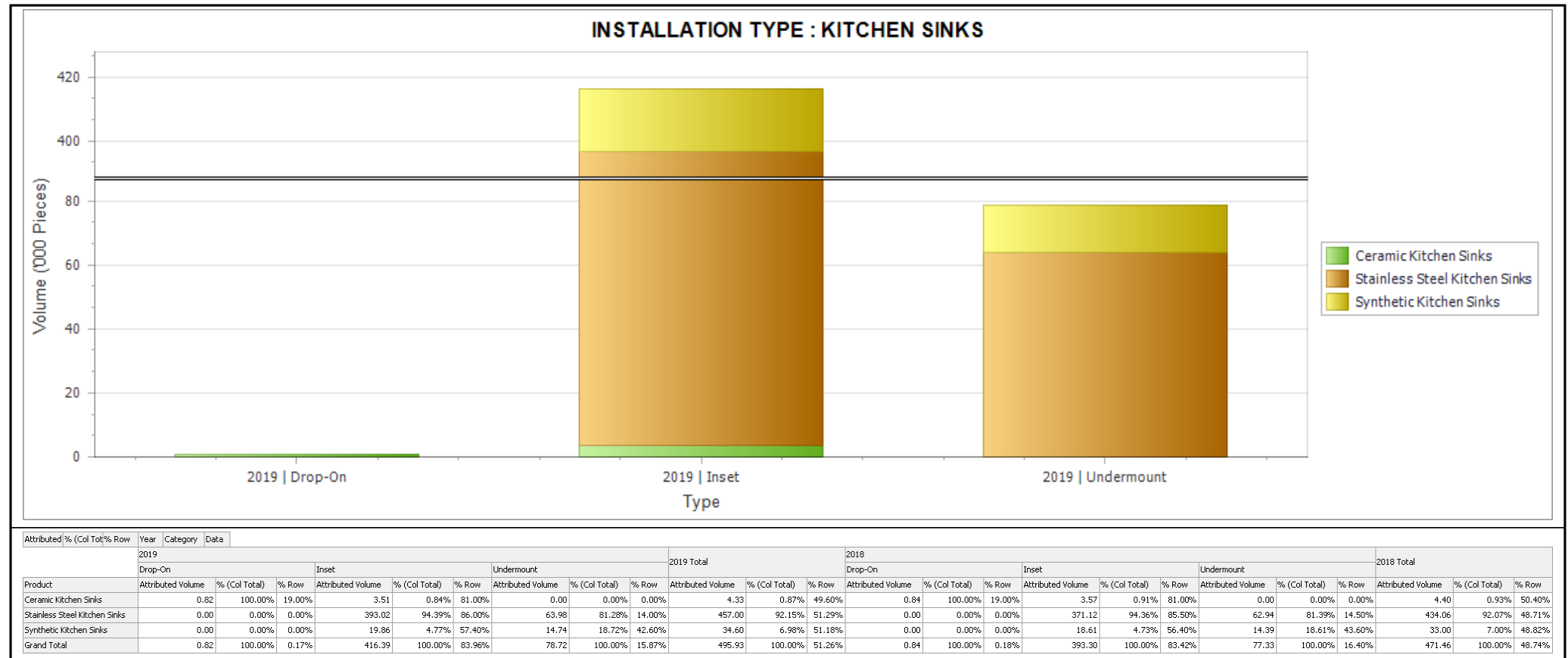
ES - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

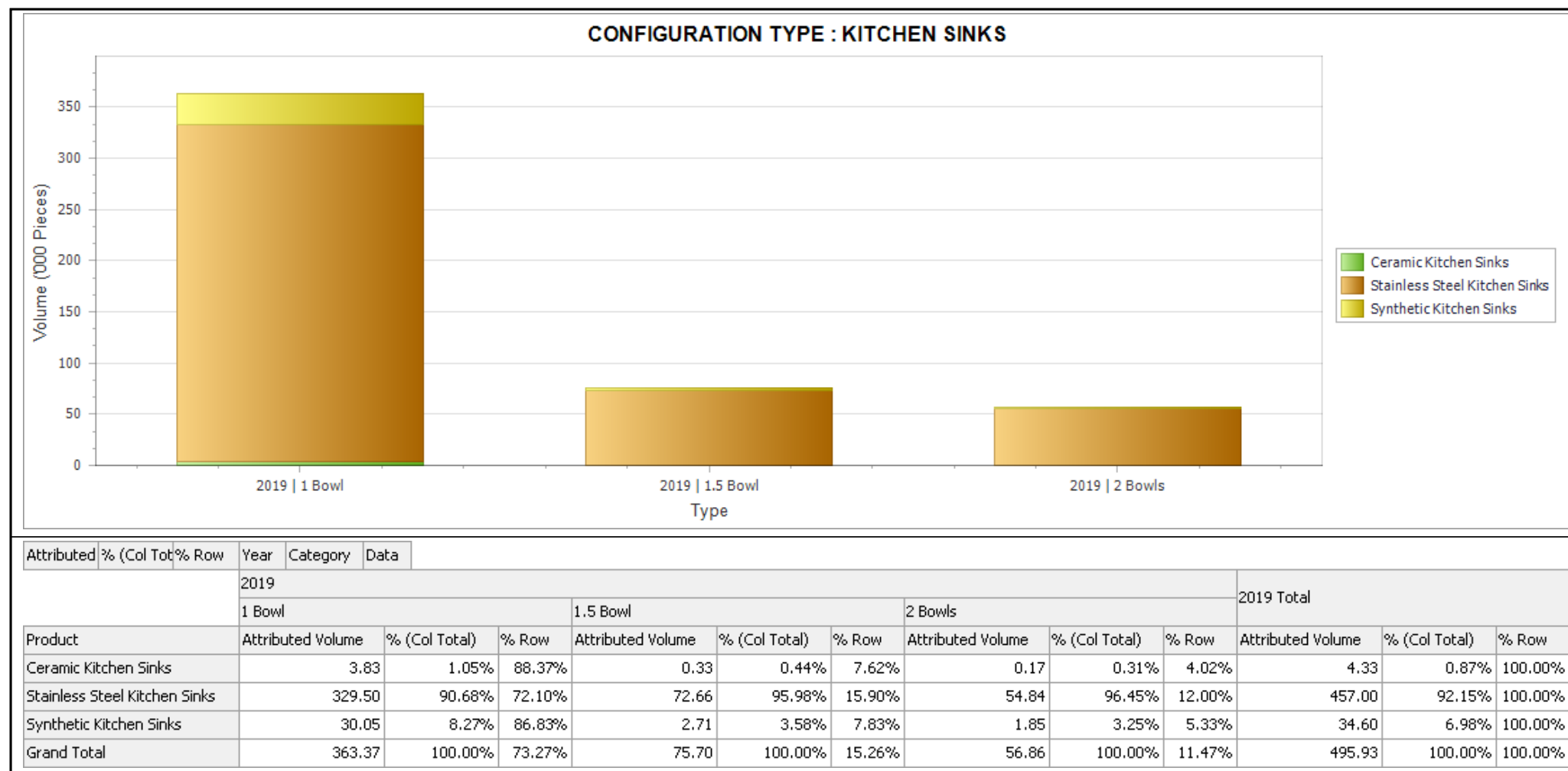
ES - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

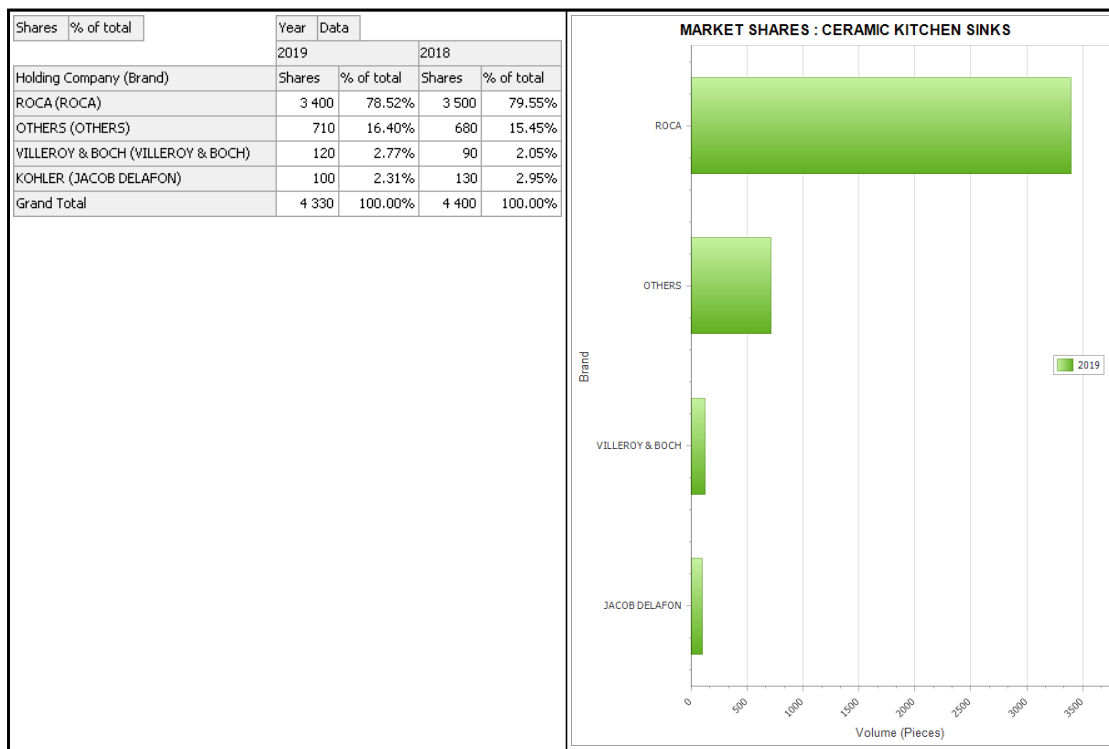
ES - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

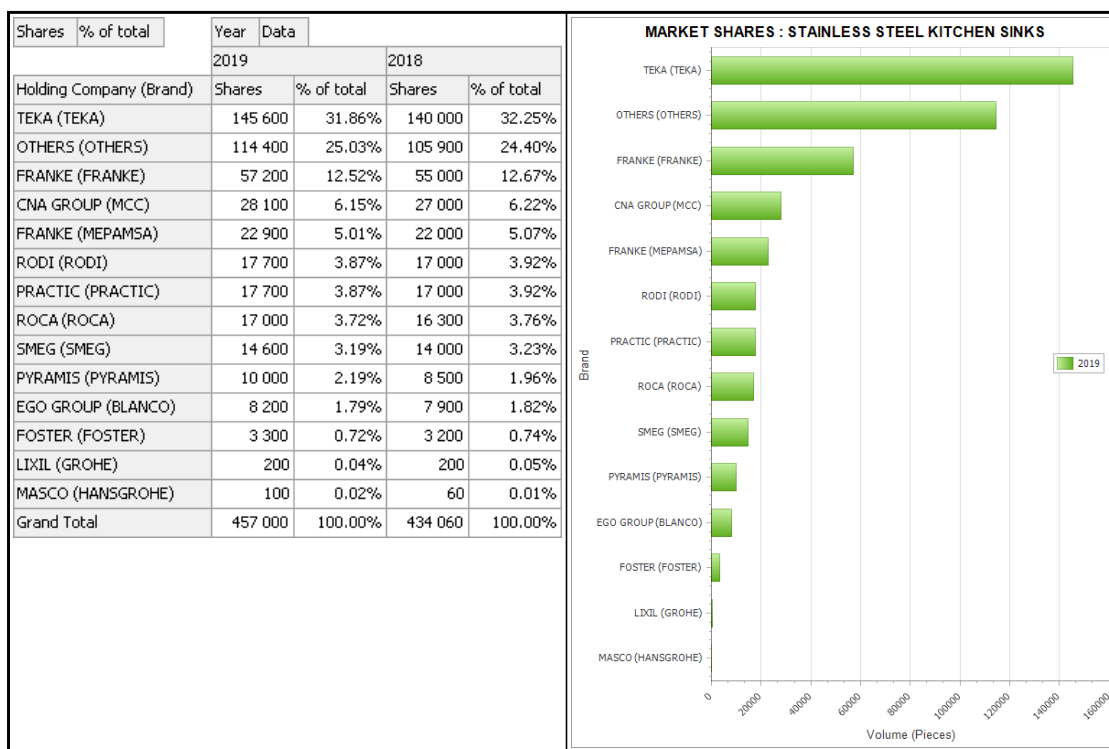
ES - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

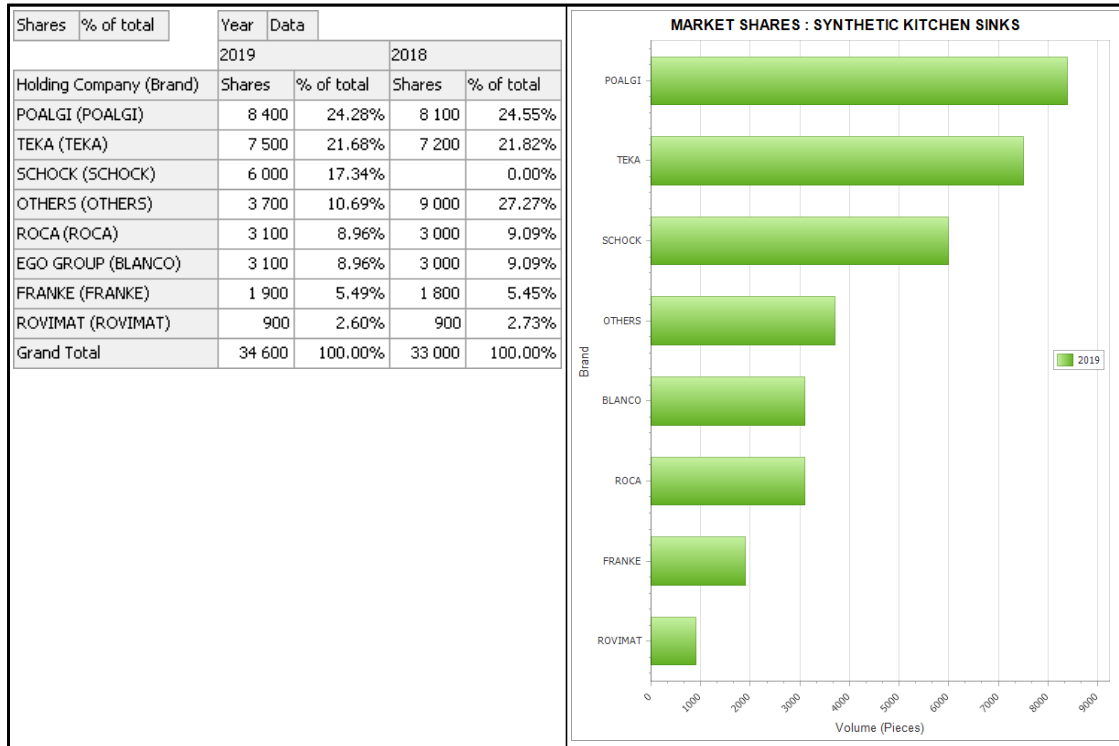
ES - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

ES - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

74.4%
Worktop Manufacturers
74.4%

Wholesale Level

Manufacturers	Worktop Manufacturer
13.0%	12.4%
Wholesalers / Merchants	
25.4%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
1.1%	0.0%	2.0%
Internet Retailers		
3.1%		

Manufacturer	Worktop Manufacturer	Wholesaler
5.5%	4.6%	2.0%
DIY Retailers		
12.1%		

Manufacturer	Worktop Manufacturer	Wholesaler
5.1%	44.6%	4.5%
Specialist Retailers		
54.2%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	0.0%	12.1%	1.0%	1.8%	28.2%
Installers					
44.0%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	12.7%	4.5%	2.1%	10.3%	26.0%	35.9%
Residential						
91.6%						
New Build				Residential RMI		
15.1%				76.4%		
Project		Non-Project		Project		Non-Project
12.9%		2.3%		3.8%		72.6%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.3%	0.0%	0.0%	0.0%	8.1%
Non-Residential						
8.4%						
New Build				Non-Residential RMI		
3.0%				5.4%		
Project		Non-Project		Project		Non-Project
2.6%		0.5%		4.1%		1.4%

8.6.2

Route to Market: Kitchen Sinks
ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

72.8%
Worktop Manufacturers
72.8%

Wholesale Level

Manufacturers	Worktop Manufacturer
13.2%	12.0%
Wholesalers / Merchants	
25.2%	

Manufacturer	Worktop Manufacturer	Wholesaler
1.2%	0.0%	2.1%
Internet Retailers		
3.3%		

Manufacturer	Worktop Manufacturer	Wholesaler
5.7%	5.0%	2.2%
DIY Retailers		
12.9%		

Manufacturer	Worktop Manufacturer	Wholesaler
5.0%	43.7%	4.3%
Specialist Retailers		
53.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	0.0%	12.0%	1.5%	2.0%	27.4%
Installers					
43.4%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.6%	12.1%	4.3%	1.8%	10.9%	25.6%	35.0%
Residential						
91.3%						
New Build				Residential RMI		
19.5%				71.9%		
Project		Non-Project		Project		Non-Project
16.5%		2.9%		3.6%		68.3%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.3%	0.0%	0.0%	0.0%	8.4%
Non-Residential						
8.7%						
New Build				Non-Residential RMI		
3.0%				5.7%		
Project		Non-Project		Project		Non-Project
2.6%		0.5%		4.3%		1.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

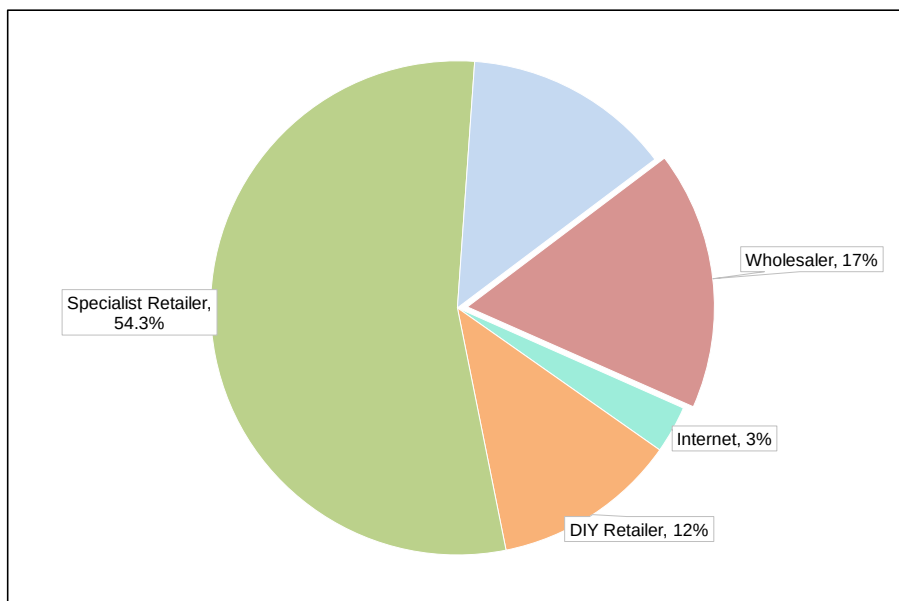
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.9%	3.1%	12.1%	54.3%	13.6%	16.7%	6.7%	74.8%	1.9%
100%					23.4%		76.6%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

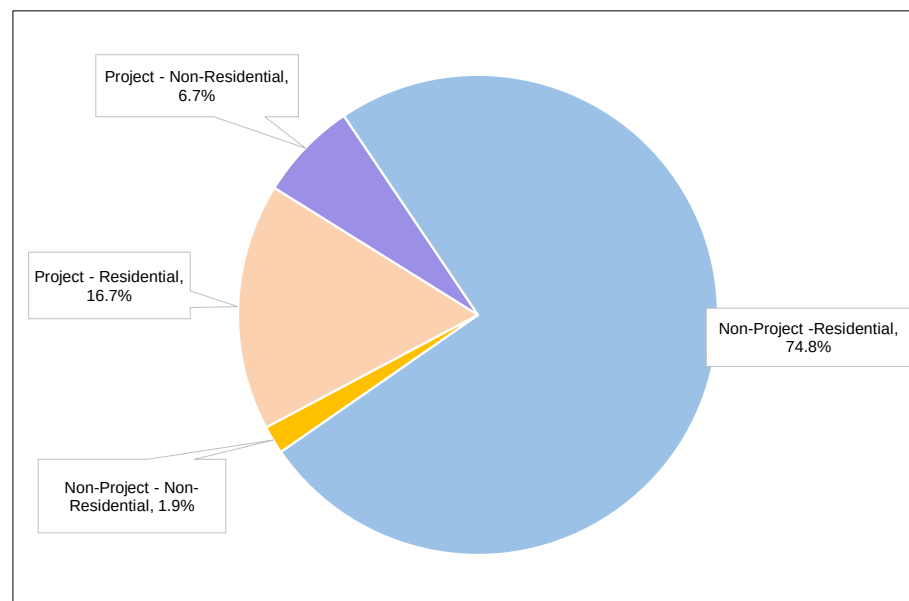
ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.6%	3.4%	12.9%	52.9%	14.2%	20.1%	6.9%	71.1%	1.9%
100%					27.0%		73.0%	

ES - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



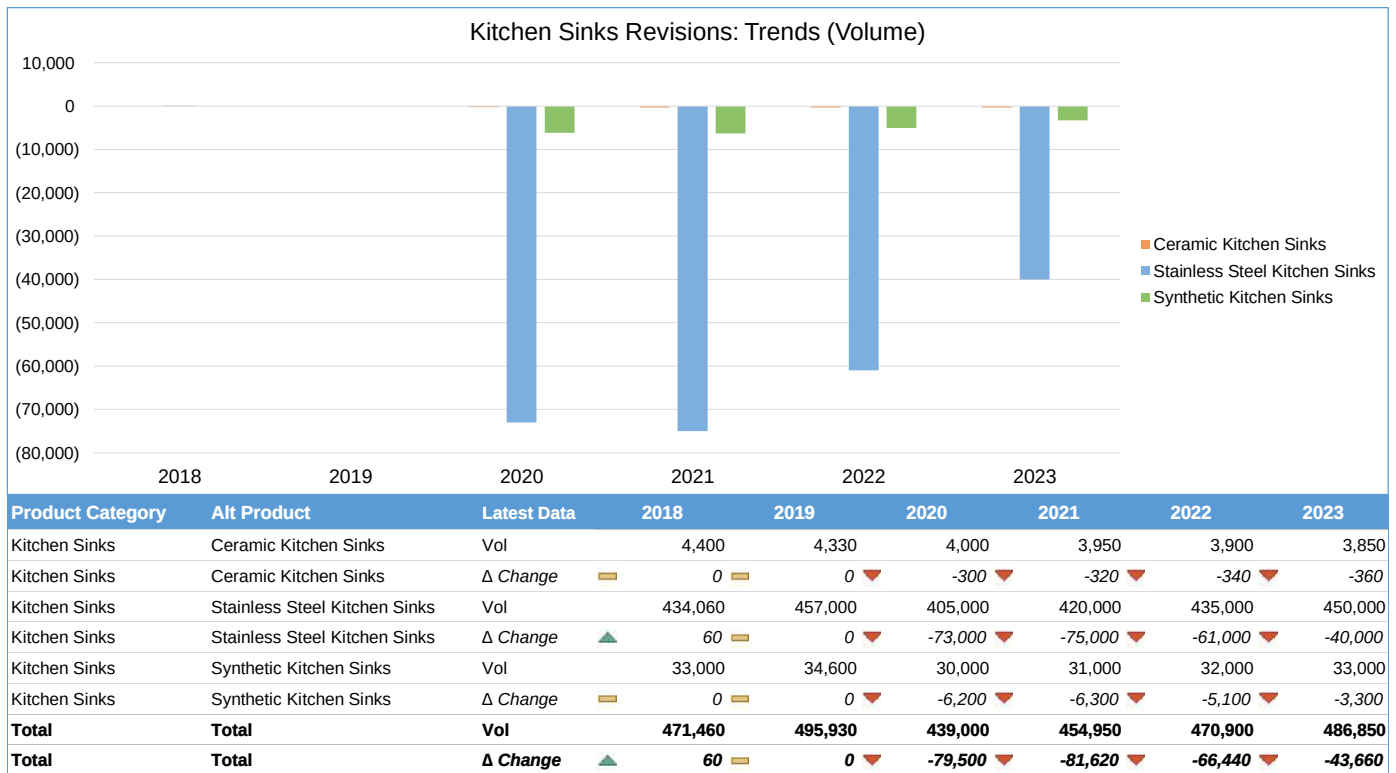
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Spanish Kitchen Sinks Market (April 2020)

ES - REVISIONS IN THE SPANISH KITCHEN SINKS MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

SPAIN

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Historically, the Spanish kitchen taps and mixers market has been characterised by a strong domination of one head mixers. Showerette mixers have been gaining share in the market over the last decade, although they still account for a small share of the market due to the price sensitivities of the Spanish consumers; showerettes are still an expensive product.

The Spanish kitchen taps and mixers market was growing until 2006 and has since then experienced a substantial decrease in the volume sold due to a massive drop in the construction market as a result of the financial crisis. As a consequence, the social and economic conditions of Spanish households quickly deteriorated. High levels of unemployment and decreasing purchasing power in RMI, combined with the collapsing number of new dwellings, resulted in a massive drop in sales of kitchen taps and mixers in Spain.

The recovery of the Spanish kitchen taps and mixers market has been noticed from 2014 onwards, when the economy started to show signs of recovery, which led to a positive growth mainly driven by RMI demand. Sales accelerated in 2017 when the kitchen taps and mixers market enjoyed an increase in demand from the new housing sector for the first time in the 2010s.

Recent Market Trends

In 2019, sales of kitchen taps and mixers continued to grow in line with growing demand from all end-use sectors. The recovery in new housing demand led to a significant increase in kitchen taps and mixers sales and a strong demand from the RMI sector helped sales to continue growing at a great pace. The non-housing sector accounts for just a small share of the market as there is a low demand for kitchen products from this sector; nonetheless, it continued to grow over 2019, pushing sales up.

Prices and Market Values

In 2019, the average MSP (manufacturers' selling price) for kitchen taps and mixers increased slightly as the market is shifting towards the middle price point, which has been detrimental to the lower segment.

The product mix has changed slightly and affected the average MSP, as one head models accounted for the largest share in value and volume. This progress reflected the increase of prices and a shift in consumers' preferences towards better quality products as economic conditions have improved for consumers in the country.

New Housing

In 2019, sales of kitchen taps and mixers to the new housing sector continued to increase at a strong pace as a result of the positive performance of the new housing market. It is expected that in 2020 sales of kitchen taps and mixers should decline due to the COVID-19 pandemic outbreak as many projects have been postponed and dwelling completions end dates will be extended. Therefore, it is most likely that an increase in sales should be noticed from 2021 onwards.

The majority of sales of taps and mixers were made up of one head mixers due to the fact that Spanish households aim to equip their brand new kitchen with more design led and aesthetic models of taps and mixers, while the focus remains on price levels. For that reason, Spanish households opt for one head mixers rather than showerettes, since showerettes are still perceived as too expensive, although most manufacturers are already including this product in their portfolio due to the increasing demand and fast growth reported in this segment.

Housing RMI

Sales of kitchen taps and mixers to the housing RMI sector increased in 2019 at a slower pace when compared to the previous year, although this sector continues to benefit from the positive performance of the Spanish economy with increasing consumer spending and renovations. During the financial crisis many renovations were postponed and although most of the delayed renovations took place between 2014-2017, the RMI market is still under the positive effect of these postponed renovations finally taking place. Kitchen taps and mixers are relatively easy to install and consumers do not need an installer to replace them, which makes the renovation decision easier due to its lower costs.

Non-Housing

This segment is dependent on private investment in leisure and tourism, which has shown a better performance in the last couple of years, especially the non-housing RMI activity, although non-housing construction remained weak compared to new housing but has shown signs of recovery.

Supply Structure

The Spanish market for kitchen taps and mixers has traditionally been in the hands of a few manufacturers such as ROCA, STANDARD HIDRAULICA, RAMON SOLER, TEKA, TRES GRIFERIA and GROHE. 'Others' in the kitchen taps and mixer market also play an important role where most of this demand is from DIY retailers.

The leading manufacturer, ROCA, is widely appreciated among installers and almost the majority of players in the industry. The increasing number of new dwellings built in Spain led to an overall increase across all market players. TEKA,

which sells under its own brand, also produces for other subsidiaries within the TEKA GROUP. In recent years, TEKA has specialised in the contract market and its premium models are often chosen within the hospitality and restaurant markets. On the other hand, GROHE is particularly strong in the showerette market. SCHOCK, a new German player, has entered the market although due to its fragmented nature they hold a residual market share.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

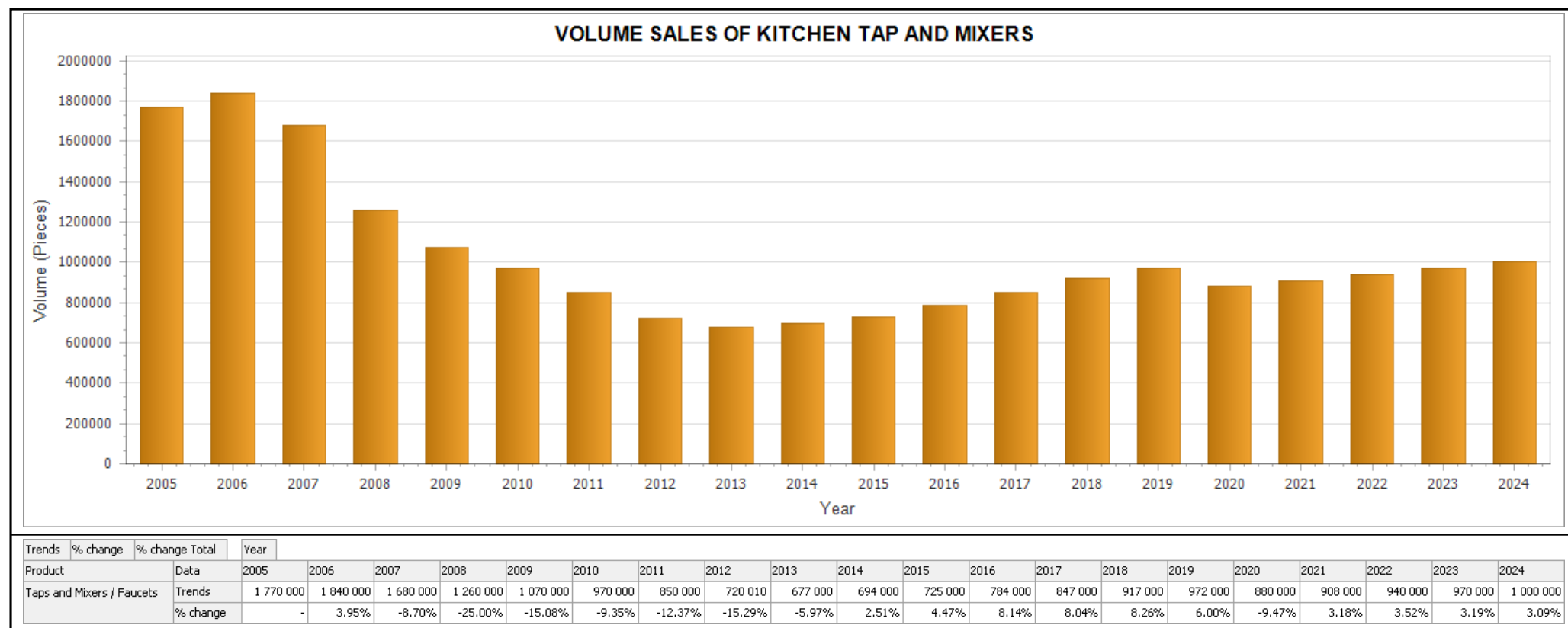
Sales of kitchen taps and mixers in the Spanish market are expected to decline due to the COVID-19 outbreak. All end use segments should be negatively affected as many RMI and new housing projects have been put on hold.

It is expected that from 2021 the market should recover, at a slower pace, and sales should increase reflecting the postponed 2020 projects. RMI demand should contribute with a steady growth, combined with a positive development from new housing completions.

The Spanish economy is likely to be negatively impacted by the COVID-19 pandemic and unemployment should increase in the short-term.

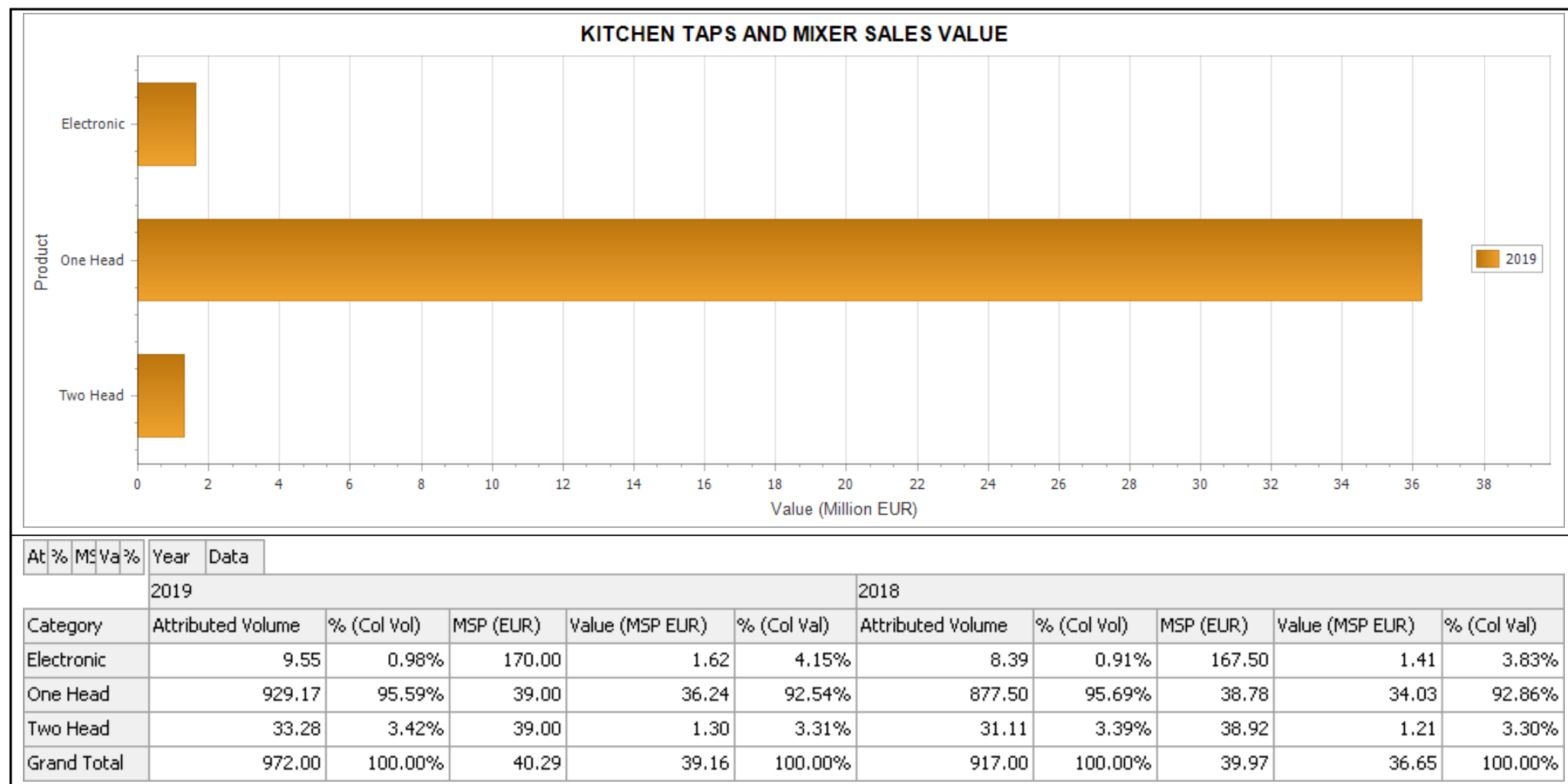
New dwelling completions are forecast to increase from 2021 onwards. It is expected RMI sales will grow steadily and sales to the new housing sector should also grow in 2022 although not as much compared to RMI. In addition, the anticipated solid demand from non-housing activity should boost demand, as the outlook for private consumption and non-residential investments over the next few years predicts a progressive recovery in sales for this market.

9.2 Historical Trends and Forecasts : Kitchen TM
ES - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

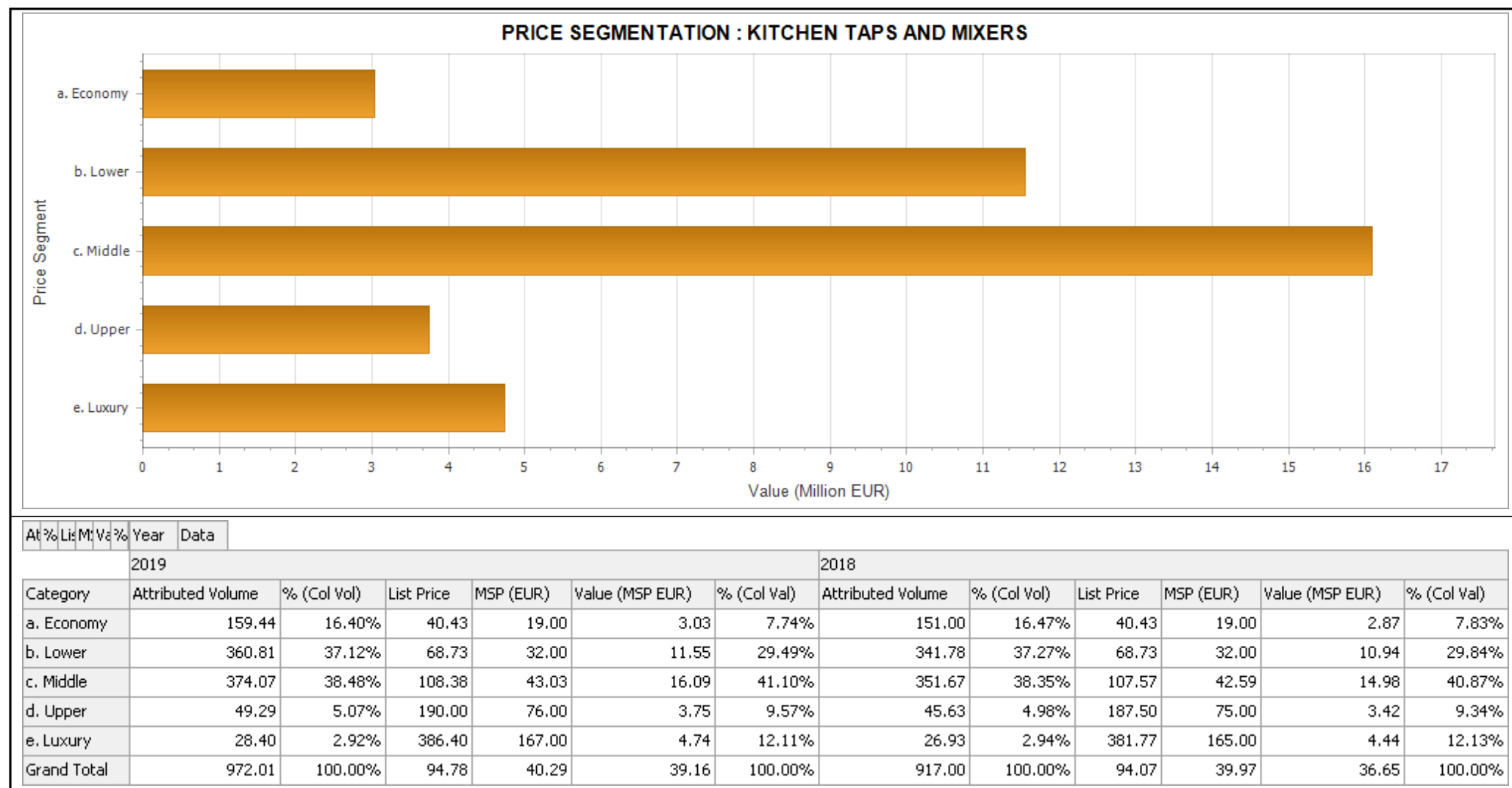
9.3.1 Prices and Market Values : Kitchen Taps & Mixers
ES - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

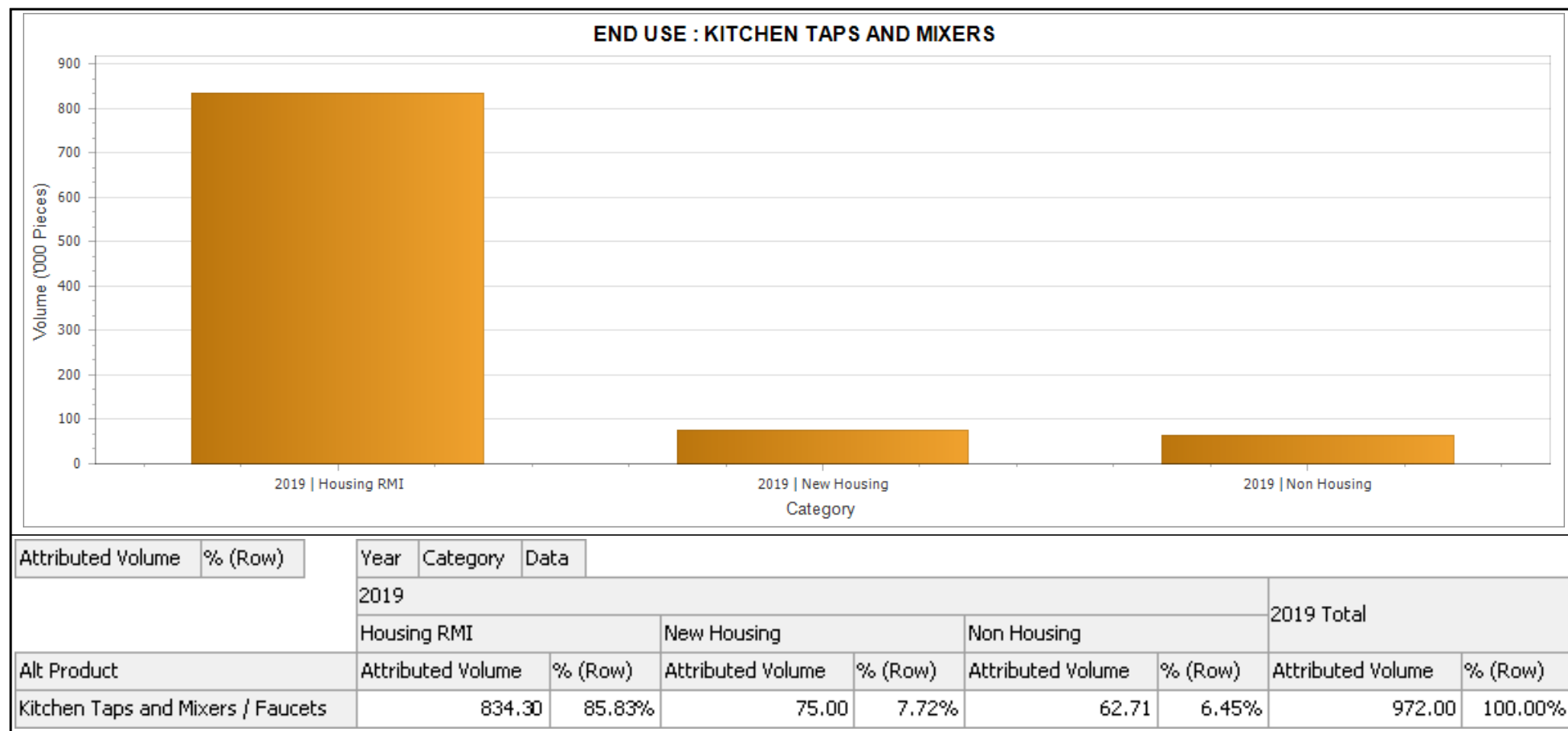
ES - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

9.4.1 End Use : Base Year

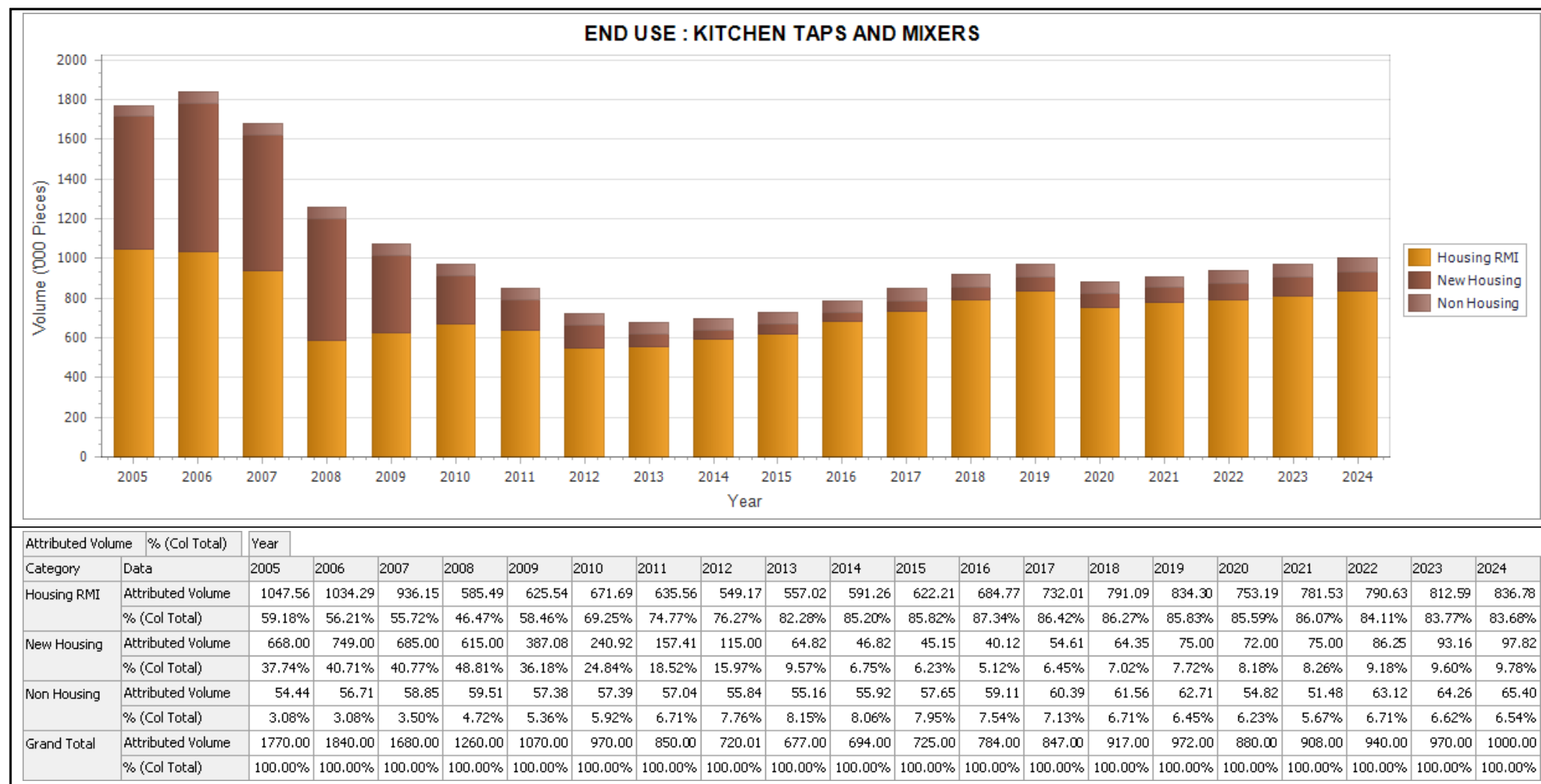
ES - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

ES - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

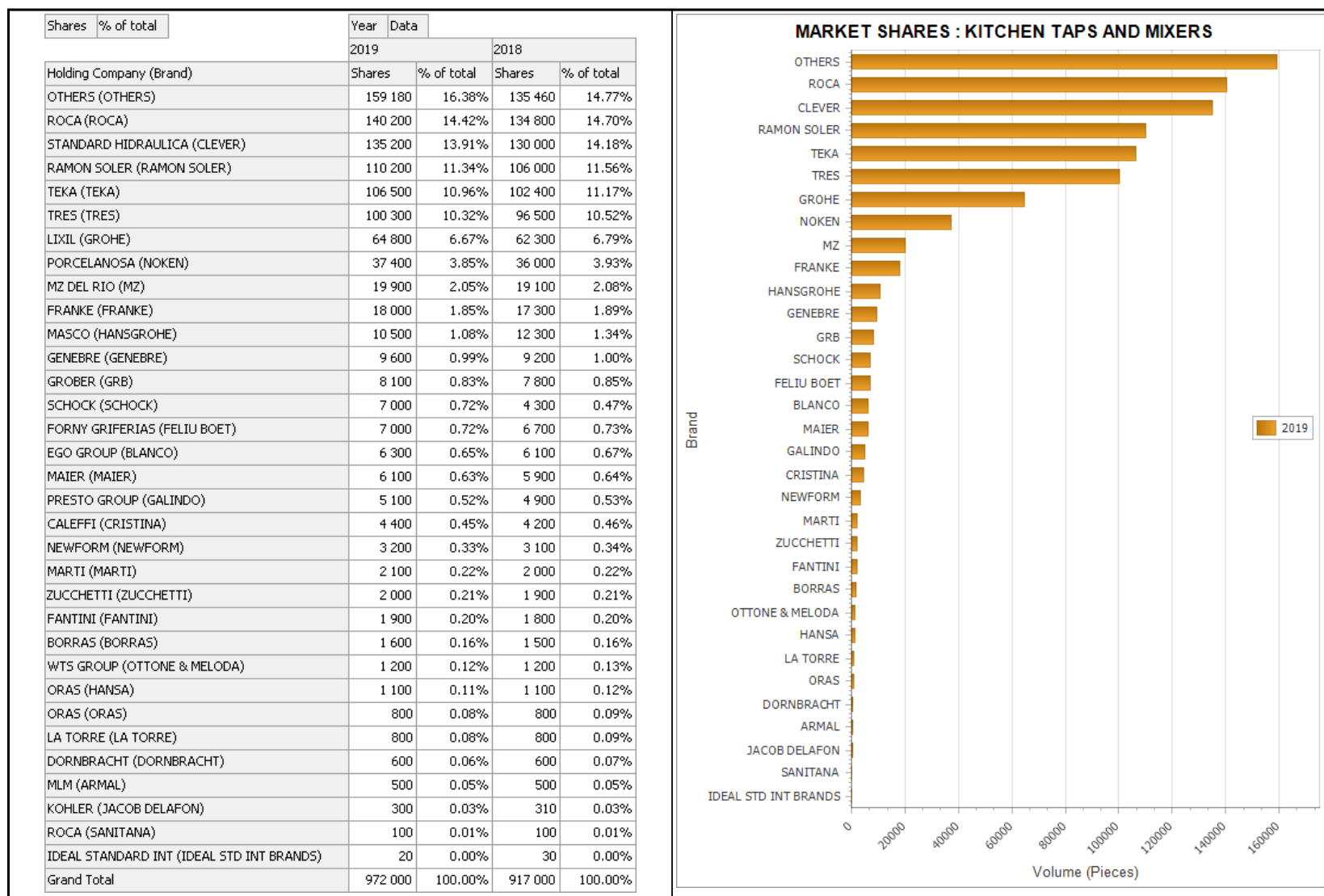


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5

Market Shares : Kitchen Taps & Mixers

ES - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1 Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.5%
	Wholesalers / Merchants
	75.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	2.5%	13.8%	21.0%	9.4%	16.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.8%		34.8%		26.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	25.0%	1.0%	2.0%	5.7%
Installers				
33.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	6.6%	2.3%	31.8%	19.6%	33.3%	0.0%	3.5%	0.5%	1.0%	1.0%	0.5%
	Residential						Non-Residential					
	93.5%						6.5%					
New Build			Residential RMI			New Build			Non-Residential RMI			
7.7%			85.8%			3.0%			3.5%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
6.6%	1.2%		4.3%	81.5%		2.6%	0.5%		2.6%	0.9%		

9.6.2 Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.0%
	Wholesalers / Merchants
	78.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.4%	4.0%	14.0%	23.0%	6.6%	16.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.4%		37.0%		23.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	25.2%	1.0%	2.3%	0.6%
Installers				
29.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	7.6%	3.4%	33.7%	21.5%	27.2%	0.0%	1.7%	1.0%	1.0%	1.0%	1.8%
	Residential						Non-Residential					
	93.5%						6.5%					
New Build						Residential RMI						
9.8%						83.7%						
Project		Non-Project		Project		Non-Project		Project		Non-Project		
8.3%		1.5%		4.2%		79.5%		2.6%		0.9%		

New Build						Non-Residential RMI					
3.0%						3.5%					
Project		Non-Project		Project		Non-Project		Project		Non-Project	
2.6%		0.5%		2.7%		0.9%		2.7%		0.9%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

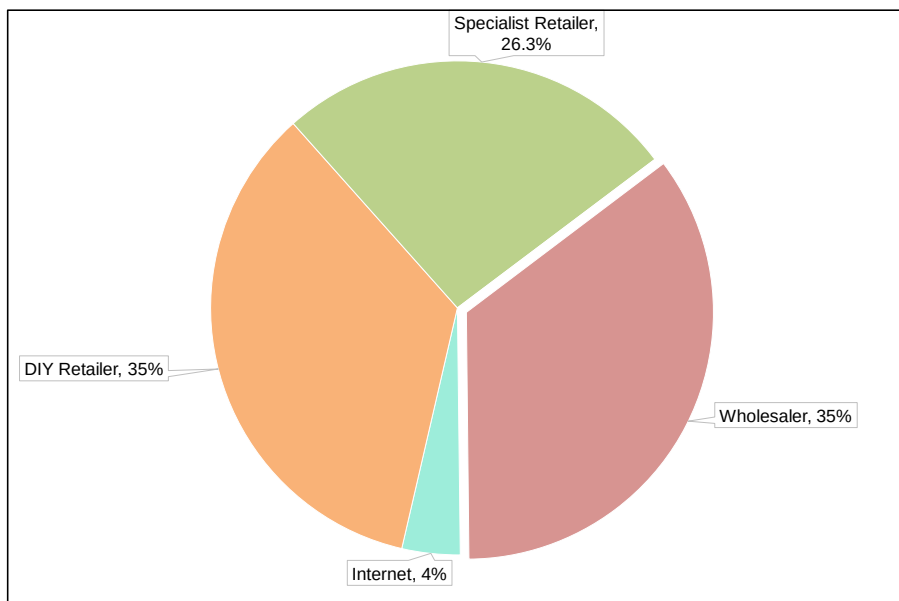
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.1%	3.8%	34.8%	26.3%	0.0%	10.9%	5.1%	82.7%	1.3%
100%					16.0%		84.0%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

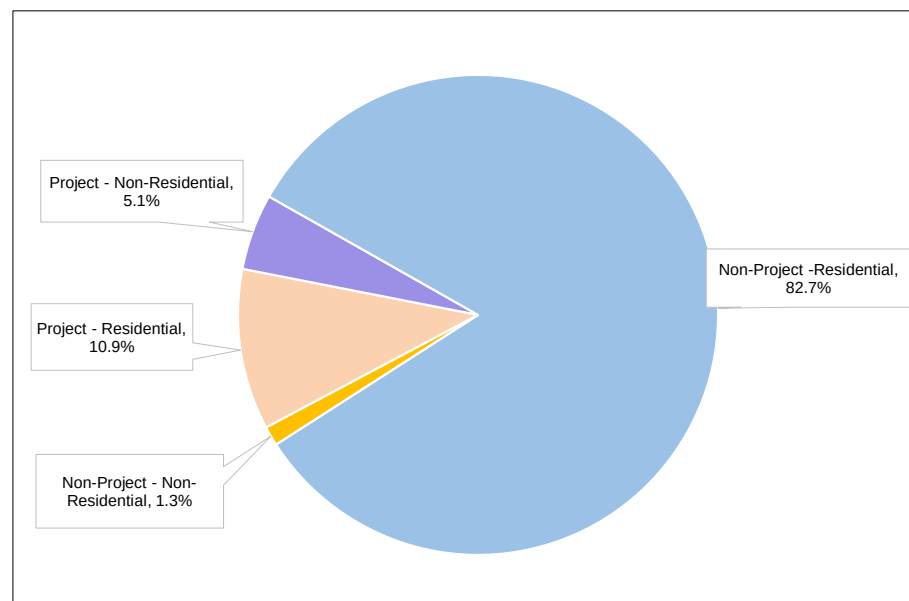
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.5%	5.4%	37.0%	23.1%	0.0%	12.5%	5.2%	81.0%	1.3%
100%					17.7%		82.3%	

ES - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



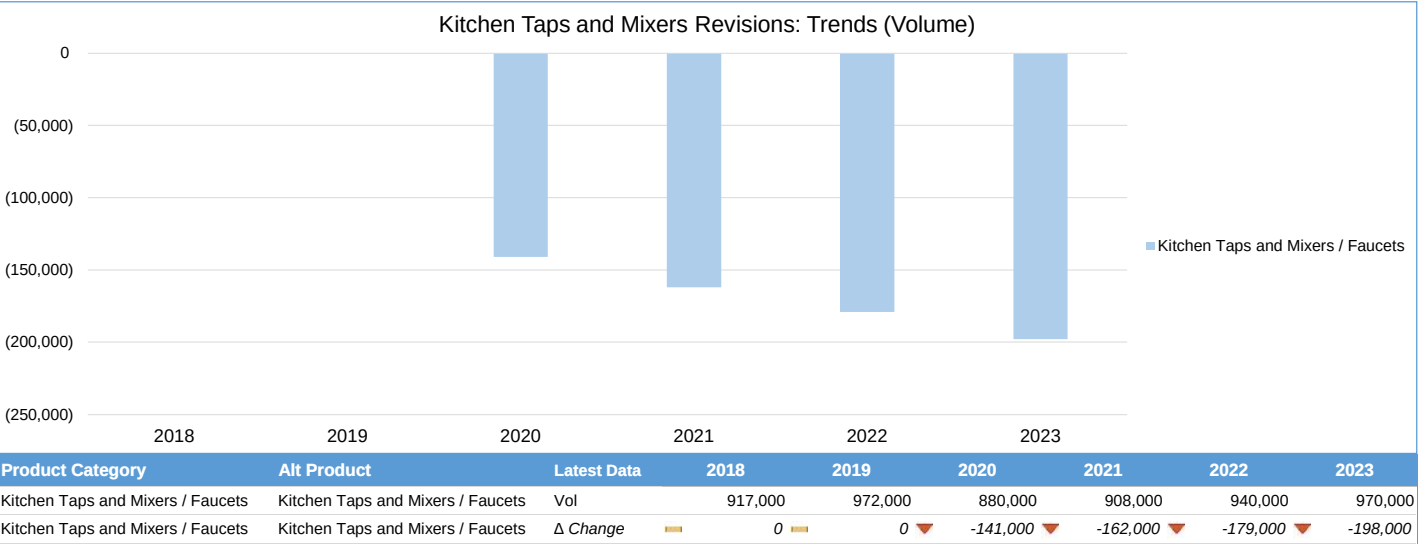
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Spanish Kitchen Taps and Mixers Market (April 2020)

ES - REVISIONS IN THE SPANISH KITCHEN TAPS AND MIXERS MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.